Coromandel International Ltd. (COROMANDEL)

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Call: May 2023

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Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on May 16, 2023
This is further to our letter dated May 05, 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on May 16, 2023 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ , as required pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations a nd Disclosure Requirements) Regulations, 2015.

This is for your information and record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary

“Coromandel International Limited Q4 FY23 Earnings
Conference Call ”

May 16 , 2023

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – CHIEF FINANCIAL
OFFICER , COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S – EXECUTIVE
DIRECTOR (NUTRIENT BUSINESS), COROMANDEL
INTERNATIONAL LIMITED

DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR (CPC , BIO & RETAIL BUSINESS),
COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and Gentlemen , Good day a nd welcome to the Coromandel International Limited Q4 FY23 Earnings Conference call hosted by Phillip Capital (India) Private Limited.
As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assis tance during the conference , please signal an operator by dialing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Harmish Desai from Phillip Capital (India) Private Limited. Th ank you and over to you, Sir.
Harmish Desai : Thank you Dorwin. Good afternoon and welcome to the 4th Quarter and f ull Year FY23 Earnings Call of Coromandel International Limited hosted by Phillip Capital .
From the management Mrs. Jayashree Satagopan – Chief Financial Officer, Mr. Sankarasubramanian – Executive Director (Nutrient Business), Dr. Raghuram Devarakonda – Executive Director (CPC , Bio and Retail business) and Mr. S hanky Bhola – DGM Finance.
I would like to thank the management for giving us the opportunity host this call. We will begin the call with opening remarks from the management post which we will have a Q&A session.
Thank you and over to you, Ma'am.
Jayashree Satagopan : Good afternoon everyone and thanks Harmish for organizing the Conference Call .
I have with me Sankar and Raghu who will join me in responding to your queries.
Let me begin with giving an "Overview on the Agricultural Environment " followed by the "Company 's Perfor mance" and then we will have the Q&A session.
Overview on the Agricultural Environment:
As fa r as the Indian agriculture is concerned , the country witnessed above normal rainfall during the last season. M onsoon for this year is also e xpected to be normal as per IMD with a 96% forecas t on rainfall . However, there are r ecent indications of El Nino for th is year, Central and Northwestern regions may witness below normal rainfall.
Overall , with the reservoir l evels at around 98% of last year and good soil moisture conditions , agricultural g rowth is expected to be stable.

Overview on the Fertilizer Industry :
The global supply of key commodities improved during the year and the industry continued to witness softening of prices of major raw materials. Domestically, the fertilizer demand has remained strong supported by good monsoon and favorable policy measures from the Government . Government of Indi a during the year approved Nano urea and Nano DAP for the benefit of farmers in making the country self -reliant over the period of time.
For the quarter, the industry volume DAP and complex fertilizers primarily sales was up b y 62% current year this is 46 .4 lakh metric ton vis -a-vis 28.7 lakh metric ton last year w ith higher imported DAP sales .
DAP and complex fertilizer industry consumption indicated by Phos sales was marginally up by 2%.
Raw material prices continue to witnes s the downward trend. On a year-to-date basis D AP and complex fertilizer industry primary sale s volume was up by 23% and the Phos sales volume was marginally down by 1%.
Company's Performance:
As far as Coromandel 's performance is concerned during the Financial Year '22-23, Coromandel delivered a robust performance r egistering a strong growth in turnover and profitability with its diversified portfolio of nutrients, Crop Protection , bio products and retail busine ss. A record volume sales in NPK s and high sub sidy rates in the nutrients business primarily led to the increase in revenue during the year.
Crop Protection Business:
In the Crop Protection business , domestic formulation and B2B business grew during the year, which was partly of

fset with the headwind sales in the export markets.
Coromandel ensures that agri inputs are ma de available to the farmers in its key operating markets and promoted the use of balanced nutrition and integr ated pest management to help rejuvenate the soil and f arm productivity.
The Company ’s Nutrient Segment performance :
Nutrient and Allied business segment revenue increased by 33% during the quarter and 63 % during the year. The Company ’s fertilizer products registered good growth during year both in terms of turnover and profitability.

On the sales front, the business registered sales volume of 6.2 5 lakh metric tons during the quarter , which is 5% higher than last year. For the full year DAP and complex volume was at 36.45 lakh metric tons vis -a-vis 33.22 lakh metric tons which is 10% abov e last year.
Manufactured and DAP complex volume was lower by 1% for the quarter a nd higher by 10% for the full year. The Company ’s market share in Q 4 including NPK and DAP was a t 13.5% a nd for the full year 15.4%. The market share for complex fertili zers grew during the full year t o 26.7% vis-à-vis 26.3% last year.
As far as SSP is concerned , Q4 sales was at 1 .9 lakh metric tons w ith the growth of 19% ov er the last year and on a full year basis SSP business clock ed 8.1 lakh metric tons versus 7.5 lakh metric tons compared to last year . The market share went up to 14.9% , last year it was 14%.
Our commercial teams have continued to ensure timely availabilit y of raw materials to enable continuous production a nd the manufacturing plants by s taying abreast with the latest developments in the global markets.
During the quarter our DAP and complex fertilizer plants operated at good capacity levels and produced 6. 46 lakh metric tons of fertilizers. On a full year basis plant s operated over 90% of capacity and a record production of 32.91 lakh metric tons of fertilizers . Phos Acid production during the quarter was at 0.7 lakh metric tons and for the full year it was at 4.1 lakh metric tons.
During the year Coromandel strengthened its backward integration capabilities in the nutrient business by acquiring 45% shar eholding in Rock P hosphate Mining Company in Senegal . Major capital expenditure projects like the sulfuric acid plant and the desalinization plants are progressing well as per the schedule.
The Company continued its focus on developing new products and durin g the year devel oped a new tech product Nano DA P, which tends to improve nutrient up take, lower water consu mption, minimize environmental losses. The company is setting up a plant in Andhra Pradesh and plans to launch t he pro duct in the second half of 2023.
With these in itiatives we would continue to promote a balanced nutrition approach and support the farming community.
On the Crop Protection side:
The business registered a growth of 11% in revenue f or the quarter and 5% on a year -to-date basis. Domestic formulation witnessed good growth with positive traction from the new product launches made during the year in the previous year. The cost lag effect and price -related challenges in Mancozeb and Profenofos impacted our exp ort business. A new pre-emerging herbicide Clario 7.45 was launched during the quarter and with this a total of 8 new products have been introduced during the year.

The R&D and product registration teams are working closely on a rich pipeline of new and combination products to be launched in the coming year. The business is further activating some of its registrations in the global market throu gh collaboration with its key B2 B customers. A multipurpose plant at Ankleshwar for the manufacture of three new technic als have been commissioned a nd two products have been commercialized in the last quart

er. The business has
purchased 50 acres of additional land at Dahej for its Greenfield expansion.
On the CAPEX front :
The Company recently announced investment of 1 ,000 crores where it intends to invest in Crop Protection business primarily in build ing up new multipurpose plants a nd also plan to leverage its technical expertise and manufacturing infrastructure to foray into ad jacenc ies like CDMO and Specialty Chemicals .
On the Bio products :
The business is working on other plant extracts to expand its product offerings . AzaMax an insecticide was launched in the market.
The Retail stores operated well during the quarter focusi ng on providing all around agri solutions including products, farm advisory and mechanization services. The business laun ched

a new e -commerce platform and i t is really good response from the end customers. Retail business has improved its operational efficienci es and ha s leveraged technology to reach out to farmers. In Q 4 97% of the stores were profitable as they focus on high margin products and operated with the negative working capital level.
The Company continues to promote Ag-Tech solutions to farmers and h ave started piloting cold storage solutions through the retail network. It further plans to scale up the drone applications after successful completion of pilot test in its key operating markets.
With that, let me take you through t he Company 's Financial Performance:
Turnover:
The Company recorded a consolidated total income of Rs. 5,523 crores during the quarter and Rs. 29,799 crores during the full year vis -a-vis corresponding period w here the total income was Rs. 4,304 cores for the quarter and Rs. 19,255 crores for the full year. Thi s represents the growth of 28% for the quarter and 55% on the full year. T he increase in revenues is attributable to higher raw material prices which has driven or higher MR P and high su bsidy realization a s far as the nutrient business is concern ed.
Nutrients and Allied business contributed 89% share and the remaining 11% is fro m the Crop Protection business f or the quarter and for the full year the ratio is at 91 % and 9% respectively.

The subsidy and non-subsidy share of the business stands at 84 % and 16% for the quarter and 87% and 13% for full year.
Profitability :
Consolidated EBITDA for the quarter was Rs. 403 crores against Rs. 380 crores last year and full year it was Rs. 2,926 crores a gainst Rs. 2,150 crores in the last year.
In terms of subsidy, non-subsidy shares stands at 66% and 34% during the quarter and 75% and 25% for the full year. The previous year it was 59% and 41% during the quarter and 70 % and 30% for the full year.
Net profit after tax for the quarter was Rs. 246 crores in comparison to Rs. 290 crores for the corresponding quarter last year and Rs. 2,013 crores f or the full year against Rs. 1,528 crores last year.
Subsidy d uring the quarter :
The Company received a subsidy of Rs. 4,483 crores for full year sub sidy received amounts to Rs. 12,477 crores. The previous year figures Rs. 7,737 crores for the full year. Subsidy outstanding as from 31st March 2023 was at Rs. 2,378 crores against Rs. 294 crores which was outstanding in the previous year.
Interest d uring the quarter :
The company earned the interest income t his is excluding the IndAS adjustments of Rs. 3.8 crores vis -à-vis the n et income of Rs. 32.7 crores the same quarter last year . For the full year net interest income earned is about Rs. 4.3 crores.
During the year the Company had elevated working capital requirements primarily due t o the high raw material prices as well as t he higher subsidy outstanding from the government whi ch the Company managed through t aking suppliers and buyers line of credit.
Coromandel maintained surplus funds of approximately Rs. 3,000 crores in Board ap

prov ed
securities and these are earmark ed for speci fic growth -related investments a part from funding the capital expenditure program of the Company .
On a net basis, the Company ended the year with a surplus of about Rs. 3,111 crores including cash in hand.

Credit Rating:
The Company 's balance sheet continues to be strong. During the quarter Company long term credit rating by CRISIL has been upgraded from CRISIL is AA + to CRISIL AAA stable and the short -term debt rating continued to be at CRISIL A1 +.
The Company 's long-term c redit rating by India Ratings, a research of FITCH Group Company , continue to be in the AAA stable a nd short -term rating at in A1 +.
FOREX :
During Q4 rupee traded in a broad range between 80.89 and 82.96. The Company continued to follow a prudent conservative approach of hedging the FOREX exposure which has immensely helped in limiting the impact of currency fluctuations.

Dividend :
The board in its meeting held on 15th May, 2023 has recommended a final dividend of Rs. 6 per share along with the interim dividend which was declared and paid earlier t he total dividend for the year was Rs. 12 per share in line with the prior year.
As the Indian economy continues to progress well , healthy reservoir level, good soil moisture conditions and a forecast of a normal monsoon augers well for the Indian agriculture sector . As a leading Agri Solutions provider Coromandel will continue to promote integrated farm practices and b ring prosperity to the farming community.
In terms of financial performance , it has been a great year and we expect the momentum to continue in the coming years.
Thank you for your interest in Coromandel and joining us in the Concall today.
With this, we can open the session for question and answers and we look for ward to interaction .
Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.
Prashant Biyani : Ma'am, we had announced investments in Crop Protection and specia lty chemicals a few weeks back , any investment that we have frozen on the fertilizer side?
Jayashree Satagopan : What we shared with you Prashant is only part of the overall investment that we had f or 2024 and 2025 specifically on Crop Protection and specialty chemicals which is 1 ,000 crores. We also have investment plan s for fertilizer , specialty nutrients a nd the bio pr oducts for the Company .
Overall, for 2024 we have capital projects of about 2 ,000 crores that have been identified . For

fertilizers, we have plans to set up the Nano DAP facility, t here is capacity expansions and debottlene cking that is happening in the pl ants at Vizag and Kakinada Kakinada. Apart from that, we a re also looking at increasing the granulation capacity in our SSP plants.
Prashant Biyani : So, out of 2000 around 1 ,000 could be for fertilizers?
Jayashree Satagopan : I would say about Rs. 700 to Rs. 800 for fertilizer.
Prashant Biyani : By when can we set up the granulation facility?
Jayashree Satagopan : The granulation is for S SP - we have po wder and we have granulated SSP. So, we a re looking at increasing the capacity of granulated SSP. On the fertilizer front, we are working on several actions i ncluding use of data analytics, to see how we can improve the capacity for granulation within our existing facilities.
Prashant Biyani : And if we are trying to do it in house , would that expansion be of say m ore than 10% of the existing sites ?
Jayashree Satagopan : It depends . Currently we are looking at it. T here is some work that has already happened on Kakinada which includes a bit of debottlenecking and also using multiple raw material sources wh

ich c an actually help in output increase. We are seeing some benefits flowing in FY 23 and we expect it to accelerate during the year . We will continue to work on de bottlenecking and increasing the capacity in house d epending on the market conditions and as we have maintained earlier we will also look for opportunities to import. You may appreciate during the last year most of the DAP that we sold in the market had come throu gh our imports , because we were able to then purposefully use the facility for m anufacturing the other NPK grades. So, we wi ll be looking into all these options to maximize our capacity utilization.
Prashant Biyani : And how are we placed on the channel inventory because the industry I believe is sit ting on a higher side of the inventory s o if yo u can just give an idea on our channel inventory position?
Sankarasubramanian S.: The channel inventory industry has got a huge amount of stocks of DAP as well as NPK s. Majority of the stocks were lying with i mporters who have c ontracted these volumes in the 4th Quarter . As Coromande l we focus more on manufacturing. Our imports are mainly to meet the demands as and when required. So, our channel inventory is one of the lowest and w e continue to maintain that. So, we do not have any issue o n the channel inventory.
Moderator : Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla . Please go ahead.
Naushad Chaudhary : In terms of the cash deployment, I understood you explain your plan for FY24, but looking at the cash flow we have an existing surplus . Beyond FY24 what is the outlook, w hat are we

planning and how are we plann ing to use this cash and which p art of the busines s would attract more investment?
Jayashree Satagopan : As we had indicated in the past we are looking into opportunities to grow the business both organically and inorganically. F or the current year, as I was mentioning there is about a 2 ,000

crore of capital expenditure t hat is being looked into , the cash outflow will be during the year with some spillover into next year. Having said that, we are also looking into further opportunities depending on t he attractiveness, the synergies and what it could do to Coromandel in a medium -to-long term , that ex ercise is on. So, the intent is obviousl y to see how we deploy the fund into business for us to get a longer term sustainable profitable growth in Coromandel . So, the management is f ocused and working on that aspect.

Naushad Chaudhary : Can we get into a li ttle bit granularity e xactly which area we are looking into y ou hav e talked about CDMO in specialty opportunity , but if you can help us understand broadly in which kind of chemistry we must be targeting in which kind of end user industry we are looking at and how would it sync to our existing competencies?

Jayashree Satagopan : See some of these are very st rategic in nature as you would appreciate. Last year we looked into a BMCC investment, and we were able t o come and talk to you when we w ere more or less there. Similarly, there are multiple proposals that the Company is currently looking into. There are high gr owth opportunities like specialty chemicals and CDMO which we have already spoken, and some investment is committed from the Compan y. If there are interesting opportunities coming in these areas , we will be looking into it and I would request you to hold on unless we have something which we can specifically talk to you about.

Moderator: Thank you. The next question comes from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan : My questions are on the debt levels in the Company and this year like you rightly pointed out because of increased government subsidies you were able to manage the creditors. The first question tha

t I had is are these creditors interest bearing in any case or in any way or there i s no interest cost in it a nd the second thing is given your large 2 ,000 crore CAPEX plan, do you expect that the borrowing levels will go up in the curren t year .

Jayashree Satagopan : The elevated working capital requirements were met through extended credit terms in some cases while the supplier has sort of accommodated in other cases wh ere we have taken a loan through the bank and there is an interest component into it. As far as capital expenditure program of 2,000 c rores is concerned , we intend to fund it internally through our existing resources. O ver the last 5 years plus we have not resorted to any long-term borrowings for capital expenditure. I think ther e will be enough cash accruals that happens on a yearly basis t hat would be best deployed in these investments.

Moderator: Thank you. The next question is from the line of Vishnu Ku mar from Spark Capital. Please go ahead.

Vishnu Kumar: Just on the NBS rate that you have taken could you just help us u nderstand what is the NP and NPK rates that you have taken and what is t he impact in the first quarter sorry this quarter in this 4th Qu arter how much impact you have taken?

Jayashree Satagopan : So, Vishnu we have made an estimate on the rate based on the falling raw material prices. As you know the RM prices have been coming down over the last few months and we expect the trend to continue. I do not currently have the rates righ t in front of me. These are best estimates that we have taken a nd based on which, the adjustment in books for the quarter ha s been done. I would also l ike to indicate that based on our interactions with the DOF we expect the su bsidy rates to be moderated on 2 dates , from first of January and then from first of April. As there are two corrections that are likely to happen , it will have a double impact. O ne is in term s of the subsidy income itself , the other one is in terms of the channel inventories and obviously for the 1st of April there is a channel inventory impact that may come in. So, appropriately this has been considered an d factored in . I do not have the exact rates in front of me for NPK , we can share it with you offline.

Vishnu Kumar: So, for both Jan and April both number s have been already considered, so w e should not e xpect anything in first quarter?

Jayashree Satagopan : As I said we have made a judgment based on what would be the b est possible rates and I do not see a reason for any major variation to come in for the quarter.

Vishnu Kumar: Ma'am, on the 1,000 -crore investment in the chemicals business where you could just help us understand ti melines of plant commissioning what lev el of contracting are we there a nd very recently China has again started w e understand fr om multiple companies that they ha ve sta rted dumping a lot of products does it impact at least some part, d o we see some impact i n our investment theses on this side?

Jayashree Satagopan : Again a very good question Vishnu . Out of the 1 ,000 crores the first and foremost what we wanted to do was to also purchase additional land for Crop Protection business. We had identified a 50 acre plot in Dahej . In a short time the business has procure d the land and it is now ready, it has got registered.

Apart from this, there are three proposals that the business is workin g on. One is for multipurpose plants, especially for the fungicide which will be coming up at Ankleshwar . They have submitted the business proposal and it is in the final stages of approval internally. The second large multipurpose plant is planned to be set up in Dahej again in our existing facility t hat will also be on the fungicide front and the third one which is relating to herbicides is going to be set up in the newl

y acquired plot at Dahej.

The business has identified about 18 molecules which were of f patent in the recent past , three of them will come out of Ankleshwar out of which two of them have al ready been commercialized in the last quarter. As the business case gets developed , we also look into the global trends in terms of pricin g, capacities, existing new capacities that are coming up in China in India and accordingly it gets factored in the decision to invest. So, it goes through very thorough scrutiny before w e put in our money in setting up these plan ts. Unlike in the past , the reason that we are doing a multi purpose plant which also give s flexibility so that we are not stuck with one prod uct. For instance, the Mancozeb plant is only doing Mancozeb , whereas the MPP plant can do Azoxy , Picoxy and few other molecules. It is to give flexibility so that if there is a demand fluctuation or a price fluctuation , the business can accordingly tweak and produce. So, we feel quite comfortable with this approach . In terms of the project timeline, each of the projects as they start is expected to take between 1 8 to 24 months to get completed. T he first set of proposal has come and it is almost in the final stages of approval . The others will come in during the year, get reviewed and approved.

Vishnu Kumar: Any percentage contracted I mean or currently completely open or any contracting is done as of now for the capacity?

Jayashree Satagopan : No, this is not for CDMO we are primarily technical plants for the registrations globally and in India. On the CDMO front there has been interest from some of our innovators . They have c ome and visited our plants and we are making a very humble start in terms of getting an NDA signed and possibly looking at one or two smaller lots which can be given to them for approval.

Moderator : Thank you. The next question is from the line of Tarang A grawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal : Two, three questions from my side one your manufactured volumes grew by about 10% this year. I think it ha s got to do with the debottlenecking that happened in Kakinada and Vizag, how should we see the manufactured volumes from here on, d oes the business have capacity to grow these volumes in the current year or two years to know that is one. Second for the Crop Protection business for FY 23 if you could give us a sense on the split between ex port of technical , B2B domestic and B2C formulation, how are these in FY22 a nd the third the 2 ,000 crore of CAPEX that ha s being deployed my sense is about Rs. 1,000 crores of Spec -Chem, Rs. 700 to Rs. 800 crores of Fert and the balance Rs. 200 crore to 300 crores, so will of it be deployed in FY23 one and second in the othe r part which is the Rs. 200 crores to 300 crores of remaining figure what would that be in relation to ?

Jayashree Satagopan : As far as the manufacturing volumes of fertilizer is concerned there are two -three components that goes into it. One is the mix. There are certain products if you manufacture the throughput could be higher compared to others. So, we optimize the mix. The second thing is the debottlenecking that happens in the plants and the third is the r aw materials that we use which can also have an influence in the throughput. So, a combination of all of this we achieved closer to a 10% improvement i n the manufactured volume last year. Going forward the re is still lots

that is happen ing at the plants. We expect a 6% to 10% improvement in the manufacturing volumes even in the coming year a nd that should be possible. As I said the Company consciously looked at importing DAP versus manufacturing, which has helped us in the last year . We are continuing to explore such options to see

how we can manufacture products which can give us higher volume.

As far as CPC is concerned you were looking into the absolute numbers for domes tic formulation to do an exports. During the current year our domestic formulation overall for this segment is roughly about Rs. 700 odd crores and the remaining coming from domestic B2B and exports . Both are i n the similar range about Rs. 780 o dd crores with domestic B2B and the balance coming from exports. As we mentioned in the commentaries earlier , we have seen a good g rowth in domestic formulation B2B , we have seen some growth e xports where we faced headwinds mainly because of the prices of Mancozeb and similar molecules - issues in terms of m ore supply

than demand and the impact from material prices.
The third point was regarding the CAPEX o f about 2 ,000 odd crores . Rs. 1,000 crores goes into CPC m ainly for the multipurpose plant using the existing infrastructure with req uired modifications for special ty che micals and CDMO. W e have a large chunk going into fertilizers and SSP and some amount that goes into bio products that is how the ent ire 2,000 crore is split into a nd we expect this cash outflow to happen over a period of couple of years as we place the order s as some of these projects are going to be 18 to 24 months in terms of time taken to complete the construction. At the same time from last year projects , like the SAP-3 and desalinization plant which will be commissioned in July or August this year you may see some cash outflow. So, a ll of these would be funded from o ur own internal accruals, and we a re not expecting any borrowings. I hope this clarifies your questions.
Tarang Agrawal : Just one follow up what woul d be the current maintenance CAPEX for your current manufacturing footprint?
Jayashree Satagopan : You can take about Rs. 300 odd crores.
Moderator: Thank you. The next question i s from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.
Bharat Sheth : Can you give little more color on these Nano DAP opportunity from two to three years perspective, h ow much CAPEX we are doing and availab ility of input whether again it i s the same imported or it i s a domestically available if you can give little more color ?
Jayashree Satagopan : I think this is an interesting question a s Sankar is on the call . I am going to request S ankar to give a color on Nano DAP.
Sankarasubramanian S.: These product we have just in the market we are distributing to the farmers to get their firsthand experience of this product. Our field trials indicate there i s a possibility of 50% replacement of

the curren t dosages in the various crops a nd the behavior of this product also va ries from crop to crop, crop with higher foliage w e have seen good response in s ome crops like Paddy and wheat t he resp onse has been relatively muted. So, at this point of tim e it is very d ifficult to see to what extent the demand would pick up because this needs to be adapted by the farmers. So, our focus would be for the next 6 months to try this p roduct the farmers and take their inputs and make those corrections in the prod uct and accordingly our capacity will be moderated depen ding on the market response. These investme nts are relatively small and it is faster to make so we do not anticipate any challenge if the demand really picks up.
Bharat Sheth : And it is input availabi lity?
Sankarasubramanian S.: There are no c hallenges in raw materials. We have a dedicated process and we have no challen ge in securing those raw material .
Bharat Sheth : And Jayashree one more question on this chemical side that we say that we will be going for industrial chemical, so can you give little more sense on that?
Jayashree Satagopan : Yes definitely I have Raghu with me and he can share

some of these inputs a nd I can add subsequent t o this comments.
Raghuram Devarakonda : Some of current products itself find used in s pecialty chemicals industry. So, that is our first phase s o that we diversify our customer base a nd subsequently we plan to leverage our existing facility infrastr ucture, make similar products, similar chemistries -based products f or different targeted facilities in the specialty chemicals space and finally as Jayashree mentioned as far as 1,000 crore investment we are also identifying molecules for which we will be making specific investments to cater to the specialty chemical space. So, these are the three broad phases in which we are looking at this opportunity, starting with our existing products itself as is being capable in specialty chemicals.
Bharat Sheth : But is it possib le to give little more color which industry are we targeting I mean as a user based?
Raghuram Devarakonda : Yes for example paints and coatings t hey use some fun gicide t hat is one example for you.
Bharat Sheth : Is there color on that CAPEX for this industrial chemical?
Jayashree Satagopan : So, the overall CAPEX is about 1 ,000 crores w hich includes multipurpose plants and some amount of CAPEX which may be required t o do s ome infrastr uctural changes to cater to the specialt y chemical industry . As Raghu mentioned, there are opportunities with the current intermediates that we are doing which could cater to multiple segments. So, that i s the low hanging fruit that we wan t to first address . The business is also wo rking on further opportunities in several segments in the specialty chemicals area. They will be presenting in the next couple of months a very detailed business pla n which will include what does it require further in terms of investment . I think it will be better that we can come back to you in t erms of th e specifics on

specialty chemicals probably in the next investor conference call or a little late r once we are
internally clear and reviewed the proposal for this much more in detail.
Bharat Sheth : Last question sir on CPC side see all supply chain headwinds are almost over so how do we now see the improvement in the profitability in this CPC business?
Raghuram Devarakonda : So, in this business one is as you rightly said on the supply chain side, b ut also it depends on the agro climatic conditions and the pest incidence t here are several other external factors t hat we need to consider while address already question . So we have a window enough to track these trends in the market and we make sure that you know our top line, bottom line are adequately addressed. There is significant progress being made in the area of improving efficiencies in o ur operations so that we protect ourselves to a greate r extent from the vagaries of external markets . I would say we are very well -placed because of the efficiency improvements and also our internal processes respond to the market trends. So, it is just not supply chain.
Moderator : Thank you. The next questi on is from the line of Vidit from IIFL Securities. Please go ahead.
Vidit : I just had th e first question on the Nano DAP research that we a re doing, do we think that how much of a volumes will be replaced by Nano DAP, are we going to push a product by repl acing existing v olumes, are we going to build upon what we are already selling in the market and secondly in terms of EBITDA per ton that we have guided towards 5 and half to 6 ,000 does Nano DAP also bring in the similar levels of margin or is it significa ntly different from what we are doing right now?
Jayashree Satagopan : So, on the margin front , I think we would be in a very similar range between last year and the coming year. I am going to once again request S ankar to comment on the Nano DAP t he adoption what do we se

e now in the light of what has happened with Nano ure a that has been introduced and s ome of the trials that we have t aken in Nano DAP.
Sankar asubramanian S.: At the cost of reputation, I will say we need to wait for the market response. Right now we have got a product which is a full year application a nd we are targeting those states whic h has high import content of DA P basically this is going to have a substitute for DAP and adoption makes the dif ference. So, if there is a yearly adoption if they find the replacement of 50% as we see in our trial re sults and some of the city trials , we see that there would b e a potential replacement of 50% w hich means the high imported DAP consuming s tates can find better traction f or this Nano DAP and some farmers may t ake this as an add on as well because it also helps in improving the yield. So, if people are habituated to DAP application at the basal stage a s a soil application this comes at a later stage. So, we are not sure at this point but we will see definitely whether it will be an add-on or a substitution. It depends on the results what they experience because it goes with the crop, agro climatic conditions, moisture in the soil and the timing of a pplication and the combination t hey do it with ot her and the spraying practices. S o, we need to wait and see it i s too premature to comme nt whether this can be placed DAP immediately. We do see a p otential in the long run at least in this period of 5 to 7 years 20% replacement seem to be a definite

possibility, but these are all empirical data po int we have , but we need to wait and see how the farmer adapts in the crop.
Vidit : Just out of the FY23 sales how much would be the imported DAP sales currently?
Sankarasubramanian S.: Coromandel we do predominantly imported DAP only close to 4 lakh tons.
Vidit : We did EBITDA per ton of roughly 6,500 odd tons this year s o are we maintaini ng that guidance going forward just wanted to clarify that?
Jayashree Satagopan : Our EBITDA per ton would be in the range of about 5 ,500 you have to l ook at the full year basis and that is that is something that we would be in a position to follow up….
Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities Private Limited. Please go ahead.
S Ramesh: So I have the following questions. One is in the Crop Protection chemicals business what is the kind of volume growth you have d one in domestic and exports in FY 23 and how do you see the volume growth shaping up in domestic and export say in FY 24?
Jayashre e Satagopan : We did not have a volume growth in CPC . It has been more or less flat as I was mentioning there were lot of headwinds p rimarily in Mancozeb and Profeno fos and therefore it was wiser on our p art not to produce and sell it at a lower price . Going into next year again while we have our own internal bu dget, the call will be taken depending on how the market conditions come in as far as the largest molec ule currently in our portfolio Mancozeb is concerned. We continue to enrich the portfolio and bring in new products which would help us in derisking the old molecules that we currently have.
S Ramesh: So, you are looking at your new investments in CDMO and special ty chemical and the ac tive ingredients to start with, w hat is the t imeline for these investments to start adding to your revenues and what are the kind of percentage margins you will expect compared to the current margins in the CPC business?

Jayashree Satagopan : The projects once it gets approved we are expecting anywher e between 18 to 24 months for completion because thes e are large plants. One of the three proposals is already i n the final stages of approval t he other two would come in the next 3 to 6 months' time . These projects , as they get complete

d in three years' time , we expect these to reach their peak capacity . We are expecting 2,000 to 3,000 crore of revenue from these investments to come in. T he EBITDA margins should be in the range of 16 % to 18% for the new molecules. Again, as I was men tioning a littl e while earlier , we are building in l ot of flexibility in the plant w ith the capability to handle multi products so that if there is any challenge in terms of volume , pricing, margin for one of those we can swiftly shift to other molecules and therefore ma intain a stable margin profile. So, that i s the expectation as far as the CPC investments are concerned.

S Ramesh: So, if we are looking at talking to innovat ors those four contracts when do you expect to finalize contracts for the CDMO business in terms of timeline?

Jayashree Satagopan : I should say that this is a little long drawn process establishing connect, the customer is coming and visiting the facility, cl earing it, signing up NDA, giving certain molecules for us t o work out the initial Proto pack and send it to them for validation. At this point in time , with one of our customers , we are in the final stage of getting the NDA and the initial order. We have hired a busines s development manager for CDMO w ho is the pretty new in the system and over a period in time this team will start working with the innovators both in Europe as well as in Japan, h ave them visit, interact and work through it. So, I think in t he next couple of years we should see some good traction i n this area. At the same time if there are any other oppor tunities that comes in our way w orking with these innovators with our existin g facilities per say that will a lso be explored.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP asset managers. Please go ahead.

Resham Jain: So I have two questions so first is a few years back we used to have this target of having a 50 - 50 split between subsidy and non-subsidy EBIT DA, so we have no t heard on that because subsidy business has been doing q uite well, but going forward let us say three years, four years out how do you see the mix given that there is incrementally higher focu s in the non-subsidy business?

Jayashree Satagopan : While we maintain that 50 -50 has to come from subsidy and non-subsidy , the position always has been to look into each of these business on its own merits. As you also observed, the subsidy business has be en doing pretty well and therefore we are seeing a benefit of hig her EBITDA coming in from that business. On the CP C front , in the past we have no t made as much as an investment either in terms of backward integration or setting up new multipurpose plans. So that is currently the focus we generate products can give us margins, but to a certain extent we need to enrich our portfolio which started happening in the last two, three years in terms of the product development team working on multiple molecules com ing up with n ew combinations and let us help our domestic formulation business. How ever, if you have to look into t he global business and export that we have we have to d efinitely enrich our portfolio and t hat is the reason for us to work on a long-term strategic plan , identify 18 odd recently of patented m olecules 30 o dd combinations which will suit the requirements of both g lobal and Indian conditions. So, for that a certain amount of investment has been c ommitted. T he first step in terms of setting up a pl ant for Azoxy, Picoxy and Cy pro has been done. Further investments will happen in the next one to two years. So, we will see an uptake there and also foray into special ty chemical CD MO which is in the rig ht direction. Leave alone this , there is also a big focus on t he specialty nutrient business , because we see that the future of fertilizer

could be in liquid fertilizers, special grades of fertilizer, slow -release sort and so forth. The Nano DAP is also a step in that direction. Thi s is non subsidy a s Nano DAP picks up while it may be part of the nutrient business it also all augers well with the overa ll objective of the Company to focus on the non-subsidy products. Bio

products is a nother interesting area while we have been focusin g on Azadirachtin in the past , there is scope for us to do more in terms of other plant extracts and the business is actually working on them. You also have a couple of very interesti ng microbials which are in the good stage of development, tie-ups with the agricultura l universities on research i s also going to help us in some of these fronts. So, overall, I think there will be a good b alance between subsidy and non-subsidy as we go forward. However, the businesses which we are doing and we will continue to do well and we will have ou r investments there too. We do no t want to be constrained by th e fact that we want to do a 50 -50 odd subs idy and non-subsidy . I hope that clarifies.

Resham Jain: My second question is on o rganizational structure we made certain changes and now we have divisional CEOs rather than CEO at the Company level, s o we have not operated in this kind of structure earli er, so i f you can give or share an y thoughts around this because t he responsibility seems to be split and there is no o ne at the top from the CEO perspective?

Jayashree Satagopan : We have had both S ankar and Raghuram with us for sometime and they ha ve been running the ir operations while we had an MD at the Company levvel . Both S ankar and Raghu comes with rich experience in their respective fields and we have at a corporate level Mr . Arun Alagappan who is overseeing Coromandel as a whole . This struc ture provides lot of nimbleness in terms of looking into the businesses per say, helping in quick d ecision making . Both the directors have been empowered to handle their respective areas. There is a monthly council where we work together with all the business to look at areas where there are best practices to adop t. Each of them have their own areas to focus on growth. As these are large businesses , each one h as thei r own priorities and I think it i s best to structure it in a way that can enable sharp focus, g rowth and explore opportunities to excel. As a Company , we find it very comfortable working through the structure.

Moderator: Thank you. Ladies and gentlemen that was the las t question for today. I now hand the conference over to Jayashree Satagop an for closing comments. Over to you, ma'am.

Jayashree Satagopan : Well , thank you all for your co ntinued interest in Coromandel. I a ppreciat e your time and your questions . If there are any further questions that we could respond to you please feel free to reach out to Shanky or to me . We will be happy to connect with you once again.

Moderator: Thank you. On behalf of Phillip Capital (India) Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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Dear Sir / Madam,

Subject : Transcript of conference call held on July 28, 2023
This is further to our letter dated July 24, 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on July 28 , 2023 has been uploaded on the website of the Company at https://www.coromandel.biz/ investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary

“Coromandel International Limited
Q1 FY ’2 4 Earnings Conference Call ”
July 2 8, 202 3

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE
DIRECTOR - NUTRIENT BUSINESS – COROMANDEL
INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR - CPC, BIO AND RETAIL BUSINESS –
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Limited Q1 FY '24 Earnings Conference Call , hosted by Elara Securities Private Limited.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded.
I now hand over the conference to Mr. Prashant Biyani from Elara Securities Private Limited.
Thank you, and over to you, sir.
Prashant Biyani: Good afternoon, and thank you, everyone, for joining Q1 FY '24 Earnings Con Call of Coromandel International , hosted by Elara Securities. I would like to thank the management for giving us the opportunity to host the call. From the management side, we have Mrs. Jayashree Satagopan , President , Corporate and CFO , Mr. Sankarasubramanian S., Executive Director - Nutrient Business, and Dr. Raghuram Devarakond a, Executive Director – CPC, Bio and Retail Business . I would request the management to give their opening remarks on the results, post which we will start with the Q&A session.
Thank you, and over to the management team.
Jayashree Satagopan: Good afternoon everyone, and thank you, Prashant, for organizing the conference call.
Let me first give an overview of the business environment experienced during the quarter, followed by the company's performance and then we can have a Q&A session.
On the global econom y, there has been a muted recovery in the global growth as inflationary pressure, overall slowdown in the demand and geopolitical issues continue to persist. The commodity prices like energy, fertilizer and metals have dropped from the 2022 peak levels following the build -up of gas inventories in Europe and lower -than-expected recovery in China , although food prices remain stable.
As far as the Indian economy is concerned, it is progressing well and is projected to be the fastest -growing large economy. IMF in its latest economic outlook has revised India's GDP growth upwards by 0.2% to 6.1% in 2023. This reflects the momentum from the stronger -than-expected growth in Q4 as a result of stronger domestic investments.
During the quarter, tax collections remaine d buoyant. However, the inflationary concerns still persist.
Indian agriculture : After a slow start to the Kharif season, the Southwest monsoons have picked up in the last one month. As on 27th July, the country has received 7% higher rainfall compared to a long period average. This has resulted in improved crop sowing by 1% with major increase coming under paddy and maize.
Amongst our key markets, there has been good recovery in monsoons with the exception of East, with catchment regions of Krishna and God avari basin receiving good rainfall in July, the

associated reservoir levels have been continuously improving. As on 27th of July, all India reservoir levels stand at 111% of the long period average. This bodes well for the agri input consumption. And we e xpect the agri scenario to be favorable in the upcoming months.
Policy updates : During Q1, the government approved the NBS rate s for the first half of the year. These are in line with the moderation in raw material prices of key commodities. To encourage b alanced use of fertilizers in conjunction with bio and organic fertilizers, government has recently announced PM Pranam (Program for Restoration, Awareness, Nourishment and Amelioration of Mother Earth) scheme. It aims to promote balanced fertilizer usage and incentivizes states to adopt alternate fertilizers. Towards this, government continues to provide support to the industry towar

ds promoting Nano DAP and Nano -urea fertilizers along with focus on drone-based application deliveries.
Fertilizer industry performance : Global availability of key commodities remained at comfortable levels, and the industry witnessed softening of prices of major raw materials.
Domestically, the fertilizer consumption in Q1 w as impacted by delay in the onset of monsoon.
This resulted in build -up of channel inventory. However, with the revival of monsoons in July, the consumption is fast improving.
For the quarter, DAP and complex fertilizer industry's primary sales volume was marginally up by 1% -Current year, at 54.9 lakh metric tons vis -a-vis a 54.5 lakh metric tons in the previous year, with higher imported DAP sales. DAP and complex fertilizer industry's consumption indicated by the POS sales was up by 4%. In the current yea r, PoS sales were 38 lakh metric

tons vis -a-vis 36.4 lakh metric tons in the last year.
Coromandel's performance : Coromandel posted a steady performance in Q1 registering a volume growth in fertilizer and sustaining its profitability , despite the challenging business environment of delayed monsoon onset impact ing crop growth sowing and agri inputs application. Nutrient and Allied business performance was led by a robust 18% sales volume growth in phosphatic fertilizers.
The Crop Protection segment performance during the quarter was affected by industry headwinds and sub normal rainfall in its key markets.
Coromandel ensure d that agri inputs are made available to the farmers in its key operating markets and promoted the use of balanced nutrition and integrated pest management to help rejuvenate the soil and farm productivity.
Company's Nutrient segment performance : Nutrient and Allied business segment revenue increased by 2% during the quarter, register ing a growth during the year both in terms of turnover and profitability. On the sales front, the business registered a sales volume of 8.6 lakh metric tons during the quarter 18% higher than the last year at 7.3 lak h metric tons. Manufactured DAP - plus comple x volume is 7.6 lakh metric tons, higher by 10% over last year.
Company's market share, including NPK and DAP grew during the quarter to 15.6 % vis-a-vis 13.3% in the last year. In SSP, the quarter 1 sales was at 1.8 lakh metric tons, registering a growth o f 13% over previous year. Market share for the quarter went up to 13.7% from 11.9%

in the last year. During the quarter, our DAP and complex fertilizer plants operated at full capacity and produced 9.4 lakh tons. Last year, the same number was 7.9 lakh met ric tons of fertilizer. Phos acid production during the quarter was at 1.1 lakh metric tons , same as previous year.
Major capital expenditure projects, like the sulfuric acid plant and the desalination plant at Vizag are progressing well and are expected t o be commissioned in August 2023. During the quarter, the company conducted soft launch of Nano DAP, our cutting -edge nanotechnology -based fertilizer developed at its R&D centre . The product is expected to be introduced in the second half of the year and can provide impetus to sustainable farming practices by providing site - specific nutrition and imp roving nutrient use efficiency.
As part of the Pradhan Mantri Kisan Samriddhi Kendra (PMKSK) initiative, the company is progressing well and has establishe d approximately 8,800 stores till date. These stores complement our retail Mana Gromor stores ,ensuring availability of quality agri inputs.
On the Crop Protection side, the business had a tough quarter, especially in domestic markets as high channel invent ories, pricing pressure and delayed monsoon arrival impacted the operation. The export business has performed well and has grown by 17% during the quarter with major increases coming from the Latin American market. The business continued

to work towards
improving its manufacturing efficiency. It is expanding its product portfolio and plans to launch novel combination and tech nical products during the year.
It has also started the preparatory work for establishing the large -scale multi -purpose plant and has acquired 50 acres of land at Dahej. As part of its expansion in the Specialty Chemicals segment, the company has identified few complementary chemistries and plans to introduce products in the second quarter by leveraging its technical capabilities and exi sting plant infrastructure.
The bio products business of the company is expanding its non -Azadirachtin portfolio and is working on alternate plant extract based products. Pilot trials have been successful and the business expects to commercialize the product during the year.
Our retail stores operated well during the quarter, focusing on providing all -round agri solutions, including products, farm advisory, mechanization services. Business is also explori ng to scale up its fi nancial services offering.
As part of the strategy to identify new growth opportunities in adjacent and step -out areas, Coromandel acquired majority shareholding in Dhaksha Unmanned Systems Private Limited, Dhaksha, a Chennai -based differentiated drone start -up. Dhaksha is a leading player in drone space in India, providing complete range of unmanned aerial systems, technology solutions across agriculture, defence surveillance and enterprise applications.
With that, let me now take you through the company's financial performance.
Turnover : Coromandel recorded a consolidated total income of INR5,738 crores during the quarter vis -a-vis INR5,783 crores for the quarter in the prior year ,. a de -growth of 1%. The

decrease in r evenue is mainly on account of the falling raw material prices and subsequently a lower subsidy rate in the fertilizer business compared to the previous year. Nutrient and Allied business contributed 90% share, and the remaining 10% came from the Crop Prot ection business for the quarter. Subsidy versus non -subsidy share of business stands at 86% and 14% during the quarter. Previous year, it was 83% and 17%,
Profitability : Consolidated EBITDA for the quarter was INR709 crores against INR685 crores during the last year. Subsidy business share in EBITDA stands at 84% during the quarter , previous year it was 77%. Net profit after tax for the quarter on a consolidated basis was INR494 crores in comparison to INR499 crores for the correspondin g quarter last year.
Subsidy : During the quarter, company received INR2,069 crores towards subsidy. Comparative figure last year was INR136 crores. Subsidy outstanding as on 30 , June 2023 was at INR2,816 crores versus INR2,731 crores in the previous year.
Interest : During the quarter, company earned a net interest income, excluding the Ind AS interest of INR11 crores vis -a-vis the interest income of INR22 crores in the same quarter in the last year. Company maintained its surplus fund in Board approved securities, and these are earmarked for specific growth -related investments.
Credit rating : The company's balance sheet continues to be strong, and long -term rating by CRISIL continue s to be at CRISIL AAA/Stable and the short -term rating at CRISIL A1+. The company's long -term credit rating by India Ratings and Research , a Fitch Group Company , continue s to be at IND AAA/Stable and short -term debt rating at IND A1+.
Forex : During the first quarter, rupee traded in a relatively narrow range of INR81.62 to INR82.93. Coromandel continue to follow its conservative approach in terms of hedging the forex exposure, and this has immensely helped in limiting the impact of currency fluctuations.
With the improved coverage of Southwest monsoon across India, we expect the agri inputs consumption to pick -up well in the second quarter.

We are committed to driving integrated farm management practices and introducing novel technologies that can enhance the efficiency of agricultural solutions and improve the sustainability of Indian farms.
Thank you very much for your interest in Coromandel and joining us in the call today. We look forward to your interactions. We can open the session for question and an swers now.
Moderator: Thank you very much. Our first question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar: Sir, can you talk about EBITDA margin per ton for manufacturing in NPK and DAP fertilizer. It seems it has gon e up Y -o-Y. So what is the reason for that?
Jayashree Satagopan: Hi Sumant, as I have been mentioning in the past, we should be looking at the EBITDA per ton on an annual basis. There will be seasonalities on a quarter -to-quarter basis depending on the volumes, the raw material prices, the subsidy rate, so on and so forth. So when you look at it on

an annualized basis, I think we will be in the range of INR5,500 to INR6,000 as we had indicated earlier.
Suma nt Kumar: So this INR5,500 to INR6,000, you're talking about manufacturing NPK and DAP EBITDA per ton?
Jayashree Satagopan: Yes, this is a manufacturing product EBITDA per ton.
Sumant Kumar: Ex of SSP, correct?
Jayashree Satagopan: Yes, This is not SSP. T his is only NPK and DAP.
Sumant Kumar: Okay. So my question is the ammonia price has declined significantly. So is that also a reason for margin expansion , or we have already cut the price of NPK or DAP manufacture fertilizer?
Jayashree Satagopan: With the raw material prices coming down, not just on ammonia but across all the key commodities, we have also seen a large moderation that has happened in the subsidy rates effective 1st of April 2023. So MRPs are more or less at the same level. However, there ha s been a reduction in the subsidy rates. So that takes care of the reduction in the raw material prices to a large extent. What you also see is the plant running at near full capacity , Phos Acid production also at its full capacity , along with the other op erational improvements happening at the plant , which is helping to sustain the margin level.
Sumant Kumar: Why I'm asking ammonia because ammonia is one-third of the peak price. And phosphorus is 50% of the peak price. That is why I'm asking , are we getting any benefit of higher d ecline in raw material prices?
Jayashree Satagopan: Yes, we have seen that in the first quarter .There is a benefit that definitely flows from the low raw material prices and ammonia prices have come down even during t he quarter. What it was in the beginning of the quarter and what it has actually closed in the end of the quarter, there is

a difference. So the benefit of raw material prices do flow into the margin. But to some extent, it also gets offset because of the correction that has happened in the NBS rates.

Moderator: Thank you. Our next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: So I just wanted to understand on the SSP side of our business because we have see n last year our volumes going up by 19%. Even in first quarter, we have registered good 13%, 14% of volume growth. And what we could understand is that government is now providing the freight subsidies for sending SSP to the distant regions, which earlier was not the case. Plus, if I go through your annual report, we have revived our old Pali plant capacity which has helped us to improve the production rates. So all these measures, coupled with the fact that government is now incentivizing SSP, if you can s hare your qualitative thoughts on this. And if it's possible to share how much is the contribution in terms of EBITDA from the SSP business in FY '23 or probably in Q1 of FY '24, that would

be helpful ?

Jayashree Satagopan: Okay. So there has been good trac tion from the government in terms of incentivizing the production of SSP units. Apart from the Pali unit, we have also started operations at Ennore. These are two units in addition to what we traditionally used to operate for SSP plant. That has actually helped us in improving the tonnage of production. Having said that, the freight subsidy that was for SSP was only for a certain point in time. So the industry is c ontinuing to work with the government to ensure that there is freight subsidy that is given. SSP unlike NPK, there are units which are closer to the market. So the intent is to see how SSP production can meet with the demand of the markets closer to the re spective areas. That's been the overall philosophy. And unlike in NPK, the major raw material for SSP is rock and to some extent sulfuric acid. While the sulfuric acid prices have trended down, the rock prices are holding at closer to last year's level. Even when the phos acid prices had increased, there wa s a lag in the rock prices as you all have observed. Now when the phos prices have come down, the rock prices will follow the trend, but it will have a lag effect. And therefore, to some extent, this will impact the margins in the SSP business. Normally, i n SSP business, the SSP products have a margin of about INR2,000 to INR2,500 in some cases where we have value -added SSP, it can go up to INR3,000 per metric ton. That's a br oad range one has to look into.

Nirav Jimudia: Okay. And ma’am, one more statement in the annual report where we mentioned that through our R&D initiatives, we have identified a suitable substitute raw material. This would probably helped and this was about the Kakinada plant where we were able to increase the production of one of the t rains by close to 21%. And with this now, we have an assured supply of that raw material, which earlier was not the case. So if you can just help us understand what is -- what actually we have breakthrough into? And could this be a substantial savings in t erms of our fertilizer business where our EBITDA could be improved or could provide some sort of fillip to the absolute EBITDA or even the per ton margins, if you can share your views ?

Jayashree Satagopan: Yes. Now again, a good question, Nirav. What we co ntinuously do is to look out for different sources of raw materials and different types of raw materials. Our plants have t he flexibility to operate with different RM in terms of grades, whether it is sulfuric acid so on and so forth. And this is one such initiative that was taken up last year. And when we do such R&D initiatives and get it into production, there could be two things that can happen. Depending on the RM prices, which we are sourcing, there could be savings that can accrue to the company. The second thing, it can he lp in improving the throughput.

So last year, we had a good improvement that has happened in the throughput while getting into alternate materi als. And depending on the price situation, we will take a call whether we have to go with our traditional method or do a combination of those with the newer materials. So that's something that the company continuously does. And thanks to our manufacturing team, they have delivered immense flexibility in terms of processing multiple types and grades of raw material, which is what is giving the flexibility to the fertilizer business in terms of quickly adopting and increasing the throughput.

Moderator: Thank you. Our next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Two questions and one clarification from me. For the clarification, the subsidy EBITDA for the base quarter was 87% or 78%?

Jayashree Satago pa

n: I didn't understand your question.
Tarang Agrawal: The subsidy share of EBITDA in the base quarter, that is Q1 of FY '23, was it 78% or 87% ?
Jayashree Satagopan: One second. You're asking the subsidy versus non -subsidy business right?
Tarang Agrawal: Correct.
Jayashree Satagopan: So for the first quarter, the non -subsidy business is at 14%, subsidy business is at 86% this year.
Tarang Agrawal: And last year?
Jayashree Satagopan: Last year, the non -subsidy...
Tarang Agrawal: I'm talking about the share of EBITDA, not the revenue.
Jayashree Satagopan: It was 84% during this year. And in the last year, subsidy business share was 77%.
Tarang Agrawal: Perfect. That's helpful. Two questions, ma'am. One, ma'am, if we see the volumes, there has been a significant uptick in your trading business as well as your DAP business. If you could give us a sense on how the operating dynamics for this market were in this quarter versus the base period. So that's one.
The second question is, was there any provision that you took in Q4 '23 as a matter of prudence and consonance with lightening up of raw materials? If so, could you quantify the amount?
Jayashree Satagopa n: Yes. Tarang, I'm going to just pass on this question to Sankar who's in the call, and I can come back to you on the financials. Sankar, over to you.
S. Sankarasubramanian: Good afternoon. On the volume front , we have taken up DAP trading this quarter, b asically we want to utilize our capacity for our NPK production, and we focused on DAP imports . Hence, we have seen the uptick in our DAP volumes. And also we have imported NPK fertilizer during this quarter. So this has helped us to balance the volumes be tween our own manufacturing as well as imports, and that has also increased the volume s for this quarter.
Tarang Agrawal: Sir, but was there a change in the operating dynamics of the market in this quarter versus the previous quarter for such a sharp delta that we've seen in both DAP as well as trading?
S. Sankarasubramanian: Well, not really , of course it's not a consuming month. It's more of a positioning which happens. So consumption happens only when the season starts in July. So we had adequate volumes through enhanced production. If you look at our production numbers for the last year first quarter and this quarter, there's a significant volume increase in our production because we carried out our annual turnaround in the last month of the previ ous year. So all of our plants ran flat out in the first quarter that has helped us to position the material closer to the marketplace. And that's why you're seeing the significant volume jump in this quarter.

Tarang Agrawal: Yes, ma'am. On the provision q uestion in Q4 '23 ?
Jayashree Satagopan: So we have made the necessary adjustment in the books as a conservative principle based on the likely subsidy reduction that is supposed to come in. This has also been disclosed in the notes to the accounts. As the new NBS rates have come in, we didn't see a ny material change that warrant s any accounting related disclosure. So all of those have been considered in the previous quarter.
Moderator: Thank you. Our next question is from the line of Vishal B from Bandhan Mutual Fund. Please go ahead.
Vishal B : Just one question. When we look at the prices of raw materials, rock has been pretty steady and whereas acid has come down substantially. So can this lead to compression of spreads for our manufactured portion of DAP and NPK in the coming two quarters?
Jayashree Satagopan: As I was mentioning , Vishal, when the raw material prices have gone up steeply , rock was following. It did not happen simultaneously. Similarly, when we're seeing correction in the phosphorus acid prices, the rock prices are trending d own, but not at that same pace. So you are right , when the acid

prices are lower and the rock prices are slightly higher, the value that capture could be lower than otherwise. But you should also look at it. Coromandel has both integrated manufacturing as well as granulation plants. So when Phos acid prices come down along with all other raw material prices, the granulation plants margin also go up. So this is a very nice balance that we have. We have both backward integrated as well as the granulation plan t, it sort of complement each other.
Vishal B : Okay. So when you say for the full year, INR5,500, INR6,000 per for manufactured, this assumes that the rock should fall subsequently, right? I mean, in case that doesn't happen, then this number could be at r isk in case of that scenario only.
Jayashree Satagopan: This is considering a balance of multiple factors . There is raw material prices, not only of rock , there is phos acid, there is sulfuric acid, there is ammonia, urea. And then there is also the govern ment subsidy related. I mean there is a factor of MRP price increase or decrease. We will be taking into consideration all these factors, we believe that about INR5,500 to INR6,000 is an

achievable margin for the year.
Moderator: Thank you. Our next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.
Bharat Sheth: Congratulations, Jayashree and Sankar, on excellent number in a challenging environment. First, can you give -- throw some light on the economics of Nano DAP an d raw material of the availability, whether it's again imported or available domestically? And how do we see these dynamics to play out?
And second, and any color on this our investment in this drone business? So is it generating revenue or not? What is th e potential? And when it will start, I mean, contributing to bottom line of the company?

Jayashree Satagopan: Thank you, Bharat. I ’m going to leave this question on Nano DAP to Shankar . And let me come back on the drones.
S. Sankarasubramanian: On Nano DAP in terms of raw material availability, they are all indigenously available and we have established sources for that. So we don ’t anticipate any challenge. And capacity is coming up in Kakinada, and hopefully, we should be able to commercialize the plant i n October. About the prospects, we have been carrying out extensive field tie -ups in the marketplace, and we could see potential close to 50% of current use of DAP can be replaced with Nano DAP .
But these are very early stages. Once the product is commercially available from October onwards, we ’ll be essentially promoting these products in those states where imported DAP use is in abundance. So we ’ll be targeting these products, Nano DAP, in the northern mar kets, especially states like MP , UP, Punja b, Haryana where there is extensive longer use of DAP. So that’s our approach.
Jayashree Satagopan: Okay. On the drones, you had a question. As you know this is a start -up where we had earlier invested about 18.5% and are taking it up to 51%. The transacti on is yet to get completed. It will hopefully be done by end of July. And the drone company is looking into offerings in multiple segments. They have recently received an order of 400 drones from IFFCO on the agricultural front . And they are working on defence and emergency procurement area for logistics -related drones. Now there are applications on the enterprise side. They have been working with some of the oil majors . And obviously, there is also a play on the defense which c an happen at a later point in time.
When we look into the technology itself, we know this is very future -oriented and drones are going to play a major role in each of these areas, all the more agriculture , where we are seeing that labor availability is pos ing a challenge. And when we use drones especially for our liquid fertilizer, specialty nutrients

or crop protection chemicals , the drones help in ensuring the sprays are even , the efficacy seems to be better. So it is a very good future for the use case f or drones.
The question is, is it happening today? Yes, it is a start-up. They have qualif ied in the multiple categories. And with Coromandel coming in , we will be able to provide the management , bandwidth, the guidance and help them actually reach new scale. So that's what is going to be the initial one to two years. As we go along, multiple orders will come, and we expect this to also have a steady stream of income and EBITDA. Obviously, being a 51% company, it will also flow through the company financials and we'll be able to share with you more in detail as we go along.
Bharat Sheth: Can you give some color on the Q2 phos acid price and trend of the other input and simultaneously price of the f inal product?
Jayashree Satagopan: So, as you know, the raw material prices have all been coming down . So we expect that trend to continue. As far as phos acid is concerned, the price for Q2 is fixed at $850 per metric ton. And the MRP, as I was mentioning earlier, is a factor of multiple things. One is the raw material prices. The second one is the subsidies that the government is giving. And more importantly, we also need to see what is going to be the affordability of the farmers. So considering all of t his,

the MRP gets moderated during the year. So at this point in time, the MRP prevailing for July is more or less similar to the MRP of the last quarter.
Moderator: Thank you. Our next question is from the line of Arjun Khanna from Kotak Mutual Funds. Please go ahead.
Arjun Khanna: Two questions. The first is in terms of the specialty chemicals CDMO piece. So we've talked about it in the annual report and as part of the press release comment by Executive VC. He talks

about the company identifying new complementary chemistries and plan to introduce these products in Q2. Could you help us with what are these chemistries you are looking at entering into? And would the CDMO discussions with innovator start off only post the MPP in Dahej? Or it's something that could start before?

Jayashree Satagopan: Very good set of questions. Thank you for bringing this up. I have Raghu with us on the line. And I'm going to request him to respond to both the specialty chemica ls as well as CDMO as we have seen some good amount of progress in both these fronts in the last quarter. Raghu over to you.

Raghuram Devarakonda: Good afternoon. So on the Specialty Chemicals front, the idea is to use the existing assets to make products that are targeted towards this segment. So we have identified those molecules that we can potentially manufacture using the existing setup. This is in the first phase. The other bit is we already have some of these ag -chem that we are manufacturing. We fin d that some of those ag -chem molecules are relevant for specialty chemical end use. So we are exploring those as well. So this is in the first phase as far as the specialty chemicals story is concerned. So we should be able to see some action in th is area in the current quarter.

Moving to CDMO. I don't know if we covered this in some part, over the previous call, but I will repeat. So we do have inquiries that have come up from some of the Japanese innovators as well as European ones. And as you can appreci ate, the gestation period for such transactions do take time. But for the moment, the status is that they are -- some of them have come and done their due diligence. And they are comfortable with what we have in these plants in Gujarat. So it's progressing in the right direction for tapping into the CDMO opportunity.

Arjun Khanna: Sure. Just a follow -up on this. In terms of, say, announcements of contract signing, is this -- would this require the MPP plant to be r

eady at Dahej or existing facilities itself is something that we could process these contracts on when they come?

Raghuram Devarakonda: We have opportunities to do both. So we need to see how it concludes. And once they conclude, we'll defin itely come forward and update.

Arjun Khanna: Sure. And in terms of timeframe, we expect this -- the CDMO line business to happen in the next 12 months, 18 months, two years or longer? Is there some timeframe that could be provided?

Raghuram Devarakonda: I think 18 months is a fair estimate as things stand right now.

Arjun Khanna: Sure. Sir, the second question I had was in terms of the Nano DAP since we are launching in October, I just wan ted a sense what kind of capacity are we coming with in terms of how do we see the size of the end market at this point in time and given that it's not under subsidy. So in terms of pricing, et c.. efficacy for the farmer, how do we go about the pricing? An d is it sold through those terminals? Or is it a free pricing in the market? Thank you.

Jayashree Satagopan: For the Nano DAP, the initial capacity creation from Coromandel is about 2 crores bottles per annum. This plant will be coming up at our Kakinada f acility. And since , this is going to be a product which is not subsidize d, the pricing will be based on market conditions. Obviously, given the fact that the company has always been endeavoring and working on keeping the farmers' interest first in line, th e pricing will also be on those lines. So as we are closer to the time for launching the product, we will be sharing more particulars with you.

Moderator: Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Congrats on a decent set of numbers. Firstly, just a follow -up on the previous question. As we discussed in the last quarter as well, in terms of your cash deployment beyond FY '24. Any incremental development you would like to share with us? How are we planning to deploy in '25, '26?

Jayashree Satagopan: So there are two, three things that we have explained in the past, Naushad, and we just want to reiterate the same. One is there is a good amount of investment that wil l happen in our core businesses , which is fertilizer and crop protection because we are looking at strengthening our dominant position in fertilizer. At the same time, we're also looking into getting into new technology areas like Na no DAP and other Nano p roducts.

Similarly, on the crop protection, we had earlier guided that we are looking into setting up new multiproduct plant in Ankaleshwar a and a new site at Dahej. Apart from this, there are adjacencies that have been identified like specialty chemicals as well as CDMO, which will call for further investment.

The third area that we're looking into is the step out option, which is not part of the core but could provide a good runway for Coromandel in the future years to come. You would have seen in the la st year, we have moved into mining, which is adjacent but going backward integrated. This year, we are looking into investment in Dhaksha, which is again for future -oriented

technology, having some adjacencies on the agri space, but also has applications a cross various other segments. We have been looking into similar growth areas, considering the macro indicators and the trend looking into areas where it can complement our business.
When there are opportunities for both organic and inorganic growth, the company will seriously evaluate and invest. The intent is to see how as Cor omandel, we can continue to add -value to all our stakeholders. So that's how the cash accumulated by the company will be utilized. You would have also noticed in the past several ye ars, the company has been using its cash reserves for funding all its ca pital investments.

The current sulfuric acid plant for example, which is coming up at Vizag, desalination system, or the INR1,000 crores of investment that has been announced for CPC and Speciality chemicals , this is all going to be funded with internal accruals . So I'm sure over the period in time, there will be enough projects that will come our way, which will help in the growth journey and help in purposeful deployment of cash.

Naus had Chaudhary: See, I'm trying to understand in terms of the deployment within fertilizer and non -fertilizer. So broadly, if you have to give us the percentage what percentage would go to fertilizer business in next two to three years? And what percentage would be non -fertilizer investment?

Jayashree Satagopan: The way these days, we look into investment is not fertilizer or non -fertilizer. Fertilizer is a dominant business for us. We continue to be a leading private sector playe r in this area and we'll continue to invest in that business. It all depends upon the business case. Similarly, there are interesting new areas that are coming like CDMO or specialty chemicals. So each of the projects will get their due share based on the merits of the case. We are not doing a segregation of same amount to invest only so much in a certain type of business . If it is attractive and it makes value in a longer term, there will definitely be investment allocated for that.

Moderator: Thank you. Our next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So continuing on the discussion on the plans in CDMO and MPP. So if you can help us understand your thought process on CDMO, are you going to be just doin g manufacturing contracts? Or will you be involved in the entire innovator process, starting with Microlab, Kilolab testing, filing dossiers and taking it through the commercial launch. What is the thought process in CDMO? And are you looking at only agroc hemicals? Or will you also look at pharma?

Jayashree Satagopan: Raghu, do you want to take it or should I?

Raghuram Devarakonda: Yes. See, for starters, we're going to do ag -chem because that's what is familiar to us. And we also have people and connections and relationships with some of these innovators. So it's going to be an ag -chem oriented to begin with. And what were the other questions? Sorry, I didn't catch ..

S. Ramesh : The second part is in terms of your overall business model, will you be just doing manufacturing as an extension of the manufacturing of the innovator? Or will you start right from the early stage of initial R&D, product development right through the fil ing of dossier and then taking it through the commercialization?

Raghuram Devarakonda: That's right. So the eventual destination is what you have described, but you'll appreciate, I mean, the customers would like us to graduate step -by-step. So we're goin g to start with manuf acturing and then graduate step -by-step. So all the conversations that we're having right now is to manufacture their final active ingredient. That's the nature of conver sation we are having right now.

S. Ramesh: Okay. So just two related thoughts there. One is the promoter group company, TI, has also decided to enter the CDMO business and they have identified a business model and they have

got an alliance with Anupam to sign, another emerging CSM company. So is that going to be under a specific agreement between Coromandel and the TI Group that you will not cross each other's stuff? Or what is the understanding within the group? Because it's part of the same group, that's why I'm asking the question from an investor's perspective.

Jayas hree Satagopan: Ramesh, each of the companies have their own growth journeys and they have identified mega trends on which they

are working. At this point in time, as Raghu was explaining, we are into agrochemicals. And in agrochemicals itself, there is a huge opportunity for CDMO given the

China plus One. And that's why we have started. There could be opportunity in specialty chemicals as we go along. And that probably is a couple of years down the line. At this point in time, we have not thought as much o n the pharma side. The current thinking is around agrochemicals, and at some point in time, getting into specialty chemicals.
S. Ramesh: Okay. If I can squeeze in the last thought on your subsidiaries and associated companies, in Dhaksha and the mining investment, when do you expect these investments to turn profitable on a consolidated basis? And is there any cash loss you'll have to incur in the next four to eight quarters before they turn profitable?
Jayashree Satagopan: No. As far as the BM CC is concerned, there are two steps before we get the rock out of the mine. The basic mining where we remove the over burden, those processes have go t stabilized. And we knew as we got into the mining operation, there is a lot that have to be done to get consistent output out of that. So we are in the process of getting the second part, which includes crushing, screening, and then getting the rock out in a consistent manner. And we hope in the next two to three quarters, that process will also stabilize and as shipment happen, that operation should get profitable.
As far as Dhaksha is concerned, it is early start -up, as I was mentioning, they just started getting orders. Coromandel's goal will also be to help them become a player of scale by providing management guidance, inputs , support, so on and so forth. So Dhak sha also will become a profit - making entity because they just started getting the orders. So they are going to be taking a new manufacturing location where the drones will be manufactured, tested and then shipped to various customers. So both of them will go on the right traction and there is enough focus that is being driven by Coromandel to ensure that our investments actually bear the fruits.
Moderator: Thank you. Our next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead..
Vishnu Kumar : On the Chemical business, on the Specialty Chemicals, is there any additional capex in thought as to how much we probably might consider to additionally invest in the next couple of years? If there is a broad thought on that?
Jayashree Satagopan: So Vishnu currently -- yes. Currently, what we have considered, the INR1,000 crores is mostly going in for agrochemicals. There could be some portion of it which can go in for slight modification or tweaking, alteration of our existing plants, where the products can be meeting the specialty chemical segment. We are in the final stages of getting a n overall business case for speciality chemicals, considering certain chemistries which are turning out to be very, very

attractive. Once that gets completed in the next three to four weeks ' time frame, the capital expenditure required for that will also be estim ated.
So to your question, the answer is, currently we do not have anything major planned. But based on the business case, I do believe there will be some good amount of investment requ ired for this segment as well.
Vishnu Kumar : Understood. And also the channel inventory, if you could talk about on the fertilizer. We understand channel inventory is slightly higher. And this week, in Tela ngana, the rains have been pretty excessive in certain districts and some parts of interior Maharashtra, Karnataka are not doing that well. So how do you see the Kharif season -- rest of the Kharif season playing out in terms of volumes?
S. Sankarasubraman ian: See, there is a widespread coverage of rain in all our key addressable markets. Even if you see

Telangana got rains recently. Maharashtra and Karnataka also received good rainfall. So in those marketswe are operating very significant mileage in terms of brand connect and . we don't anticipate any problem. Channel inventory is significantly higher compared to last year around the same time, but we don't see any challenge from our point of view.
Vishnu Kum ar: And final question on MRP. You mentioned that we will consider. Is it likely at the end of Kharif because we are seeing a steep fall across even as you mentioned phos acid has come down and other products -- I mean other RM also has come down. Should w e expect MRP cut in the next month itself? Or we will wait for Rabi starting to go ahead and announce the cut?
S. Sankarasubramanian: In terms of the price, Jayashree gave numbers, where she said rock prices are holding steady. And also, I think we are see ing the bottom in terms of the global commodity prices. In fact, there is some slight uptick in the price of DAP, urea in the recent past. We have to wait and see and also there can be a potential correction in the subsidy going forward as well. So we will take a view after we have some visibility on how the N BS rates are going to be for the Rabi season and then take a call after that.
Vishnu Kumar : Got it. So as of now, next couple of months, we don't anticipate either a subsidi ary or MRP, that is if I can ...
S. Sankarasubramanian: No.
Moderator: Thank you. Our next question is from the line of Rohan Gupta from Nuvama. Please go ahead

with your question.
Rohan Gupta: Congratulations on good set of numbers. Sir, on complex fertilizers, I mean overall, I think last year, we produced a 35 lakh tons. I think that is the next -- probably best utilization we can see. With the DAP manufacturing hardly 4 lakh tons. So almost 8 0%, 85% -plus is a complex fertilizer production. So do you see that this year, we have further scope for any change in mix and further manufacturing of complex fertilizer while consciously going for trading on DAP? And how much utilization we can increase further?

S. Sankarasubramanian: See, our preference always need to focus on NPK production. And given our opportunity on the imported DAP at a price point, it makes sense for us to import DAP better than producing and release that capacity for NPK. And als o within NPK, we choose the grades which meets our requirements. These include input raw material prices, whether it's urea, ammonia and phosphate. So that's a flexibility Coromandel enjoys having a wide range of products. We can send over any train, which is the production line for a fertilizer for any grade. So that optimization mix, we keep doing it even within NPKs.
So our utilization will be more or less the same as last year because we also did well. And also we use different types of input raw materi als, which can increase the throughput. And we also continuously work on improving the up time of machinery through digital enablement of our maintenance at factory , this has improved uptime and availability of machine. So we do expect incremental volumes to come through , through productivity measures, better raw material mix as well as change in product mix. So production throughput changes depending on the grades we produce. So we keep deploying depending on what subsidy we get and what raw material input prices are.
Rohan Gupta: Sir, Jayashree ma'am also mentioned that you will completely invest in fertilizer business. However, the growth in the fertilizer industry still will remain muted or maybe at best 3% to 4%. So is this something we are looking at acquiring any assets and that is what's going to drive the efficiency and make the business more sustainable for us? Because if we keep on investing from the current base, the markets may not be growing in that direction, right? So how do we plan to

grow in the fertilizer business?
S. Sankarasubramanian: With the increased demand for food grains and also the change in dietary patterns, the foods and vegetable segment, horticultu re segment is growing and this requires nutrient. And India still continues to be the lowest consumption of nutrient across the globe. So going by the trend and the increase in arable land, the need for real improvement is always there. So we'll be definit ely looking for enhancing our capacity and coming up with products which can improve the yield. So it may not be the same generic grades of DAP and traditional NPK, it can be coated fertilizer, slow release fertilizers and fertilizers which can improve the fertilizer yield efficiency.
And we have enough space to operate in our key addressable markets where we are currently in and definitely we will look to grow the volume. But first, we will evaluate our brow nfield expansions, which means increasing our capacity within our existing facilities before we look out any other organic Greenfield . So w e feel with the increased demand for the fertilisers there is enough scope for us to increase the volume and increase the capacity utilization or add -on capacities in our exi sting facilities .
Rohan Gupta: Sir, do you still envisage roughly double -digit growth for fertilizer business in terms of volumes sustaining for next three to four years , is it possible?
S. Sankarasubramanian: It's very difficult to predict. They've got various factors in terms of monsoon and the spatial distribution of monsoon and the pricing of fertilizer. So we don't want to give any estimates -- but direction -wise, we would like to grow th e volume. And we feel there is enough space for us to grow the volumes.

Rohan Gupta: Sir, just a couple of bookkeeping question. What is the debt number right now? And what is the phos acid prices contract right now?
S. Sankarasubramanian: $850 is the pros acid price. And what is the first question, is it debt or DAP ?
Rohan Gupta: Sure, debt number. Yes. What is the debt on the book right now?
Jayashree Satagopan: So we don't have debt on the books. We don't have any borrowings. There could be some very short-term working capital limits that, which pr imarily is for managing the day -to-day operations. There are arrangements with the buyers where they extend credit for our imported products

Rohan Gupta: So even short -term working capital, no debt right now on the balance sheet?
Jayashree Satagopan: No. We have from working capital facilities in debt. That will always be there. But nothing for the long term, yes.
Moderator: Thank you. Due to time constraint, that was the last question for our question -and-answer session. I would now hand the conference over to the management for closing comments.
Jayashree Satagopan: Thank you. Thank you very much for the interest and very interesting set of questions. Due to time constraints, there is as much that we could ta ke. And I know there are still a few questions in the queue. Feel free to reach out either to me or to Anuj, and we'll be happy to engage with you. Thank you again.
Moderator: Thank you. Ladies and gentlemen, for the questions that were not answered, you c an contact the management off -line. Thank you. On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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Dear Sir / Madam,

Subject : Transcript of conference call held on Octo ber 27, 2023
This is further to our letter dated October 19 , 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on October 27, 2023 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

“Coromandel International Limited
Q2 FY2024 Earnings Conference Call ”

October 27 , 2023

ANALYST : MR. RANJIT CIRUMALLA - IIFL SECURITIES LIMITED

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT - CORPORATE AND CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S – EXECUTIVE DIRECTOR - NUTRIENT BUSINESS – COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE

DIRECTOR - CPC, BIO AND RETAIL BUSINESS –
COROMANDEL INTERNATIONAL LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY2024 Earnings Conference Call of Coromandel International Limited , hosted by IIFL Securities Limited. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now handover the conference to Mr. Ranjit Cirumalla from IIFL Securities Limited . Thank you, and over to you, Mr. Cirumalla .

Ranjit Cirumalla : Thank you, Mich ell. Good afternoon all. On behalf of IIFL Securities, I welcome you all to Coromandel International Q2 FY 2024 earnings call. Today we have with us Mrs. Jayashree Satagopan, President, Corporate and CFO, Mr. Sankarasubramanian S., Executive Director - Nutrient Business, and Dr. Raghuram Devarakonda, Executive Director – CPC, Bio and Retail Business. I will now invite Mrs. J ayashree Satagopan to share opening remarks and details on financial performance post which w e will have a Q&A session. Thank you and over to you, ma'am.

Jayashree Satagopan : Good afternoon everyone, and thank you, Ranjit , for organizing the conference call. Let me first give an overview of the business environment experienced during the quarter, followed by the company's performance and then we can have the Q&A session.

As far as the global economy is concerned, it continues to recover slowly and as per IM F's latest projections, global growth is expected to be approximately 3% in 2023 versus 3.5% in the previous year. Energy and fertilizer prices have started moving up from September onwards due to the demand and supply mismatch.

India continues to show resilience, supported by robust domestic demand, strong p ublic infrastructure investment, and a strengthening financial sector. IMF has revised India's GDP growth upwards by 0.2% to 6.3% in 2023.

During this quarter tax collection remains buoyant a nd retail inflation eased to a three month low in September, at around 5%.

On the agriculture side , India experienced below normal Southwest monsoon with the country receiving 6% low rainfall compared to the long period average. There was significant variability across regions and time periods , with India receiving record low rainfall in August followed by surplus in September. The overall crop sowing area remained around last year's level with acreage increase in paddy coarse cereals and sugar cane, and a decrease in pulses and cotton.

Among our key operating markets, crop sowing in Andhra got impacted while Telangana , Karnataka, Maharashtra and Bengal were close to normal levels. The All India reservoir level stand at 92% of long period average with the southern region at around 64 %. IM D has forecasted a normal Northeast monsoon, which is likely to improve the irrigation prospects for the southern markets.

On the policy update , the governm ent has recently announced the N BS rates for the second - half of FY 2024. With the decline in raw material prices over the last six months, a steep reduction in the nutrient rates has been undertaken. The MSP for upcoming Rabi season has been declared with a 3% to 7% increase taken across the commodities. The government has maintained the criteria of fixing the MSP at least 1.5 times of the all India weighted av erage cost of production. There ha s been strong impetus from the government for drone adoption and the industry players have been encouraged for promoting drone based spraying applications for agriculture through women self-help groups.

On the fertilizer industry performance , the fertilizer raw material

prices remain ed soft and
stable during the first half of the year, but has started moving up from August on wards due to supply side issues. For the kharif season phosphatic industry has performed well, improving its primary sales by around 11%. The overall industry PoS consumption has also moved up by around 24%.

For the quarter , DAP plus complex fertilizer , industr y's primary sales volume was up by 19 %, 77.2 lakh metric ton in the current year vis-à-vis 64.6 lakh metric ton in the previous year.

For DAP and complex fertilizer , industr y's consumption indicated by POS sales volume in the current year is 90.2 lakh metric ton s vis-à-vis 67.2 lakh metric tons in the previous year.

On a year to date basis, DAP and complex fertilizer industries primary sales volum e was at 132.1 lakh metric ton s vis-à-vis 119.1 lakh metric tons last year.
On the consumption, which is indicated by the POS sales , volume is 128.2 lakh metric tons in current year vis-à-vis 103.7 in the previous year.
Let me come to Coromandel's performance . Coromandel displayed a resilient performance in a challenging business environment, sustaining its profitability and improving its working capital position during the quarter. The company's key operating markets were impacted by sub normal monsoo n affecting the agri inputs off take.
Company's Nutrient and Allied businesses focused on the nutrient consumption during the quarter. Lower primary sales by about 7% and fall in subsidy rates resulted in decline in the

segment revenue during the quarter . However, stable R M prices coupled with backward integration benefits resulted in margin s remaining comparable with last year's levels.
On the sales front, the business registered a sales volume of about 11.6 lakh metric tons during the quarter compared to last y ear's of 12.4 lakh metric tons. O n a year -to-date basis, sales volume is about 20.2 lakh metric tons vis-à-vis 19.7 lakh metric tons in the previous year.
Company's market share in Q2 is about 15% and for half year is 15.2%. Last year comparable was 19.2 in Q2 and 16.5 for the half year.
SSP Q2 sales was at 2.1 lakh metric ton versus 2.4 lakh metric tons last year and half year sales is about 3.9 lakh metric ton versus 4 lakh metric tons last year. Market share for the quarter went up to 17.1 % from 16.5% last year. On a year -to-date basis, the market share has gone up to 15.3% from 14.3% in the previous year.
During the quarter, our DAP and complex fertilizer plants operated at about 86% of the capacity. Phos acid production during the quarter was similar to last year's level.
During the quarter, the business commissioned its state -of-the-art sulfuric acid plant at Visakhapatnam with a capacity of about 1650 tons per day with an investment of approximately Rs 400 Crores to improve its bac kward integration capabilities. With this, Coromandel sulfuric acid capacity will increase to 11 lakh tons per annum from 6 lakh tons per annum, supporting its requirements towards downstream processes involving phosphoric acid and phosphatic fertilizer production. The plant is designed to meet one of the lowest emission standards globally and the steam generated from the plant will be used for captive power consumption. The production from the newly commissioned plant has been stabilized and we have started op erating at the desired capacity.
As part of our sustainability initiatives , Coromandel has set up a 6 million litre per day desalin ation plant at Vizag. With this, close to 1/3 rd of the plant 's water requirement will be met through seawater.
During the quarter, the business has introduced Nano D AP, a patented nanotechnology based fertilizer and the initial customer feedback has been encouraging.
The crop protection business of the company registered a healthy volume growth, improving its

performance in exports and domestic formulation segments. However, global industry headwinds, namely higher channel inventory and decline in commodity prices had its impact on price realization. The export segment of the business grew by 29% with major increase coming from South America and Africa markets. The manufacturing units operated at a

higher capacity, 65% versus 51% last year and focused on improving operational efficiencies. The business has initiated regulatory and infrastructure activities in the new Dahej site and is in the process of finalizing the multiproduct plant project.
On the specialty chemicals front, the business has initiated marketing some of the products to the customers. The company is strengthening its research and technology processes and has identified key products to be developed in the future.
On the CDMO front, the business is closely engaging with customers and has organized few customer visits to its facilities. The interactions have been quite positive so far.
The bio product business of the company improved its procurement during the year. Business is engaged in multiple process improvement initiatives focusing on improved cost efficiencies and yield. It has introduced Neem oil based pesticide Azamax during the first half and plans to introduce non Azadirachtin products in the second -half of the year.
Despite the dry spell in some parts of the South Karnataka and Rayalaseema markets , Retail stores adopted crop specific approach and operated well during the quarter focused on providing all round agri solutions including products , farm advisory and mechanization

services. Overall 93% of stores remain profitable.
On the technology front, company's recent investment in D haksha , a differentiated drone startup is progressing well and Coromandel is providing adequate support to the Dhaksha team. It has bagged order for its medium altitude, light weight and heavyweight logistic drones from the Indian Army and has orders for its agriculture drones. Company has also received the 4th type certificate for its battery drones.
As part of its drone spraying services, Coromandel has introduced Grom or Drive initiative. Under this, the company has started offering drone based agri inputs applicati ons through its trained pilots.
During the quarter, the company acquired 16.53% equity in XMachines , and AI based robotic startup focusing on a variety of agricultural operations such as planting, weed control and pest control .
Coromandel is driving company wide digital initiatives including automated dashboards, analytical use cases for improving pro ductivity and cost efficiencies and is in the process of implementation of Sales force and new dealer portal .

With that, let me take you through the c ompany's financial performance.
Turnover : The company recorded a consolidated total income of Rs 7,033 Crores during the quarter and Rs.12,771 Crores for the half year versus corresponding period of 10,145 Crores and half year 15 ,927 Crores . The decrease in revenue is mainly on account of drop in subsidy rates in the fertilizer business compared to last year. Nutrients and allied businesses contributed 90% share and the remaining 10% is from the crop protection business for the quarter as well as for the half year. Sub sidy business share in revenue stands at 84% during the quarter and 85% for the half year. In the previous year , it was 89% for the quarter and 87% for the half year.
Profitability : Consolidated EBITDA for the quarter was Rs 1,059 Crores vis-à-vis Rs 1,057 Crores last year and for the half year it was Rs 1,768 Crores vis-à-vis Rs 1,742 Crores during the last year. Subsidy businesses' share in EBITDA stands at 81% during the quarter and 82% for half year. In

the previous year, it was 78% for both the quarter and first half. Net profit after tax for the quarter was at Rs 755 Crores in comparison to Rs 741 Crores for the corresponding quarter last year and Rs.1,249 Crores for the half year against Rs 1,240 Crores in the previous year.
As regards subsidy , there ha s been a significant improvement on the subsidy side with the company claiming and receiving Rs.4,243 Crores in Q2. For the half year , the subsidy receive d is about Rs 6312 Crores . Overall subsidy outstanding on 30th September 2023 was about Rs 1,497 Crores vis-à-vis Rs 4,176 Crores in the previous year.
During the quarter, the company earned net in terest income excluding the Ind -AS interest of Rs.5 Crores vis-à-vis the net interest expense of Rs 13 Crores previous year. For the half year, the company earned a net interest income of Rs.16 Crores vis -à-vis Rs 8 Crores in the previous year . Company maintained its surplus funds in board approve d securities, and these are earmarked for specific growth related investments. The company ended the quarter with a net surplus of about Rs 3,380 Crores .
The company's balance sheet c ontinues to be strong. The long -term credit rating by CRISIL is at CRISIL AAA stable and short -term at CRISIL A1+. During the quarter , the long -term credit rating was reaffirme d as Ind AAA (stable) by India Ratings and Research, a Fitch group company and the short -term debt rating at Ind A1+.
As far as Forex is concerned, during the quarter the rupee was trading in a broad range from 81.81 to 83 .30. Coromandel continues to follow a very conservative approach of hedging the

Forex exposure, and this has immensely helped in limiting the impact of currency depreciation.
With the forecast of a normal Northeast monsoon, we expect the demand cycle to be conducive in the coming months. Coromandel, with its presence across the farming value chain, will continue to drive sustainable agricultural practices and improve prosperity.
Thank you for your interest in Coromandel and joining the call today. We look forward to your int eraction.
Moderator : Thank you very much . We will now begin the question -and-answer session. We wi ll take the first question from the line of Noel Vaz from Union Ass et Management. Please go ahead.
Noel Vaz : Thank you for the opportunity. I just had one question regarding the sulfuric acid plant. So,

the Capex is about Rs 400 Crores odd. What is the extent of cost savings that we are looking at the payback period ? If you could have some details on that front . Thank you.

Jayashree Satagopan : The Capex as you rightly mentioned is about Rs 400 Crores for the plant. The purpose of setting up the sulfuric acid plant was mainly for securing our supplies and we have deliberated this in the past as well. However, given the way the commodity prices move, the value gap between procuring sulfuric acid in the m arket and converting sulfur into sulfuric acid could give us a benefit . At the current prices that are prevailing , we think in about two to three years we should get a payback on this project, but again, the main purpose of setting up the sulfur burner is for securing our own sulfuric acid.

Noel Vaz : Second thing would be, actually some clarity regarding subsidy changes. Are we expected to see any kind of provisions re lated to it in the second -half? Thank you.

Jayashree Satagopan : Your question was not very clear.

Noel Vaz : Sorry about that. There have been some revisions to the N BS rates , right? NBS subsidy. So, I just want to know if there i s any kind of provision that we are expecting in the second half of the financial year.

Jayashree Satagopan : We will see that the subsidy realization in the second half is going to be low er because of the lower NBS rate s. Having said that, we have also made some rea

sonable estimates and have factored it in our Q2 financial s. So we may not see a one-time hit coming in the third quarter. But the overall realization is likely to be low er, and this is a normal trend . When the NB S rate goes up, the realization will be higher , when the rates come down, the realization will be

lower . The company has been following a consistent policy in terms of looking at what could be the rate and appropriately making the nece ssary adjustments in the books.

Noel Vaz : Thank you.

Moderator : Thank you. We wi ll take the next question from the line of Tarang Agrawal from Old Bridge Asset Management. Please go ahead.

Tarang Agrawal : Hi, ma ’am. Good afternoon. A couple of questions from my side. Specifically on the sub sidy. I could gather that there has been a sharp reduction in the NB S rate and while in the first half the reduction was not as significant as the reduction in the global commodity prices that I think seems to have been made up in the current sub sidy. While you have been prudent in terms of providing for it, but purely on a per ton margin basis, how do yo u see H2 period versus what we ha ve seen in H1 and the previous year as well?

Jayashree Satagopan : You are right, the government has been adjusting the subsidy rate s, the NBS rates in li ne with the raw material prices. We have seen in the first half a very sharp correction in raw material prices compared to what was prevailing in the previous year, a nd government normally looks into the last six months prices, and they took an adjustment and that i s what has happened currently to the new NBS rates for Rabi . When we look into the EBITDA per ton, we normally look at it on a full year basis, we do not look at it on a quarter -to-quarter or just talk first half to second half. The raw material prices currently are in a slightly upward trend. So, if at all the government is going to look at it like last year when they made a correction in the N BS in Jan 1, we believe that could also be in consideration, but we do not know for certain at this point in time. With that background and the backward integration that Coromandel has done both in sulfuric and phosphoric acid plants, we believe on a full year basis , it should not majorly impact the margin per ton . Having said that, with the current visibility that we have, I thin k it should be in the range of Rs.5000 per ton for the full year.

Tarang Agrawal : That i s helpful. The second question, when we came into FY 2024, we were anticipating about anywhere between 6 % to 10% volume growth in the Phosphatics business. So far in H1, things have been largely flat on the manufacturing side. So how are you lo oking at H2, a nd the third one, if you could give us a split of the 580 Crore s Capex in H1 FY 2024? Thank you.

Jayashree Satagopan : See, after almost 3 -4 years we ha ve seen that we have got a sub normal monsoon this year and Kharif is a big season . We have seen that August rainfall has been very, very low for the past several decades. September was very high . With so much uncertainty, I think it is only prudent not to go and dump the material in the market and to say that we are showing a volume growth. Therefore, we ha ve been taking a very conservative as well as strategic

approach in terms of both manufacturing and placing of fertilizers in the market. It is not about placing it with the dealers. We also need to ensure that farmers are able to take and consume it in their field. So, from that standpoint, we feel comfortable in terms of what has been done in the first half given the extreme uncertainties in the monsoon and the r eservoir level . Having said that, with the expectation of a near normal monsoon in the second half of the Rabi season, we expect that the co

nsumption should go up. On your question relating to the Capex, I have earlier also indicated that it is about the sulfuric acid plant. We h ave a desalin ation plant that has got commissioned in Vizag. There is a Nano DAP plant that i s coming up in Kakinada and there is work that is getting initiated in the crop protection chemicals for the multi -purpose plants and also their regular Capex . Apart from it, we are looking into increasing the granulation facilities in SSP. All of this put together should add up to say, about Rs 500 Crores of Capex during the year.

Tarang Agrawal : Thank you.

Moderator : Thank you. The next question is from the line of Prashant Biyani from Ela ra Securities. Please go ahead.

Prashant Biyani : Thanks for the opportuni ty. Just continuing on the NBS policy for H2, while I am not looking for any quarterly guidance, but for Q3 whether there will be a significant dip for the industry in profitability or there will be no profit at all on major grades of fertilizer that we are selling as an industry, if you can give some color on that? Not specifically from Coro's perspective, but for any backward integrated player.

Jayashree Satagopan : I think I wi ll give you a very general outline . For companies who are backward integrated , the impact could be much lower compared to companies who are buying intermediates and manufacturing. The second thing is there could also be some MRP increases that could happen given the way that subsidy corrections have happened for the Rabi season. So one needs to keep in mind both these factors and accordingly when you look at it, definitely there is going to be an impact on margins, no doubt at all. More so for S SP than NP K and in NP K when companies are working on the unique grade, the possibility of pricing is better in such grades vis -à-vis the generic grades . Integrated players will do better than non integrated players. Trad ers may get even more impacted.

Prashant Biyani : How are we placed on the raw material inventory, especially fo r ammonia and phosphate for Q3? Have we had enough opportunity to buy it at lower cost?

Jayashree Satagopan : So, I think we have this very agile procurement team here and based on the inputs, on the price movements and the capacity that we have for storage of these raw materials , the team

has been taking very prudent calls and you could see that one of the main reasons for Coromandel profitability in the last few years ., The procurement team has a sense in terms of how the raw material prices could mo ve, and accordingly the purchase decisions are taken . It is also a factor in terms of how much storage capacity we have for each. So long and short, to the extent that we can store , material has been procured, secured and wherever we have to use our backward integrated facilities, the intent is to maximize production from our PA as well as SA plants.

Prashant Biyani : And lastly, how muc h are we backward integrated in phos acid manufacturing and how much in sulfuric acid?

Jayashree Satagopan : I would say for phos acid slightly above 50% and sulfuric acid could be 60% or so. Yes, it could be around 60%.

Prashant Biyani : Thank you, ma 'am. That is it from my side.

Moderator : Thank you. We wi ll take the next question from the line of Akshat Mehta from Sameeksha Capital . Please go a head.

Akshat Mehta : Thank you for the opportunity. One of the questions that I had is in this quarter, have we included any kind of provision for the changes in subsidy that it has come in October.

Jayashree Satagopan : Sorry I could not follow your question.

Akshat Mehta : My question was that in quarter two, have we taken some kind of provision for the reductions in subsidy that has come in recently.

Jayashree Satagopan : Yes, we have.

Akshat Mehta : If you could quantify that?

Jayashree Sata

gopan : No, I wo uld not be in a position to quantify it now, but we have considered some impact on account of the NBS rates that has been announced.

Akshat Mehta : My next question was, given the Rabi season demand that there will be a normal Northeast monsoon and there wi ll be good demand, but will there be any impact of the reservoir levels in southern region being quite low after kharif season on the demand in Rabi ?

Jayashree Satagopan : Yes, the reservoir levels are very low in Southern markets. That would have an impact on the soil moisture conditions. We do see that as a constraint, but at the same time, if the rainfall is going to be good , to a great extent it could compensate.
Akshat Mehta : My next question is on the line of Nano DAP. So when are we kind of commercializing the Nano D AP plant?
Jayashree Satagopan : Actually the Nano D AP plant is said to be commissioned in Q3 of this year at Kakinada. We are waiting for some regulatory approval s to start the operations there. Pending the commissioning of the new Nano DAP plant at Kakinada, we have started producing Nano DAP at our pilot plant in Vizag and in September we have also started commercial production and sale s, although at a limited quantities and we are seeing that the response from t he farmer has been pretty good.
Akshat Mehta : My last question is that if you could throw some light on what has been the progress of specialty chemical during the quarter and going forward when you will be able to kind of give some numbers or Capex requi rements on specialty chemicals?
Jayashree Satagopan : As I was mentioning in the past, the intent of getting into specialty chemicals is primarily utilizing our existing assets , for some of the molecules where the applications are beyond agrochemicals. So we have started in a very small way during the last quarter , token invoicing and shipments are happening to some of the specialty chemicals customers already. It is not substantial we are not talking about the absolute numbers at this point in time. But the good news is the traction has begun. Now the business has also worked out certain specific areas where they would like to invest further in terms of building up our own capabilities, infrastructure as we go into a medium -term, and that i s where the current focus is on the specialty chemicals business. We will continue to use our existing assets in the near -term and get the customer connects. Start shipping the products to broad base our customers and applications and in the medium -term invest further and d eeper into specialty chemicals.
Akshat Mehta : Thank you.
Moderator : Thank you. We will take the next question from the line of Vishal Biraia from Bandhan AMC. Please go ahead.
Vishal Biraia : Madam, for this Nano DAP plan t that is coming up, could you tell us as to what is the extent of capacity, and what are the kind of revenue that you would look forward to?

Jayashree Satagopan : The capacity that we are looking at is 1 Crore bottles per year, which is a 1 litre bottle, a nd the pricing for these bottles, MRP is about Rs.600. So that is the capacity that we are building up. Depending upon how the response of the market is because this calls for lots of customer awareness and education . If the farmers do not know how it has to be used then it could actually boomerang. We a re seeing mixed response from the farmers in the case of Nano urea and therefore from Coromandel ’s standpoint , there is lot of ground level ac tivity going on in terms of the a gronom ist reaching out to the farmers, helping them to understand the product better, how to apply so on and so forth. We have also initiated what is called as a Gromor drive, which is using the drones for some of these foliar applications. S

o combining both of these , we are in for a slow and a steady start with farmers understanding there is an opportunity for us to sell more and t hese are all modular facilities. So in a quick period of about 8 to 10 months, we should be in a position to add further plan t capacities. That i s the game plan as far as Nano is concerned.
Vishal Biraia : And just to understand something on the technical side as to your utilization of phos acid here will be how different than the utilization of phos acid for the sol id-state complex grades or DAP?
Jayashree Satagopan : Here w e do not directly use phos acid .
Vishal Biraia : Could you help me understand as to what would be the substitute for the phos acid here.
Jayashree Satagopan : This is a patented technology and I may not be able to reveal what are the contents and what percentage of what is being used for manufacturing Nano DAP at this point in time. But I should tell you the phos acid, sulfuric acid, the quantum that we use is all goi ng to be for granulation. There is no comparison at all.
Vishal Biraia : And on a steady state basis, once this business stabilizes, what would be the kind of operating margins that you would target?
Jayashree Satagopan : On Nano DAP.
Vishal Biraia : Yes.
Jayashree Satagopan : Nano product must have a very decent margin here. I think it should be pretty healthy.
Vishal Biraia : If it is 20% -22%.
Jayashree Satagopan : Yes, it should be in the range of 20 %.

Vishal Biraia : Final question. I think it i s a continuation of what the earlier participant was asking . When you say Rs. 5000 per ton for the full year for the fertiliz er business, this includes SSP.
Jayashree Satagopan : No, n ormally we do not include S SP. This is mainly for NPK's.
Vishal Biraia : And then could you give as to what would be this numbe r for NP K for the second quarter like for the September quarter, what this number have been?
Jayashree Satagopan : No, I normally encourage to look at a full year number because there are seasonalit ies, you see subsidy price is up and down, MRP consideration s. raw material consideration . So for a seasonal business, given so much of external variations, it is always good to look at an annualized basis.
Vishal Biraia : And just lastly to get to this 5000 number, hypothetically what would be the extent of increase in MRP would you require to get to this number for the balance half of the year looking at the way the, and assuming that the RM prices remain w here they are and the subsidy is what it is. There is no upper revision.
Jayashree Satagopan : There could be MRP increases in unique grades . On the generic grade s, we need to look at how the in dustry is taking it up and what is the view of the government.
Vishal Biraia : If you look at the generic grades or let us look at the specialty grade, what would be the extent that you would target to get to this number for the full year?
Jayashree Satagopan : That depends upon the market conditions honestly.
Vishal Biraia : Okay. Fair enough. Thank you.
Moderator : Thank you. The next question is from the line of Vishnu from Avendus Sp ark. Please go ahead.
Vishnu : Hi, thanks for your time, I am Vishnu from Spark. Firstly , continuing the previous participant 's question, compared to first half most of the r aw materials have currently spik ed a lot and there is at least Rs.10000 to Rs.12000 correction on an average on sub sidy. So second -half, I mean, given it i s an election year and if the price hikes do not come even the fertilizer EBITDA still be positive or ca n it tend to be a bit negative?
Jayashree Satagopan : I think we can talk for Coromandel, given the backward integration that we have, we ex pect the margins to be positive . We saw a steep correction in raw material prices, and there has

been some increase in the last couple of months, we really do not know to what extent these increases will sustain or will it again come down because what we saw here bef ore was unprecedented increases. So from that standpoint, we think we will have to go with the market . If the prices continue to be high , there could be some opportunities in terms of our backward integration and value capture. But if prices come down then it is even better. We like to see how the government is going to respond on subsidy. We ha ve seen in the past the y have been pretty considerate and they have responded to the industry requirement when there was a price inc rease , they ha ve increased the subsidy. When the raw material prices are corrected, they have just now reduced the subsidy . I think while there are considerations of election year so on and so forth, we just need to work along with the government as an industry and impress on them on the rising raw material prices, and see how we can help in getting a subsidy rate cor rection for the fourth quarter.
Vishnu : And secondly, on the subsidy provisioning firstly for kharif they have provided some 38 000 plus another 22 000 they ha ve mentioned so that takes to 60. But whereas in the government budget for NPK we understand only 45000 Crores is provided, so additional 15 000 will have to com e through a supplementary grant and would this be normally the total amount gets covered, but this time around the actual NPK is 60 which has provided only 45. So will there be a supplementary grant immediately or after electio ns only do you think that this will happen? I am questioning from the possibility of a delay on sub sidy release in March.
Jayashree Satagopan : Answer honestly, we do not know. The government has been considering and getting supplementary credits for disbursing subsidy . So, we hope they will be able to get it through. This year especially, I have also mentioned that the subsidy disbursements have been pretty good. They do not have any arrears in terms of DBT claims that h ave been made by the companies. Since we are able to get through these supplementary grants , we should be able to get the subsidy realizations also fast, but in case there is a constraint and it spills over to next year, we have to wait. So, we do not know the answer, but we honestly believe the government will be able to get it throug h.
Vishnu : And one final question, what will be the stock, that stock of materials that we have sold, and it is still lying with the dealers and distributors, any rough number i n million t ons 0.2-0.3 or any rough number i f you could help us understand.
Jayashree Satagopan : Can we come back on this?

Vishnu : Sure, ma'am. Thank you. Thanks and all the best.

Moderator : Thank you. We will take the next question from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal : Thanks for the opportunity. First on the crop protection side, you did mentioned, we witnessed a good volume led recovery in both domestic and export markets . If you can share some details there, how has been the growth in exports and especially given the negative commentary from most of the global and other domestic players as well , how are we seeing the market there?
Jayashree Satagopan : A little bit in terms of how the global markets have been behaving. As you know, Brazil is our largest consumer of agrochemicals and we have seen that there is a high level of channel inventory in Brazil. Having said that, we also know that the prices of agr ochemicals from China has been very, very low. They hav e been trying to dump their chem icals in the market. So, this has a dual impact. Therefore, if we hear and we witness that exporters are having a tough time, it is very much resonat ing with the reali

ties in the market. For us, we have done specifically well on three counts, one we have focused on bundl ing our products instead of just one or two of our technical s, our export has grown by 29%. We were successful in onboarding new customers, we got more than 20 new customers who helped us generat e additional sales volumes. Apart from that, there were a lot of dormant registrations which have been activated, which has also helped in increasing the overall export sales. A combination of these activities plus our sales force becoming far more active in these markets have hel ped in the export sales growth.
Ankur Periwal : Sure, that i s helpful. So going ahead as well, we should see a continuation of say a decent growth here given that the new customer addition as well as the geographic expansion that you highlighted.
Jayashree Satagopan : Yes, you a re right. We also wish that we should be in a position to gro w our export markets well. Equally important is to increase our range of products, which is what we are also trying to address both in terms of techni cal and in terms of formulation. So that i s part of our long - term strategy to see that we add more technicals which are recently off patented and also come up with certain formulations and a B2C light model in select countries which can he lp grow our export business.
Ankur Periwal : Sure. That i s helpful. Secondly, on the crop protection margins, again this quarter we saw a dip probably because of the pricing led competition or the commodity price decline that we are seeing from China. Any thoughts there because what we had highlighted earlier was most of the new product launches, through technicals or through collaboration were margin

accretive. So is this more a near -term phenomenon and maybe FY 2025 should see a better growth there on margins front?
Jayashree Satagopan : Yes, We have seen this price pressure coming in near term, I do not know whether i t will extend to a medium -term because to several experts whom we have spoken and companies whom we have been in dialogue with, nobody is certain about when this China dumping is going to end. So that i s one main factor. Some of the companies who are pr oducing certain technicals , as I understand have even stopped production because it becomes more economica l to import from China. So that i s a short -term phenomenon. Hopefully if the Brazilian market picks up again this year and the demand goes up, we should see some quick wins in terms of the pricing as w ell as recovery in the margins.
Ankur Periwal : And just one c larification if I may. The Rs. 5000 EBITDA per ton guidance which you gave that is for the current financial year given the sub sidy rates ? Any thoughts on FY 2025 and beyond given annually government has been pretty supportive in terms of RM inflation being absorbed in terms of subsidy?
Jayashree Satagopan : I would wait a little bit on this . We have to see how the raw material prices move and the election year, what the government is going to come up with. But as you rightly said, the government has been pretty supportive ; at times , when the raw material prices have gone up they have helped the industry with higher subsidies . So I do expect that trend to continue and if that continues, our margin should hold and also we will work to see how to improve it.
Ankur Periwal : Sure. That i s helpf ul. Thank you and all the best.
Moderator: Thank you. We wi ll take the next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.
S Ramesh : Thank you very much. Following up on the questions on the crop protection business. Can

you give us some details on the volume growth in the crop pro tection business in domestic and export markets for the second quarter, and if you can give us some sense in terms of when you expect to com

plete the 1000 Crore s Capex in crop protection and what is the kind of impact you expect from that, say from FY20 26?

Jayashree Satagopan : Thanks Ramesh. These are nice question s that you come up with. In terms of volume growth, I would say that the export market has volume growth close to about 30% . On the domestic front, formulations had a volume growth, but we did see a contraction in the domestic B2B mainly because of the price pressures and the margin pressures . We had consciously limited our sales into the B2B market , but we focused on growing the formulation business as well

as the exports. As far as the capital expenditure is concerned of Rs 1000 Crores that has been announced, there are three multi -purpose multi product projects that the business is working on. We have submitted the proposal for one large Capex , and that is curre ntly under the approval process. Given the short -term scenario that we are currently in with the prices showing such a steep fall, especially from China , we are looking into certain other factors as well to ensure that as we set up the MPP, we have the right level of backward integration. The right type of Capex , so that the return on investment can be much faster. So we are currently in the evaluation stage as I mentioned earlier as well , the Rs 1000 Crore investment is for three large plants and it could take a period of about 24 to 36 months in all for us to consume this entire capital. The good news obviously is we have completed procurement and bhoomi pooja for the new herbicide facility in Dahej and the business is setting up the basic infrastructure and is contemplating to set up formulation units because those can be done on a fast-track basis at the Dahej herbicide facility.

S Ramesh : Thank you very much.

Moderator : Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Sunlife AMC. Please go ahead.

Naushad Chaudhary : Thanks for the opportunity. Two quick questions I have. Firstly, on the Capex space. We are entering a historic high Capex space. So in terms of the management bandwidth, are we okay with the existing, which w e have or is there any addition, which we are doing to support the Capex which we are running. If you can, share something on that piece?

Jayashree Satagopan : I quite did not follow your question. Are you asking whether we have enough management bandwidt h to execute these large Capex ?

Naushad Chaudhary : Yes.

Jayashree Satagopan : I believe so. We have added quite a few people to strengthen our project team in our businesses both nutrients as well as crop protection as you see the sulfuric acid p lant and the desal plant that has been commissioned . It has happened in a record period of 18 months , such a large Capex does not happen in 18 months ' time frame. A similar approach is also being planned for our multi -purpose plan ts in Gujarat. So I think we have the in -house strength to man age these large Capex projects.

Naushad Chaudhary : Lastly on the thought process of investing in drone business, what is your long -term vision here? How do you see this drone investme nt can help your core business?

Jayashree Satagopan : We invested in the drone business almost a year back with a small stake and then we increased it over a period in time . We have found that the application of drones is not just limited to agriculture. It could be for various things . It could be for defense, it could be for logist ics, it could be for enterprise, a nd we are also seeing that the government is opening up oppor tunities for exports in the non -defen se sector . There is also a huge opportunity in terms of training because you need trained pilots to operate these drones. So there are multiple areas where the

drone services can be deployed. So from that standpoint, we believe it is more of a technology game w ith an adjacency in agriculture. Even in agriculture, given that labor constitutes almost 35% to 40% in terms of the cost of inputs that goes in, d rone spraying could be a very good opportunity given the shortage of manpower and the cost. So that i s the way one s hould look into this investment in drones.

Naushad Chaudhary : Sure. Thank you so much and all the best. I will come back in the queue.

Moderator : Thank you. We wi ll take the next question from the line of Gaurav Nigam from Tung a Investments. Please go ahead.

Gaurav Nigam : Thank you for taking my question. Just have one question on this government sub sidy receivable. In the last few years, I have seen that it has been considerably reduced. Just wanted to understand how should we think about the sustainability of reduction in this government subsidy there and what i s the reason behind this reduction?

Jayashree Satagopan : As I mentioned earlier, we have been submitting the claims the same day the portal opens. That i s number on e. Second, there i s a lot of activity in the field to ensure there is consumption happening on the ground. The farmers are actually buying and using it. The third obviously is that the government machinery is also pretty fast in terms of processing, and they have been support ive in terms of timely dispersal . All the three have favorably contributed to receiving record subsidies and maintaining the outstanding at a low level . We will continue to do activities from our end and I think the government has been fairly supportive and if this trend continues, we should not see a huge buildup in terms of receivables.

Gaurav Nigam : Just a follow up on that, is this receivable days come down for everyone in the industry or we have some added advantage because of which it has come d own more for Coromandel?

Jayashree Satagopan : I honestly do not know. I have been monitoring our receivables and we have been pushing our teams, working very closely with our marketing teams and Agronomist s. So I can tell you as far as Coromandel is concerned, but generally the government is also being disbursing subsidy timely.

Gaurav Nigam : Got it. Thank you.

Moderator : Thank you. We wi ll take the next question from the line of Noel Vaz from Union Ass et Management. Please go ahead.

Noel Vaz : I just wanted to get some clarity about the 165 Crore drone order that was announced earlier. Has there been some execution on that and do we have any idea as to what kind of growth prospects that we are look ing for or margins on the same? Thank you.

Jayashree Satagopan : Yes. We are in the process of executing these orders. Raw materials have been procured. A new manufacturing site is also being commissioned. It should be ready by December of this year. The existing facility is also being leveraged so that we can do a certain quantum of manufa cturing from the existing site.

Noel Vaz : Margins , any idea what could be th e margins now or in the future?

Jayashree Satagopan : We have to wait to see the overall margin profile. Currently there is a good amount of spending that is also happening on the technology front, R&D and we do not want to restrict investment in R&D , especially in an area where it is a sunrise industry. It is a startup, and we have to scale up , we have to invest in manufacturing. We have to continue investing in R&D. Those are all happening. I honestly believe this will be a good margin business as we go along, not just in terms of manufacture and sale, but also in terms of services and training.

Noel Vaz : Thank you. That is all from my side.

Moderator : Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Vipulkumar Shah fr

om Sumanga l Investments. Please go ahead.

Vipulkumar Shah : Thanks for the opportunity. What is our annual requirement of phos acids and how much we produce captively in-house and the same for sulfuric acid?

Jayashree Satagopan : We require close to about 10 lakh tons of phos acid and depending upon the product mix, we may require about 4.5 to 5 lakh tons of imported acid . I mentioned earlier about 50% plus of our capacity is through our in -house productio n. On the sulfuric acid front , we would have close to about 60% of our capacity in -house and we will have to import for the balance.

Vipulkumar Shah : So, any plan to expand further in phos acid manufacturing?

Jayashree Satagopan : The business is thinking about further investments in fertilizer, especially in backward integration. At this point in time these are all in the discussion stage, once we are certain about it, we wi ll definitely come back and have the a nnouncement s made.

Vipulkumar Shah : Lastly , regarding this investment in this drone company . Are we involved in the management also or we ar e just the financial investors?

Jayashree Satagopan : We are involved in the management. We are helping them in setting up the operation, scaling up the operations, putting together the systems, process es, eve rything. So, it is an integral part of Coromandel .

Vipulkumar Shah : We are one of their biggest customers, right?

Jayashree Satagopan : We are not their biggest customer. They have got orders from the Army for the logistics drones. We ha ve also got a good order from IFFCO for agriculture drones. We have picked up drones and we are doing our Gromor drive , so there are multiple customers for Daksha.

Vipulkumar Shah : Okay, ma'am. Thank you so much and wish you all the best.

Moderator : Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you.

Jayashree Satagopan : Thank you very much all of you who have joined the call today and actively participated. In case there are any further questions, please feel free to reach out to us. Thanks again.

Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref. No: 2023-24/115
February 06 , 202 4
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on January 31, 2024
This is further to our letter dated January 25, 202 4 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on January 31 , 202 4 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

"Coromandel International Limited
Q3 FY'24 Results Conference Call "
January 31, 202 4

MANAGEMENT : DR. RAGHURAM DEVARAKONDA – EXECUTIVE DIRECTOR – COROMANDEL INTERNATIONAL LIMITED
MRS. JAYASHREE SATAGOPAN – PRESIDENT , CORPORATE AND CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Limited Q3 FY'24 Results Conference Call hosted by Axis Capital Limited.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwal. Thank you, and over to you, sir.

Ankur Periwal : Yes. Thank you, Ria, and good afternoon, friends. I'm pleased to welcome you all to Coromandel International Limited Q3 and 9 months ending FY'24 Post Results Earnings Call. On the management side, we have with us Dr. Raghuram Devarakonda, Executive Director; and M rs. Jayashree Satagopan, President, Corporate and Chief Financial Officer. As usual, we'll start the call with a brief introduction from the management side, post which we'll open the call for Q&A session.

Over to you, Jayashree ma'am for your initial comments. Thanks.

Jayashree Satagopan : Good afternoon, everyone, and thank you Ankur for organizing the conference call today. Let me first give an overview of the business environment experienced during the quarter, and we can follow it up with the company's performance and the Q&A session.

As far as the global econom ic activity is concerned, we saw that it was affected by tight monetary policies and weak global trade growth. As per the World Bank's latest projections, global growth is set to edge down to 2.4% in 2024 vis -a-vis 2.6% in 2023. Recent conflict in the Middle East and disruptions in the Red Sea link has further heightened geopolitical risks and raised uncertainty in the commodity markets. Despite this, India has remained resilient, supported by robust domestic demand, strong public infrastructure investment and strengthening financial sector. World Bank has revised India's GDP growth to 6.4% for 2024 vis -a-vis 6.3% in 2023. During the quarter, tax collections remained buoyant, though the retail inflation rose to a 4 -month high of 5.69% in December '23.

On the agriculture side , the country witnessed below normal northeast rainfall during the season. All India cumulative rainfall during October to December '23 was lower than normal by 8%. The overall crop sowing area remained around last year's levels, with acreage increase in wh eat, coarse cereals and oil seeds, while there has been a decrease in pulses and paddy .

Among our key operating markets, crop sowing in Andhra Pradesh, Karnataka, and Maharashtra were impacted. All India reservoir levels stand at 95% of the long period average with Southern region at 70%.

Fertilizer industry performance : Agri input industry experienced a challenging quarter with external headwinds like below normal monsoons and lower crop sowing. The NBS rate for rabi

season underwent a steep downward revision, which coupled with the rising raw material prices further impacted the industry performance.

For the quarter, DAP and complex fertilizer, industry ’s primary sales volume was down by 17%. Current year, 58.6 lakh metric tons vis-à-vis 70.9 lakh metric tons in the last year. DAP and complex fertilizer industry's consumption, which is indicated by POS sales volume was also down by 9%. Current year, 67.1 lakh vis -a-vis 74 lakh metric tons in the previous year.

On a year -to-date basis, DAP and complex f ertilizer industry's primary sales volume was at 190.8 lakh metric tons versus 190 lakh metric tons last year. DAP plus complex f ertilizer industry's consumption indicated by POS sales volume was at 195.3 lakh metric tons vis -a-vis 177.6 lakh me tric ton last y

ear.

Company's Nutrient segment performance : The Nutrient and Allied businesses improved the market share during the quarter amidst drop in volumes. Lower volumes along with the low NBS rates and higher cost of raw material has impacted the business margin during the quarter.

On the sales front, the business registered sales volume of 9.38 lakh metric tons during the quarter, which is 11% lower than last year. On a year -to-date basis, sales volume wa s 29.5 lakh metric tons vis -a-vis 30.2 lakh metric tons last y ear, which is low by 2%. The company's market share in Q3 is 16% and on a year -to-date basis, 15.5%. Last year, it was 14.8% in Q3 and 15.9% on a year -to-date basis.

SSP Q3 volumes were at 1.43 lakh metric tons versus 2.16 lakh metric tons last year. And on a year-to-date basis, 5.35 lakh metric tons versus 6.19 lakh metric tons last year. Market share for Q3 is at 15% versus 16% last year. On a year -to-date basis, the market share is at 15.2% versus 14.8% last year.

During the quarter, our DAP and complex fertilizer plants operated at 96% capacity and produced 8.67 lakh metric tons. Last year, it was 9.3 lakh metric tons of fertilizers. Phos acid production during the quarter was similar to last year's level, which is 1.12 lakh metric ton.

During the quarter, the company's state-of-the-art 1,650 tons per day sulphuric acid plant got fully stabilized and is operating at optimum capacity. With this , Coromandel ’s sulphuric acid capacity has increased to 11 lakh tons from 6 lakh tons per annum earlier. This supports the

requirements towards downstream processes involving phosphoric acid and phosphatic fertilizer production.
During the quarter, company inaugurated a Nano technology center at Coimbatore, which will further its research and development of Nano and Novel products in the agri input space. The company's in -house developed and patented Nano technology -based fertilizer, Nano DAP has received encouraging market response and the company is actively working with the farming community to create awareness and promote the Nano DAP.

Company had an unfortunate incident in December at Ennore fertilizer facility with an ammonia gas leakage. The company has taken necessary measures to ensure safety of the public in and around the complex. Currently, the plant is closed and the company is in the process of addressing the matter.
On the Crop Protection side, the Crop Protection business of the company reported a healthy volume growth of 21%, improving its performance in exports and domestic markets. While the global market conditions remained very challenging with elevated inventory, demand slowdown and declining commodity prices, the crop protection business has improved its customer base, activated dormant registrations, which has helped in growing the export sales. On the domestic formulation, the business has witnessed an upswing, both in volumes and margins.
Overall, the EBIT margins for the Crop Protection segment grew from 12.4% in Q3 FY'23 to 13.8% in Q3 this year. The business continued its engagement on the CDMO opportunities and has initiated marketing of specialty chemicals products from its current manufacturing facilities. Further, the business is strengthening its research and tec hnology efforts to develop focused chemistries that cuts across both crop protection chemicals and specialty chemicals.
The bioproducts business of the company is acting on multiple process improvement initiatives, focusing on improving cost efficiencies and yield. Neem oil -based pesticide Azamax, and fungicide Adhiraj, launched in Q1 have generated excellent market accepta nce and volumes. The business is conducting field trials for new bio solutions and plans to launch the products in subsequent quarters.
Our retail stores adopted crop specific product -focused approach and operated we

ll during the
quarter, despite the reduced crop acreage, enabling it to sustain and improve the earnings. Overall, 97% of the stores were profitable. In continuation to serve the farming community, the business is expanding its footprint in new markets by adding 50 stores by end of this year.
Company ’s subsidiary, Dhaksha, a differentiated drone start -up, has been receiving encouraging response from its customers in defense, agriculture and enterprise. It has a strong order book and is ramping up its production capacity. It has recently set up a new state -of-the-art manufacturing facility at Chennai. Coromandel is also actively promoting the usage of drones in agriculture through its Gromor Drive program and also through its vast retail network.
With that, let me take you through the company's financial performance.
Turnover : The company recorded a consolidated total income of Rs. 5,523 crores during the quarter and Rs. 18,294 crores for the 9 months ended 31st December. Corresponding period, revenue was Rs. 8,349 crores for the quarter and Rs. 24,276 crores for 9 months. The decrease in revenue is mainly on account of reduction in subsidy rates and lower volumes in the fertilizer business compared to the last year.
Nutrients and Allied businesses contributed to 89% and the remaining 11% comes from the Crop Protection business for the quarter. For the 9 -month period, it was 90% and 10%, respectively.

Subsidy business share in revenue stands at 82% for the quarter and 84% for 9 months. In the last year, it was 88% for the quarter as well as for 9 months period.
Profitability : Consolidated EBITDA for the quarter was Rs. 358 crores against Rs. 781 crores last year. For the 9 -month period, it was Rs. 2,126 crores against Rs. 2,523 crores in the previous year. The subsidy business share in EBITDA stands at 37% during the quarter and 74% for 9 months. The previous year, it was 74% for the quarter and 77% for 9 months.
Net profit after tax for the quarter was Rs. 228 crores in comparison to Rs. 527 crores for the corresponding quarter last year and Rs. 1,477 crores for 9 months against Rs. 1,766 crores last year.
Subsidy : During Q3, the company has received subsidy collection from the government to the tune of Rs. 721 crores. Last year, this amount was Rs. 3,992 crores. During the 9 months period,

subsidy received was Rs. 7,333 crores, previous year it was Rs. 7,994 crores. Subsidy outstanding as on 31st December was at Rs. 2,405 crores.
Interest : During the quarter, company earned a net interest income, excluding the Ind AS lease interest of Rs. 20 crores vis -a-vis net interest expense of Rs. 8 crores in the previous year. For the 9 -month period, interest income of Rs. 37 crores versus Rs. 1 crore in the previous year.
The company has maintained the surplus fund in Board -approved securities. And like in the past, these are earmarked for specific growth -related investments. The balance sheet of the company continues to be strong, and the company is currently focusing on t ightly managing the working capital situation.
Forex: During Q3, the rupee traded in a tight range of Rs. 82.90 to Rs. 83.43 . Continuing its conservative approach of hedging the For ex exposure , the company has benefited in terms of limiting the impact of currency fluctuations.
New investments : While the short -term business environment remains challenging, Coromandel will continue to invest in value creation opportunities. Towards this, the Board, in its meeting held yesterday, approved the company's plan to expand its backward integration capab ilities by setting up a phosphoric and a sulphuric acid plant at its Kakinada Fertilizer Unit, subject to regulatory approvals. This will further improve the company's cost efficiencies, raw material securit y and can contribute towards the nati on's Atmanirbhar Bharat visi

on.
As a leading agri solutions provider, Coromandel is committed to improve the availability of agri inputs, drive technology -focused solutions and sustainable agricultural practices.
We thank you for your interest in Coromandel and joining the call today, and we look forward to the interaction.
Moderator: Thank you very much. First question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So can you talk about the non -urea fertilizer under price control and government trying to fix profit margin . Also, whatever the unreasonable profit made by the companies that they have to return, so can you discuss about that?
Jayashree Satagopan: Hi, Sumant, the government has issued an office memorandum in January, which gives the broad guidelines in terms of the reasonableness margin for all the fertilizer companies. As you know, even in the past, the government has been working with the fertilizer companies, all the NPK players, whether they manufacture or import , in terms of submission of cost data. Because it is a subsidized business, they have their own ways and means of looking into the cost and ensuring that the companie s are able to supply fertilizer at a reasonable price to the farmers.
In the recent past, we have also seen that there have been some guidelines by the government in terms of maintaining MRP at certain levels. So they have come up with a guideline recently, which is not so different from the past in terms of the intent to su pply fertilizer at a reasonable price to the farmers.
This circular effectively categorizes the companies into 3 segments. The segments are namely integrated manufacturers, manufacturers and importers. Each of them has been given a certain percentage of PBT that they can broadly look at as they work through their MRPs, their cost structures and their pricing. So integrated manufacturers will be able to get a 12% margin. Manufacturers who do not have backward integration facilities, but they do the granulation could get about 10%, and importers about 8%. So these are broad guidelines that they have given.
So I think if you look into most of the fertilizer companies, their performance, these are respectable margins. And there is clarity that's coming in from the government. They are also encouraging companies to look into backward integration so that there i s more of self - sufficiency that could come in. That's the way one needs to look into this guideline.
Sumant Kumar: So we are not having any impact considering this 12% kind of PBT currently? Because historically, I have seen our EBITDA margin in the range of 14%, 15% also in the past?
Jayashree Satagopan: This is not at the EBITDA level, Sumant. It's at a PBT level.
Sumant Kumar: Okay, it's PBT level, yes, yes. So we'll not have an impact considering Rs. 5,000 EBITDA per ton you have guided in the past. So we'll not have any impact, considering 12% kind of margin?
Jayashree Satagopan: Yes, we will not have.
Sumant Kumar: Okay. And the second question is, phosphoric acid, can you guide us how much capacity we are going to increase and how much inventory loss in this quarter?
Jayashree Satagopan: We are looking at adding about 650 tons per day of PA capacity as and when we get all the approvals in place. As far as the inventory hit is concerned for the quarter, if I remember right, it is in the range of about Rs. 30 crores or so.

Sumant Kumar: And we are planning to have a backward integration when the 600 TPD , around 7 lakhs tons cumulatively , so almost we are going to have a backward -integrated company for NPK manufacturing plant?
Jayashree Satagopan: Yes, this will add close to 2 lakh tons of PA at Kakinada.
Sumant Kumar: Okay . Thank you so much
Moderator: Thank yo

u . Next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna: Just to clarify, with the latest guidelines, Coromandel will be treated as an integrated manufacturer, would that be the right understanding?
Jayashree Satagopan: Yes. As we have both granulation as well as phosphoric, sulphuric plants here, we would be an integrated manufacturer.
Arjun Khanna: Secondly, there is this evaluation methodology, which has stated that integrated manufacturers, manufacturers and importers of fertilizers will be considered as a separate segment. So essentially, we do import DAP. So would each SKU of import versus manufa cturing be treated separately? Would we have to maintain 2 sets of accounts there?
Jayashree Satagopan: Even in the past, Arjun, when we used to submit cost reports to the government, we used to give it separately. All imports have to be shown separately, and we'll continue to show that. As we import DAP or any NPKs, in that case, the data used to be compiled and shared with the DoF on a stand -alone basis that will continue to happen. And for imported items, the margin guideline that has been suggested is 8%.
Arjun Khanna: Right. Sure. So that clarifies that. Secondly, if one looks at -- they have talked about the Board coming back with some sort of unreasonable profit for the previous year. Can you confirm on the call that we would have no impact from that aspect?
Jayashree Satagopan: This guideline is effective 1st of April 2023.
Arjun Khanna: Right. So you're saying the impact, if at all, you would know by the end of the year?
Jayashree Satagopan: Yes, we will be computing it by end of the year, but my initial assessment is it's not likely to have an impact for the current year.
Arjun Khanna: Sure. The last question I have is, in terms of our retail outlets, there is a net MRP minus dealer margin. Now Gromor, given it's a subsidiary, would it be subdued in that 12% or that's considered separately as a dealer, so that impact would be plus?
Jayashree Satagopan: You're asking about the sales of fertilizer that happens through the retail outlet, right?
Arjun Khanna: Right. Right, which is owned by us, yes.

Jayashree Satagopan: Yes, it will be taken as a sale and the margin that we make on the sales will be considered as the overall margin for the company.
Arjun Khanna: Sure. So if you didn't have a retail, we could price it differently. Is that the right understanding?
Jayashree Satagopan: No, the retail also gets a similar treatment like a channel partner except that it is all done internally within the company and the so-called dealer margin stays within Coromandel.
Arjun Khanna: Just trying to understand scenarios, ma'am because this is on a percentage basis and not on an absolute basis. So if raw material prices fall substantially, essentially, it would impact profitability for the entire industry. Is that the right understanding ?
Jayashree Satagopan: The way one should look at it is if the raw material prices are coming down dramatically, the expectation also is to pass on the benefit to the farmers, right? And the government also has a lever in terms of subsidy. So there are 3 aspects one needs to loo k into. There is raw material price, there is MRP, which the companies can work with and then there is subsidy element. So all these 3 have to be looked into as a wholes ome. And on that, you work out your revenue, your margins, your margin percentage and, therefore, the profitability.
Arjun Khanna: Sure. Very well understood, ma'am. Just the final question is, if one looks at pricing in the market, one player is significantly more efficient. Essentially, that player's product would be priced lower than other players in the market. Would that be the r ight understanding?
Jayashree Satagopan: That is true for

any company, any product, right, whoever is having a better process, whoever is most cost efficient, whoever is able to source much better, will have an advantage of pricing it far more competitively or trying to hold on to the price and t hen make more margins, so there is no different for a fertilizer industry.
Arjun Khanna: But the latter part may not pan out because you are limited by peak margins.
Jayashree Satagopan: Yes. But the way government has given it's a 12% on the PBT, right?

Arjun Khanna: Right. You're saying that's more than enough to account for everything.
Jayashree Satagopan: I think so. So there are going to be efficiencies, but then the market dynamics sort of plays in. When the raw material prices actually shot up, the government had increased the subsidy to a great extent, while they had asked the companies to sort of maint ain the MRP . In free-regime, MRP has to be determined and maintained by the industry players, so there have been interventions & oversight . Since the guideline has just now come in, we also need to go through a couple of cycles to unde rstand how this will pan out.
But I will not get too concerned about it because there is also a differentiation that has happened, and it is at an overall portfolio level. There could be certain products where you will be far more efficient. There are certain products where the through put may be lower and, therefore, your margin profile could be different. So for manufactured segment, it's a pretty reasonable call at this point in time.

Arjun Khanna: Ma'am, just because if you look at the formula cost of sales, there's also this net interest and financing charges, expenses, which you are able to claim given that we are a net cash balance sheet, essentially, this component would be absent for us. So ess entially, having large cash on balance sheet would be a detriment to a nutrition or a fertilizer player. Would that be a right understanding?
Jayashree Satagopan: One can interpret it that way. But the fact is, on a year -on-year basis, there has also been a good amount of investments that's happening in house. So the new capex that has been announced, the capex that has already happened is all through our own internal accrual. I don't think it's going to impact to a very great extent, considering the current situation. But if one were to theoretically look into it, the answer is, yes.
Arjun Khanna: Sure. Thank you very much and wishing you all the best.
Jayashree Satagopan: Thank you.
Moderator: Thank you. Next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.
Vishnu Kumar: I'm following up on Arjun's question only, this guideline seems to actually lead an efficient company or a lower debt company or a cash -rich company, a little bit more on the lower end where it's inefficient, probably a company having higher debt to probably end up making at least, directionally, there is a possibility there. So will this guideline go with multiple iterations with the government before you finalize any conversations will further happen on this side? And that is one.
And secondly, you did mention that there is not much of a change , this is the previous policy and that was already enforced on this one. And why would the government come up at this point in time on this side? Why did they come specifically with further guideline process?
Jayashree Satagopan: Okay. Vishnu, your first question in terms of companies having cash versus debt. When you're having cash, it also comes because of the fact that you've been running the operations very efficiently and you can deploy it for multiple other purposes. Theoretically yes, but if you're going to be highly leveraged, you're also going to incur that cost. And with that, your margins are going to be lower. So what do you really want to see is th

e margin earning capacity with or
without an interes t cost.
The way the guidelines are, at this point in time and looking at how we have been running the operations, we don't see a risk. If you can do a comparative of several companies in the industry and how well the EBITDA per ton has turned out and, therefore, t he margin percentage to see whether a higher debt will be helpful or not. My personal read and assessment, to us, it doesn't impact. The cash will be deployed on more purposeful areas. That's the way I look at it.
On your second question, as I was mentioning, even earlier, there's been a guideline in terms of how the fertilizer companies operate. What is the cost structure , what is reasonableness in terms

of the government looking into a fair price that has to be maintained for farmers, these have been there. And they have come up now clarifying a couple of things: One is clearly on the GST front because GST is only a pass -through as far as the companies ar e concerned. It cannot be included. So they have very clearly articulated the GST will not be a cost.
The second thing that they have included is also doing a differentiation between companies who are investing in the country, therefore, they are entitled to earn a better margin compared to companies who are just importing or having a certain level of manu facturing, so they've gone

ahead clarifying their intent. They want to promote more of manufacturing in the country.
Vishnu Kumar: Got it. Ma'am, earlier you were highlighting that if at all, let's say, at some point in time, we would be probably thinking about capacity expansion, the natural way would be to get all the backward integration done, get clarity on policy. And I mean, at least that's what we thought. So at least now from that side, your next phos acid announcement and some policy clarity, we probably have at least the base margins that we can earn. Does this mean that over the next, we should expect some kind of a capacity enhancement announcement or anything that you could help us understand on this side?
Jayashree Satagopan: At this point in time, we want to first focus on the backward integration and getting our own supply security. At an appropriate time, definitely, we can look into further options. We also need to be cognizant of the fact that new technology like Nano has come in. While nano urea has not evoked much encouraging response, the Nano DAP that has been developed by Coromandel through its own in -house R&D center has been received well.
Our Nano plant in Kakinada has to come full stream, and we also want to wait and see how these new technology adoptions are happening. While it is not going to totally substitute, there could be a certain percentage of granulation that can be consumed thro ugh the nano fertilizers. Plus, it would take a couple of years for us to get this backward integration done and feel far more secure with our raw material. So both these factors will be considered appropriately, and we wi ll look for capacity expansion.
But in the immediate future, as I had alluded in the past, we are looking at several debottlenecking options. And there is going to be investment that is going to be spent in the coming year for increasing some capacity within our existing plants further t o what we have done. So those studies have been completed. So as we complete our business planning exercise, we'll be in a position to let you know what could be the additional or the upside in the existing plants through debottlenecking activity, one can further look at.
Vishnu Kumar: If I may additionally on the CPC and other businesses: one, if we exclude fertilizer and CPC, the balance EBITDA on the all-other segments, SND and multiple other, we're generally seeing a material uptick versus last year, any color on that? In fact, our mathematical numb

er suggests
that we have grown very well on the ex-fertilizer , ex CPC and it's almost yielding a 25%, 30% margins now. Any color on that?

And also just on the CPC business, if you could talk about the external macro, and you did speak about some improvements and some new products coming up there? This will be helpful.
Jayashree Satagopan: Yes. So our other businesses have also been doing well, SND, organic, retail. Retail has done pretty well despite adverse monsoon conditions that we have seen in the Southern Peninsula.
We have Dr. Raghuram in the call, who is leading retail bio and CPC, a nd I'd request him to sort of take this question and respond to you, Vishnu. Raghu, you there?
Raghuram Devarakonda : Yes, Jayashree. So just to briefly describe performance of CPC, bio and retail in that sequence.
As Jayashree mentioned, the volumes have increased handsomely. However, the price erosions have been fairly steep. For those of you who have been tracking this industry, I think you'll be very familiar, the extent of erosion in prices have been upwards of 3 0%. So as a result, the top line hasn't grown much for CPC. But through efficiency improvements, product mix optimization, catering to p rofitable customer segments, we have been able to shore up the gross margins. So even the outstandings have come down from an overdue point of view.
So many of the business fundamentals are slowly, but surely coming into place. And looking ahead in the future, our new product pipeline is also looking good. But again, those of you who have been tracking this segment will understand that globally, the re gulatory environment takes time to approve many of these new products. We have also forged partnerships with some of the Japanese innovators. So not only our generic formulations but also some patented molecule formulations are also in the pipeline.
So as I said, all of those are for the future, and it will take some time. There are CDMO discussions that are maturing well , this is a nother long lead item for the business. So the future is looking good. A lot of investments are going in on that front, including R&D and building some infrastructure. Even on the previous calls, I've mentioned that as and when many of these fructify, we'l l have appropriate press releases at those points in time. For the moment, it will suffice to say that a lot of work is u nderway. A lot of heavy lifting is going on in the background so that the business is in a good shape and more robust going forward in the next couple of years.
In the meantime, as we announced a little while back, we are diversifying into specialty chemicals. Happy to state that some commercial transactions have happened during the quarter, so that beginning has happened. This is another step forward in the right direction for CPC business.

And in retail, primarily, we have been using our databases. We have got more than 3 million farmers in our databases, and we have done some data crunching, data mining to identi fy those who are repeat purchasers who have been loyal to us, and we are helping them improve their yields significantly and driving word -of-mouth. And the whole trick that has given us the results is to focus on the villages, focus on the key farmers from th e databases. Help them improve through our advisory services, integrate prod ucts and services like drones, so that we provide that sort of an impact the farmer is looking for. And these people being quite influential in their respective villages, the word of mouth has helped us drive more footfalls into our retail stores.

The bio business, again, we have been pretty much a one -product company, azadirachtin. And we are the largest manufactur ers of this molecule worldwide. So we are trying to reduce the dependence

on azadirachtin and bringing up new products about which you should be hearing over the coming quarter s. So these are the 3 main things that we have done in the respective businesses, namely diversification theme, data mining theme and staying focused on products and customers that are profitable. I hope that answere d the question.

Vishnu Kumar: Actually, my question was more towards the segment profitability for 9 months. Actually, it looks like it has exceeded the CPC business itself. While we understand why CPC is down, but the segment is this ex fertilizer and ex CPC has done phenomenally well . As a suggestion, if we can -- in the presentation, we can show separately the EBITDA for these 3 as a breakup, it will actually be very helpful to track this going forward.

Raghuram Devarakonda : Maybe Jayashree, you may want to take that.

Jayashree Satagopan: Yes. So Vishnu, I'm not sure how you are coming with these numbers. We can take it off -line. And I take your point in terms of getting some more visibility to the other businesses, either through segmental or otherwise, we also want to get this story around, and we'll definitely address that .

Vishnu Kumar: Thank you .

Moderator: Thank you. Next question is from the line of Dheeresh K Pathak from Whiteoak Capital . Please go ahead.

Dheeresh Pathak : So just coming back to the notification again. So is it fair to say that this reasonableness of MRP, this was always there at 12% for all manufacturers in the past. Now it has been more fine -tuned 8, 10, 12 and made it at a portfolio level versus product level, but it was always there.

Jayashree Satagopan: Yes, there has been fine tuning, you're right, putting it at a portfolio level and also segmenting the companies as integrated manufacturers, manufacturers, and importers.

Dheeresh Pathak : Okay. And this 12% PBT margin, when the buildup happens to get to the reasonable MRP, is it going to be on actual basis or is it going to be on a normalized basis? So for example, interest cost, raw material cost, all the other cost when we build up, is it going to be on each company's individual actual cost report or on a normalized basis?

Jayashree Satagopan: It will be on actual.

Dheeresh Pathak : Then what does this 12% mean for a company, let's say, like yourself, if you're investing new capital into backward integration, what does this 12% mean from an ROI point of view?

Jayashree Satagopan: The capital investment has to be looked at it on a stand -alone basis . For instance, if you want to do a backward integration, you will look at what's going to be the ROI for the project, what is the IRR, what's the payback period so on and so forth. And overall, by doing that, if you're still able to make a 12% margin as an integrated player, it still augurs well. My decision to invest in

a backward integration is not only going to be guided by this. It has to be a separate ROI project for me.

Dheeresh Pathak : I'm not able to understand that because see 12%, we're talking about PBT margin. It does not give us a good understanding of what return is generated on the capital. So if you can triangulate the 12% PBT from a -- what does it mean from a return on capital point of view, right? Because if you have to spend too much on fixed assets, then PBT margin alone itself does not give you enough information, right? So what I'm trying to get to is, what 12% PBT margin, does it compensate enough for the capital that will go into backward integration?

Jayashree Satagopan: At this point in time, given the size of investments that has been happening in the industry, I don't think it will be a deterrent. But we can work out the return on capital employed as well. I personally do not see this 12% being a deterrent for further investments.

Dheeresh Pathak : One last question. The current margins on manufacturin

g is way below the normalized margin
guidance of Rs. 5,000. So if the current subsidy regime continues and the current spot prices continue, it seems that margins are way below the normalized margins. So given that we have flexibility to get up to 12% PBT, the only reason we are not able to increase MRP is b ecause this is an election period. Is that the only deterrent?
Because right now, an efficient player like yourself is earning way below the 12%, below your normalized guidance, and you're still not increasing MRP. So , apart from what I mentioned, is there any other reason that you're not able to get to a normalized margin?
Jayashree Satagopan: See, one must look into it as a cycle, not every year is going to be the same, not every quarter is going to be the same. We normally look into a full year basis. And if you still look at this year on a full year basis, we should be relatively okay. Last q uarter has been tough. The NBS rates have been sharply corrected. Last year, in January, there was a downward revision. This year, with the raw material prices going up from August onwards, the industry is hoping and still representing with the government to see if there could be an upward revision in the NBS rate effective 1st of January. At this point in time, seems unlikely, but there has been representation. We are also working through the FAI and along with our other industry counterparts to share with the government the way the raw material prices have moved, there needs to be an interim correction in the NBS rates. Having said that, the current MRPs that we have, given the monsoon conditions, the consumption has also not increased. So there is no point in increasing the MRP and not being able to sell.
There is a propensity of the farmer to pay and that is getting tested. So MRP increase may not help at this point in time. A revision of the subsidy will be very helpful. Representations are being made to the government. Hopefully, if it works, it's fine. Otherwise, we should hope for -
- the change is coming from 1st of April. And I would also encourage us to look into 1 or 2 periods in time when you will see these type of aberrations happening.

Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.
Bharat Sheth: I have 3 questions. First is, I mean, you clarified on this GST amount is a pass -through and will not be considered as a part, what about the subsidy part? I mean, whether it will be a pass - through or 12% will be calculated on the subsidy amount also?
Jayashree Satagopan: No, it's only for GST because GST is not your income, right? You're collecting and then you're remitting. Whereas subsidy when you look at it, you are not able to fully price the product and, therefore, the subsidy comes in from the government.
Bharat Sheth: Okay. Great. And how much capex have we planned for this phos acid plant, which is almost a 2.5 lakh ton per annum? And post that, how much still we need to have backward integration scope is there, either on phos acid or sulphuric acid? And how much are we getting rock phosphate from our one of the subsidi ary or joint venture partner that we have formed in Africa?
Jayashree Satagopan: Okay. The phos acid plant that we are looking at is a 2 lakh ton capacity per annum, and we are looking at an integrated phos acid and sulphuric acid plant. When we did the Vizag expansion, we did the PAP -2 first. And then after a gap of 2 years, we did ou r SAP 3. Here, we are looking at putting both of them together, and we are waiting for a couple of approvals, which we are expecting in the next 2 to 3 months' time frame.
So it's a pretty large project having both the plants together. And after we complete implementation of these plants, there will still be requirement for import of phos aci

d. Because
currently, we import somewhere close to 4 - 4.5 lakh tons, again, depending on the grade mix. And after this plant comes in place, we will still have about 2 lakh tons or so, which we might have to import.
I was also mentioning a little while ago, we are looking at expanding the capacities through debottlenecking activities at Vizag and Kakinada and that might also require some more acid for granulation. So considering all of these even after the plant is in place, there will be requirements for imports. Yes, it will not totally do away with it. As far as the rock import is concerned, we have started getting the rock from Senegal, about close to about 1 lakh of tons has come from our mines there.
And very recently, we have been working with one another company to help set up a fixed processing plant, which will get operational in the next quarter and that should help to further stabilize and increase the throughput. So on a normal year basis, we could expect somewhere close to 2.5 lakh, 3 lakh tons and the intent is to see how we can increase it up to 5 lakh tons of rock.
Bharat Sheth: Okay. And last question on the CPC side that we were working on CDMO . What stage we are in this CDMO business?

Jayashree Satagopan: Yes. Just a little while ago, Dr. Raghu was mentioning about some of the progress there. So on CDMO, there are a couple of companies with whom the business is very closely working on and some tech packs have been shared. The response has been good. So it's progressing well. As you would also appreciate, CDMO is a long lead item, taking anywhere between 2 to 3 years, depending on the innovator with whom you're working and the complexity in the product. We can say that the response has be en positive. The progress is going in the right direction at this point in time.
Bharat Sheth: Overall in ballpark number, capex on this SA & phos acid, what would be in your fair assessment?
Jayashree Satagopan: I think it will be in the closer to Rs. 1,000 crores.
Bharat Sheth: Okay , fair. Thank you very much and all the best ma'am.
Jayashree Satagopan: Thank you.
Moderator: Thank you. Next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: First question pertains to the policy margins that have been enumerated, I think, 10 and 12. In your assessment, what historically for yourself and at an industry level, what have been the margins that you've seen as being cyclically average in these 3 categories of trading and manufacturing with backward integration...
Jayashree Satagopan: I can hardly hear you.
Gagan Thareja: Yes. So my question was that while certain margin ceilings have been set or proposed in the document, what in your experience have been the cyclical average margins that Coromandel would have seen or, for that matter, at an industry level would have been h istorically prevalent? Just to get an assessment of where they lie or where we can peg them versus what's normal?
Jayashree Satagopan: I may not be able to answer you at an industry level, but if you look at the performance of the companies over the period in time, I don't think that companies have hit this level of PBT at all.
Gagan Thareja: Yes. So my assessment was even at an EBITDA level for this business specifically and not overall Coromandel in aggregation, margins will be closer to 9.5% to 10%. Is that a reasonable assumption?
Jayashree Satagopan: Yes.
Gagan Thareja: Okay. Right. And so from your perspective, this does not impact you in any way in your make versus trade or make versus buy sort of decision at all or in your capital allocation at all whatsoever?

Jayashree Satagopan: No, our policy has always been to see what we can do in terms of improving th

e cost efficiencies
in our manufacturing. And wherever there are opportunities for us to look at imports, we do import. For instance, manufacturing DAP versus importing DAP, which ever is more profitable, that's a call we take. And in times when manufacturing of DAP is going to be loss -making, importing of DAP is going to be further loss -making, at the time, we may decide, whether we cut loss and do a DAP manufa cturing .
So there is always going to be the cost economics of looking at ensuring that we have the potential to cut our loss if there is going to be a loss making situation or earn decent margins if there is going to be a situation in maximizing it between manufact uring and importing. At the same time, given the fact that we do manufacture multiple grades, there is also an option to import certain grade versus manufacturing because manufacturing of certain type or certain grades in certain plants can help us get a b etter margin. And this guideline is also talking at a portfolio level for all the grades that are getting manufactured, so there is a good amount of flexibility that's being built in.
Gagan Thareja: So on backward integration, you invested sizably. While you talk of individual projects, can you enumerate for us to what degree these projects increase your level of backward integration and in terms of cost savings or cost advantage or ROI, what does thi s yield for you?
Jayashree Satagopan: Any time when you're going to just import and granulate when the phos acid prices go up, the granulators don't make money . Then you backward integrate, you buy the rock and you do the phos acid here, there is a value capture. Similarly, when there is a sulphuric acid plant, there is a local feed of sulphuric acid and also there is power generation that comes from the burner. S o that is another value capture.
Gagan Thareja: I was just looking to whether you can enumerate it for us, while we understand it at a qualitative level, some degree of enumeration would be helpful?

Jayashree Satagopan: So we look at it on an IRR basis. There is a threshold IRR for a company and there is a certain year of payback when you take up these backward integration projects. And as it is within these parameters, the investments are reviewed and taken up for approvals.
Gagan Thareja: So what is the payback that you generally look for?
Jayashree Satagopan: It varies from project to project. Some projects have a low payback. One commodity super cycle can make the payback in 2 years . Like how we had this Phos Acid prices shooting up a couple of years back, you make the investment, you get the return in a period of 2 to 3 years itself.
Sometimes it can be all the way up to 5 -7 years.
Gagan Thareja: And debottlenecking that you're proposing to do would give you what kind of additional capacity?
Jayashree Satagopan: The business is working on the numbers. We are going through the business plan cycle now. And probably in the next call, I'll be able to give you the clarity on it.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Just one question on the crop protection side. Your thoughts on both B2B as well as B2C growth and as well as how is the progress going at Dhaksha side?
Jayashree Satagopan: Thanks, Ankur. I'll request Raghu to speak on CPC and probably once he completes, I'll give you a flavor on Dhaksha.
Raghuram Devarakonda : Okay. As I shared a little while back, the headwinds have been quite strong as far as the price realizations are concerned and we are all aware of the monsoon that played out in India in patches and the reservoir levels what we have. So having said all of that, t he new products and leveraging the data that we have and making those focused plans for specific districts and markets, targeting specific

crops is helping us.
So in Q3, we grew handsomely in volume terms, and I believe that will help us improve the market share as well because we have got more quantities of our products in the market, both in domestic as well as exports. So I think if we continue on the same pat h, we become more and more resilient as a company to weather the vagaries of the external environment.
At the same time, internally, we have immensely improved our efficiencies for the technicals that we manufacture. So we have done a lot of work within the 4 walls of our factories to drive up efficiencies, achieve significant levels of cost reduction and, t herefore, are able to withstand the competitive pressures in the marketplace.
I think overall, the story has been good for Q3 as far as CPC is concerned on these fronts ie, volume , margin expansion at the gross margin level and also collections. Given the market conditions, collections are improving and exports and domestic trade are doing well for us at the moment.
Jayashree Satagopan: Thanks, Raghu. As far as Dhaksha is concerned, we've been doing pretty well. We've been working closely with multiple segments like agriculture, defense & enterprise. Happy to state that we have close to Rs. 300 crores of order book for Dhaksha at this point in time. This is panning across all the 3 segments I've mentioned. Apart from setting up new training centers where pilots would get trained, there is lot of emphasis from the government for promotion of drones in agriculture, espec ially through women self -help rules.
They are looking at close to 15,000 drones over the next couple of years and Dhaksha is supplying to IFFCO and to Coromandel. And early next month, we understand that there is going to be a program from the government, promoting these drones for agricultur e. Apart from this, the company has been participating in promoting drones for logistics and defense purposes, and that's where the large chunk of the order book is there currently.
Enterprise is also a very interesting solution where they have received a couple of orders. So R&D work is going on. New manufacturing facility has been set up. From next month onwards, the line from the existing facility will be moved there. That should h elp them in terms of

continuously working on newer products and scaling up the manufacturing on the existing models they have.
Ankur Periwal: Thank you and that’s helpful.
Moderator: Thank you. Next question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.
Tarang: Ma'am, I had actually quite a few questions, but given the constraint, I'll probably request for 2.
The first, I believe this might have been answered, but specifically coming to Q3, per ton

manufacturing margins for the Nutrition business, given that our Q2 results were declared after the rabi subsidy announcement. And my sense is there was a provision that was taken in Q2. Considering all of that, what drove such as sharp reduction in the per ton margins?

Jayashree Satagopan: The impact of channel inventory had been taken in Q2 numbers. For the sales in Q3, the subsidy realization is very low as the steep correction has happened in the subsidy rates. Plus, as I was mentioning, the raw material prices, which came down quite well compared to last year started inching up from August onwards. So it's an effect of lower subsidy rates, MRP being held wh ere it is and the raw material prices slightly going up in the context of a not so good season.

Tarang: Got it. Just following up on that. So have we, out of prudence, taken some hit for what we are anticipating in Q4 as well? Or we could see a similar sort of a rundown in Q4 as well?

Jayashree Satagopan: I'm not able to understand your question.

Tarang: Ma'am, my question is that given where the MRPs are today, the raw mat

erial prices and the subsidy that has already been announced, you would have some sense on the per unit profitability, should the volumes flow through in Q4. So given how Q3 has transpired for us as a part of prudence has Q4 hit also been taken? Or that's something that we'll see in the Q4 numbers?

Jayashree Satagopan: You can't take a hit for future in the current quarter . I haven't picked up any hit of next quarter .

Tarang: Okay. I was just double checking that. Great. Okay. Just last, I mean given what's happening in the crop chemical space, is there some amount of recalibration to the Rs. 1,000 crores, Rs. 1,200 crores outlay that you had announced?

Jayashree Satagopan: There's a lot of activities going on in the Crop Protection front. The current focus has been to see how we can maximize, improve the volumes, run the platform more efficiently. A lot of work has been happening on those fronts, which has actually helped the company get a very good volume growth in the co ntext of what's happening globally, both in exports as well as the formulation.

Last 2 quarters, consistently, we have seen a volume growth that's happening. At the same time, when you look at the raw material, the intermediate prices, while they have been holding, the

prices of certain molecules have come down sharply because of the China factor. In several cases, we have seen the intermediate prices are higher than the final technical.

Therefore, we are pausing a bit before getting on to the molecules, which have been shortlisted on the multipurpose plants. And also, looking at what could be other processes that can be followed to get a far more compelling cost position. At the same time , there's been a lot of effort that's going on, on repurposing some of the assets for specialty chemicals. And work is also progressing well on the CDMO front. At the Dahej facility where we wanted to get the herbicide plant up and running, there's been so me traction in terms of the basic infrastructure.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.

Jayashree Satagopan: So thank you all for your interest in Coromandel. Good set of questions during the day. If there are any further clarifications or questions that you may have, feel free to reach out to Anuj or me. We'll be happy to connect and interact with you. Thank you , again.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Ref. No: 2024-25/024
May 03, 202 4
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on April 29, 2024
This is further to our letter dated April 29, 202 4 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on April 29, 202 4 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take this record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited
Q4 FY '2 4 Earnings Conference Call "
April 29, 202 4

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT , CORPORATE AND CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE DIRECTOR , NUTRIENT BUSINESS – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Q4 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recor ded.

I now hand the conference over to Harmish Desai from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Harmish Desai : Thank you, Man uja. Good afternoon, and welcome to the Fourth Quarter and Full Year FY '24 Earnings Call of Coromandel International hosted by PhillipCapital. From the management, we have M s. Jayashree Satagopan - President, Corporate and Chief Financial Officer; Mr. Sankarasubramanian - Executive Director, Nutrient Business.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Jayashree ma'am, post which we'll have a Q&A session. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Good morning, everyone, and thanks, Harmish, for organizing this conference call today. Let me give you a brief on the business environment experienced during the quarter, followed by the company's performance and then we will have the Q&A session. I' ll try and keep the session short so that we spend more time on the Q&A session.

As far as the Indian agriculture is concerned, India experienced a challenging agri environment during the year. Agri GVA is expected to grow marginally by 0.7% and the second advanced estimates project slight reduction in food gain production during the year. India, as a whole, received a below normal monsoon, 94% of the long period average for the first time in 4 years . This led to lower crop sowing, especially in Coromandel's key markets and has also resulted in lower reservoir levels, further impacting the rabi plantings.

Coromandel's primary market s were severely impacted . Rayalaseema by 13%, North Interior Karnataka by 10%; Coastal Andhra by 3%, Vid arbha 2%, Bengal by 22% and Marathwada by 11%, which has also impacted the agri nutrients consumption in these regions.

On a positive note, the recent forecast by IMD and Skymet have estimated normal to above normal rainfall for kharif 2024, which bodes well for the upcoming agriculture season.

Fertilizer industry performance : Q4 was weak quarter for the industry as phosphatic s point - of-sale consumption declined by 11%. On a full year basis, the consumption improved by 7%. Detailed volume breakup for the industry and the company are available in the investor presentation placed in the company's website. Lower NBS rates during the second half of the year w ere not commensurate to the raw material prices, and therefore, impacted the operational viability of the phosphatic players in the industry.

With the new subsidy rate announced for first half of FY '25, we expect the fertilizer margins to show improvement. Raw material prices have remained stable to soft during the quarter, and we expect a similar trend in the coming year.

Speaking about the company's performance , the NPK volumes were down by 6% in the fourth quarter of the year; and for full year, it was lower by 3%.

Company's market share (POS) in Q4 for NPK and DAP was 24%; and for the full year, it was at 15%. In comparison with last year, it was 25% in Q4 and 17% for the full year. The company's market share (POS) in Q4 for SSP was 17% and for full year was 15%. Last year, it was 16% in Q4 and 14% for the full year.

During the year, the pla

nts operated close to 95% capacity. And further, the company is planning to debottleneck its granulation capacity in Kakinada and Vizag , adding up to 3.5 lakh tons.

Company has just commenced work on the new phosph oric acid and sulphuric acid complex plants at Kakinada with an estimated capex of about Rs. 1,030 crores . These plants are expected to come up in couple of years' time.

Further, the company plans to introduce new Urea SSP product , which has recently been approved by the FCO and brought under NBS. This innovative product will provide sources of N added to the traditional SSP.

On the Ennore plant, the NGT has concluded the hearing and the matter is reserved for orde rs. we expect the orders to come in soon.

The commercial sales of Nano DAP started from the second half of the year and response from the market has been quite encouraging. We expect to receive approvals for commissioning the 1 Cr bottle capacity for Nano DAP plant at Kakinada very soon. Further to this, the Specialty Nutrients business also plans to double the sulphur production capacity during the year.

On the crop protection chemicals, our business has registered a strong 20% volume growth across the international and domestic markets despite the severe industry headwinds faced during the year. However, the margin pressure persists due to higher inventor y in the global markets. The business focus ed on several WoW and I Care initiatives, which helped in strengthening its cost position to offset some of the pricing pressures in the market.
The business introduced 7 new products during the year and it is partnering with innovative companies to launch in -licensing products. The new products turnover index for the year was at 15%. During the quarter, CPC business introduced Prachand . This is a 9 (3) formulation product from ISK.
Formulation business is strengthening its branding capabilities and customer reach. During the year, one of its bi ostimulant brand achieved Rs. 100 Cr mark. The business is planning to set up multipurpose plants for manufacture of 6 new technicals in the coming year.
Our retail stores improved the farm level outreach and operated well during the year. Overall, 97% of the stores were profitable despite the severe monsoon conditions in its key operating

markets. Retail business is further planning to foray into newer markets by opening 100 new stores in FY '25.
Drone -based spraying services by our retail stores and Gromor Drive initiative taken by the Specialty Nutrients team is progressing pretty well. Coromandel covered more than 25,000 acres during the year.
While Coromandel continues to focus and grow its core businesses, it has been carefully crafting its long -term strategic growth areas, and accordingly, focusing its efforts.
1. Investment in drones : Dhaksha, which is a newly acquired start -up company by Coromandel, is progressing well and has commissioned its new plant in Chennai. Dhaksha's order book stands at around Rs. 250 Cr, and the company plans to service the same in the first half of the year.
2. Efforts in CDMO is progressing well, and Coromandel is in advanced stages of discussion with three innovat or companies. This being a t wo to three year journey, company expects additional traction to build up during the coming year.
3. Foray into specialty chemicals. The company has initiated a small plant at Nimrani to manufacture sodium silico fluorides apart from leveraging its CP C plant infrastructure and also has been acquiring new customers in this space.
4. Coromandel is looking at newer chemistries like fluorination chemistry for its Crop Protection and Specialty Chemicals business. It has identified nine molecules and the R&D team is in the process of finalizing the DOT. The company plans to leverage its unique advantage of having byproducts from its

fertilizer business, which can be source for fluorination chemistr ies.
5. Investment in AgTech : Coromandel continues to evaluate its interest in AgTech companies and will be investing in them like in the past couple of yea rs.
With that, let me take you through the company ’s financial performance.
Turnover : The company recorded a consolidated income of Rs. 3,996 Cr during the quarter ended 31st March 2024 and Rs. 22,290 Cr for the full year vs. corresponding period of Rs. 5,523 Cr for the quarter and Rs. 29,799 Cr for the full year. It registered a degrowth of 28% for the quarter and 25% for the full year. The decrease in revenues has been mainly on account of lower subsidy rates and with lowered RM prices apart from some volume impact in fertilizer business and pricing in the Crop Protection.
Subsidy versus non -subsidy share of business stands at 78% and 22% during the quarter vis -à-vis 84% and 16% last year. For full year, it is 83% and 17% compared to 87% and 13% in the prior year.
Profitability : Consolidated EBITDA for the quarter was Rs. 273 Cr against Rs. 403 Cr last year. And for full year, it was Rs. 2,399 Cr vis-a-vis Rs. 2,926 Cr in the last year.
Subsidy versus non -subsidy share stands at 53% and 47% during the quarter vis -à-vis 66% and 34% in the last year. And for the full year, 72% and 28% vis -a-vis 75% and 25% in the last year.

Subsidy : During the quarter, company received Rs. 2,165 Cr towards subsidy claims compared to the last year of Rs. 4,483 Cr. For the full year, subsidy received is Rs. 9,198 Cr and the previous year it was Rs. 12,477 Cr . The government has been prompt in clearing the subsidy dues, and as of to date, we have received our subsidy claims till March third week. Subsidy outstanding as of 31st March 2024 was at Rs. 1,377 Cr vis-a-vis Rs. 2,378 Cr in the last year.

Forex : During Q4, rupee traded within a range of Rs. 82.64 to Rs. 83.71. Coromandel continues to follow a pretty conservative approach in terms of hedging and managing its forex exposure, which has immensely helped in limiting the impact of currency momentum.

Dividend : The Board has recommended a dividend of Rs. 6 per share for the financial year FY23-24.

With this, I thank you all for your interest in Coromandel and joining us on the call today and we look forward to the interaction s.

Moderator: Thank you very much. We will now begin the question and answer session . The first question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Ma'am, first question is on fertilizer margin. So we used to give guidance earlier around Rs. 5,000 to Rs. 5,500 EBITDA per ton. So I mean in the current context of subsidy rates, how do we see this for the next year?

Jayashree Satagopan : Yes. Thanks, Somaiah . In terms of margins for next year, we are expecting in the range of Rs. 4,500 to Rs. 5,000 per ton in terms of EBITDA. This considers the NBS rates that have been announced by the government, we expect an uptick of about Rs. 1,500 to Rs. 2,000 coming out of it.

And then there are obviously the initiatives that happen within the company in terms of smart sourcing, operational improvements, so on and so forth. So for full year, one could look into a range about Rs. 4,500 to Rs. 5,000. Obviously, the intent is to see how we can maximize this further.

Somaiah V : Understood, ma'am. And from an industry price increase, how do we see things because earlier there were -- I mean, in one of the calls earlier, we were saying it is also a function of demand. So how do we see demand or inventory that is there in the system? What is the scope for a pric e increase?

Jayashree Satagopan : Yes. I think that's a very good question, and I have Sankar, who would respond on this.

S. Sankarasubramanian : See, overall price is a function of global prices of input raw materials a

nd commodity prices. We have seen some softness in the global DAP prices as well as, as you know, the phosphoric acid price for the quarter has also been negotiated at a lower level. So we need to wait and see how the commodity prices play out in the next 2, 3 months. If that warrants a correction, we will look at it. But as we see at this point of time, we should be able to manage with the announced subsidy and the MRP 's, which should give us a decent margin.

Somaiah V : Understood. One final question. On the brownfield expansions on the fertilizer front, so now that we have announced backward integration projects we are doing, work in progress on Crop Protection. So how would we think about it? And when do we actually start planning for this and when we can expect anything on this front on the brownfield expansion?

Jayashree Satagopan : On the Crop Protection front, Somaiah , there are three things that are happening currently. As I was mentioning, there has been very strong industry headwinds. And therefore like many other companies we also took time to reevaluate certain molecules which were earlier short -listed for setting up the multipurpose plant.

Now that we are hearing by fourth quarter of this calendar year the situation is likely to improve based on th e inputs that are coming from various quarte rs. With that and the new er chemistry that we are planning to look into , the business has shortlisted six molecules and the proposal for those MPPs are being put up now. We expect these molecules and the MPP work to be initiated during the year. These are all Brownfields which will come in Ankleshwar as well as in the site that has been picked up in Dahej. Th ere it is a bit of a Greenfield.

The Dahej site is going to be mainly used for herbicide whereas Ankleshwar is being used for insecticides and maybe one or two fungicides. This is the overall game plan . The infrastruct ure related work at Dahej has already begun and therefore as the proposal gets approved for the MPP, they should be in a position to get started during the year. This has been also factored in the business plan and the capex for FY '25.

Somaiah V : My question was pertaining to the fertilizer segment, just want to understand on the Brownfield in fertilizer segment. So when will we take this up because given that we are already doing on crop protection and backward integration.

So when is this something -- I mean, we will consider doing this a nd also if you could just help us what are the current capacity and after debottlenecking where this capacity will be in the next couple of years?

Jayashree Satagopan : So currently the focus for fertilizer is to get the PA and SA plant . It is very important and critical for the business to get backward integration of our sources in place. So that's on track.

In January, we had announced for SA, PA . Happy to state that last Friday the Bhoomi Pooja for both the plants were done. And during the year the business is looking at debottlenecking the capacity which will add further 3.5 lakh tons to the existing capacity which means from the current 34.5 we are expecting another 3 ,-3.5 lakh tons to get added to the granulation capacity. As we go along depending on the market situation clearly Coromandel will be looking into opportunities for further expansion. But at this point in time , this is what we are considering in our business plan.

Somaiah V : Helpful ma'am. Thank you. I will join back the queue.

Moderator: Thank you very much. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani : Yes. Thanks for the opportunity. M a'am, what would be the plans for Dhaksha this year, some comments on enhancing its capabilities? What a rea are they working on in R&D a nd what could be the normal business margins as it scales up?

Jayashree Satagopan : Okay. So Prashant, Dhaksha is in a solid start at this point in time. We have set up a new state -of-the-art manufacturing facility at Sholavaram in Chennai which has capacity to manufacture about 400 drones per month for the agriculture drones and about 50 drones on the logistics or defense front. This gives a pretty good capacity for them to scale up.

As I was also mentioning earlier during the call, we have an order book of Rs. 250 Cr and all of these we believe should get executed in the first half of the year. As we complete the execution and delivery of the logistic drones to the government, we expect some repeat orders to come, but one needs to wait and watch.

We are also investing on work that's going on in the R&D side on m ultiple new type of drones and in the business plan Dhaksha has considered adequate funding for the R&D -related investments that are likely to go up. We think the days are going to be pretty exciting for the Dhaksha drones in terms of scale -up. Margin sh ould be into mid t o the high teens to begin with and as they improve on the localization and the operational efficiencies we should see some more improvement in the margins.

Prashant Biyani : Ma'am, one concern about drone industry is that there is a very high competitive intensity. So vis-a-vis its competitors how has Dhaksha placed better if you can highlight that?

Jayashree Satagopan : There is likely to be competitio n. However, it is early setup where the industry is very nascent. The opportunity for drones is huge whether you take agriculture as a space or you're looking at defense or logistics. So there is scope for many, many more players to come in.

What is important is the company needs to be on top in terms of technology. They must be having a good position to manufacture and do timely delivery , the quality of the drone has to be good. I think from that perspective Coromandel with all its manufacturing experiences in terms of setting together the systems and processes is helping Dhaksha to stabilize and scale up.

Prashant Biyani : Right. Ma'am, on the phos acid and sulphuric acid production how much it was in 4Q and full year?

Jayashree Satagopan : One second. Do you want the production?

Prashant Biyani : Yes. Phos and sulphuric both.

Jayashree Satagopan : So we can put it up in our notes where Anuj will be able to give you these details offline.

Prashant Biyani : Sure. And ma'am, lastly on capex side how much are we investing this year?

Jayashree Satagopan : We have for FY '25 estimated between Rs. 1,200 Cr to Rs. 1,500 Cr overall in terms of capex investment. This is across the multiple businesses that we have.

Prashant Biyani: Right. Thank you ma'am. That's it from my side.

Moderator: Thank you very much. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Thanks for the opportunity. F irst question on the two other new businesses s pecialty Chemicals as well as the nano fertilizer side. If you could help share some outlook on the capex the revenue time lines and how should one look at these businesses. You did mention on the fluorination chemistries that we plan to expand into but will be helpful to get your comments on maybe new customers and how the discussion with clients is going on over there.

Jayashree Satagopan : Yes. So Ankur, I talked a little bit in terms of how we want to go on the specialty chemicals side. There are two aspects to it . one, leverage the CPC assets . For some of the intermediat e molecules , we find customers who are not traditionally in agro chemical space . This will help us to diversify the customer base, looking to newer opportunities, and secure the custome rs so that as we scale up, we have

a customer base to whom we can go to. That has already started,
and last year, we have clocked close to Rs. 50 Cr in terms of sales to the speciality chemicals - based custome rs.
The second thing that we are doing is looking into opportunities where we have byproducts, which can become a base for new chemistries like fluorination, here is where the first plant that has come up. It's not a huge investment, but it's an investment in the right direction at Nimrani in one of our SSP plants, where we are using it for making sodium silico fluorides. Similarly, we are looking into opportunities in various other plants and this could become a feeder into spec chem.
In the next 2, 3 years, we expect this business to grow in size. They are coming up with their specific business plan s at this point in time. During the year, we haven’t factored any specific large investment for spec chem . As I was mentioning, there are 4 or 5 new molecules on spec chem, which is based on fluorination chemistry. As the DoTs gets finalized, they will come up with a business plan, and if require d, we will add investment capex during the year.
It looks promising and interesting because we also have the unique advantage of getting this sourced from our existing businesses. Having said that, on the Nano DAP , this is a very interesting product and Sankar being on the call, I'm going to have him respond to the Nano DAP . Sankar?
S. Sankarasubramanian : Yes. The product is quite promising. We launched the Nano DAP in a commercial scale . Last year, we started at fag end of the season . And the farmer's response has been quite good. So we hope to expand the volumes next year in the Northern markets.
The facility for manufacturing Nano DAP is coming up in Kakinada. We are waiting for the regulatory approvals and we should be able to start the production sometime in June. We have geared up and there will be an exclusive profit center to manage this business , and we also hope to introduce varieties of Nano DAP as well as Nano urea.
We are in the final stage of getting approached on the government for Nano urea as well. As a product, will be a good alternative to the imported DAP being used especially in the Northern

markets out of imports. So we hope to see a 20% to 25% replacement happening over the next 3, 4 years and Coromandel is rightfully positioned to take advantage of this opportunity.
Ankur Periwal : That is helpful. Just a follow -up on that. Did I hear it right, you mentioned 20%, 25% utilization next year? This is on 1 Cr bottle capacity?
S. Sankarasubramanian : I talked about the replacement on the imports over a period of 3 to 4 years, we should be able to replace 20% to 25% of imports , which is modular in nature. We can keep adding depending on the needs, it doesn't take much time.
Ankur Periwal : Sure. And just your comment on the margin side for this business. How do you look at that part?
S. Sankarasubramanian : We will be good, but being a new business, requires a lot of concept selling. So we need to invest heavily in terms of educating the farmers to the extent the field engagement activities have been more. Margins are reasonable and it's healthy. That's all I can say at this point of time.
Ankur Periwal : Okay, sure. Ma'am, second bit on the medium -term thoughts on the business overall. If I go back in history, we always had a thought of increasing the non -subsidy EBITDA contribution significantly. The fertilizer business has performed exceedingly well in terms of backward integration and grow th. What are your thoughts on that EBITDA mix let's say, 3, 4 years out, if you could highlight that?
Jayashree Satagopan : Yes, Ankur. See, each of the business have their own attractiveness and the growth trajectory. The intent, obviously, is to see how we can propel the growth for the non -subsidy businesse

s .
And that's why you see that investments are happening in some of the newer chemistries, some of the relatively recently of f patented molecules in the Crop Protection segment. We're also looking into getting into CDMO. And then there are adjacencies that set out like the drones and other assets.
So this is a conscious decision to look into other areas for growth. Having said that, each business based on their own ROIs and the opportunities, they will be given their own capital expansion, so on and so forth. So it's not at the cost of one business to another. All the core businesses will have their own opportunities to grow. Where we find it more attractive in terms of newer areas - - adjacencies or step -outs, the company will also be taking bold steps there.
Ankur Periwal : Sure ma'am, that's helpful. Thank you and all the best.
Moderator: Thank you very much. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth : Hi ma'am. Thanks for the opportunity and you have answered my question largely on all new initiative. But if you can give a little more color on the retail store strategy as well as the SND where how much is currently the total size? And how do we see the SND going along, which is once we were talking of a big potential? And last one is our acquisition, which we did from E .I.D - Parry earlier, how that business is playing out?

Jayashree Satagopan : Okay. Thanks – Mr. Bharat, for your questions. As I have mentioned, the retail business has done extremely well during the last year. They continued to grow on their strength for the past two, three years. And despite tough monsoon conditions, across all the stores, we have seen excellent traction, focus and customer engagement activities.

Last year, I would say that we had somewhere close to Rs. 1,700 Cr of revenue from all our retail cente rs. We have about 750 -odd stores. We're planning to expand by 55 stores in last year, an additional 50 stores in FY '25. That means that the overall number of stores will go about 850 or so. The expansion is going to be not only in AP /TG but also adjacent states, especially like Tamil Nadu.

The retail business not only is focusing on the products, which is our own as well as what we buy and trade from other agri -input companies, it is also focusing on services as a separate focus area. A lot of services in terms of crop advisory is given to the farmers where we do not charge. However, there are services like drone spraying ; we are also looking into insurance for the retail business. All of these will become a bundle which will benefit the farmers overall. So we think retail business is set for a good growth and will continue to be an extremely value -added branding for Coromandel as such with the amount of Gromor branding that we have.

I think you were talking about the specialty nutrient business. Here again, the traction has been good. The first quarter of last year was very tough for the business. However, during the year, they have also registered a good volume growth. We continue to focus on key specific segments, whether it is sulphur or foliar . Nano DAP will also be part of the entire specialty nutrient business while we are internally tracking it as a separate focus area.

On the sulphur front, we are doubling the capacity so that we should be able to provide products for the sulphur segment because the country, as you know, is deficient on sulphur in many parts. So this is something that the business has taken up after a gap of a few years to consciously increase the capacity.

The business that we bought from E.I.D. Parry is bio. Bio has traditionally focused on Azadirachtin . Last two years, we have seen a very high increase in the cost of neem seeds. There have been excellent efforts in terms of cost efficiencies optimizing at t

he plant, the business has done well.

We have been able to take price increases with the custome rs. And having said that, two years of sustained price increase, we also expect that the customers will look for some reduction or opportunities in the coming year. With a high dependency on neem base, currently the business is looking into various opportunit ies for diversifying and growing the bioproduct portfolio.

One such activity is primarily in terms of looking at Marigold , which could be used for producing something called as lutein , which can go as a poultry feed. So this is a new area of diversification that bioproducts are looking at. We are also looking into certain biofertilizers like the mycorrhiza . There are a long list of new products, including microbials, which would get introduced during the year.

We believe that bioproducts per se could be a very attractive segment, not just focusing on neem, neem plus multi other areas. Again, bio is an evolving area, lot of traction, pretty attractive globally. Since we also do a lot of exports, I think in the next two to three years, they should further solidify and become a business of scale for us.

Bharat Sheth : If you can give with this always in three years, what kind of opportunity we are seeing, say, in all these three areas? And S ND, what is the current size of the business?

Jayashree Satagopan : SND is about Rs. 600 Cr at this point in time. And as I was telling, retail would add another 100 store s during the year. I think qualitatively, all these businesses are expected to grow, grow at a healthy number, I would think about more than 10%,15% is what one could look at in terms of growth in each of these businesses.

Bharat Sheth : And profitability, if you can give a little just color on broader number?

Jayashree Satagopan : Profitability from the existing bio businesses , we expect them also to improve over a period in

time, because you're getting a healthy mix in terms of various other plant extracts and microbials .
Nano DAP is a new concept. Sankar was earlier explaining to you all in terms of the margins, it's healthy, it's a new product, we have to work on a lot of customer advocacy, helping them to understand and then move into a Nano DAP from a traditional DAP.
When I look at it overall, I think it's all in the positive trend. While I may not be able to pinpoint and give you, it is a 0.5%, 1%, 2% improvement in the margins, directionally it's all going up in the right scale.
Bharat Sheth : And c an I chip in one more question?
Jayashree Satagopan : Yes.
Bharat Sheth : What I mean, if I'm not mistaken, I heard that we are also launching urea plus SSP product . So if you can give some color on that?
Jayashree Satagopan : Sankar, do you want to touch on this, please?
S. Sankarasubramanian : See, this is a value -added product from the base SSP. S SP contains only P of 16%. We wanted to add Urea to it to have N also, 5% . So if you look at Urea SSP, it will have 1 :2.5 ratio. It's sort of a replica of Diammonium Phosphate. So DAP has got a nutrient -content N &P in the same ratio of 1:2.5 between N &P.
So this has the same ratio, and we thought it makes a lot of sense and a lot of field trials have been carried out and proves that it can be a good alternative to DAP. And Coromandel has taken the initiative and got it included in the FCO and we hav e set up the facility at Nimrani . And it can be a good alternative for major crops like oilseeds, cotton.
We have just carried out the trials also. It's quite promising. It's the best alternative to imported DAP. Company also gets the N subsidy from the NBS rates for the Urea portion. So Coromandel has been bringing about innovation in SSP. They've added micronutrients to it. So as part of the

diversified product portfolio of SSP, we are trying to introduce this grade. So next year will be the first full year of operation for us.
Bharat Sheth : Okay, thank you and all the best.
Moderator: Thank you very much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna : Sure. Thank you for taking my question. First question just on the Urea SSP. So if we look at the subsidy that we receive for DAP, essentially while you mentioned same ratio that has phosphorous almost 46% , this is significantly lower. So in terms of a sense, it will be a lower price . Is that what we are aiming for?
S. Sankarasubramanian : See, roughly this Urea SSP is one third or so of normal DAP, in terms of the nutrient contents. We also try to see whether we can pric e, but the benefits are higher here. So the pricing also will be generally based on the farmer acceptance at 1:2.5 od DAP, which is around Rs 1350 -1450/ bag. This goes around 500 rupees because it has got other nutrients other than N PK. SSP by nature contains nutrients like Sulphur, magnesium, calcium .
So the value addition is much more here. So right now we'll try to price it in a way so that it's attractive for the farmers . It will be very attractive for the farmers to try this.
Arjun Khanna : Sure. Very helpful. So just on this question itself, we talked of Nano Urea and we're using Urea SSP. So essentially are we looking at setting up a Urea facility or this would be bought out Urea which we would look to granulate or the production of Nano Urea?
S. Sankarasubramanian : The Nano Urea as well as Urea SSP requires very insignificant volume of Urea. So we are allowed to import Urea for manufacturing in NPKs and SSPs. We'll be importing Urea for this purpose. It doesn't call for setting up a separate Urea plant for this.
Arjun Khanna : Sure. So no major capex on the annual as of now on the Urea side, is that the right understanding?
S. Sankarasubramanian : Absolutely.
Arjun Khanna : Perfect Sir. The second question is, ma'am, on the cash on balance sheet. It seems to have increased further. We have in excess of Rs. 3,000 -odd Cr of cash on balance sheet, investments, etcetera, all combined. How do you see this actually pan out going forward? You did mention capex, but we would have a cash flow generation. So what is our thought process on the cash that continues to grow on balanc e sheet?
Jayashree Satagopan : One obviously is to use our cash for all our capital expenditure programs. The second one is also to have capital for any further expansion, whether it is on the organic or inorganic. I was mentioning to you we have not fac tored in any capex as such for s pec chem or CDMO because we are still working on the DOTs and the tech packs.
So as and when these get materialized, there will be additional capital expenditure required for these two businesses. We would also be open to look at inorganic opportunities, whether it is in

the bio space or in the chemical side. If it is attractive and it is synergistic to the business, that will require money and these existing cash should be used for it.
And fourthly, let's not forget the fact that some of our businesses are highly working capital intensive. While the government had given us all the subsidies last year, sometimes there could be situations where subsidy could take a little more time. For instance, end of the year, our receivables are slightly on the higher end compared to the past few years, mainly because of market conditions.
So we want to have kitty which will help us to fund through capex , new business opportunities that we are looking at, organic growth and also support in our working capital.
Arjun Khanna : Fair enough, ma'am. The reason I ask this is in the context of the government circular in terms of

profitability from fertilize rs. So the cash on balance sheet works as a negative for us since it's on a PBT basis and the income on cash would actually decrease the margins -- pure margins we can earn from the fertilizer piece. Just wanted your comments on this.
Jayashree Satagopan : Here we are representing to the government because the surplus is of a corporate and meant as a corpus for certain purposes. Each of the businesses have their own cash flow, working capital.
We are awaiting some clarifications. Whatever guidelines that the government has, we believe through our representation will be looked into very fairly because it's not for a business. This is for multiple businesses and the corpus has been maintained for a period in time. If you look back three years back, we had some Rs. 3,500 Cr of cash with us, right? So that's the position the compan y will take.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh : Sir, just to put the discussions on your growth plans, the Specialty Chemicals and investments in chemicals and perspective. So can you give us an idea in terms of when you expect this capex of Rs. 1,200 Cr to Rs. 1,500 Cr to be monetized in terms of revenue and profits? Would it be somewhere in the second half of FY '26? Or can we expect it from the beginning of FY '26? Or will it slip into FY '27?
Jayashree Satagopan : Thanks Ramesh for your question. The capex that we have indicated now is for two major capex . One is our SA and PA plant which is likely to come up at Kakinada. The other one is for the MPPs for crop protection chemicals. SA and PA plant will take two years to get completed and hopefully in FY '26 end or early FY '27 is when those plants will be up and running. So those are planned backward integration projects where you will see the benefits flowing from FY 27.
On the MPPs, the business is in the process of setting up the proposals. It could take again 18 to 20 months’ time in terms of setting up the facilities and therefore again you should look at a two-year window for looking at the benefits to come in. The rest of the capex for the year is mainly on account of the maintenance capex while there is a Nano DAP facility that will come up and get commissioned where most of the work is completed. We are just waiting for the government approvals to come in. Similarly, Sulphur is a small capacity addition. The rest are not very major. Two big items that have been considered are in these fronts. Hope that clarifies.

S. Ramesh : Okay. So if you look at the Specialty Chemicals and the S NP revenue, on a background level calculation, your non -subsidized revenues of about Rs. 4,500 Cr, EBITDA of Rs. 600 Cr and if you net out the CPC you are in a non -subsidized business, comes to about Rs. 2,000 Cr, excluding the S NP piece. So if you look at this, excluding the CPC, whatever the non -subsidized business, what is the kind of growth you can expect in that?
And right now, I think your EBITDA margin is about 16% to work out. So is this margin going to be in this range, 16%? Or will you see the margins improve? And what are the top line growth you can expect in the non-subsidized business excluding Crop Protection?
Jayashree Satagopan : As I was just mentioning some time back, Nano is one area which is non -subsidized. It's a new area. We expect a significant growth here. A lot of farmer advocacy is happening and will continue to happen. We don't have a big base for us to start, but the growth here is going to be pretty attractive. On the Speciality Nutrient segment where we have around Rs. 600 Cr of turnover - we are expecting a good amount of growth to come in, mainly on the sulfur side for which a new plant is also getting set up at Vizag .
tee. Nano’s growth can be exponential . SND growth anywher

e between 10% to 20%, CPC and
Bio are also expected to grow. In all these businesses , we also expect the margin accretion to happen over a period of time.

S. Ramesh : So just to put all this in perspective if you look at your n utrient business you're talking about 3 lakh to 3.5 lakh tons of expansion. So that will possibly the exit rate will go up by about 3 lakh, 3.5 lakh tons say by FY '25 end. And similarly you are getting some traction in terms of your specialty chemica ls where you reported about Rs. 50 Cr that may see some growth. So all the other initiatives may take some time.

So can you give us some indication in terms of how your Senegal mining volume growth can support some opera ting leverage benefits for n utrient business in terms of both volumes as well as margins? And secondly, on the drones business so you're going to do about Rs. 250 Cr in the first half. If you can give us some indication in terms of the kind of potential revenue you can do in '26, '27 and the kind of EBITDA margins you can earn in that, that will be useful?

Jayashree Satagopan : Okay. So on the n utrients, the first one you wanted to ask how our mining backward integration would help us. As you know, we have invested in BMCC a couple of years back. And last year the overall r ock production in the mine had gone up considerably compared to previous year. And in the coming years we are looking at somewhere close to 2.5 lakh to 3 lakh tons of rock to be mined and sent to Vizag for consumption. Senegal is a very important strategic initiative for us. As we are setting up our Kakinada plant for sulphuric acid, we will require more of rock and having our own backward integration in terms of rock will only help us both in terms of supply as well as negotiation with the other rock supplie rs.

We expect the rock mining from Senegal to go up to 5 lakh tons. And S hankar and his team has been working closely w ith the Senegal operations there. Secondly, when you talk about specialty chemicals as I was mentioning it’s a close start. We have about Rs. 50 Cr last year and with

various initiatives that we are looking at an d also acquiring new customers w e expect this to increase during the year.

And more importantly as the new fluorination -based chemistries for the molecule s are firmed up and we start putting up exclusive plant, this will become a new stream of business of some size and scale for Coromandel. So that's the plan. And you were talking about Dhaksha. Dhaksha has the current order book which we expect to execute in the first half . The logistic drones orders as they get completed we can expect repeat orders coming from the government. The team is working on it.

Apart from it, a lot of efforts are going on the R&D side for various types of drones, not just the ones that we are currently doing. Since it is in the R&D stage we may not be able to come and discuss this openly, but a good amount of efforts are going into it. We have form ed a steering committee to look into what are the opportunities , doing a stage -gate process to ensure that everything is on track and we're able to deliver on the R&D commitments timely . So this is a very new and interesting area, lot of processes are being put in place so that there is a good amount of management time that goes into ensuring that the investment in Dhaksha is actually helping in terms of scaling the business. Margin sh ould be attractive as we go along.

S Ramesh: Thank you very much. I will join the queue. I wish you all the best.

Jayashree Satagopan : Thank you.

Moderator: Thank you very much. T he next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Rohan Gupta : Yes. Hi ma’am, good afternoon. Ma’am on the margin, you are talking about still Rs. 4,500 to Rs. 5,000 per ton for the current year

and we are quite confident about it. However, last two quarters have been sub -Rs. 2,000 kind of margins, that ’s what we understand.

So given the current Kharif season rates, subsidy rates are already out by the government and we do not see that any further revision in near term if that doesn ’t happen then do you think that this margin which you ’re talking about maybe difficult to achieve o r you expect that in second half with the increased volume and also from the value added we can achieve these numbers?

Jayashree Satagopan : Good afternoon Roha n. As I was mentioning, the re has been a revision in the NBS rate between various product cat egory there. One could look at Rs. 1,500 to Rs. 2,000 increase in the overall subsidy. The current quarter and the past quarter has been pretty tight and as you all know this is mainly driven by two facto rs.

One is a lower NBS rates which is not commensurate to raw material prices. Secondly, the RM value that started cooling had shot up in between. However, we are seeing a trend for RM to be soft to stable as we go along into FY '25 plus the sulphuric acid plant which has got operational will also bring in more operational efficiencies and also savings in terms of power cost.

So all of these put together, that's why I gave a broad range which one should look at for EBITDA per ton as we get into FY '25. And as you know, there are lots of percentage. Things could become favourable. When the raw material prices went up, the value capture was quite high in Coromandel. There is another one in terms of subsidy rate that the government is looking at when it comes to the second half. Third is the season per se. If it is good, farmers will need fertilizer, and we are also hoping with the elections getting over, there will be more flexibility in terms of pricing to the market. So all of these one should bear in mind as we look into the sales and margins for the coming year.

Rohan Gupta : Ma'am, as far as the pricing in the market, even post election, I think that we have been closely monitoring that from last 2, 2.5 years since the prices have gone up. The government has been very sticky as far as the DAP pricing is concerned in the market. I mean, what gives us the confidence that there may be possibility and opportunity to tinker with the market prices as far as DAP or maybe even c omplex or constant? I mean the government has not only just looking and then monitoring it?

Jayashree Satagopan : The government has been very supportive, giving high subsidies. And let's also think about it, how much subsidy that the government would want to continue to provide to the companies? They're also talking about direct transfers to farmers, which has been on the agenda for quite some time. We do not know how all of these are going to pan out. And therefore, somewhere there's a belief that there would be some amount of flexibility, which is given to the company rather than only relying on the subsidy element that the government will increase or decrease. So that's the broad thinking. Having said that, I would have Sankar to also share his perspective as he works closely with the industry and the ministry.

S. Sankarasubramanian : See we will be responsible in fixing the right MRP, which we need to have for the level of investment and the cost what we incur. So to that extent, I think, government always supports the decision keeping the farmers' interest in mind. Well, margin accretion will happen more in terms of improved operational efficiencies, as Jayashree said. Sulphuric acid plant total benefit will flow in and we've also been working on improving our efficiencies and the backward value chain in Senegal also will add to the improved profitability. And also, we have to understand that, as a company, we focus more on the unique grades. In fact, last year, our unique gr

ade

volume s have grown up significantly and we'll continue to focus on those unique grades. So our aim in terms of improving the EBITDA margins are not the increasing prices, but by improving our operational efficiencies, bringing the value -added products while the farmer reaps the benefit. In fact, we are looking at more of fortification as our plan for our generic grades. We'll add zinc & boron to it. And we have been fairly successful in SSP. We may repeat the story in fertilizer as well, and we have plans to do it. So our aim will be to focus on costs; improve operational efficiencies; product mix; our unique grades, which brings in value purpose to inform us so that it doesn't feel the impact of the price change .

And I think going forward also, we should be able to sustain the momentum because the international prices also are coming along, and our ability to smart purchase at the right time also helps us. That's what's differentiating Coromandel from othe rs. Our procurement efficiency is one of the best and that also helps us to sustain with momentum even in the challenging environment.

Rohan Gupta : Helpful, sir. And Sankar, sir, you also mentioned that over next maybe 2 to 4 years, you see that the Nano DAP can replace probably 20% to 25% of imported DAP in the current -- I mean, that's what the government is looking like. Sir, any idea or indication you can share that how -- what kind of market share we are looking in a Nano DAP?

So I think that the competition is going to definitely pick up in Nano categories. And what kind of sustainable margins? We still have no clarity that what kind of margins are there in Nano product categories across. So if you can just share that what kind of market share and what kind of margin one can expect from Nano DAP ?

S. Sankarasubramanian : See, this is a new product, new segment and we have got our own innovative product. It's unique in nature. We don't compare with othe rs. And we have got very good response in the marketplace . So I would say what capacity we can do, rather than putting market share at this point of time, it is -- more players are welcome here. But our ability to connect with the farming community, ability to execute with the farmer and our brand loyalty will def initely help us to sustain the momentum that we have received in the last 6 weeks of introduction. It's very promising now. All I can say is we will try and keep on improving our capacity utilization, we'll try to add capacities. It will be very difficul t to put any market share at this point of time because this market is just opening up now.

And also, this product is not only constrained to domestic market. We have huge opportunities
to exports as well so we'll also be trying to see how best we can leverage on our global presence
as well. So the potential is there as a replacement, but also in certain crops the farmer's behaviour
is also as an add -on. Some of the crops where they don't use DAP, there they are trying to use
this as they make it convenient for pulses or for green grams. So there's a lot of different
experiences. It's for the farmers to decide and accept this product. So potentially that's what I
can say. And the products also will evolve. There will be multiple grades which can come in.
We have to wait and see. It's too early to make observations on the market share.
Rohan Gupta : Sir, any indication on margins also? Gross margin?
S. Sankarasubramanian : Margins are basically good, but we need to make a lot of investments on farmer connect
programs and creating awareness and carrying out a lot of test and field trials. But definitely, I
can say it is very healthy at this point of time. It's a non-subsidy business, and the margin are
even better than the Specialty Nutrients margins what we make.
Rohan Gupta : Okay, so that's very helpful. T

hank you so much.
S. Sankarasubramanian : Thank you .
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand
the conference over to Ms. Jayashree for closing comments. Thank you, and over to you, ma'am.
Jayashree Satagopan : Yes. Thank you all for joining us today. I know that there were a few more in the queue. We'll
be happy to take your questions. Feel free to reach out to Anuj or me for any clarifications. And
we will also be soon setting up a meeting in Mumbai where we wi ll come and meet up with

some of the investors and analysts. We'll be glad to interact further. Thank you once again for
your interest in Coromandel and have a great day.
Moderator: On behalf of PhillipCapital India Private Limited , that concludes the conference call. Thank you
for joining us, and you may now disconnect your lines. Thank you.
S. Sankarasubramanian : Thank you.

Call: Aug 2024

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National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395
D
ear Sir / Madam,
Subject : Transcript of conference call held on August 9, 2024
This is further to our letter dated August 9, 202 4 regarding audio recording of conference call with analysts and investors.
I
n this regard, we wish to inform that the transcript of the Conference Call held on August 9, 202 4 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
W
e kindly request you to take th e above submission on record.
T
hanking you ,
Y
ours truly ,
For Coromandel International Limited
B.Shanmugasundaram
C
ompany Secretary & Compliance Officer
E
ncl. a/a:

"Coromandel International Limited Q1 FY25 Earnings
Conference Call"

August 09, 2024

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL
MS. JAYASHREE SATAGOPAN -- PRESIDENT
CORPORATE AND CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL
DR. RAGHURAM DEVARAKONDA -- EXECUTIVE
DIRECTOR , CPC (BIO PRODUCTS AND RETAIL),
COROMANDEL INTERNATIONAL
MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES PRIVATE
LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Coromandel International Limited Q1 FY '25 Earnings Conference Call hosted by Elara Securities Private Limited.
As a reminder, all the participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Biyani from Elara Securities Private Limited. Thank you, and over to you, sir.
Prashant Biyani : Good afternoon, everyone. Thank you for joining our Q1 FY '25 Earnings Con Call of Coromandel International.
From the Management side, we have Mr. S. Sankarasubramanian – MD and CEO; Ms. Jayashree Satagopan – President Corporate and CFO; and Dr. Raghuram Devarakonda – Executive Director (CPC, Bio and Retail business).
First of all, many congratulations to Mr. Sankarasubramanian on being elevated to the role of MD and CEO for the Company .
I would request the management to give their "Opening Remarks " on the Results , post which we will start with Q&A session. Thank you, and over to the management team.
Jayashree Satagopan : Good afternoon, everyone, and thank you, Prashant, for organizing this call today. Let me give a brief on the business environment experienced during the quarter, following which we can go through the Q&A session.
Indian Agriculture :
After a slow start to the season, the Southwest monsoons have seen a swift recovery from July onwards. As of 4th August, India has received 106% of the long period average rainfall . With the exception of Odisha, Coromandel 's key operating markets have received above normal rains. Reservoir status, especially in Southern regions, have increased considerably, up by 52% compared to last year. Crop sowing have also picked up. As on August 2, it is up by 3% to 90 million hectares, which is approximately 83% of the country 's normal sowing area. There has been a good support from the government on the farm income side, through higher MSP announced for Kharif 2024 and direct income transfers schemes like PM -KISAN, Rythu Bandhu, et cetera.

Industry Performance:
Phosphatic consumption for the industry increased by 11% during the quarter. This was led by improved NPK consumption, which went up by 42%, indicating a positive shift towards balanced nutrition. Detailed volume breakup for the industry and the Company is available in the investor presentation placed on the Company 's website. With active monsoon, there has been a good fertilizer offtake and there is likelihood of channel inventory getting normalized by end of Kharif. Given these higher reservoir levels, we expect a good Rabi season as well. DAP prices, after reaching the lows, have started to move up due to the supply side curtailment mainly from China. On the crop protection side, there has been strong domestic market demand. Global ag chem market situation is also improving. We have seen that the inventory is getting normalized.
On the Company 's Performance:
The Nutrient segment, the NPK and DAP primary sales volumes for Coromandel was close to last year 's level at 8.4 lakhs tons in quarter 1. Between the NPK and DAP sales, the Company has increased the NPK sales share to 87%. Unique product sales stand at 31%. The share of the manufacturing sales also improved in the overall mix. Company has increased the POS sales for the quarter by 32% to 4.8 lakh tons.
The Company 's PoS market share stands at 11.7% compared to 9.7% a year ago. Plants operated close to 96% capacity, focusing on a prudent product mix. Company 's Ennore plant is a

waiting
final clearance from the authorities to start its intermediate production. It has carried out the annual turnaround and has received clearances from the technical suppliers like PKIS and MECS. The new sulphuric acid plant commissioned at Vizag in 2023 is operating close to full capacity and has improved backward -integration capabilities in addition to generating captive power from the waste heat recovery.
Further the Company has received all the statutory clearances for its proposed phosphoric acid and sulphuric acid plant in Kakinada and we have commenced activities during the quarter and major orders have been released. To improve the operational efficiency and throughput at its

phosphatic mine, at BMCC Senegal, the Company is setting up a fixed processing plant, which is expected to be commissioned in the second quarter of the year. Senegal Rock is currently being blended and used in its Vizag operations. During the quarter, the business introduced Urea Super Phosphate and Paramfos Plus, which offers balance d nutrition through availability of multiple nutrients.

On the Nano front :

During the quarter, the Nano facility in Kakinada has been commissioned. The business is giving required impetus to promote the product by strengthening the marketing structure and have been continuously engaging with the farmers to pushing the product as an alte rnate to conventional DAP.

On the Crop Protection side of the business :

The volumes have improved by 5%, driven by growth in both technicals and formulations. During the quarter, the export volumes have seen an increase. However, the prices continue to be soft. Company 's focused Specialties and new products have performed well. The business continues to adopt Crop -solutions approach to capture the market demand.

The business introduced 10 new products during the 1st Quarter , including 4 patented products, and it's in licensed insecticide formulation Prachand . We are seeing encouraging response in the market and the business plans to introduce such novel formulations in the coming periods by partnering with the global innovators. The share of the new product sales has improved over the quarters. And in the 1st Quarter of FY '25, it was at 22%. This has also resulted in margin accretion for the business. The business has also finalized plans for the setting up multiproduct plants for herbicides and fungicides manufacturing .

On the Retail side :

The business continues to perform well despite late monsoon arrival in its catchment regions. It is strengthening the digital footprint at farm level outreach. During the quarter, business has opened 22 new stores.

On the Bioproducts side :

The business focused on expanding its product portfolio to diversify its sales . During the quarter, it has ventured into microbial space in addition to foraying into Home & Garden segment. Three new products including Mycorrhiza, NPK Consortia have been introduced.

On the technology front :

Coromandel increased the shareholding in Dhaksha. This is a drone manufacturing company , where Coromandel ha d invested earlier. The overall stake has moved up to 58% through fresh issue of shares with an investment of Rs. 150 crores. The proceeds from this fundraise will help Dhaksha in strengthening its research and development effort, cater to servicing large orders and also meet up its working capital requirements. Further, Coromandel invested Rs. 24 crores in Ecozen , to increase its stake to 5.54%. With increased consumer acceptance and demand for sustainable solutions, Ecozen has been delivering strong results.

With that, let me take you through the Company 's Financial Performance:

Turnover :

The Company recorded a consolidated total income of Rs. 4,783 crores during the quarter vis - a-vis Rs. 5,738 crores in Q1 of last year. The decrease in revenue has been

mainly on account of

lower subsidy rates. Subsidy, non -subsidy share of business stands at 81% and 19% during the quarter. In the previous year, it was 86% and 14% in Q1.

Profitability :

The consolidated EBITDA for the quarter was Rs. 506 crores against Rs. 709 crores in the corresponding period last year. The decrease in EBITDA is mainly due to the lower NBS rates and increased raw material prices in fertilizer that we witnessed during the quarter. The Company has improved its non -subsidy EBITDA mix during the quarter, which stands at 25% versus 16% in the previous year.

Subsidy :

During the quarter, Company received Rs. 987 crores towards subsidy claims, comparative figures last year was Rs. 2,069 crores. Government has been prompt in clearing the subsidy dues. As of today, we have received subsidy claims till the first week of July. Subsidy outstanding as of June 30, 2024, was Rs. 1,970 crores versus last year, it was Rs. 2,816 crores.

On the FOREX front :

We have seen the rupee trading in a relatively narrow range and the Company continued to hedge

its exposures on a conservative basis.
Thank you all for your continued interest in Coromandel and joining our call today. We look forward to the interaction.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.
Nirav Jimudia : I have 2 questions. So , one on the Crop Protection side. So, as per the annual report, what we have written is that on the cost side, we have transited from, let 's say, DMT to DMPAT. I am guessing this is for the acephate production, which we are undergoing. And you have also mentioned that we have undertaken cost reduction initiatives, predominantly the war on waste, to reduce the specific consumption of RM and utilities. So, if you can just help us understand how both of this could help us in terms of cost savings on an annual basis, some understanding on the same, ma 'am.
Jayashree Satagopan : Yes. Thanks, Nirav, for the question. If you look into both our businesses, Fertilizers and Crop Protection, fertilizers have been highly backward integrated. Whereas in Crop protection , we are taking steps now to the extent possible, and it is feasible to do backward integration in the Crop Protection as well. As we know, when we do the backward integration, it helps us on 2 fronts. One is to help secure the raw materials at the right p rice. The second one, it could also be cost savings, buy versus make. So, in the DMPAT, very recently we have got the business case

approved. And it 's a smaller capacity plant, which will come up in the next 6 to 8 months ' time. This will help us to be a little more competitive in the Acephate space . The war on waste initiative, current year will be the third year, where the business has been successfully able to identify multiple opportunities across various functions, manufacturing, processing or process engineering, looking into every aspect to optimize and reduce the waste.
This has actually helped the business during the last year when there were extreme pressures in terms of prices and the business was able to use these savings from war on waste initiative to competitively bid and expand our customer base. So, this is continuous focus area, and there 's a lot of efforts that have gone successfully to reduce the cost and the business will continue to focus on this.
Nirav Jimudia : So, ma'am, based on the plant work we are going to commission over 6 to 8 months, how much of our requirement from the outside world would come down with the commissioning of this plant?
Jayashree Satagopan : So, for DMPAT , we are expecting about 20%, 25% of our requirements would be in -house. And depending on how

this goes at a later point, we can look at additional capacity.
Nirav Jimudia : Ma'am, secondly in the annual report, like, last year, we have launched some close to 7 products. If I see Q1 cumulatively, we have launched close to 10 products on the Crop Protection side. If you can just help us understand because in the annual report, we have written that our capacity across the plant s is close to 90,000 tons for technicals. So, with these new products coming in, what could be the market size of such products in India? Does it qualify for the export opportunities also? And along with it, if you can also share the mix between the technical and the formulation sales in FY '24 and Q1 of FY '25? And lastly, how much we are backwardly integrated for our formulation sales through our technical plants?
Jayashree Satagopan : All right. So, your first one was relating to the number of products that we have introduced - last year 7; this year 10. If you look at the history of Coromandel, we have been a bit slow in terms of introduction of new products. When we look into the entire product range, go crop by crop, this we are talking mainly on the formulation front. There were obvious gaps if we were to take any particular crop, like Rice or Cotton or specific fruits and vegetables. So, the team had identified all the crops , so that when a farmer comes to Coromandel, we are able to give them all the solutions and not say we have only a few select products to cater to their requirements. So, there is a change in the approach.
The second one was also to look into patented products where we work with the global innovators and get those products in the portfolio, which will possibly have lesser resistance since they are new to the pests. So, this was a revised approach. In last couple of years, we have seen a large number of formulations that have got introduced, and this has been received pretty well. As I was just mentioning a few minutes back, we have seen that almost 22% of the sales in the domestic formulation today is coming from new products. When I say new product, these

are products that have been introduced in the last 3 years. So, that's one. The second one we are talking about is in terms of the share of formulation in the overall business, which is around

30%. Technical continues to be a large portion of the Crop Protection sales. Formulation still has a long runway. We 're in the right direction. Currently, it 's about 30%.
And when we look into the formulation, I would say by far several of these formulations , wherever we have technical, we use the technicals to formulate. But that is not a constraint. In some cases, where we have to buy technical, either from new players who are manufacturing it domestically or if we have to import we do that and then those formulations are sold in the market. Raghu, you may want to add anything further.
Raghuram Devarakonda : Yes, sure. So, as Jayashree mentioned, I think what we have gone through the press is about the formulation of new products. We also have plans to launch some new technicals for which the internal processes have been completed. So, you should hear about it shortly once we have the execution underway. So, we have a few technicals also, which will be launched. I mean, these are new products for us. Obviously, none of these are new to the industry as far as technicals are concerned. But there are some of those, I mean, at least 4 of the 10 that we launched ar e patented. So, these are absolut ely new in the industry, addressing some of the farmers requirements.
So, having said that, in terms of backward integration and leveraging our capabilities in the technical side of things, we are waiting for these new technicals to come on stream in the next 6 to 9 months, we hope to complete the projects that will further strengthen our competitiveness
i

n the market while we continue to leverage our existing molecules that we manufacture. A nd we are extending the longevity of existing molecules by developing new products, which are 2-way combinations, 3 -way combinations other than just keeping them as solo.
As you may be aware, the solo molecules have a tendency to develop resistance, while combination formulations extend the life of these molecules, because of their multiple modes of attack on the pest. Because pest can develop resistance that easily, becaus e there are multiple things that are acting on the pest, maybe in the digestive system or the nervous system and so on, while the solo will be affecting this one of those mechanisms. So, I hope between the two of us, we have addressed the question.
Nirav Jimudia : Absolutely, sir. Just a small clarification. This 90,000 -ton capacity is purely the technical side of the business, right?
Raghuram Devarakonda : That’s right.
Moderator : The next question will be from the line of from S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh : So, if you look at the nutrient business, what is the understanding you have in terms of potential increase in the NBS rates in the second half or when the industry have to go for an increase in

retail prices, given the recent increase in the input cost and the subsidies being frozen at April. What is the current thought process there?
Jayashree Satagopan : Sankar?
S. Sankarasubramanian : Good afternoon. Currently, the subsidy, which has been announced for Kharif, will operate up to September. And if you notice, there has been a compression in margin in the Kharif, basically because of increase in the commodity prices, and the subsidy notified in February -March, factor ed the raw material prices which prevailed in the previous year. So, there 's always a little bit of a lag between the subsidy rate and the actual raw material price rate. So, we need to wait and watch that, based on the current raw material price trend, which has been rising now, there is a possibility that subsidy will factor in the increase in the input cost. So, it’s a function of commodity prices, and hopefully that will be taken care of in Rabi season . So, hopefully, we should see that major product price increase gets absorbed in the NBS rates as and when it gets announced for Rabi.
S. Ramesh : So, if you look at your Crop Protection business, when you say that the domestic market is looking up and the international business also stabilizing, do you see the decline in prices getting arrested? What was the decline in prices in the overall equation bet ween volume and prices for your Crop Protection revenue performance?
Jayashree Satagopan : So, Ramesh, this needs to be looked into 2 aspects. On the formulation business, as I was mentioning earlier, this is mainly for the demand in India. We are seeing that the prices have stabilized. The new product introductions have helped the Company , so the margins have seen an accretion. Whereas in the technical front especially in our export, we have seen that while there has been a volume increase, there is still price pressure that continue. We expect this to continue for another quarter or 2, because China continues to be dumping and the prices of the AIs are still much lower.
S. Ramesh : Is it possible to quantify what is the reduction in the realization in the export market?
Jayashree Satagopan : I can come back to you, Ramesh.
S. Ramesh : And just one last thought. In terms of your plan for increasing the profitability of BMCC, what is the timeline you have to see that JV turning EBITDA positive and eventually cash positive

based on the investments you 're making?
Jayashree Satagopan : Which one you 're asking, sorry?
S. Ramesh : I am asking about BMCC, the Senegal JV. Right now, in the share of JV, there is a loss. So, in

terms of your initiatives to invest in capacity and increase the productivity there, what is the timeline and what is the investment required? And how long do you think it will take before you are able to generate positive EBITDA and then eventually positive profit after tax?

S. Sankarasubramanian : See, as far as Senegal operation is concerned, last year was the first year, and we could stabilize the production and we started using the Senegal rock stabilizing the Vizag operations. So, to that extent, there has been a positive move in the last year. And we have also taken a decision to move away from the setup what we had last year to a fixed processing plant and that plant commissioning is underway. Hopefully, we should be able to complete the trial run by end of September. And this is an off -season period for mining operations and probably in the second half, we should be able to stabilize the production, and we will get the steady material coming into the Vizag operation s. So, second half, we can see a positive traction on the BMCC operations. And overall for the year, we should be able to reach what we indicated for this current financial year.
Jayashree Satagopan : Ramesh, on your question relating to the volumes and price. The volume uptick in Q1 on export has been close to about 12%, and the price pressure has been more or less in the same range.
Moderator : The next question will be from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.
Vipulkumar Shah : So, my question is what is our annual Phos -Acid requirements for manufacturing the 3.5 million ton of NPK fertilizers. Our capacity right now is 0.5 million ton and same for sulfuric acid also.
S. Sankarasubramanian : See, as for the Phos Acid , the requirement is a function of the product mix ., if we use a high Phos Acid grade like DAP, then the requirement goes up. But looking at the mix, what we generally follow, we optimize the product mix depending on the commodity prices. It can be anywhere in the range of 5.5 lakh tons to 6 lakh tons. And this is over and above the captive production, what we have at Vizag. And partially, some of its requirements has been coming from Vizag to Kakinada, predominantly we import acid only for the Kakinada operations. So, we can say our net -phos acid requirement will be in the range of 4 lakh tons to 4.5 lakh tons, sometimes it goes down to 3 lakh tons, sometimes it goes up to 5.5 lakh tons.
In the case of sulfuric acid, as you all aware, that we have commissioned the plant last year and it is going good . Imported sulfuric acid which used to be in the range of 1 million tons can potentially come down by almost 5 lakhs tons, on annual basis . In the 1st Quarter , we have ramped up the production of sulfuric acid, and we have done more than 100% of rated capacity. So, full year basis, still, we will continue to import sulfuric acid close to 6 lakh tons to 8 lakh tons. Again, it depends on the product mix. Some grades of NPK require more sulfuric acid. So, we can say, our import requirement of sulfuric acid has come down by 30% to 40%.
Vipulkumar Shah : So, once this new capacity of Phos -Acid comes online, still we will be importing Phos -Acid ?
S. Sankarasubramanian : Yes, it will be less. It will be in the range of 2 lakh tons to 3 lakh tons . We will continue to import, and we have dedicated long-term contracts. So, there are no challenges.

Moderator : The next question will be from the line of Prashant Biyani from Elara Securities. Please go ahead.
Prashant Biyani : Ma'am, subsidy for Q2 will also be lower on a Y -o-Y basis. So, what efforts are we taking to reduce the pressure on profitability in Q2?
S. Sankarasubramanian : See, as I said, it 's a function of our raw material price and the product

mix and also the
commodity price, how we are procuring. So, always we have ensured efficient procurement compared to the competition in the industry. And also, we have improved our captive production, both on sulfuric acid and phos acid front . And that is really helping us in the way the commodity prices are behaving at this point of time, now that all the raw materials are going up and we have good, long -term contract. So, we hope to see improvement in margins, coupled with our efficiency improvement, blending of our own rock, which is coming from Senegal. So, all this will help us to have an improved margin in the Q2. So, going forward, we have to see in terms of the subsidy rates for Rabi, how the commodity prices behave. But definitely, it will be much better than what we witnessed in Q1.
Jayashree Satagopan : Just to add to Sankar, the whole industry came out of a bad Rabi season. The soil moisture

conditions were not good, and there was also a high channel stock. So, in Q1 across the industry there was some level of discounting. With the rainfalls coming and reservoir levels becoming much better, I think there is normalization that 's happening there. And Prashant, that also needs to be factored in when you look at the margin for the second quarter.
Prashant Biyani : Ma'am, how much was the revenue from Dhaksha in Q1? And if you can provide some updates about the new product development and demand and inquiries from various industries?
Jayashree Satagopan : Yes. So, Dhaksha, one needs to look at in 2, 3 different ways. They had Rs. 280 -odd crores of defense order book. And there were some agriculture -related orders that they were executing during the quarter. What has happened for Dhaksha is, Agri drone s that have got produced and distributed, whereas on the defense front, 106 drones have been manufactured. We are waiting for the PDIs to happen, post which the shipments of these drones to logistics requirements will be taken up.
In the meantime, there are efforts which are ongoing. As you know, Coromandel had injected about Rs. 150 crores of equity into Dhaksha. This is mainly for multiple R&D projects they are working on. And this is a technology play where we expect a lot more R&D work to happen, to be on the for efront and also ensure there are new applications that are getting developed. So, that's what is happening on with Dhaksha. To your specific point in terms of the turnover, the turnover for the quarter was Rs. 17 crores.
Prashant Biyani : And ma 'am, what would be the outlook on raw material for fertilizers? And how much was Nano fertilizer volume in Q1?

Jayashree Satagopan : Sankar, you want to take this one?
S. Sankarasubramanian : Yes. Raw material prices behave in different ways. At this point of time, there has been some hardening in raw material of prices of ammonia and urea, but we have to take it quarter -by-quarter. And we could contract Phos Acid price, at a competitive rate for Q2, which is fairly much better positioned for the Company like us who are focusing on domestic manufacturing. And also, there is a visibility on potash price, which as compared to last year, has come down to $283 from $319. So, for the key ingredients of phosphoric acid and potash, the prices are relatively stable and much better than the rates which have prevailed in earlier quarters. And for the other raw materials, we have to take those in quarters. I would say that there 's a reasonable visibility in terms of the input cost as we move to the Q2. In terms of the Nano, it is in early stages. As you know, the Nano application happens after 20, 40 days of crop sowing. But in spite of that, we have positioned the material in the channel. So, right now, Coromandel have crossed 10 lakhs litres of Nano, which is a very significant volume, and we do it in a very systematic way in term

s of convincing the farmers and doing education across the country. And hopefully, we will see improved traction on Nano volumes as we move into Q2 when the consumpt ion starts sometime in mid -August. But the initial response has been pretty good.
Moderator : The next question is from the line of Darshita from Antique Stock Broking. Please go ahead.
Darshita Shah : Firstly, congratulations to Sankar sir for the elevation. My first question was with respect to the Rs. 3,500 special DAP subsidy that the government has recently announced. Given that nothing has been announced on the NPK side, are we looking at taking some price hikes in the NPK products?
S. Sankarasubramanian : See, our pricing call is a function of input costs and the market response . As Jayashree informed, we need not go in for an MRP increase per se, but we may require moderating the trade discount which was passed during the off -season period. So, that would be sufficient at this point of time. And with the revised price contracts happened for phosphoric acid and potash, at this point of time, we don 't look at correcting the MRPs for the NPK. The main tradable product, that is DAP, we predominantly import and we don 't manufacture. We still continue to operate at the current MRP, and we are also looking forward to support from government towards additional compensation for the increase in cost what we 're incurring. And hopefully, if it comes through, that will also help us to bring down the negative pricing we have on the DAP .
Darshita Shah : I don 't know if you gave that number or not, but I missed that probably. What is the PA price contract we are looking at?
S. Sankarasubramanian : We have finalized the PA price at $950 for Q2. This price will prevail up to September. There is a marginal increase of $2 over the previous quarter price .
Moderator : The next question will be from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit Cirumalla : The first one is on just a bit of a confirmation of the guidance for the fertilizer segment EBITDA per ton still stays intact or are we going to relook at that?

Jayashree Satagopan : That is intact. We spoke about Rs. 4,500 to Rs. 5,000 for manufacture d products. I think that ’s pretty much intact.
Ranjit Cirumalla : Yes. And the second one is on the growth projects. So, in addition to what we have announced, if you can also guide us about how to look at the Company probably 2 to the 3 years ’ down the line. Fertilizer segments and the other adjacencies that we have been doing. So, you have spoken about drones. But in addition to drones, we also have been speaking about a lot in the Spec Chem of the chemical side, even in some part of the bulk chemical side. If you can just highlight about these two or three avenues and how much should we be able to grow in these segments?
Jayashree Satagopan : So, first of all, before we get on to the adjacencies, I would just want to say that we are focused on core strength . On the Nano, this will be the first year and we are expecting a good uptick to happen. Let ’s see how the consumption picks up in August, September. While the results during the trials have been encouraging, we need to continue to work with the farmers. So, that’s one focus area. The second one is to see how we can improve our share in sales for formulation, which the team has done a very good job in the 1st Quarter , and we expect it to pick up during the rest of the year. So, this is in terms of the core.
When we look into adjacencies, as it was mentioned in last call, we had set up a small facility at Nimrani, which is mainly for sodium silico fluorides. And we have started commercial production and sale of those. Similarly, lot of opportunities have been identified internally, which could be using the existing assets. As we have seen that the prices of the AI

s have come
down during the last 1.5 years is not only for agrochemicals, we are seeing a similar trend in overall chemical space. Therefore, while we have id entified select molecules both in Crop Protection and in Specialty Chemicals, using newer chemistries, we are just seeing how to get the business case more attractive. So, that’s what is happening on the adjacency space, especially on the Specialty Chemicals. The smaller efforts, testing the waters, getting the products out, establishing the customer base is going on well. And CDMO with 3 innovators, there has been good dialogue that is happening, that really is progressing well. It ’s 2, 3 years journey. So, we can only say at this point in time, it ’s progressing in the right direction.
S. Sankarasubramanian : Just to add to that, see, the core business on fertilizers, we have been working on debottlenecking our plants and that project is underway. If you notice, we have been operating at 95% capacity. And currently, we are embarking on P A-SA plant, which is progressing well. So, with a greater visibility on input raw materials, both phosphoric acid and sulfuric acid, and also likely stabilization of rock from Senegal, now it gives us much more visibility to expand capacities in our existing facilities.
So, as a Company , we have been always prudent in capital investment, and we are looking for brownfield expansion. So, we are happy to share that we have got approval during this quarter

to expand our capacity at Kakinada by another million ton. So, as and when the right opportunity comes, we will be looking to expand the capacities as well for granulation so that it will be in line with our intermediate capacity expansion and also will help to grow the top line. So, besides looking adjacencies, we will also be looking to grow the core business what we are currently doing.
Jayashree Satagopan : Raghu, would you like to comment a little more on the CDMO side, please?
Raghuram Devarakonda : I think that ’s the most comprehensive answer we can give at the moment other than getting into details like where are we with the samples, where are we with the tech packs and CAPEX development. So, those I don ’t think would be necessary to share at the moment. So, the progress is happening as planned. And these prospective customers are continuing to engage with us. And both the teams are working a lot more closely. So, it’s going in the right direction. So, we have more than 1 lead, and they are maturing. We ’re not taking the different stages that one has to go through. So, it’s auguring well.
Ranjit Cirumalla : So, one bit on that. I believe the team would be in place. So, probably the kind of a skill set that would be required for the CDMO kind of a business are slightly different than earlier with that.
Raghuram Devarakonda : Yes. So, we have also identified where the infrastructure will come. We have got a dedicated team for both sales and operations, including R&D. Inside our R&D, we have a carve out for CDMO opportunities. And those resou rces are all full time dedicated to this opportunity.
Ranjit Cirumalla : One question for Sankar sir. We have kind of a high capability in the phosphorous chemistry, and there is a lot of talk on the phosphorous chemistry for the new age businesses. So, are we kind of exploring those opportunities or it is still early to talk about those?
S. Sankarasubramanian : You’re absolutely right. In fact, that will be the focus area for us. Currently, we leverage phosphoric acid for fertilizers production. But as part of the diversification, we will definitely look at phosphoric based other derivatives. We have some game plans in terms of using them for purified phosphoric acid, which has got wider applications besides fertil isers, into food sector as well as the battery chemicals . And also , it provides opportuni

ty to produce specialty fertilizers
like MAP, as well as purified DAP, which is required for Nano production as well. So, I think
that will be the area sort of step out for the Nutrient business, besides what Raghu and Jayashree
talked about on Specialty Chemicals. In the case of Nutrient, that will be the step out beyond the
core fertilizer business. And we are in the initial stages. We will be able to share more as we
move into the Rabi season, but definitely, we are looking at it.
Ranjit Cirumalla : That's quite helpful. So, everything put together, is it fair to assume that probably incremental
10% to 15% of the growth can accrue from these initiatives that we are taking? Or we 're not in
the near term next 1, 2 years, but we 're definitely in 3 to 5 years ' timeframe?
Jayashree Satagopan : Yes.

Moderator : The next question will be from the line of Falguni Dutta from Mansarovar Financials. Please go
ahead.
Falguni Dutta: Sir, I just have 1 question, which is on Nano fertilizers, the urea or DAP. Going by the acceptance
that you see , what percentage of our domestic demand, let 's say, in 2 years from now can be
taken over by the Nano variety of be it of urea or DAP?
Jayashree Satagopan : There has been a good amount of traction in the last couple of years in the Nano space. For Nano
DAP, it's the first year of operations for us . Based on various inputs that we keep hearing, over
the next 3 to 5 years, the expectation is about 20%, 25% will be substitution .
Falguni Dutta: I missed you. You said over in the next 3 to 5 years, about 25% of substitution can happen as
regards DAP consumption, right?
Jayashree Satagopan : Yes.
Falguni Dutta: And the same would go for Nano urea?
Jayashree Satagopan : It's possible. But Nano urea, we haven 't seen as much of results. The last 2 years, IFFCO has
been marketing Nano urea . We haven 't seen that level of traction; the DAP looks a little more
promising. We have introduced the Nano DAP ; there is work going on in our R&D center on
other Nano products as well .
Falguni Dutta: And ma 'am, one more question, which is on the MRP and subsidy for DAP. So, going by where
they are currently, should we, I mean, see the margins to remain similar at Q1 levels? Or do we
see any change there on going by the current subsidy and MR P for DAP and NPK?
S. Sankarasubramanian : Shall I take that?
Jayashree Satagopan : Yes, you can go ahead.
S. Sankarasubramanian : See, as far as DAP is concerned, we are trying to meet the market demand, especially wherever
NPK supplies cannot be met. Ideally, we feel as an industry, we should go for more balanced
nutrition, which is good for the farming community. So, our focus is more on NPKs. And we
can see that improved traction in the 1st Quarter . If you see the consumption as well as the sale
of NPKs, have gone up significantly, whereas DAP has come down more due to the function of
availability.
So, our endeavour will be to convert DAP into NPK. Having said that, the government is also
seriously considering compensating the industry, wherever the switchover may take time from
DAP to NPK. And that we need to meet the immediate requirement of farmers. We will try and
meet the requirement, but the government is also looking to compensate additional cost,

whatever we incur. So, that should come in any time now. So, if that happens, that improves the
viability of either DAP imports or DAP manufacturing, either of it.
Moderator : The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.
Bharat Sheth : Just 1 question, which is, first of all, we have on the Nutrient business, you said that we have
already taken approval for 1-million -ton additional capacity. So, looking at overall business, we
are generating very good

case as well. So, if we want to go with this 1 million along with the
backward integration or only purely granulation part. If we are going for with backward
integration, then how do we really see the way I mean, volatility, in past, we have seen again
that kind of volatility affecting our Company ?
S. Sankarasubramanian : See, we are already doing that backward integration. As you 're all aware, we are putting
phosphoric acid, sulfuric acid integrated facility at Kakinada. So, to that extent that will help in
supporting the additional granulation . And also, the product mix makes a difference. The
margins maybe a challenge for generic grades. But as a Company , we strongly believe in making
a unique product offering to the farming community. And we have a wide range of unique
products along with micro nutrients.
So, our new facility, as and when we decide, we will have certain unique grades, which will not
have pricing pressure, which can be well received from the farmers, whose nutrient use

efficiency would be better. So, we do expect that the additional granulation facility will
definitely be a win -win for both farming community as well the Company in terms of the
payback. Of course, backward integration will be useful. But in any commodity business, it will
not be advisable to do 100% backward integration. These 2 commodity prices behave in highly
volatile manner . So, we always would prefer to keep some portion of open input sources rather
than creating our own investment. And we will also be prudent on our capital investment in
creating this new capacity.
Bharat Sheth : Can you give some ballpark figure of that CAPEX that we may need to incur for the same?
S. Sankarasubramanian : Maybe too early to comment on, but I can definitely tell you, it will be far lower than the typical
Greenfield project. Since it 's going to be a Brownfield , which means the common infrastructure,
tankages, other related infrastructure will not be required, it 'll be more focused on the operating
asset trying to produce the product. So, it will be far lower than that. And we always be capital
light on these investments.
Bharat Sheth : And second on the Nano DAP, when we are talking of reaching, say, 25% of the requirement or
demand in the next 3 years. So, what kind of a CAPEX that we may need to incur for the same?
S. Sankarasubramanian : For Nano, it 's not a major investment. We have already invested in a state of the Art plant at
Kakinada, which has been commissioned and we can improve the capacity in a batch mode. It
will not be a significant investment. Here again, we have the existing infrastructure created and

already in place. So, we should be able to scale up the volumes in a shorter period of time, and
it is not a very significant CAPEX .
So, on the replacement part of it, we have to wait and see because as Coromandel, we are very
responsible in terms of promoting this product and we have to see as the phosphatic industry,
we are the largest importer of DAP. Our effort would be to substitute th is DAP import through
Nano. So, our focus would be on those states where currently DAP is serviced through imports.
And we have a feel at least 2 million tons should get replaced in at least 2, 3 years ' timeframe .
Coromandel and other players have also started getting into this product and we don 't see any
challenge in creating the capacities to meet such sort of a demand .
Bharat Sheth : And sir, when we reach, I mean, 25% kind of our business meeting from this Nano DAP, what
kind of approximately that in rupee term turnover will be there sales that do you expect?
S. Sankarasubramanian : See, this replacement what we are talking about is at the industry level, not at the Company level.
Currently, if you look at the Nano product or bottle it's 50% of the DAP price. If DAP is getting
sold at Rs. 1,350, Nano DA

P part icle will be sold at Rs. 650. So, we can roughly say that turnover
will be 50% of the turnover of DAP.
Bharat Sheth : And profitability?
S. Sankarasubramanian : Regarding the subsidy component, here, there is no subsidy component. So, to that extent you
can say that 50% of the DAP MRP will be the value of Nano DAP.
Bharat Sheth : And approximately, if you can give some ballpark, I mean, profitability because here it will be
in percentage term?
S. Sankarasubramanian : Yes, you can do the math, 2 million ton into 1,350 . Roughly it should be in the range Rs. 1,000
crores, Rs. 1,500 crores at the industry level. But I need to get back to you on the right math.
Bharat Sheth : And profitability?
S. Sankarasubramanian : Profitability, it 's too early to look into it. We have to see. Because this product being concept
selling, it requires a lot of spending on the field level in terms of field promotion engagement .
And initially, we are not looking at the profitability, it 's more to facilitate the farmers to go in
for an environmental friendly product and make them affordable, improve the use efficiency. It
can have a decent margin and with reduced subsidy being not part of the sale price it 'll be less
working capital intensive as well. It will take some more quarters to play out before we start
talking about margin on Nano DAP.
Moderator : The next question will be from the line of Vishnu Kumar A.S. from Avendus Spark. Please go
ahead.

Vishnu Kumar : Sir, you spoke about the new 1 million ton, I mean, we are talking about some approvals. I mean,
in terms of final investment decisions, what are the events that are contingent upon like on for
us from here to when we are going to announce this project? And what is the time line from
there to get this on the ground? And what will be the backward integration as an overall
Company at that level?
S. Sankarasubramanian : What is your last question? Can you please repeat the last part? I 'll answer that.
Vishnu Kumar : After everything put together, let 's say, whenever we get this 1 million ton on the ground, at that

level, what will be the Phos -Acid integration and sulfuric acid integration on that complete level, whenever we do to?

S. Sankarasubramanian : See, in terms of the investment decision, our internal project team is investing on phosphoric acid and sulfuric acid. So, currently, our plates are full. So, once we reach some certain level of project execution in the intermediate capacity, which we are creating in Kakinada, we may take investment decision at that time. And after we take final decision and take all approvals, it may take 18 months to create th is new capacity. So, that's the timeline we have.

And in terms of the intermediate requirement, it 's a function of the product mix what we are going in for in the new plant. As I mentioned in my earlier communications, we are looking at value -added products. And we can fairly say 60% to 70% of the expanded volumes we should be able to meet at our own source. And the new capacities what we create also always will have some provision to increase the production beyond the rated capacity. So, we have to wait and see. It 's too early to do it. But fairly, 60%, 70% of backward integration will be there.

Vishnu Kumar : The final decision is this year, or we will have to wait for next year probably to hear more from you?

S. Sankarasubramanian : We don 't want to pre -empt it. What I can say is we have these regulatory approvals in place. We will go through the process before we formal ly communicate.

Vishnu Kumar : And 1 final question, sir. As the new boss of the Company , I mean, you 're a fairly well -run Company . So, what will be the top 2, 3 KRAs to probably take the Company to the next level that you are probably going to embark on?

S. Sankarasubramanian : It's not yet 1 -day old. So

, I don 't want to come to the decision, which are the areas we 'd work on. As you rightly said, it 's a very well -managed Company and long -term strategies are already in place. Our focus would be to ensure that we sustain the value addition, what we do on core business and building the capacity and create a strong front end in the main business where we operate.

Besides that, the non -subsidy businesses like Crop Protection and Specialty Chemicals, we will have the focus going forward to ensure that our overall EBITDA margin improves. And also,

we talked about in the call, about our step outs that we are planning, in the phosphate -based value -added products. So, that will also be the area. We will be able to give more clarity probably after a quarter, but it will be the ongoing process of identifying the newer opportunity to ensure that we get better returns for all the stakeholders.

Moderator : Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Jayashree Satagopan : So, thank you all for joining us and appreciate your interest and questions. In case you have any further clarifications, feel free to reach out to us. We will be happy to take that. Thank you.

Moderator : On behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Ref. No: 2024-25/111
November 4, 202 4
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on October 25, 2024
This is further to our letter dated October 25, 202 4 regarding audio recording of conference call with analysts and investors.
In this regard, we wish to inform that the transcript of the Conference Call held on October 25, 202 4 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take th e above submission on record.
Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited Q 2 FY25 Earnings Conference Call "

October 25, 2024

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
MS. JAYASHREE SATAGOPAN -- PRESIDENT CORPORATE AND CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA -- EXECUTIVE DIRECTOR , CPC (BIO PRODUCTS AND RETAIL),
COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Coromandel International Q2 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors . Thank you, and over to you, sir.
Nitin Agarwal : Thank you , Siddhant . Hi, good afternoon everyone , and a very , very warm welcome to Coromandel International Q2 FY '2 5 Post -Results Earnings Call hosted by DAM Capital Advisors Limited.
On the call today we have representing Coromandel International Management, Mr. Sankarasubramanian S. – Managing Director and Chief Executive Officer, Dr. Raghuram Devarakonda – Executive Director (CPC , Bio and Retail Business), and M s. Jayashree Satagopan – President (Corporate) and CFO.
I will hand over the call to the Coromandel Management Team to make the “Opening Comments ” and then we will open the floor for questions. Please go ahead , sir.
S. Sankarasubramanian : Good afternoon , everyone , and thanks , Nitin , for organizing this Q2 call for Coromandel. First I will give you the overall business environment what we witnessed during this quarter followed by our business performance and Jayashree can take us through on the financial updates . Then we can have Q&A session.
As you all know, the monsoon has been good at 108% of the long -term period average and we have witnessed a strong Kharif season. Actually , our s outh markets received 114% of the normal rains .
Northeast monsoon which is likely to bring rains to Rayalaseema and Coastal Andhra has started on a strong note, and we do expect a very strong Rabi season. IMD is predicting a bove normal monsoon , and as we speak , the reservoir levels are looking very healthy. The storage, especially in the southern markets are much better than what it was in the last year.
Also , the crop acreage was good in Kharif. Except for cotton, rest of the crop s we have witnessed growth over the last year and better than the average of five years as well. So, we do expect this positive trend to continue in the Rabi season with improved reservoir levels and increased acreages. Overall , food grain output is likely to be good , which is very good from the food inflation point of view.

On the policy front also, the government has been increasing the MSP , and there has been a recent announcement on increasing MSP for the Rabi season. It has been a 2% -7% increase in number over the last year for various crops.
Also, the government has been advocating the PM-PRANAM scheme and they have released funds to farmers to improve the liquidity in the market.
As you all know, the NBS rates for Rabi have already been announced ahead of time. There has been marginal increase in the nutrient rate for P, whereas N and S have seen some reduction.
Government, in order to focus on availability of DAP, has given special package for DAP and also encourage industry to actively source DAP and agreed for compensation beyond certain cutoff rates. So overall, there have been some challenges in supply chain linkage due to global geopolitical situations. There has been a challenge in DAP availability, which is improving now.
On the industry front, raw material prices have started moving up in the recent past. After reaching the lows in June, July, we have seen spikes happening due to Middle East flare-ups and also due to limited

participation by China in exports. Certain supplies of raw materials have been impacted due to production outages for certain industry players .
The industry’s production more or less has been maintained well, and there has been a growth in production by 4%. Of course, the imports are down due to supply -related challenges, and the consumption has moved up because of the good monsoon, especially on the NPK side.
If I have to look into Kharif consumption data, it's very heartening to note that the NPK has witnessed a significant growth of a million -ton, an increase of 18% over the corresponding period of last year, replacing DAP. And this is a good trend to be in , because this encourages balanced nutrition, and that is what Coromandel has been advocating for many years now.
So, consumption overall has been down basically due to a drop in DAP consumption, made up adequately by NPK. Potash has largely moved up due to improved availability . In Single super phosphate , there has been a margin al reduction , but the industry is moving more towards value -

added products.
Overall, I would say that the industry performance in a given situation of global commodity supply chain challenges has performed well, and the farmers have started using more of agr i inputs to improve productivity.
Coming to specifically Company 's performance in Q2, fertilizer plants operated at over 100% capacity. Production during the quarter was at 8.8 lakh tons , 13% growth over last year, being one of the record performance for fertilizer operations.

During this quarter, we restarted our phosphoric acid, Sulphuric acid plant at Ennore. Our project announced in the early part of the year in April for Phosphoric acid and Sulphuric acid facility at Kakinada is progressing as per plan . We have released major orders and there has been good progress during this quarter.
This project is likely to be commissioned by March '26, and hopefully when this plant is ready, overall 60% to 70% of our captive acid requirements will be met internally , giving us a lot of operational flexibility and raw material security.
Recently , we announced acquiring the additional stake in BMCC, basically to consolidat e our position. Currently, we hold 45%. With this announcement of additional acquisition of 8.8%, we will be crossing 50%. We will be holding 53.8%.
We are also in the process of stabilizing our fixed processing plant at Senegal, which is just commissioned last week. And hopefully, we should streamline the production and see increased volumes coming into India. During the quarter, we have significantly increased the usage of Senegal rock at Vizag and ensured the output of acid is in line with our expectation.
As part of our expansion plan, having created raw material linkages for both acid and rock, as a next logical step, the Board in its meeting held yesterday approved the Company 's plan to expand the granulation capacity by 7.5 lakh tons. This will be a Brownfield expansion coming up within Kakinada, which will take the capacity of Kakinada plant from 22.5 lakh tons to 30 lakh tons, making it as the largest fertili zer complex in the country.
This is in line with the government 's thrust on Atmanirbhar Bharat in phosphatics . With a lot of global challenges in availability , Government has been encouraging industry to go in for captive production. As a Company , we have been consciously securing our raw materials. And now phosphatic s facility is also coming up. As next logical step , we have decided to move in for granulation train .
As you all know that industry is still importing 6 to 7 million tons of DAP and NPKs, especially major imports coming to north part of India. And that is where Coromandel is looking to fill this and substitute the imp

orted DAP with NPKs.
We have been a strong player in NP and NPKs in the southern part of India. And now we will try and see how we replicate this story in the north to replace the imported DAP. This will also help in balanced nutrition, improving the yield for the farming community.
Overall, on the operational side, the business has registered a very strong volume growth during this quarter. On a quarterly basis, we have done 13% volume growth over the last year and 7% on a half yearly basis. On a half yearly basis, we have reached 21.5 lakh tons, which is one of the record sales volumes we have done in the recent past.

On the consumption basis, our market share has gone up for the quarter. During this quarter, there has been a significant increase in our consumption market share from 1 7% of last year to 20%.
During Q2, our SSP sales volumes have grown by 9% . We have started focusing more on differentiated fertilizers like Gro Plus, which has got micron utrients in SSP.
During this quarter, we have launched the Urea SSP, which is basically a combination of N and P in SSP. It has got the same ratio of N and P, similar to what we have in DAP. It has been very well received in the market and can be a good substitute and alternate for DAP . And the advantage what we have is that we get freight subsidy for this product. So, as a business , SSP has turned out well this quarter, with the focus on unique grades and also differentiated products and U rea SSP.
As you know we are into drone spraying services. We have created separate vertical . We have been driving this business for the last two quarters. And we have done 40,000 acres. We have this unique advantage of having drones supplied from our group Company , Dhaksha . We have also partnered with some of the institutional players in this segment to improve the drone spraying services.

Another business which we started off last year in November, Nano DAP, has been received very well in the marketplace. During this quarter, we have focused mainly on the consumption part, whatever we placed in the earlier quarters. A lot of market development activities and awareness campaigns have been carried out. We have engaged with various research institutes in terms of improving and ensuring that this product brings in desired impact for the farmers in terms of replacing DAP. Slowly, awareness is co ming in and we are getting good response, especially for the crops with higher foliage. Government has also been giving t hrust to this product as a good alternative to DAP. So, we will be scaling up these volumes and we have created the state -of-the-art plant in Kakinada and hopefully we should do better in the coming quarters.

On the specialty fertilizers, our volumes have grown compared to last year and we have done very well on the sulfur segment. Especially states like Karnataka and Maharashtra, we have performed very well on the specialty nutrient category. We are also in the process of establishing additional capacity for sulfur, which will be coming up by the end of Q3.

Overall, the nutrient business has done very well in a given situation of volatile commodity prices. We are able to focus on our own unique grades and give trust to the business.

Crop protection business , which had soft quarters in the last year, has really played out well during this quarter. The business has improved on the top line as well as on profitability . The margins have moved up. In the formulation business segment, there has been a volume growth of more than 20% , thanks to the new formulations we have introduced during this half year.

They are all performing very well and received well in the marketplace , and we co

ntinue to work
with innovators to bring such new products to improve our formulation business in India.

Thanks to the positive response to Mancozeb demand in the global market, there has been a considerable uptake in volumes and exports have grown by 10%. It's been good revival in demand for Mancozeb and anticipating this, we are also trying to see whether we can increase our capacities to meet the market requirement. This buoyancy in Mancozeb demand is likely to sustain for the coming quarters as well.

As you all know, in yesterday's Board meeting, the Board approved putting up a multi -purpose plant at Ankleshwar . This is again a Brownfield expansion we are looking to put up for fungicide plants for recently off -patent molecule s. We will be amongst the first ones to get into this product. In terms of volume may not be significant , but they are high value and generate a good amount of top line and we will be focusing in Latin American markets as well as formulations for the domestic market.

We will be investing 170 crores in this plant which will take 18 months to come in and in parallel we are working on product registrations as well as scaling up volumes in the period to come. This will also help us to understand new chemistries and bring in new process technologies , which will help us to attract CDMO players who are looking to tie up with us. So , this will be a good start on the CDMO opportunity which we have been talking about for the few quarters.

So, we will continue to engage in these prospective discussions with innovators , and we will continue to focus on R&D trials to come up with a new set of molecules . This investment of multi -purpose plant is the beginning , and we need to add some more in the days to come to see that we grow the crop-protection business on a faster pace.

On bioproducts, where we are one of the largest player s in the neem -based bio-pesticide s, we are trying to diversify this segment . We improve d our sourcing capability to set up the new systems to handle the neem seeds . We source d neem at competitive price which will help us to have some visibility on the margin structures in the coming quarters.

In retail business, where we have a significant presence in the Southern markets and is one of the largest player in the agri -rural retail chain, we have done very well across the product categories . Our non-fertilizer segment has grown well , thanks to increased footfalls in our retail outlets.

We have opened 45 new stores during the half year . Retail is a way for us to expand and improve the business. We have seen that whatever new products we are introducing in various business segments, retail could scale up the volumes and go to market much better than the trade channel.

Retail has launched Nano DAP and they have received very good response . The direct connect with customers is really helpful to understand the psych of the customer and ensure that we position the products well.

So, overall, across all the business verticals, the company has done well. And while in terms of

overall profitability it may be marginally lower than last year, but in terms of sequential performance over the previous quarters, we have grown both on top line and as well as bottom line. And our Q2 performance is also better than street expectations.
I would now request Jayashree to take us through financial performance. And then we can have Q&A later.
Jayashree Satagopan: Good afternoon, everyone. And thanks, Sankar. The financial performance for the quarter and the half year is as below.
As far as the turnover is concerned, the Company recorded a consolidated total income of Rs. 7,498 crores during the quarter and Rs. 12,281 crores during the half year, vis -a-vis the corresponding period o

f Rs. 7, 033 crores and Rs. 12,771 crores, respectively. This marks a growth of 7% for the quarter and a degrowth of 4% for the half year. The decrease in revenues is mainly on account of drop-in subsidy rates in the fertilizer business as compared to last year.
Subsidy business ' share in revenue stands at 84% during the quarter and 83% for half year. During the previous year, it was 84% for the quarter and 85% for half year.
On profitability, the consolidated EBITDA for the quarter was Rs. 975 crores, as against 1,059 crores in the previous year. For half year, it was Rs. 1,481 crores, vis-a-vis Rs. 1,768 crores during the previous year.
Subsidy business ' share in EBITDA stands at 73% during the quarter and 72% for the half year. The corresponding numbers of the previous year was at 81% and 82%, respectively.
Net profit after tax in the quarter was Rs. 659 crores in comparison to Rs. 755 crores for the corresponding quarter last year and Rs. 9 68 crores for the half year, as against Rs. 1,249 crores in the previous year.
As far as subsidy is concerned, during this quarter, the Company has received Rs. 2,868 crores towards subsidy claims. In the previous year, this amount was 4,243 crores. For the half year ended, the Company received Rs. 3,855 crores of subsidy. The previous year, the corresponding number was 6,312 crores . Subsidy outstanding as on 3 0th September 202 4 was a t 1,714 crores . In the previous year , this number was 1,497 crores.

The Company had closed the quarter with net cash , which is including deposits , mutual fund investments of Rs . 4,214 crores and it is focused on improving the working capital levels to further enhance the net cash position.
As far as FOREX is concerned , recently we have seen the rupee depreciating. Coromandel continued to maintain a conservative position and hedged its exposure accordingly.
We thank you all for your continued interest in Coromandel and joining our call today. We look forward to the interactions and the question and answers.
Moderator: Thank you very much , ma'am. We will now begin the question -and-answer session. Our first question is from the line of Prashant Biyani from Elara Securities . Please go ahead.
Prashant Biyani: Ma'am, w hat drove the profitability improvement in crop protection and especially the non -subsidy non-CP business?
Jayashree Satagopan: Hi, Prashant . Thanks for your question. In crop protection business , we have seen a good growth happening in the domestic formulation business. And during the first half, the Company introduced 10 new products including one patented molecule of ISK. So, all these products have received very encouraging response and that has to some extent showed the profitability.
Apart from that, some of the cost measures that have been taken at the plant over the past couple of years have also led to a better c ost position compared to the previous year's, which has also helped in sho ring up the margins.
Prashant Biyani: And ma'am, on the non-subsidy non -CP part?
Jayashree Satagopan: The non -subsidy non -CP part is mainly specialty nutrients . Some of it is also in the retail business , and we also have the recent launch of Nano products. The specialty nutrients business has been doing pretty well. It's continuing its trend like in the past years , and there has been some good actions in terms of sourcing the materials at the right cost. And these have also contributed in improving the margin.
Prashant Biyani: Ma'am, secondly, if Sankar sir can answer this, rock prices have increased off -late, I guess from the lows. And how are we stocked up on the inventory of Rock phosphate , till which month? And do you also expect phosphoric acid prices to increase from here? If yes, then what could be the immedi

ate levels that we can look at?
S. Sankarasubramanian: See, phosphoric acid price for the Q3 is yet to be settled, but there will be a definite increase compared to what it is right now because the DAP prices have moved up and generally , these prices do move in tandem with the DAP. Other input prices have gone up, so the industry is negotiating to get better rates, but there will be an increase over the previous quarter.

In terms of the Rock prices, the advantage what Coromandel has got in terms of access to mines , understanding the cost structure and increasing the supply from Senegal is helping us to manage better in terms of the Rock sourcing. We always ensure that we cover for three to four months ahead considering the sailing time and also the challenges what we have in the geopolitical situation. And to that extent, always we have a positive carry on strategic materials like Rock phosphate.

Prashant Biyani: Sir, then going forward, if you see the ammonia prices , subsidy on N has reduced, but prices have increased. So, how would it change the complex portfolio mix for you going into H2? Will it be more towards NPK only? And if then, in which grade it will be?

S. Sankarasubramanian: See, this has been a temporary phenomenon . There have been some production outages by large players in the Middle East and prices should soften. Probably one month spike is there, but we don't expect this to sustain for a long time. So, ammonia prices can come down.

Having said that, the Rabi subsidy is what has been already announced. So, we need to see how we optimize the product mix and also there can be some flexibility in terms of the farm gate prices later December , going into January, which could help us to pass on this cost if this cost is likely to remain where it is now. But I don't believe that these higher ammonia levels are likely to remain.

There can be some temporary challenges in the margin structure , but it should get normalized, and we do keep optimizing the grades , there is a flexibility in switching over from one NPKs to another NPKs , and we have pricing flexibility and input cost advantage . And our own captive production of sulphuric acid and Phos Acid also help us to sustain the margin.

Prashant Biyani: And ma'am, lastly , before I jump back into the queue , how much was the revenue from nano - fertilizer as well as Dhaksha in Q2?

S. Sankarasubramanian: Nano -fertilizer in terms of our focus for Q2 as I mentioned was more on the consumption side . We have done roughly 16 .8 lakh one liter bottles in terms of the volumes , during the first half. We can scale up the volumes and we will be focusing on doing it in Q3.

In terms of the D haksha probably we will address it separately or Jayashree can add that . Mainly its orders are in terms of agr i drones, which Coromandel has purchased , and there are some balance orders executed with other fertilizer companies as well. Other defense orders are in pipeline waiting for the execution to happen.

Moderator: Our next question is from the line of Parth Mehta from Vallum Capital . Please go ahead.

Parth Mehta: Just wanted to ask , so you mentioned that the new MPP in the crop protection side will help meet the growing demand for the identified products in domestic and expo rt geographies. If you

could just help me which are the products that you have identified and in the domestic and the expo rt geographies that would help us grow.

S. Sankarasubramanian: I think Raghu is on the call . Raghu probably can take through , but we don't want to get into specifics on which products for obvious reasons , but broadly , Raghu can talk through on what we are trying to focus on.

Raghuram Devarakonda : I think at the moment whatever

Sankar mentioned , for the obvious reasons , we don't want to divulge their specific names , but as you are aware dependence on Mancozeb is quite significant . So, with this approach , it's going to broad base our portfolio in fungicide and thereby de -risking dependence on that. And besides the CAPEX will take a while to execute as well. Once we go live, I am sure we can share more details on the specific products. Suffice to say that these are relatively younger products . I think again Sankar in his initial address mentioned that these are recently off -patent molecules so that there is a longevity and therefore , there can be sustained demand for such molecules going forward . And these contemporary A Is lend themselves to good combination . So, they combine very well with other molecules . So, we plan to formulate some novel mixtures in the meantime , some of which are already in the pipeline for registration . So, by the time the CAPEX gets executed , we will also be receiving some of these registrations so that we can quickly leverage the capacities that are coming online. I hope that kind of addresses your question.

Parth Mehta: Yes, that was helpful . And I just wanted to understand are we coming up with any of the new molecules that are being developed in our R&D or are they more of from the tie-ups that we have done.

Raghuram Devarakonda: So, as you are aware , we are a generics player , but for the new molecules , I mean when you say new, if they are patented , we are in the process of bringing such molecules from innovators . We are not innovators . We don't do discovery on our own . There are plans for bringing in patented

molecules through our distribution channel globally.
Parth Mehta: Just last one if you can help me , how is the Chinese molecules fairing out right now in the export market scenario situation globally in terms of volumes or prices?
Raghuram Devarakonda: Yes, at the moment , the prices have bottomed out is the general sentiment globally , and the expectation is that they will start going up sometime middle of next year , that is the calendar year. And I mean , these prices we believe are not sustainable for too long because the Chinese would also like to recover whatever they have invested in . So, because of the previous , as you may be aware , there was a glut in the system , the inventory in the pipeline as well as there was a drop in the commodity prices in Brazil for soybean , cotton and so on , which kind of reduce the grower 's willingness to spend money on additional sprays.
So, all of those are easing up, particularly the inventory is nearly gone. The excess capacities will continue to haunt. Maybe the smaller players, the marginal players would have been pushed

out. So, the total available capacity might have shrunk. And thirdly, the commodity prices are also expected to go up.
So, all the three factors that led to a significant price drop are now easing off. So, that should eventually lead to an improvement in prices. So, this is what we understand of the scenario as far as the Chinese players are concerned in the market.
Moderator: Thank you. Our next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.
Vishnu Kumar: In terms of the fertilizer business, the operational profitability is better than expected for most of us. So, is there anything that we have done differently or is the vault, because we understand that pricing was relatively not that great for us, given the RM and the end market prices. So, what has led to kind of slightly better, at least from what we were considering? Is it any operational costs or mix? Any help would be great.
S. Sankarasubramanian: As you are aware that last year we commissioned Sulphuric acid plant and that's been well timed and very

helpful. When the global Sulphuric acid prices went up, we could produce Sulphuric acid at a much lower price. And also the power generation, what we envisaged, we could operate our turbines at full capacity and that has significantly reduced the conversion costs.
So, our ability to scale up the projects to 100% plus capacity, improved operational efficiencies, ensuring that the intermediates like phosphoric acid where we capture the value addition, we operate at full capacity and the timing of our raw material purchases and the type of rock what we use and the sources of acid we use is completely different.
We have product flexibility in terms of optimizing the NPK mix, depending on the subsidy and the market price, ability to source and use different types of raw materials, whether it is rock or acid, and our intermediate capacity is helping us to generate power and also alternate water source like RO plant which we put up last year , all these been helpful to manage this sort of a volatility in commodity prices and come back with the margins. Had the commodity prices have been stable, our numbers would have been much healthier than what we are reporting now.
Vishnu Kumar: How much would probably be a structural cost savings for us like as you mentioned on the power and the RO and water, others I understand can move up and down. So , how much could be a structural cost savings that we are going forward we should see?
S. Sankarasubramanian: See, Sulfuric acid alone can potentially give us close to 160-170 crores per annum, both in terms of the delta between the imported sulfuric acid price and the cost of production and the power generation. So , half year will be somewhere between 40 -45 crores and that can get doubled. It's not only helping us in bringing down the cost but also in terms of the environmental norms , and we are one of the world class facilities with norms much less than the global standards.

Vishnu Kumar: Sir, also on the, you mentioned that this quarter or rather we have seen in Kharif that the DAP consumption has been markedly lower and NPKs probably come up well. Is it this, this is because of the profitability for traders was very low or since from a import replacement angle government would probably want us to probably import lesser DAP. So , should we see structurally this is going to be a theme for, so DAP will go down ? Is this a more of a short -term issue or like we will bounce back and DAP will come back?
S. Sankarasubramanian: No, absolutely. In fact, it looks to me a structural shift which is happening , especially in the North markets , which are predominantly using DAP for many years. To some extent , the shortfall in the availability has also helped people to try out the NP grades like 20:20 as well as NPK grades . And government also encourages balanced nutrition , and it's a combination of multiple things. Lack of availability, making people to look for alternates and that has helped in

improving the volum e of NPK fertilizers by a million ton. And there has been a general increase over the last four years in terms of the share of NPKs versus DAP in the overall phosphatics. This augurs well and this helps in multiple nutrients. As a Company like Coromandel, we are not only focusing on primary nutrients in NPK but also trying to see whether we can add secondary nutrients like boron , zinc and come up with unique grades.

So, more and more , I think industry should move towards custom ized fertilizers. That's what our approach would be to ensure balanced nutrition, improve productivity for the farmers and the government is also supporting for this.

Vishnu Kumar: This 0.75 million ton of capacity, when are we likely to have it , in terms of commercial sales, when should we begin ? And in the interim to capture the ma

rket before we launch the product, are we going to do additional marketing and how should we see the approach from now to when the plant comes in?

S. Sankarasubramanian: Good question. The plant will take two years to come in and rightfully we can't be waiting for the capacity to come in and start selling. In fact, currently our volumes could have been much better if we had additional production. We are operating at 100% capacity. We are supplementing it with imports. Our imports are predominantly on DAP. In fact, currently our sale volumes are much higher than what we produce. Our overall production is in the range of 31 to 32 lakh tons , whereas we are inching towards 40 lakh t ons. So , we will try to grow this volume for the next two years as well until we have our own capacity.

So, we will be also focusing on newer geographies, northern markets where our efforts will start now in terms of seeding the market with NP, NPK fertilizers and developing our market for these grades. It may take a while before the switch happens from DAP to NPK and that's what we will be exactly doing during this project implementation time so that as and when the plants are ready , we will be able to supply those materials from our own manufacturing facility. Till such time, we will be meeting it with imports.

Vishnu Kumar: So, this area that we will target will still be within the zone where our freight subsidy is there or we will stretch it outside also.

S. Sankarasubramanian: In Phosphatics freight subsidy operates across India up to 1 ,400 kilometers . So, I don't see any challenges.

Moderator: Thank you. Our next question is from the line of Resham Jain from DSP Asset Managers . Please go ahead.

Resham Jain: So, just two , three questions. The first one is you mentioned in your opening remarks that you have opened 45 new store s in this quarter. Is that correct?

S. Sankarasubramanian: 45 new stores in half year

Resham Jain: This will be possibly the highest number of stores you have opened it seems. So , what is the strategy on the retail front , let's say , over the next two, three years?

S. Sankarasubramanian: We are very keen to increase the footprints, and we have enough space to operate even in our key markets like An dhra, Telangana where we may look to increase the numbers from what we are in. At least currently we are around 750 to 800 stores. Our aim would be to increase it by another 20 % at least in the coming two or three quarters.

But we are very , very cautious in terms of where we are opening . So, we ensure that we break even at the earliest. Based on our learning curve , we don't take longer period nowadays to reach the break -even level.

So, our choice of location and the product segments and categories will play an important role. Our aim is to scale up the volumes , not only to certain markets , but also look at pan India. So , we may be looking at western markets as well where we can target certain ge ographies and crop segments . So, our aim would be to increase our retail footprint s, and we got our model right . Our ability to connect with farmers has been far better than what it was few years before . So, we will try and expand and exploit this opportunity .

Resham Jain: So, sir, from number perspective , these 750-800 stores can go to what number , let's say , in next three years ?

S. Sankarasubramanian: We are in the discussion stage. We can let you know once we come up with strategy. I don't see why can't we double it in next two, three years ' time. But still in the drawing board . As I mentioned that we are not in a hurry to increase the centers, but we will do it in a systematic and cautious way.

Resham Jain: So, the second question is the incremental or higher subsidy for DAP versus NPK. So, does that mean that our o

verall production will be higher of DAP versus NPK, at least in the near term?

S. Sankarasubramanian: As a Company we have been focusing on NPK productions and we import DAP . We will continue this strategy.
Resham Jain: Despite the higher subsidy for DAP, that doesn't change anything from your overall production mix perspective.
S. Sankarasubramanian: Yes, but additional compensation in DAP is helping to manage the gap between the subsidy and MRP versus the cost. It doesn't add really to the margin. So , our strategy would be to optimize our production towards NPK and import DAP to meet the supply commit ment .
Resham Jain: And sir, just your guidance on the overall non -subsidy piece, which has been doing quite well both from revenue as well as profitability perspective. Over the next 2 -3 years, given there are multiple projects which are going on, how should one look at the overall non -subsidy piece?
S. Sankarasubramanian: See, crop protection is one area where, as Raghu mentioned, we missed out in terms of market growth because of the gestation period involved in terms of putting up facility and product registration . So, a lot of efforts have gone in the last 2 -3 years in identifying the new molecules and a lot of R&D trials have happened. So, hopefully , we will be releasing every year some new products.
As you have seen this year, we have done 10 formulation products , which have increased the domestic formulation sales. We are also looking to introduce new gener ation molecules to reduce our dependency on Mancozeb and increase our presence in Latin American markets. So, we will be driving our focus on CPC to capture as much as possible both in the domestic and global markets.
Specialty nutrients have been growing steadily. We have been improving our top line by 10% and EBITDA has been consistently growing. That is one category we will try and see how best we can improve. In single super phosphate, which we don't talk much, but we have been consistently growing on volumes and bringing in value -added products and capacities have been growing up. So, while it is also part of the subsidy business, we have changed the overall approach to this business and that is running out very we ll for us in terms of the new g rades volumes and improved margins and pro fitability .
Besides th is, in retail , we have seen increased footfalls in all our retail outlets and that is helping us to scale up the non -fertilizer category where we make margins. So, our focus would be to increase the volumes of non -fertilizer category in the retail segment .
Bio business is a very niche segment . Currently we are focusing on export markets , and with our neem base, we are trying to diversify other product categories . We are looking at new product segments in bio. So, that is also likely to see traction in the coming periods.

We have reach ed some size and scale in fertilizer business , we have done adequately on backward integrat ion, and we will continue to grow the piece in terms of mining, improving the value chain . In terms of the volume with this announcement of capacity, we are there as being the largest supplier in the phosphatic segments.
So, our focus from coming quarters will be on driving the other non -fertilizer segments to grow on the top line and also look out for step out opportunities which are available . As and when it materializes , we will be able to articulate. So, our aim would be to grow more on the non -subsidy piece in the coming quarter s.
Moderator: Thank you. Our next question is from the line of Bharat Sheth from Quest Investment . Please go ahead.
Bharat Sheth: Sankar, my question is , from three years ' perspective , what would be our capacity for this nu

trient business including SSP and how do we see what kind of a backward integration is that point of time we will have in terms of whether sulfuric acid or rock, phosphoric acid and how that will play out ?
And second thing , when you are talking of this replacement of DAP with NPK , so how much scope is also there for replacing DAP with phosphate SSP ? So, if you can give some more color and how that thing will really play out , and last question is on the Nano DAP. So, how much that will also over a three -year period , if you can give some color?
S. Sankarasubramanian: The fertilizers I think with the current capacity of 35 lakh, de -bottle necking which is happening right now and the new capacity of granulation 7.5 lakh tons what we have announced, our overall capacity will go up to 45 lakh tons in the next two years ' time. With import of 5 lakh tons at least we can be a 5-million -ton player on base phosphatic fertilizers, plus we have SSP of a million ton. Plus, we do MOP and Urea of a million ton.
So, effectively , if you look at the fertilizer segment, it's 6 million tons of phosphatic plus a million ton of Urea plus half a million ton of MOP . That's the size we are looking at as far as the fertilizer business is concerned.

And in terms of Nano, like I mentioned that we are not in a hurry. We are actually ensuring that the farmers understand the product and they come back, and they use it as a replacement, not as an add -on. We are doing the brand promotion and channel engagement, and we are doing it in large scale pan -India. Definitely , we see the promising future for Nano, not only in India , but we are looking at export opportunities. A lot of inquiries have come from Latin American markets, and we can scale up our volumes . And that's a good business segment to be in, supplementing our specialty fertilizers, which we have grown over a period of time.
I don't remember what is your third question next? One is on the fertilizer. Other one is on …

Bharat Sheth: What kind of backward integration that we will have? I mean , once we reach this NPK capacity or this DAP capacity of say with this expansion, how much of backward integration we will have?
S. Sankarasubramanian: See, I think we will be close to 60% of the total intermediate capacity requirement and we keep some import to trade -off because there are always opportunities available to buy at low prices for products like sulfuric acid. So, we may not go in for 100% and phosphoric acid, at least you can say that to be 60% of the total requirement will be backward integrat ed.
In terms of rock, we will see how it goes with the current mining operations . With the expansion of phosphoric acid plant at Kakinada, our requirement will be in the range of 2 to 2.5 million tons and our aim will be to see how best we can increase our mining operations.
Once we are successful with the current mining operations , we may also look at increasing our mining presence. So, that will be our overall game plan , but as of now we are quite comfortable with the capacities what we have for intermediates.
Bharat Sheth: Jayashree , would you like to give some more color on this Dhaksha , how are we playing out, how much order do we have in and how do we expect over a couple of years?
Jayashree Satagopan: Thanks , Mr. Bharat Sheth, for this question. On Dhaksha , currently the focus is on two areas. One is the defense orders that have been procured for about 240 crores. The team is in the process of executing the order. So, we are awaiting the PDI from the government authorities. Once it is through, over the next two quarters, the defense drones should be completed and shipped. So, that's the main focus.
Apart from this , there is a lot of activities going on in terms of the agricultural drones .

Currently ,
the large players with whom D haksha has been engaged are the fertilizer companies. New team members have been recruited both for sales and service so that they can work along with the other major agro -chemical companies as well to see how we can get some agriculture -related orders.
There is also work going on with the government in this respect because the Namo Didi Drone scheme also will come into play as we expect during the later part of this year. While all of these is happening on the execution front, the team continues to participate in some of the other newer drone development by the R&D team. So , that work is also parallely happening.
So, in the next two to three years depending upon the execution of these orders , Dhaksha should be able to garner more orders to come from the defense . The R&D work that is happening on the newer drones as well as improvements in the agricultural drones should also help it to consolidate and get better.

Bharat Sheth: And last question on say , since we are sitting with 4,000 plus crore kind of net cash, so what will be our capital allocation including for Dhaksha additional investment , then other facility ? So, if you can sh are more color ?
Jayashree Satagopan: I think the cash that we have , like in the past we have indicated, it will be mainly for the business growth within Coromandel . So, each of the businesses come with their own proposals for growth .
You would have also seen that in this Board meeting , there has been a sizable capital that has been approved by the Board for both nutrients as well as crop protection businesses. If there are further opportunities that are there, either in the core or adjacencies or any step outs, some of this cash that has been built up will be appropriately used. All of it depends upon how strategic is it, what are going to be some of the financial parameters that it meets up with. So , that has been the norm with which we have been looking into allocating the capital .
On the same front, if there are interesting opportunities like we had D haksha coming up in the past or BM CC-related investments that had happened in the last two years, those also could be funded through this pool of surplus that has been accumulated.
Bharat Sheth: So, how much can revised CAPEX for this year, next year and for 20 27 do we have in plan?

Jayashree Satagopan: So, this year , we are more or less in line with what has been estimated and indicated to you all. The main CAPEX for this year has been th is sulfuric acid and the phosphoric acid plant of 1 ,000 plus crores , which has been announced for Kakinada. So, that spans over a period of a couple of years until March 2026. Similarly , the two major CAPEX programs that have currently been announced will also go for the next two-year period.
As Sankar was also mentioning , there are a lot of projects that the teams are looking into to see how we can accelerate some of the growth initiatives within the Company . And as we roll up the business plan for the year, I am sure that we will come up with some more interesting proposals and subsequently taking the management and the Board approvals. We will be happy to share it with all of you.
Moderator: Thank you. Our next question is from the line of Prashant B iyani from Elara Securities. Please go ahead.
Prashant Biyani: Sankar sir, the point that you outlined regarding capacity of say 4.5 million ton and import of 5 lakh ton, s ir, where would we be seeding or selling these volumes? Would it be in our core and periphery markets? And how much volume do we do right now say in North and regions around North? And where could that volumes be in the next five years?
S. Sankarasubramanian: See, the primary market, AP, Telangana , Karnataka and tertiary markets, both Maharashtra and

Bengal , we have been fairly supplying now. We don't have any presence in some of the key

states like MP, UP and Rajasthan. If you look at next two, three years, a lot of irrigation projects are likely to come up in MP and Maharashtra also is adding additional crop acreages. So, we have done a detailed amount of strategic approach for additional volume. What I can say is we will be looking for North markets where we don't have significant presence in terms of NPKs . While we are supplying SSP and also specialty fertilizers , we have not supplied NP and NPKs. Our aim would be to create those and seed markets there first. And of course, our existing core markets, primary markets, our aim would be to capture the additional volume through our retail outlets.
As I mentioned earlier that we will be increasing our footprints in the key markets. So, our additional volumes can come here. And we don't see a challenge of selling like 50,000 tons between these markets. As India continues to import 6 to 8 million tons, and there can be a potential increase in volumes of overall industry size likely to move up in the next three years, absorbing this additional volume would not be a challenge and we have a blueprint developed for the same.
Prashant Biyani: And sir, do we have a fertilizer business presence right now in UP or Rajasthan side to make the market ready for our large volumes in 2 -3 years ?
S. Sankarasubramanian: We have a significant presence in SSP. We are promoting value -added products there. We have presence through specialty fertilizers. Of course, crop protection , we have separate teams s elling there. And with Nano being a pan -India operation , and we have presence in Northern markets.
So, I think as a Company , we will be moving towards more of an all India player for the nutrients. Rather than looking at the key South markets, we look at pan -India operations with a complete range of product portfolio right from SSP to DAP and Nano and specialty fertilizers . The whole market is available for us. So , that's the way we will look at and try to expand our volumes.
Prashant Biyani: And where do we stand in terms of latest business developments in Spec -Chem or CDMO , if anyone can answer that?
S. Sankarasubramanian: CDMO, we have been evaluating some opportunities and our initiative on a multi -purpose plant is also a step in th at direction to see how we can showcase our capabilities which can help in attracting the innovators. And Spec -Chem, we are again in the drawing board in terms of looking at the key segments where we want to go in. And probably once that fine print emerges in the next two quarters, we should be able to articulate our strategy much more sharper.
Moderator: Our next question is from the line of Ranjit from I IFL Securities . Please go ahead .
Ranjit: The first question is on the MPP CAPEX . So, I believe this since you commented that this is a recently off -patent products I believe to be SDHIs , the question is how far would we be backward integrated into this or we are only going to target the manufacturing of technicals and would be importing the intermediates ?

S. Sankarasubramanian: Raghu, you want to address that ?
Raghuram Devarakonda: So, as an approach to manufacturing , obviously cost efficiencies are something that we need to keep in mind. So , the backward integration is still a point where we have significantly many suppliers for the key starting material.

So, that is how far we go and that depends on the molecule that we are planning to manufacture or the set of molecules in the multi -product plant. So, depending on the molecule, we have figured out up to which point we need to backward integrate. We can't go right up to the end. Th

ere is no need also because that is going to inflate CAPEX significantly. So , we have planned it in such a way that we will be able to source in an effective manner and then process the material to make the technical AIs.

Now, as far as the downstream products are concerned, as I mentioned, we are not stopping with just making AIs, but in parallel , for some of them we have already received the registration, for some we are going to receive the registration for some of the formulations that we can produce using the AIs that we plan to manufacture with this multi -product plant. Both backward and forward, we are putting in the effort to extract maximum value out of this.

Ranjit: Second question is to Sankar sir. In the last call , you had mentioned the couple of plans. One is what we have seen the Board approving on the CAPEX front . You also had mentioned b unching out of fertilizers and foraying into related chemistries. So, is there any progress on that front and by when can we expect an announcement on that front?

S. Sankarasubramanian: As I told last time, we have now commen ced our granulation project . We need to keep something for next quarter as well . We are working on it . As and when it materializes, definitely we will come back . It is very much in our radar . We will get you to know soon .

Moderator: Thank you. Our next question is from the line of Rohan Gupta from N uvama We alth. Please go ahead.

Rohan Gupta: Sankar sir, you mentioned that almost in the next two years , you plan to definitely overall complex fertilizer to 4.5 million ton, another trading and even further in SSP and Urea, MOP trading and all that . I think that you have always been mentioning that the fertilizer margins you have always been targeting with a close to Rs. 5,000 to Rs. 6,000 per ton . That gives a clear picture about the fertilizer business over next two years.

Sir, on non-fertilizer business, you have stopped giving and sharing that is slightly more detailed at how you think that in next two to three years, whether the fertilizer business contribution to EBITDA will be 50% or less than that and al l. So, where you see that the other businesses, I mean non -fertilizer business piece will be contributing to the profitability o r EBITDA in next three years ?

S. Sankarasubramanian: See, as always mention ed, I don't want to grow one business at the cost of other . Fertilizer will have its own growth traction . Obviously , significant share comes from fertilizer , but a lot of efforts have been taken in the last year on non fert segment and also going on now. Raghu has been driving the new products, been engaging with various innovators. So , I think the real growth in CPC is yet to play out. Our decision to invest even when the Chinese prices a re the lowest shows our interest on growing th e crop protection business. And definitely you will continue to see the volume growth happening in crop protection. Many of the actions what we have initiated last year will start yielding itself and we have pipeline of new products coming in. See, with the current range of molecules, what we have, whatever we are doing, we are doing the best both in terms of top line and the bottom line. If we have to grow , it can be through inorganic or it has to be through organic. Organic takes its own time , and that's what we are focusing on now. And as and when any opportunity comes to grow inorganically , we may even look at that.

It's very difficult for me to put the timeline and the timeframe by which we will increase the share to 50%. All our efforts and investments and strategies will be to increase the balance towards non -subsidy business. As and when we get clarity and then we may do investments, we will definitely share that at appropriate time.

Rohan Gupta: Also s

ir, with the government focus on some non -supportive policies on policy front on fertilizers, do you see that there is a need in future that you have to dem erge this business because of the working capital related challenges and the interest cost portion where the government wanted to cap the profitability ? So, you see that to benefit from that, I mean, you need to leverage the balance sheet while the Company itself is generating solid cash flows. So , do you see that that you have to dem erge the fertilizer business to be the part of the, I mean, to benefit from the government policies in future?

S. Sankarasubramanian: Any such restructuring will be to only create shareholders ' value . It can not be based on any policies or any current regulations. We need to see as we go along and government always encourages integrated play , and they have been encouraging industry to go in for backward integration.

So, I think they also support in terms of ensuring that the incremental margins are retained in the business and reinvested in the business to grow the capacity. So , we will be continuously engaging with the government . That may not be the reason why we need to restructure. If there is a value creation opportunity for the shareholders, then we may look at this , but not from the policy point of view .

Moderator: Thank you. Our next question is from the line of Suman t Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Last year we talked about the 1 ,000 crore CAPEX in-crop protection. So, can you talk about the timeline of the capitalization of the asset and the commencement?

S. Sankarasubramanian: I don't know what you are referring to. Probably it maybe CAPEX plans of specialty chemicals & CDMO. I think I have answered there in terms of work in progress. We are g oing back to the drawing board in terms of identifying the segments in which we want to operate in specialty chemicals. And you know, in terms of CDMO, it's a long -term process. We are engaging with various potential innovators and partners. It will take some time. So , as soon as it materializes , we will share it. But our investment will be based on after signing up and identifying right partners. We may not do upfront investments.

Sumant Kumar: The technical plant also will take time.

S. Sankarasubramanian: See, we are making a beginning now. This multi -purpose plant, what we are doing has got potential to add another line in the same civil structure. We are in discussion stage at the various stages of a CDMO engagement, we may not be able to disclose at this point of time. We may do it and take up the investment as and when we sign up the commercials with the potential partners.

Moderator: Our next question is from the line of Himanshu Binani from Anand Rathi . Please go ahead.

Himanshu Binani: So, sir, I have two questions. One is on the share of the unique grades to the overall volume. So , what has been the share basically for the second quarter?

And the second question was largely around that since we have been like backward integrating for quite some time and that has been like able to reap benefits and going forward also with the kind of like cost savings which we have outlined particularly from the sulfuric acid as well as from the phosphoric acid plant and the energy savings also. So , I do understand that yes, the RM prices globally has been like volatile as well as the subsidies from the government. So , the question was like how do we see the EBITDA per ton moving? So , our guidance has been somewhere around the Rs. 4,500 to Rs. 5,000 per ton. So , do we see that it should like increasing going forward? So , how should one actually look into this?

S. Sankarasubramanian: Yes, the sustainable EBITDA, the range what you are indicating, we are quite com

fortable with that and the reason being that our improved value addition and increased intermediate capacities is helping us to sustain this margin in spite of huge volatility in the global commodity prices. We are able to absorb the price shock and the challenges and subsidies and able to come up with this number because of our increased share of captive manufacturing of both Phosphoric acid and sulfuric acid. If the environment improves , definitely the margin should also go up. But as I mentioned earlier , but for these challenges in commodity prices , our margins would have been much higher than what it is now.

In terms of share of unique grades, I think my colleague says it's around 36% on the overall phosphatics volume . That's the number for this quarter.

Himanshu Binani: 36%?

S. Sankarasubramanian: Yes.

Himanshu Binani: For this quarter ?

S. Sankarasubramanian: Yes.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

S. Sankarasubramanian: Thank you very much. Thank you for your insightful questions. Very helpful and definitely we look forward to such fruitful interaction , which helps us to sharpen our thinking as we g row to build this business. Thank you very much for your interest in Coromandel.

Jayashree Satagopan: Thank you all and wish you a very Happy Diwali.

S. Sankarasubramanian: Happy Diwali to everybody . Thank you.

Raghuram Devarakonda: Happy Diwali. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Feb 2025

Ref. No: 2024-25/135
February 6, 202 5
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on January 31, 202 5
This is further to our letter dated January 31, 202 5 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on January 31, 202 5 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take th e above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited
Q3 FY'2 5 Results Conference Call "
January 31, 202 5

MANAGEMENT : MR. SANKARASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE DIRECTOR , CPC, BIO PRODUCTS AND RETAIL – COROMANDEL INTERNATIONAL LIMITED
MRS. JAYASHREE SATAGOPAN – PRESIDENT , CORPORATE AND CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone. I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Capital. Thank you, and over to you, sir.

Ranjit Cirumalla: Thank you, Muskan. Good afternoon, everyone. Welcome to the Coromandel International's Q3 FY '25 Earnings Conference Call. We thank the management for giving us this opportunity to host the earnings call today.

From the management, we have with us Mr. Sankarasubramanian, Managing Director and Chief Executive Officer; Dr. Raghuram Devarakonda, Executive Director, CPC, Bio Products and Retail; and Mrs. Jayashree Satagopan, President, Corporate and CFO.

We would begin the call with an opening remarks from the management, post which we will have a Q&A session. Over to you.

Sankarasubramanian: Good afternoon, everyone, and thanks, Ranjit, for organizing this conference call. I'll give a brief overview on the business environment and the company performance and Jayashree will take you through the financials, then we can have a Q&A session at the end.

On the agriculture scenario, the rainfall, northeast monsoon, which is the major rainfall activity over South Peninsula, especially in our markets of Andhra, Rayalaseema and Tamil Nadu and Karnataka, has been good, and all regions have reported good rains, especially in October, December period - majority of these regions received above normal rains.

Also going by the early estimates for the next cropping season, global weather models are predicting La Nina to neutral conditions to prevail, which augurs very well for the agriculture scenario for the next season. Thanks to good monsoon, reservoir levels are comfortable, especially in the southern part, with most of the regions reporting high storage compared to last year's normal level, although levels are lower in the northern region.

The conducive environmental conditions have resulted in improved crop sowing. As on 24th January, we could see 2% growth in the crop sowing reaching to 6 6 million hectares , Being the rabi season, wheat is a predominant crop with 31 million hectares, pulses 14 million and oil seeds at 9 million hectares . .

The first advance estimate of the major agri crops projected kharif food grain output at 167 million tons which is 9 million tons more than last year. Record output of paddy and maize is expected in the current season. The gross value added for agri and allied industries is also expected to grow at 3.8% compared to last 1.4%, making it the fastest -growing sector in the country.

On the policy side, there has been good development in terms of infrastructure strengthening. Government has recently announced the work under Ken -Betwa River Linking Project that intends to bring 3.5 million hectares under assured irrigation. Further, the re has been renewed

impetus for completion of Polavaram Project in Andhra, and that can bring in another 1 million hectares of land under irrigation especially in our core markets.

As you are aware, the government has been closely engaging with the industry to ensure availability of fertilizers. And during the rabi period especially in the initial sowing stage, the industry and government has worked together and ensured availability of DAP in the northern market s and also availability of alternate grades of NP & NPK s.

To support this, government has also announced a special package of Rs. 3,500 per metric ton ,

which got extended beyond 31st December until further orders . Besides this one -time package, they have also extended additional price compensation beyond purchase price of DAP in order to ensure availability of DAP. As company and as industry, we are working towards balanced nutrition and try ing to see how best the shift can happen from DAP to NPK.

On the industry side, fertilizer raw materials have been fairly stable, except for sulfur and sulfuric acid due to demand coming from China and Indonesia . Phos Acid price for Q3 has been fixed at $1,055, $5 reduction over the previous quarter. Also, there has been a corresponding reduction in rock prices we have witnessed .

Overall, I would say the raw material prices remain reasonably stable and likely to remain stable in the fourth quarter with the easing of geopolitical tension across the globe.

For the 9 -month period phosphatic fertilizer production for the industry has gone up by 5% to 11.3 million tons. Of course, imports were lower to 5.6 million tons, almost 20% lower basically due to supply chain disruption of DAP.

On the consumption side, it is one of the best season industry has ever witnessed. In this period,

the year -to-date consumption has grown by 6% to 20 million tons versus 18.9 million tons last year. Also, we have seen the shift happening between DAP even though the availability was less, but farmers have opted for NPK. I would say, 1 million ton shift has happened from DAP to NPK, especially in the northern markets, and the response to the grades likes 20 -20 has been good.
Overall share of NP / NPKs has moved up to 58% from 49% and Q3 also witnessed significant uptick in demand and consumption rose by 27% due to improved ago -climatic situations. The SSP industry consumption also has grown by 3% on a year -to-date basis. Especially in Q3, it has grown by almost 59%.
In Crop Protection, global markets are seeing gradual reduction in the channel inventory levels with improvement in consumption. Some of our key molecules have received good interest from the market, and we expect the situation to further improve in the coming periods.
Coming specific to our company performance for Q3, Coromandel has reported a very resilient performance with overall increase in volumes across the business segments and improved operational efficiencies due to higher throughput especially of intermediate phosphoric acid and sulphuric acid, low conversion costs and improved power generation in the fertilizer unit s.
Besides that , all business segments have grown new products and value -added products.

Our plants operated at 95% capacity, producing 8.4 lakhs tons of NPK. We registered record phosphoric acid production in Q3 and the new sulphuric acid plant which was commissioned in the last year has been operating on 100% -plus capacity . This has helped the business to capture value on power savings. Also in the volatile price s of sulphuric acid, it was very advantageous for the business to have access to a captive sulphuric acid. Our ongoing project at Kakinada for setting up 2 lakh tons of phosphoric acid and related sulfuric acid is progressing well and we expect the plant to be commissioned by Q4 of next year.
As you all know, we announced investment in additional capacity of 7.5 lakh tons of NPK facility at Kakinada. Last week, we carried out Bhumi Pooja to initiate the project activity, and we are in the final stage of negotiating with technology provider s and business partners and ensure that this project will come up in the next 24 months and be there for commercial production from Q4 of 2027.
On the marketing side, we have significantly improved our volumes. Primary sale of NPKs in Q3 stands at 11.4 lakh tons as against 9.4 lakh tons we had last year corresponding period, registering growth of 21%. It's heartening to not

e that our consumption has been extremely good.
There's been an increase of 73% in consumption and it stands at 12.7 lakhs tons as against 7.3 lakhs tons we had last year . This has considerably reduced the channel inventory for the company . Our ability to take the material to northern markets has been very useful to balance our presence in case of any uncertainties. For the 9 -month period, our consumption based market share has moved up to 17% as compared to 13% last year.
The company is strengthening its marketing infrastructure, and during the quarter inaugurated central soil and leaf testing lab, a state -of-the-art facility at Kakinada. We also set up a polyhouse facility near Hyderabad to drive research in protective agr iculture space. SSP also registered a quarterly volume growth of 29% with a major share coming from value -added products like Gro Plus and urea SSP.
On the specialty nutrient business, which mainly relates to water soluble fertilizers, secondary and micronutrients and organic fertilizers, we had a very good quarter. The business could recoup the volumes lost out in kharif and they could show improved v olumes specifically in organic fertilizers. The business commissioned bentonite sulfur plant, which has improved the capacity from the current levels.
On Nano DAP, our agronomy team has been continuously engaging with the farmers across the country and carrying out field trials, and the response has been quite positive. And during the 9 months period, we have sold 25 lakh bottles, constituting almost 40% of the total sales that has happened in the country.
As you all know that we have also started the Gromor Drive, which is a drone spraying activity . In the last 9 months , we have covered more than 1.1 lakh acres, including the services rendered through our retail outlets. These spraying services, besides providing benefit of cost and convenience to farmer, can also considerably save 90% of the water during input applicatio n as

compared to conventional methods. This will be one of the activities which Coromandel will be scaling up as we move forward in the next 2 years.
Crop Protection has done well in the domestic formulation segment registering growth of 15% and global export market registering growth of 5%. Business also improved its margin structure - EBIT has improved by 8%, especially driven by domestic B2B and formulation segment. Overall, EBIT margin for the segment is at 14.3%. The new products introduced during the year have performed very well, and the share of sales on new products for the year stands at 24% as against 14% we had last year. In export, our key products have star ted receiving increasing demand driven by positive momentum in Brazil.
The business has initiated activities for its multi product plant at Ankleshwar, which was approved by the Board in the last Board meeting, and we are progressing well to commission the plant in 18 months' time.
Bioproducts business improved its margin during the quarter , though , export volumes have got impacted, and there's been a delay in securing orders which will come through in the fourth quarter. Business is looking at collaborative opportunity on the Aza side, expanding the product portfolio beyond Aza.
The company is collaborat ing with a global trading company based out of Europe for niche product segments similar to a CDMO opportunity, which can open up doors for future engagement s and can take the bio business to the next level.
It's also testing out the new products in plant extracts and microbial space. I'm happy to share that a lot of products are on the final stage of approvals and registration.
In CDMO, we continue to engage with multiple customers, and we are in the stage of sample submission. Further engagement will happen before we commence the operations.
Retail business del

ivered very strong performance during this quarter and the business has performed well across all the segments. Fertilizer has done extremely well through the retail outlets and we have also improved the performance on all other verticals - Crop Protection sale has considerably improved. Specialty Nutrients has grown well, and business has also increased organic fertilizers volume. Business is in the process of adding new stores, have added 18 stores during this quarter, and now the total store count has moved to 810.
The retail business is also focusing on creating exclusive crop protection , liquid fertilizers and drone spraying service stores under the brand name of CoroCare and they are doing the pilot for 3-4 stores. If it works well, it will be extend ed to more number of stores across AP, Telangana and other states. These are the initial observations on the business performance. I will request Jayashree to cover on the financial side.
Jayashree Satagopan: Thank you, Sankar. Good afternoon, all. Let me take you through the financial performance for the quarter and for year -to-date.

Turnover : The company recorded a consolidated total income of Rs. 7,049 crores during this quarter and Rs. 19,330 crores for the 9 months ended 31st December, registering a growth of 28% for the quarter and 6% for the 9 months. The increase in revenues is mainly on account of higher volumes in the business.
Nutrients and Allied businesses contributed 91% share and the remaining 9% comes from Crop Protection business. For the 9 -month period, it was 90% and 10%, respectively. Subsidy businesses' share in revenue stands at 84% for the quarter and 83% for 9 months. During the previous year, it was 82% for the quarter and 84% for 9 months.
Profitability : The consolidated EBITDA for the quarter was Rs. 722 crores as against Rs. 358 crores during the last year. For the 9 -month period, it was Rs. 2,202 crores as against Rs. 2,126 crores during the last year.
Subsidy businesses' share in EBITDA stands at 69% during the quarter and 71% for the 9 months. Previous year, it was 37% for the quarter and 74% for 9 months. Net profit after tax for the quarter is Rs. 508 crores in comparison to Rs. 228 crores for the corresponding quarter last year and Rs. 1,476 crores for the 9 months against Rs. 1,477 crores during the last year.
Subsidy : During quarter 3, the company received subsidy amount of Rs. 2,036 crores. Last year, it was Rs. 721 crores. For the 9 -month period, subsidy received totals to Rs. 5,892 crores. And in the last year, it was Rs. 7,033 crores. Subsidy outstanding as on 31st December, 2024, was at Rs. 2,095 crores.
Balance sheet : The company's balance sheet continues to be strong. Focus on working capital improvements has helped in augmenting the cash position. Company intends to utilize the investable surplus for its capital investments as well.
Incentives on capital investments : The company had applied to the AP government for availing incentives on the large capital investments that's being made in the state. This has been

favourably considered by the State Industrial Promotion Board.
Tax matters : The company has successfully applied and has been receiving GST refunds. During the quarter, the company engaged proactively with the GST authorities and represented the matter relating to a demand of Rs. 589 crores against the earlier GST applications and refunds received. The company has recently received a favourable order from the GST Commissioner.
Interest : During the quarter, the company earned net interest income, excluding the Ind AS lease adjustments, of Rs. 51 crores viz -a-viz Rs. 31 crores in the last year. For the 9 -month period, company earned a net interest income of Rs. 68 crores vis -a-vis Rs. 53 crores in the last year. Company continues to deploy the surplus funds in Board

-approved securities and will be deploying them further for its future strategic investments.
Forex : During the later part of the third quarter, the U.S. dollar strengthened against most currencies, with the Republicans winning in the U.S. Elections and Donald Trump getting back to power. Indian rupee, like other global currencies, witnessed a sharp depr eciation moving from Rs. 83.79 to Rs. 85.68 during the quarter. Coromandel continued to follow a prudent

conservative approach of hedging the forex exposures, which has immensely helped in limiting the impact of the currency depreciation.
Dividend : The Board in its meeting held on 30th January 2025, has approved an interim dividend of Rs. 6 per share.
Thank you all for your interest in Coromandel and joining the call today. We look forward to the interactions.
Moderator: Thank you very much. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.
Nirav Jimudia: Ma'am, I have two questions to ask. So one on the agro side. Ma'am, if you can share what was the volume growth for Mancozeb in 9 months of FY '25 vis -a-vis of 9 months of last year as well as also if you can share that like recently, we have seen the pric es of Mancozeb in the international market moving up. So how much of that is captured in Q3? And how much it is still left to be captured going forward?
Jayashree Satagopan: So, Nirav, thanks for your question. I'm just going to get the volume data out. Meanwhile, in terms of the Mancozeb prices, I'm going to request Raghu to give you a bit of an update.
Sankarasubramanian: So my suggestion would be, instead of specific products and pricing, let's look at the macro picture. I would request Raghu to respond to it. But we'll not get into the specifics on the product pricing and volume at this stage.
Nirav Jimudia: Fine, fine, fine. Sir, also, if you can share like last year, we produced close to around 70,000 tons of technicals out of over 90,000 tons of production capacity. So how are we looking FY '25 and FY '26 in terms of the production of technicals, given the kind of newer products we have launched on the formulation side? This along with if you can combine the volume data growth for Mancozeb, th at would be helpful.
Sankarasubramanian: Raghu, I'll briefly touch upon before you comment on Mancozeb.
Raghuram Devarakonda: Sure.
Sankarasubramanian: It may not be appropriate to look at absolute volume of technicals because more and more new products are coming in , which are high value and low volume. Some molecules also go out of the system. So it may not be appropriate to look at tonnage as the indicator for the future growth prospects. Rather we should look at whether we have got registration for new generation molecules, which can improve the overall business prospects and the margin structure.
There are enough opportunit ies available for us to scale up the production. And recently, in yesterday's Board meeting also, we have taken approval to enhance the capacity of our technical facility. Besides the multip roduct plant for which we took approval, we are looking at some brownfield capacity expansion, which may come up between Sarigam and Dahej.

So we are looking at the current business environment, opportunity that it throws up in terms of the registration, and the countries in which we operate. We are planning to take advantage of the market situation and increase our volume growth.
Definitely, the capacity utilization may come down due to monocrotophos moving out, but we are repurposing these plants with new technicals and new products and the products which have been initiated in the beginning of this quarter are in the final stage and will be completed by March. And this will come into next year

in production, and we'll be launching the products and
brands both in domestic and global markets.
Raghu may supplement with any volume data relating to Mancozeb.
Raghuram Devarakonda: So primarily, just to add, I think specifically the Technicals that we are talking about, as we have mentioned in the previous interactions, we are expanding our product portfolio to enter herbicide also, so that we get a good balanced portfolio of insecticides, fungicides and herbicides with a view to support our formulation foray .
We have made a foray into selling formulations in the exports market as well. So with that objective, we have invested in the back end to make some technicals so that we produce ample quantity both to support the B2C as well as the B2B opportunity.
Nirav Jimudia: Got it, got it, sir. Sir, second question is on the SSP side. So if you can share your thoughts here because last year was bad in terms of the SSP. But given the kind of price increases and the shortages, what we have seen on the DAP side, possibly SSP bei ng a good substitute, how do you see the volume growth for SSP in FY '25 and FY '26?
And also, if you can share like what sort of margins per ton we are currently making on the SSP side? Because in one of the interactions earlier, ma'am mentioned that like we were anywhere between Rs. 1,500 to Rs. 2,500 a ton of SSP margin. So if you can share your thoughts here, that would be very helpful.
Sankarasubramanian: SSP has definitely revived. In fact, current year performance is much better. As you rightly said, due to the shortage of DAP and also the good monsoon situation, there has been a spike in SSP volume. In the case of Coromandel, more than chasing volume, we have looked at value -added products. We have a unique product, which is base SSP plus micronutrients like zinc and boron, which can be a potential alternate to DAP, which has been doing extremely well. We have scaled up the volume of t hese variants. In fact, the major share of our volume growth, which happened in this quarter has come from these differentiated products like Gro Plus.
Also, as you are aware, we have introduced urea SSP, which besides P , contains N as well. And this is again a one -to-one alternative to DAP. This has also been very well received in the market.
So our aim in SSP business is to focus more on value -added granulation products. And accordingly, we are increasing our capacity to produce urea SSP. The plant which came up in Nimrani for urea SSP has been operating at full capacity. Now we are trying to add this facility at Udaipur, which is another plant for SSP. And going forward, more than 50% to 60% of the total SSP volume will come from these differentiated products, which improves the margin structure. You are absolutely right, the margins are in the range of Rs. 1,500 to Rs. 2,000, but it

can potentially go up with the increased share of th ese unique grades. As you know, we have plants across the country, and we have capacity close to 1 million ton.
This year, we had some challenges in availability of sulfuric acid, and we couldn't scale up the volume. But going forward, our aim would be to reach 1 million ton capacity in 2 years' time, probably taking it to 8 lakh tons next year and thereafter 1 million ton, and that too with focus on the se specialty grades, which are as good as any other NPK product s.
Moderator: The next question is from the line of Prashant Biyani from Elara Securities.
Prashant Biyani: Congratulations on great set of numbers. Sir, POS volume this quarter has been very strong across India in both urea and complex. What is driving this? And would it mean that Q4 dispatches should again be seeing double -digit growth for us?
Sankarasubramanian: So overall monsoon condition, reservoir levels and crop acreages are up , due to which the consumption has g

one up significantly. In fact, as you're all aware, in the year beginning, the channel was carrying higher inventory that partially got reduced in kharif.
Now in this Q3, there's a significant reduction in the channel inventory. As you all know, in most of the markets, the crop season comes to an end by February middle or end. The consumption may not happen from March until season starts in May. But having said that, we could see a significant improvement in POS volume even in January.
So this is really helpful in terms of reducing the channel inventory, thereby unlocking the subsidy amount which is stuck in the system. It's good. It augurs well for the next kharif season where the industry can build up inventory and meet the market demand. But the volume growth is contingent upon the capacity and the import tie -up, which has happened.
So it won't be a double -digit growth. It will be as per our plan. And as you know, fourth quarter, we generally take annual turnaround. So our volumes will be more or less aligned with the market demand. That's the way we have been doing every year.
Prashant Biyani: Sure. Sir, for FY '26, what kind of volume growth are you looking at? And it will be contributed by incremental volumes would be contributed through manufacturing or trading?
Sankarasubramanian: See, it will be a combination of both. Very difficult to put a number, but we have been carrying out some debottlenecking of our facilities at Kakinada as well as Vizag. And that will be really

adding to the volume increase next year. Also in our Ennore plant where we have currently restarted only phosphoric acid and sulfuric acid, we are yet to start the granulation plant . We are trying to repurpose this plant for any alternate range of NPK fertilizers. So there is a potential volume in crease for manufacturing from Ennore and also by debottlenecking the capacities at Kakinada and Vizag.

Besides that, we may resort to imports, especially DAP. As a company we manufacture NP / NPKs and we import DAP. Sometimes we also resort to NPK. As a strategy, we have decided to scale up the volume in the next 2 years to ensure that whenever the new plant comes up, we

develop the markets, especially in the northern states of MP, Rajasthan and Uttar Pradesh, so that we'll be able to easily absorb the volumes as and when the plant is commissioned.

Prashant Biyani: Right. Sir, for this quarter, I think there is a dip in non -subsidy non -CP EBITDA, the segment which comprises of spec chem, organic nutrients, retail and others. Is the reading right? And if yes, what is driving this decline? And I was a bit confused because in your initial commentary, you told that specialty nutrients business was good, but this non -subsidy non -CP EBITDA is showing some decline. If you can confirm that?

Sankarasubramanian: I don't know how you arrive at the math. All these are part of the Nutrient segment, both specialties as well as retail comes under the Nutrient segment and that has grown. Our retail stores have done extremely well on the volumes across categories and most stores have become profitable.

And specialty nutrients have also grown on volume terms compared to last year, both top line and profitability has grown for this segment as well. We have improved our Nano DAP volumes as well compared to last year. So probably there can be a marginal reduction in the bio business where the export orders we executed last year has not happened to that extent.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna: Congratulations on a great set of numbers. The first question is in terms of supply chain. So we are setting up a new granulation trains. So we had acquired a stake in Baobab Mining. Any other such acquisitions on the anvil? We had talked about securing ro ck phosph

ate. We haven't seen any such acquisitions or such tie -ups post this one. Would like to hear your comments on the same.

Sankarasubramanian: For the new granulation capacity, the phosphoric acid required is 2,00,000 tons. We are putting up a new plant that will take care of Phos acid . For the corresponding sulfuric acid needs also , we are putting up a plant. For ammonia, we have a long -term contractual arrangement. So we don't see any challenge.

For phosphoric acid, we require rock. We have fair visibility on the sources of rock. You are right, Baobab Mines, we are scaling up. During this quarter, we have commissioned the fixed processing plant and the operations are getting stabilized. At this current rate, we are able to ship out 1 ship every 45 days. And soon that will get reduce d to 30 days with improved throughput. So we do expect Baobab Mining can scale up volume to 3,00,000 tons next year and in the following year up to 5,00,000 tons, which is a significant supply to meet the Kakinada rock requirement for the new phosphoric acid plant. So we don't anticipate any challenge in terms of securing rock phosphate for the new plant. It will be driven by Senegal supply plus other existing sources where we have long -term contracts.

Arjun Khanna: Sure. That's helpful. And at 5,00,000, would that entity be profitable?

Sankarasubramanian: Yes. It should, with the cost structure once the volume improves. Currently, the cost structure is a little on the higher side because of the lower output, but when the output gets stabilized, we

are highly confident that we'll be much more competitive. More than looking at the stand -alone profitability of Baobab, we look at the complete value chain of phosphoric as a value addition and also our ability to buy rock from other sources at a competiti ve price.

Our understanding of mining, our understanding of rock market is definitely helpful to secure the entire volume at the most competitive price. So I don't look at Baobab on a stand -alone profitability basis. On an integrated basis , it makes a lot of strategic sense for the company.

Arjun Khanna: Sure. Very helpful, sir. Sir, the second question is on the retail piece. You also did allude to it. What would the turnover be of this business, say, in the third quarter and in 9 months? And in terms of year -on-year, how are we looking at scaling this up going forward?

Sankarasubramanian: As per the segmental, we don't put out the separate top line and profitability. But what I can say

is that it has grown significantly. On Q3 alone, the top line growth is 20%. And in terms of bottom line growth, we have seen significant improvement.
In bottom line on retail , we capture only the retail margin, we don't capture the entire margin because that remains with the respective SBU s in terms of captive products. Only for the third party, the entire margin goes into the retail business. There has been 17% growth in the profitability as well.
Besides revenue and profitability , it improves our ability to scale up the new products. So we have seen in the last few quarters, whatever new products in Crop Protection or specialty segments or organic, the ability of retail to connect with and communicate with the farmers and scale up the volume h as been tremendous. This has given enough confidence to us to enhance the number of centers from the current level. The last time also, we spoke about doubling the centers from current levels, and we are on that path. We'll be adding significant number of stores in fourth quarter as well. So strategically, I think upside of retail is still yet to be played out.
Arjun Khanna: Sure. Sir, what would be the number of stores as on 31st of December? And would it be PBT positive as a whole?
Sankarasubramanian: Absolutely. 810 stores.
Arjun Khanna: 810?
Sankarasubramanian:

Yes.
Arjun Khanna: And you said we are looking at doubling it over 2 years to maybe 1,500 plus by FY '27?
Sankarasubramanian: Correct.
Moderator: The next question is from the line of Somaiah from Avendus Spark.
Somaiah: The first question is on the volumes that we have done, 11% growth. Could you help us understand how much was contributed from our core region? And how did we benefit from the northern market expansion? And also, if you can give some color on the northern market expansion, which are the regions and how you are planning it for the next 1 year?

Sankarasubramanian: See, this quarter, basically rabi season, the activity is more in the northern markets compared to the south market, especially in the month of November. And as I mentioned in my earlier communication, as part of our strategy to increase the availability of fertilizers in the northern market, we started sending shipments to state of Madhya Pradesh, Uttar Pradesh, Rajasthan.
The volumes, of ~3.1 lakh tons have come from north and central. If I have to compare the earlier year corresponding period, it was around 1.6 lakh. So we can say we have doubled our numbers as compared to last year corresponding quarter.
This is a strategic call we have taken to ensure that we move to northern markets for our NP / NPK and position ourselves as a pan -India player in the fertilizer, especially phosphatic business. We have significant presence through single super phosphate , specialty nutrients and Nano and we have a complete range of product portfolio. While we have been focusing on primary markets of Andhra, Telangana, Karnataka and Maharashtra, we started focusing on these secondary markets.
Somaiah: Got it, sir. Sir, also, could you give some color on the global phos acid market, how you are seeing in terms of supply -demand dynamics and also on rock? Is this a year where there is a good amount of supply and the demand is kind of normalizing compared to last year?
Or you see still things to be on the tighter front because phos acid prices have kind of slightly gone up now. Now we are at Rs. 1,050-odd levels. So just wanted to understand your thoughts on the supply -demand dynamics.
Sankarasubramanian: So phosphoric acid globally, most of the countries have started securing fertilizers for their domestic use. So to that extent, there is no significant addition to the global trade of phos acid.
But the sources which have been supplying acid, especially to Coromandel , we continue to receive those supplies. In fact, we have diversified our phos acid sources to more than 6 to 7 and derisked ourselves.
Besides various sources , we are putting up a new phosphoric acid plant of 2,00,000 tons. We don't see much challenge in terms of availability of phosphoric acid. Whatever is required, we should be able to tap the market and make it available.
And in terms of the rock, we have a significant requirement both for Vizag and Kakinada.
Currently, we have 1.5 million tons we consume in Vizag. It may go up to 2.3 million, 2.4 million tons when we commission Kakinada plant. But we have stable sources from African countries, and we don't see any major challenge.
The current pricing scenario, Phos Acid prices generally track DAP prices. And as a country and as a company, we are in a position to negotiate terms in line with the DAP price movement and ammonia prices. That has been the trend in the past. And India was able to negotiate better price as compared to global prices prevailing in Europe and other par ts of the world.

In terms of the rock pricing, as I mentioned in my earlier communication, there has been reduction in rock price in the last quarter. And going forward also, I expect some softness in

rock phosphate, which we could see especially

for SSP use and also for our main Phos acid production.

We are not expecting any challenge in securing raw material as well as the prices.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of number. First question on the fertilizer margin outlook. We had highlighted during our management interaction earlier around 40 -odd percent jump in overall fertilizer margin. Just wanted to understand the time lines for it and whether the change in SSP portfolio, the differentiated products that we are making is a top -up to that 40% jump or is it including in that guidance that you had given earlier?

Sankarasubramanian: This I refer in the context of the value addition what we'll get once we commission sulfuric acid, phosphoric acid plants at Kakinada . And as and when this plant gets commissioned, the improved conversion cost efficiency and the value addition what we have and our ability to secure rock from our captive mines, we should be able to achieve this sort of improvement in the EBITDA margin probably in 2 years down the line. And that also includes the portfolio of SSP.

Ankur Periwal: Sure, sir. And just secondly, your thoughts on the Crop Protection business, especially on the export side. The pricing -led competition that we had been seeing earlier , are we now expanding into newer geographies as well? Or the growth focus from crop protection perspective will be largely on India as a market in terms of in -license and combination products and export will be taking a back seat? Your thoughts there?

Sankarasubramanian: No, we'll be growing in all the 3 segments, whether it is exports , B2B or B2C. And the main reason we are expanding capacity is to cater to all the 3 segments . We are also diversifying our presence . Price fluctuations do happen in any commodity.

We've seen in the recent past that there has been an increased demand and uptake of these molecules because of the additional spraying , especially by Latin American growers . The lowering of inventory is helping us to get the better price. Our focus will be to see how best we can increase the volume in the export market. Right now, we predominantly focus on B2B. We are trying to see how we can formulate and sell various technicals .

While we are preparing ourselves for introducing and registering new products, we are also in parallel working on creating the market opportunities to participate in B2C, especially in Latin America. and Southeast Asian countries. We are also initiating registration in Europe and U.S. So we will definitely continue to focus in export market.

Of course, India is not to be left out. In India market, as I mentioned in my last earnings call, we are bringing back the focus with our wide range of 14 technical active ingredients that we manufacture , which provides us with enough opportunity to scale up the branded volumes. We are coming up with new combinations and formulations, and we'll give an aggressive push to the domestic formulation business . This may not require capex , but its more in terms of brand

building and strengthening product management approach. We are updating our organization structure to suit the revised need s.

Our aim would be to grow all the 3 segments. And whatever the residual capacity is there to optimize the operations at our plant, we will focus on B2B domestic as well.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations. So if you look at the volume growth for the industry in exports, numbers range 30%, 40%, 50%. So in terms of the volume growth expectation in exports next year on this base, what is a realistic assessment of volume growth possible for the industry in your company?

Sankarasubramanian: Raghu, you want to take th

at?

Raghuram Devarakonda: As Sankar mentioned, the outlook is quite positive. Having said that, from a value perspective, for many of the active s because we still largely do business in actives, the prices, while they have stabilized, they are at a fairly low level. So therefore, volume becomes an important play to keep the overall sales at an even field.

So having said that, that is the reason why we thought we could foray into the formulation

segment where not only we capture a decent amount of top line, but also the margins. So in that regard, the thrust that the management is taking, is putting more money into registration. So when there is so much of competition on generic actives, the only way to make money would be to enhance our presence in the formulations market, both in India and abroad. So when you say volume, our growth expectation is buoyant i n both actives as well as formulations. But as a company that is making a more recent foray into formulations, its outlook for formulation growth is on the higher side in exports, specifically that you ask. Does that answer?
S. Ramesh: Okay. That is fair enough.
Raghuram Devarakonda: There is a shift. Yes, there is a shift. So the thrust is more on formulations, yes.
S. Ramesh: Okay. And in terms of the nutrient business, based on the October NBS rate, is there any under recovery in the fourth quarter? And how do you see that being reset in the April subsidy? What is the indication you're getting from the government?
Sankarasubramanian: See, there are some uptick in raw material prices like sulphur, sulfuric acid. And definitely, DAP margin -wise, it is not good enough for us to produce and sell. So we have been representing to the government. And also certain NPK grades like N -10, there h as been challenges because of very low subsidy on potash. As the industry, we have been representing to the government to make those corrections and also consider additional costs.
If you ask me for the fourth quarter at this point of time, in certain products, it looks okay , but for certain grades , there is a shortfall in margin. We will be continuously engaging with government and hope to see so me correction happening in the next year.

S. Ramesh: Okay. One last thought on the minority interest accounted in the consolidated results, I presume it's mostly based on your Dare Ventures and your drone subsidiary. So when do you think the drone and Dare Ventures subsidiary impact on your consolidated numbers turn positive?
Sankarasubramanian: Jayashree, you want to take that?
Jayashree Satagopan: Yes. You're right, Ramesh. Most of our subs idiaries , which are less than 50% is getting counted as a minority interest. As far as the subsidiaries are concerned, the larger entity that is into operations is the drone subsidiary. Here, as you know, we had received the orders from the emergency procurement t eam on defence and the order book is about Rs. 250-odd crores.
Dhaksha is awaiting the PDI so that the shipment of these drones can be made. Pending that, we are just focusing on the a gri drones business at this point in time, and also training of pilots. So we expect in the coming year quite a positive traction in the drone company operation.
Dare Ventures is nothing but an entity which looks into investing in new ag -tech start -up companies. Like, for instance, we had invested in a company called Ecozen, which is into solar power related and then XMachines, which is into small agri robotic appl ications.
So Dare Ventures is just a small investment arm, but there are other entities, which are subsidiaries globally, which hold primarily registration for exports in the CPC segment. So the main one is the drones company, which we believe, with traction buildin g up on agri as well as some turnaround on defe nce, should do well in the coming year.
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oderator: The next question is from the line of Bharat Sheth from Quest Investment.
Bharat Sheth: Congratulations on good set of numbers. Sankar, if you can give a little more color, say, where we are talking of, say, reaching SSP 1 million tons. So what kind of a blended will be, let's say, out of that mixture of SSP and urea? And if you can also share the profitability part, how is it with this mixture will be having higher than the SSP and/or sitting somewhere in what kind of a range?
Sankarasubramanian: From the value -added produ cts, both urea SSP and Gro Plus when we reach scale , I expect 60% to come from these 2 products. And balance 20%, 25% will come from normal granulated SSP with zinc and balance can be powder SSP.
So blended margin with this sort of a combination of 60:40 should go to Rs. 2,500 per ton.
Currently, base SSP is powder SSP and granulated SSP in the range of Rs. 1,500 to Rs. 1,800.
And the other products are in the range of Rs. 2,000 to Rs. 2,500. So blend with the increased volume of this Gro Plus and urea SSP should take the margin up for SSP.
Bharat Sheth: How much? Sorry, can you repeat?
Sankarasubramanian: Sorry?
Bharat Sheth: This blended margin, how much you said? Sorry, I missed it.
Sankarasubramanian: Rs. 2,500, you can take as blended margin.

Bharat Sheth: Okay. And secondly, if you can give a little more color on our specialty nutrient business. So what is the size? And how do we see with this expansion in geography also?
Sankarasubramanian: Which business? I'm not clear.
Bharat Sheth: Special nutrients. SND.
Sankarasubramanian: In Specialty nutrients , we operate on pan-India basis. And especially in Western Maharashtra, Rajasthan, MP, UP, Punjab, Haryana, these are all the key markets for the specialty nutrients.
We have increased our sulfur capacity also and have put up a new plant.
We have seen 30%, 40% volume growth in specialty nutrients in the retail centers, especially in AP, Telangana. We also sell in other common markets through fertilizer channel, whether it is Karnataka, Andhra, Telangana or other parts of India. So , we have a combination of retail network, exclusive markets, predominantly for horticulture crops and drip irrigation and also we sell through common markets. We have introduced seaweed granules this year. Right now, we are doing it with a third -party product. If the volume scales up, t hen we may put up new facility to make our seaweed granules. And we are also scaling up volumes on organic potash .
Our focus will be to scale up the volume and create capacities. In fact, we are reaching the size and scale, we are seriously looking at manufacturing some of the raw materials to reduce our dependence on imports from China. That provides opportunity because global players of specialty nutrients are also looking for India sourcing. They are trying to shift the manufacturing source from China to India. If that happens, that provides additional opportunity for companies like Cor omandel to come up with these raw materials because water -soluble fertilizers use MAP, SOP and potassium nitrate.
We are also seriously evaluating as part of our growth strategy to create a back -end value chain for specialty nutrients and also be a global supplier. I strongly believe water -soluble fertilizers, high-end specialties, organic and bio will be the next phas e of growth, and we are currently positioning ourselves for that.
Bharat Sheth: So currently, what is the size and profitability? Is that fair understanding, earlier, we were talking of around 20% kind of EBITDA margin .
Sankarasubramanian: Absolutely. It has the potential to generate EBITDA margin of 20%, 25%
Bharat Sheth: And what is current size?
Sankarasubramanian: I think with their currently placing as well.
Bharat Sheth: And currently, how -- what is the size

?
Sankarasubramanian: It will be in the range of Rs. 550 crores to Rs. 600 crores on an annualized basis. Our aim would be to see how do we double it in the next 2 years' time.
Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment.

Vignesh Iyer: My first question was on the line of sulfuric acid, due to backward integration, can you tell me how much did we save instead of, say, importing the same in this quarter as well as quarter 2?
And second question is, how has the price of sulfuric acid panne d out in, let's say, last 4 to 5 months? I mean if you could quantify like in January, how much it has increased as compared to maybe September or October level?
Sankarasubramanian: It used to be in the $80, $85 range, that has moved up to $100. And we do have a combination of annual contracts and the spot contracts. So if you can say the average around $90 to $100 has been the sulfuric acid price if they import.
On the value addition, what we get in terms of manufacturing sulfuric acid, we have two benefits, cost of production versus imported sulfuric acid as well as the power savings. I may not have an exact number for the quarter, but I can say roughly Rs. 180 crores is the 9 months benefit we have realized on account of sulfuric acid value addition.
Vignesh Iyer: That is your Vizag and Ennore plant together, right?
Sankarasubramanian: Vizag. We have got new sulfuric acid capacity in Vizag.
Moderator: The next question is from the line of Liju Dalu from Antique Stock Broking.
Liju Dalu: Sir, my question was in terms of the unique grade share to the total fertilizer volume this quarter. So if you could share that number?
Sankarasubramanian: For this quarter is around 34%.
Liju Dalu: 34%, yes. That’s it from my side.
Moderator: As that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you.
Sankarasubramanian: Thank you very much. We will continue to do our best to improve our performance in the coming quarters. Thank you for your active support. Thank you, Ranjit.
Jayashree Satagopan: Thank you, all.
Moderator: Thank you. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref. No: 2025-26/015
May 9, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of conference call held on May 2, 2025

This is further to our letter dated May 2, 2025 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on May 2, 2025 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor-call-transcripts/ as required pursuant to Regulation 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you,

Yours truly,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited Q4 FY '25 Earnings Conference Call "

May 02 , 2025

MANAGEMENT : MR. SANKARASUBRAMANIAN S. – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
DR. RAGHURAM DEVARAKONDA – EXECUTIVE DIRECTOR (CROP PROTECTION , BIO PRODUCTS AND RETAIL)
MS. JAYASHREE SATAGOPAN – PRESIDENT , CORPORATE
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Coromandel International Limited Q4 FY '25 Earnings call hosted by Nirmal Ban g Institutional Equities Private Limited.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S . Ramesh. Thank you and over to you , sir.
S. Ramesh: Good afternoon, ladies and gentlemen. On behalf of Nirmal Bang Equities , I am delighted to invite all of you for the 4 Q FY '25 Earnings Call with the Management of Coromandel International. T he Company is represented by Mr. Sankarasubramanian – MD and CEO ; Dr. Raghuram Devarakonda – Executive Director (CP, Bio and Retail); Ms. Jayashree Satagopan – President (Corporate); and the new CFO – Mr. Deepak Natarajan .
So let me hand over the call to Sankar for his opening remarks. Over to you , sir.
Sankarasubramanian S.: Good afternoon everyone . And thanks , Ramesh , for organizing this call. Let me give a brief on the business environment experience d during the year , and then we will talk about the Company 's performance , followed by a Q&A session.
India experienced the positive Agricultural environment during 2024-25, aided by above normal monsoon and higher reservoir levels leading to higher crop sowings. As per the latest estimate for 24-25, the food g rain production is estimated at 331 million tons, an increase of close to 5% over the last year. As per the National Statistical Office, the gross value added in Agriculture and allied activities for the Financial Year 2 4-25 is projected to grow by 4.6% as against 2.7% last year , and this reflects a positive turn around in the Agri sector. With good monsoon during rabi, reservoir levels as on date are much comfortable at 36% compared to 30% last year, with South, Central and West regions well above last year's level.
Going forward, the weather forecasting agencies like Sky met and IMD have estimated normal to above normal monsoon for the upcoming kharif season. Our key operating markets are expected to receive good rains. IMD will issue an updated forecast providing region -wise view in the last week of May. Summer sowings have started on a positive note . As on 18th April, the crop sowing stood at 7 hectares compared to 6 hectares last year.
Coming to the policy front :
India's irrigation infrastructure has been making a lot of progress. The area under assured irrigation has increased from 45% in 2010 to 55% in 202 1, resulting in increased cropping intensity. In its budget, Andhra state has committed an outlay of Rs. 18,000 crore s for various irrigation projects, which include Polavaram , to be implemented in FY25-26. Similarly,

Telangana state also got the clearance for integrated Sitarama lift irrigation and Sitamma Sagar multipurpose project which is expected to bring close to 8 lakh acres under assured integration.
Direct income schemes like PM Kisan are gaining good traction. Andhra Pradesh Government has recently announced implementation of another similar scheme , which proposes to deposit Rs. 20,000 annually, including the PM Kisan scheme of Rs. 6,000 into farmers ' account. As you all know, Telangana has also introduced the Rythu Bharosa scheme, and it intends to provide cash transfer of Rs. 12,000 per acre annually. All these augurs well to increase disposable income in the hands of the farmers.
The Government has announced nutrient -based subsid y rates for 25-26, with the increase in P rate almost 42%, in line with in

creas e in global D AP prices and increase in other input raw material prices. The cabinet has also extended one -time special package of Rs. 3,500 per metric ton on DAP beyond the subsidy rate for the period up to 30 September '25. It has also given additional compensation to make D AP imports viable.
During the last year, most of the fertilizer raw material prices remained broadly stable , slightly at a higher level. Recently, sulfur , sulfuric acid prices went up as a result of demand from China, Indonesia and Morocco . The phosphoric acid price for Q1 ha s been fixed at $1,153/ ton , reflecting an increase of $98 per ton over the previous quarter. This is perfectly in line with the significant increase in DAP price witness ed during this period.
During the year, domestic phosphatic industry increased its production by 9% to 15 million tons.

There has been a significant shift in the consumption mix, with NPK sales moving up by 28% to 14 million tons and replacing the D AP shortfall, especially in central and northern markets despite the lower MRP of DAP. Looking at the whole year number, the share of NPK has moved up to 60% as compared to 51% in the last year. DAP supplies were impacted due to lower supplies from China and also MRP restrictions affec ting the viability of imports for the domestic as well as import of DAP.

During the year, the crop protection industry experienced reasonably stable volumes. And going forward into 2025, the market is expected to be relatively positive with stabilizing agrochemical prices, improved inventory situation and favorable weather conditions in Europe, Asia and Brazil. Some of our key molecules have received good interest from the market and we do expect the situation to further improve in the coming periods.

Coming to Company 's performance for the year :

Our manufacturing plants undertook capacity debottlenecking to deliver the highest ever volume of 33 .3 lakh tons with a high level of safety and environmental management. Our Ennore unit safely resumed the phosphoric acid and sulfuric acid plants after obtaining all necessary statutory clearances. The company's Phos Acid production, including Ennore , went up by 6% during the year. The major backward integration projects for Phosphoric Acid and sulfuric acid plant s at Kakinada are on track and are expected to be commissioned in the current Financial Year 2 5-

26. We have also initiated work on the Brownfield granulation train at Kakinada which is expected to come on stream in the year 26-27.

Company has obtained all requisite approvals from Government of Senegal and has increased the shareholding in the mining Company BMC C to 54%. With this, BMCC has become a subsidiary of Coromandel . It has stabilized production through setting up a fixed processing plant. The throughput has significantly improved over the earlier quarters , resulting in the business achieving operational profitability in the last two quarters. Going forward, we do expect a consistent supply of rock phosphate from BMC C, which can meet one-third of total rock requirements for Coromandel . Company has also signed a long -term contract with Ma'aden , one of the world 's largest producers of phosphatic fertilizers for the long-term supply of D AP and NPK fertilizers.

On the marketing side :

Coromandel registered record sale of phosphatic fertilizers and record consumption in the year 24-25, increasing the volume by 13%. The share of unique grades stands at 35%. On a consumption basis, the market share for Coromandel has improved to 18% from 15% over last year. As part of its market diversification approach, Company has forayed into north and central markets , and have received good response, making Coromandel a pan-India player in fertilizers.

On the SSP front :

Sales volumes for the year were up by 18% , wi

th major growth coming from differentiated variants like Gro P lus and Urea SSP.

Coromandel 's drone spraying services , delivered through Gromor Drive initiative and retail centers , achieved significant scale covering close to 2.2 lakh acres and is witnessing strong adoption by the farming community.

Specialty nutrients business , mainly comprising of water -soluble fertilizers, secondary and micronutrients and organic fertilizers had a good year. The volumes have been consistently growing year after year . The business also introduced cro p-specific and state -specific products to expand its portfolio. The business commissioned sulfur plant to double its capacity . Business is also evaluating creating water soluble fertilizer capacity by leveraging its strengths in phosphates .

Nano DAP business continued its focus to promote awareness of the product. During the year, the Company has marketed 26 lakh bottles, maintaining a market share of 33%, achieving close to 80% of liquidation. Business is also seriously evaluating the export opportunities of Nano DAP across various countries .

Coming to Crop Protection and Bio business :

The revenue from crop protection business was up by 7% to Rs. 2,637 crores , led by higher sales in formulation which has grown by 16%, export grown by 5% , and bio grow ing by 9%. EBIT has grown by 25% to Rs. 365 crores as improved demand for its key molecules in domestic and export markets and performance of new products and captive molecules enhance d the profitability for the business. Share from sales of new products in formulations is at 21%, up from 15% last year.

In Bio Products business :

Despite a slowdown in Azadirachtin in the export market, the business achieved volume and sales growth . As part of its diversification strategy , it expanded into non - Azadirachtin plant extracts and launched VAM based biofertilizers. The business has also built in -house fermentation microbial R&D capabilities and plans to launch microbial crop protection products in FY 25-26.

During the year, the Coromandel signed a definitive agreement to acquire controlling stake in NACL Industries. The proposed acquisition will position Coromandel as one of the leading players in the Indian crop protection sector with a wide range of Technicals and pan-India presence in domestic formulation s business. This will help in expanding Coromandel 's scale , accelerat ing entry into contract manufacturing business, fast tracking new product commercialization and expanding its product portfolio. We expect the transaction closure and regulatory approvals to come through by Q2 of this year .

Coming to Retail :

During the year, the retail business of the Company expanded its footprint by adding another 130+ Mana Gromor centers in Andhra, Telangana, Karnataka . Also, we forayed in new markets like Maharashtra and Tamil Nadu. We are expanding our digital presence through My Gromor app and other social media platform s. W ith 99% of the stores profitable, we are looking at expanding our presence in coming years.

With that, I will now hand over to Jayashree to take you through the Company 's financial performance. Over to you, Jayashree .

Jayashree Satagopan: Thanks, Sankar. A nd good afternoon , everyone. Let me quickly take you through the Company 's financial performance.

In terms of the turnover , the Company recorded a consolidated total income of Rs. 5,114 crores during the quarter , and Rs. 24,444 crores for the full year vis-à-vis the corresponding period of Rs. 3,996 crores for the quarter , and Rs. 22,290 crores for the full year. This registers a growth of 28% for the quarter and 10% for the full year. The increase in revenues has been mainly on account of growth in volumes registered across all our businesses.

The breakup of subsidy and non -subsidy share of business stands at 79% and 21% during the quarter. In the corresponding quarter of the previous year, the percentages were 78 % and 22% , respectively. For the full year, it 's 82% and 18% . For the corresponding period in the last year , it is 83% and 17%.

As far as profitability is concerned , the consolidated EBITDA for the quarter was Rs. 426 crores against Rs. 273 crores during the corresponding quarter of previous year . For the full year, it was Rs. 2,628 crores against Rs. 2,399 crores during the last year. The increase in EBITDA is mainly due to volume growth across the businesses and margin expansion in our CPC business.

Subsidy /non-subsidy shares stand at 67 % and 33% during the quarter . For the corresponding quarter of the previous year, it was 53% and 47%. For the full year, the break -up is 70% and 30%. The corresponding figure for the previous year is 72% and 28%.

The Board had approved a final dividend of Rs. 9 per share. This includes a normal final dividend of Rs. 6 per share and a one -time special dividend of Rs. 3 per share.

On subsidy , during the quarter, the Company received Rs. 2,190 crores to wards subsidy claims . The comparative figure in the last year was Rs. 2,165 crores. For the full year, the subsidy received is Rs. 8,082 crores. Previous year it was Rs. 9,198 crores. The Government has been prompt in clearing the subsidy dues . As of today, we have received our subsidy claims till the third week of March. Subsidy outstanding as on 31st March 2025 , was at Rs. 1,654 crores. During the previous year, it was Rs. 1,377 crores.

As far as FOREX is concerned, you would have seen that the rupee was pretty volatile during the quarter. We traded in a broad range of Rs. 85.39 to Rs. 87.71. Coromandel continue s to follow a conservative approach and has hedged most of its exposures.

I have with me Deepak Natarajan , who has recently joined us as CFO of Coromandel . And let me hand over the call to him for a brief introduction. Thank you all for your interest in Coromandel and for joining us for the call today. Deepak, over to you.

Deepak Natarajan: Thank you, Jay ashree. Good afternoon, everyone. Pleasure connecting with you all . Myself , Deepak Natarajan . I come here with about 25 years of work experience . Last five years , I used to work for Tata Projects Limited , and then prior to that with GE for 10 years and Cisco for six years. So that 's my brief background. I look forward to connecting with you going forward in

the subsequent quarters in more detail. Thank you.
Jayashree Satagopan: With that, we can open the session for questions , and we look forward to the interactions.
Moderator: Before that, I would now like to hand the conference over to Mr. S Ramesh. Thank you and over to you , sir.
S. Ramesh: Hello. Let me, on behalf of Nirmal Bang and myself, first thank Jayashree for being very receptive to the investor questions and increasing the level of disclosure in the Company . And

let me also take this opportunity to welcome Deepak Natarajan . Welcome , Deepak, pleasure to have you on the call . And look forward to continuing our associat ion. So let me now hand over the call back to the Company . And moderator, you can announce the Q &A, please.
Moderator: Thank you so much. We will now begin the question -and-answer session. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.
Prashant Biyani: Yes. Thank you for the opportunity . And congrats on the good set of numbers . On the N ACL, how do we plan to turn around N ACL? And by when can we see N ACL aligning with our crop protection division margin?
Sankarasubramanian S.: Right now , we are waiting for regulatory approvals, which may take another two to three months
,
post which we should take stock of what are the opportunities available. As we mentioned earlier , we need to put the process es back on track . We will be working on procurement efficiencies which can improve the EBITDA margin. The funding is coming through for them, so they should be able to increase the level of production and operation . Some molecules what they deal with are seeing price improvement in the marketplace. So, our aim would be to continue what they have been doing well and try and see how we restore the margins before we look at introducing new molecules and new products. They do have spare capacity which can be leveraged. They have an R&D set up which can be synergized.
Prashant Biyani: Sure. Sir, we also had a plan of investing Rs. 1,000 crores in crop protection , sp-chem, CDMO . Now post this acquisition, do we see that Rs. 1,000 crores CAPEX being trimmed ? And if yes , by how much?
Sankarasubramanian S.: No, I would not say it will be trimmed. It will be moderated because the active ingredient capacity creation can be slowed down since we have spare capacities which can be leveraged. So that helps us in two ways, reduce our cash outflow , at the same time to go to market faster . The time it takes to set up the facility can be shortened considerabl y through retrofitting existing facilities. In terms of other investments in CDMO and specialty chemicals, there are new business opportunities which may be , depending on the new molecules , chemistr y may require investment. We are evaluating the products which we need to get in specialty chemicals , and we are also in discussion with various players on CDMO opportunities.
Prashant Biyani: Right. And , sir, regarding our agreement with Ma’aden, annually how much fertilizer s do we plan to import with them in total?
Sankarasubramanian S.: Right now , the contract is for 300,000 tons and we can potentially go up to 0.5 million tons. Our aim would be to see how much we can enhance our D AP imports from Ma’aden over a long period , so that will help us to maximize our NPK production in our existing facilit ies.
Prashant Biyani: Okay . This 3 lakh is per annum .
Sankarasubramanian S.: Yes.

Prashant Biyani: Okay . And sir, before I join the queue, last question, how is our CAPEX plan going on ? And how much do we plan to invest this year on various projects?
Sankarasubramanian S.: Projects what we announced last year, phosphoric acid , sulfuric acid are progressing well. 45% of the project has been completed , both on P A SA, and we are on track to commission this during the last quarter of the current financial year. As far as granulation train , we have commenced the project in January and that will take 18 to 20 months to complete. That will come on stream by 26-27. Besides that, in the next year, we will be looking to expand our capacities and active ingredients at Dahej for CPC , and we are also looking to debottleneck our facilities both in Kakinada and Vizag to increase the fertilizer volumes , besides other normal sustainable CAPEX . We will also look at inorganic opportunities as an d when they arise , which can be complementary to our product portfolio .
Prashant Biyani: Right. I shall join back the queue . Thank you so much.
Moderator: Thank you. The next question is from the line of Rahul Jain from Clearwater Partners. Please go ahead.

Rahul Jain: Yes. Thank you so much . And congratulations on a good set of numbers. I just had a follow -up on NACL . So, as already told by you that the approvals will come in Q2 , and only after that will you decide. But then if I take a 10,000 feet view, say , three years from now where do you actually see NACL ? So before acquisition you must have set some targets , so w here do you see NACL say three years from now?
Sankarasubramanian S.: NACL is

to get back in terms of capacity utilization . They have invested in Dahej facility, which is not operational fully , so our aim would be to see how we can get those new molecules in place and operate those active ingredients and bring the capacities of the AI at full level. And the second segment is domestic formulation , they have strong brands, and we should try and see how best we can grow the formulation business and change the product portfolio .
Rahul Jain: Sir, a t full capacity , sir, what could be the potential top line that this Company could generate based on the current pricing scenario?
Sankarasubramanian S.: Too early to comment on it , and they should at least minimum go back to the numbers what they have achieved two years before .
Rahul Jain: Okay . I have one more follow -up on this acquisition itself. So , Coromandel today has some Rs. 2,500 crores, close to Rs. 2,600 crores of crop protection business, N ACL as it is, does some Rs. 1,450-odd crores . And the ballpark calculation if I do , then at full potential they could do some Rs. 2,500-odd crores of top line. Is there any plan of creating a separate entity where the crop protection division of Coromandel and N ACL merge , and that becomes your crop protection entity and the Coromandel becomes a pure clay fertilizer entity? Any thoughts on this?

Sankarasubramanian S.: No, there is no such plan . At this point of time , currently we are trying to run NACL as such , and we will achieve the targets what we set ourselves at the time of acquisition . At Coromandel , the crop protection business has its own set of product pipeline and strategic plans to expand capacities. Both will leverage the synergies but will continue to operate this way. Let us see at an appropriate time what the best options are for the investors and we will do that.
Rahul Jain: Okay . Thank you so much.
Moderator: Thank you. The next question is from the line of Ankur from Axis. Please go ahead.
Ankur Periwal: Yes. Hi sir. Thanks for the opportunity. So , first question on the crop protection side . So one, if you can highlight what has been the volumetric growth for the full financial year . And just a follow -up on that, what could be the growth outlook here given the price deflation trend that we have seen historically and hopefully it 's settled now? And your outlook on the margin side?
Sankarasubramanian S.: See, we operate in different segments, very difficult to put one number to the volume part of it . In B2B, we measure in volume , and in the case of domestic formulation we track in rupees crores . Putting a number in terms of the volume may not be meaningful. I would suggest we should look at high-end, double -digit growth for the next year across these three segments, domestic formulation, domestic B2B, and exports market. Outlook is quite positive basing on the success we had on new product introduction in the current year. We have a pipeline of products coming in next year as well, which will continue to take higher share of new products in the overall portfol io and will improve the margins. So , all I can say is our turnover for the next year can be on the high double -digit side, supported by a healthy profitability margin, with the changing portfolio towards high margin products.
Ankur Periwal: Sure, sir. Okay , fair enough. And just secondly on the fertilizer side, given the new capacity coming in probably by FY ‘27, what is the timeline that we are looking at for a full ramp -up over here , given the capacity expansion as well as the backward integration ? And again , your earlier guidance of 4 0% jump in EBITDA margin on the fertilizer side, what timeline can we think of over there?
Sankarasubramanian S.: In the case of intermediate capacity of phosphoric acid , sulfuric acid, which will get commissione

d in the fourth quarter of the current year , we can expect the full pla y to come in in the next year 26-27 because we will be stabilizing our production in the fourth quarter of the current year, which means next year will be the full year of operation . Our aim would be to achieve the rated capacity for phosphoric acid and sulfuric acid plants .
In the case of granulation plant , it will get commissioned in the third or fourth quarter of 26-27. From the marketing side, we have already taken steps to create seed marketing in the northern markets to absorb the additional volumes . Also, we are expanding our retail footprint across various states. So , there will not be any challenge in absorbing the additional volume. Our a im would be t o achieve t he full expanded capacity in the first year of operation. As India being a

net importer of fertilizer and we being a strong player in phosphatic fertilisers , we do not feel any challenge in operating plant at the full capacity with t he first full year of operation.

Ankur Periwal: Great , sir. That 's helpful . And thank you for the detailed answers . And congratulations , Mr. Deepak, for joining in . And thanks Jayashree ma 'am for your support over the years. Thank you.

Moderator: Thank you. The next question is from the line of Nausha d Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Hi, thanks for the opportunity and congrats on a good set of number s. First one on the nano DAP , sir just wanted to check how is the traction there , are we experiencing repeat buying here ? And if things go as we have expected from this product, can this travel to the world, can this product travel ? And if we succeed , what do you think how big can this product be for us in next three, four years ?

Sankarasubramanian S.: Thank you for the good question. I am pretty confident that this product definitely will scale up in the coming years. We have been very systematic in our market approach and we are not pushing the product. We are generating a pull . We are working with the various ICAR institutes across the country and going through detailed evaluations on various crops . And based on the response we are very confident that partially this can replace DAP . Every acre , as I mentioned earlier, instead of two bags, one bag can be cut out and Nano DAP 1 liter bottle can be used. And we find that the response to the crop has been pretty good in the crops with high foliage . During this year , we sold 26 lakh bottles, and we have seen 80 % to 90% of liquidation which is very creditable . We are confident that going into next year we will be able to improve the volumes . Thanks to our retail stores , we are able to communicate with the farming community, explaining the importance of providing these eco-friendly phosphatic fertilizers , which is going to be a game changer for the industry as a whole.

If everything happens in the way we expect, we do expect the replacement of 2 million tons of DAP in another two- or three years ' time. This has been our initial estimate as well. We also find that there is a positive response from various countries for this product and we have taken Government of India approval to export this as well. So , we have the capability to increase the capacity in a modular way, and we should be able to ramp up the volume s quick ly. I am personally confident that this can be one of the significant business unit s for Coromandel in the coming years.

Naushad Chaudhary: Interesting. Second, on the retail side of business we have indicated , we have added 100 more stores, and we have indicated to almost I think double it in the next two, three years. If you can help us understand in terms of overall economics how much CAPEX and working capital required per store , what is the current financial status

of all 900 put together , and how it should look like in the next two, three years ?

Sankarasubramanian S.: The retail has been a pretty good growth story for us. In fact, more than 9 0%, 95% of the retail stores , are in the profit zone now, we have added another 130 . Based on our learning curve , now we are able to get the breakeven point in a shorter time frame of six months. As we understand the portfolio, as we understand the customer preferences and the white spaces , we could reach the breakeven point much faster. We understand how to reach the customer, how to introduce new products. I think retail overall has become very profitable and it 's a multi -label store. It doesn 't depend on our own products.

Here again we educate the farmers on what is the right set of products to apply to increase their productivity. We provide services and have seen the drone spraying has been received very well for the farming community. Wherever w e do drone spraying , there is a spike in crop protection offtake. So , we are pretty sure that retail is a way to go forward. In terms of investment, as of now, we are only on a rental basis. We do not own the stores . And working capital also , considering the pull it generates, I t hink we are able to leverage better on the sourcing part. Currently we are running the business on negative working capital.

There may be an initial challenge in absorbing the fixed cost as we ramp up these stores, but I am sure for the next two to three years we are confident that we should be able to increase the footprint to 3 times the numbers what we have . This is the way to go forward, and we will put all our efforts and leverage on the digital analytics part to ensure we get this right on the day one onwards.

Naushad Chaudhary: Thank you , sir. I will come back and thank you and all the best.

Moderator: Thank you. The next question is from the line of Viraj from SIMPL . Please go ahead.

Viraj Kacharia: Hi, Sankar. Thanks for the opportunity . Just a couple of questions , first on the NACL part. Just wanted to get your thoughts on what attracted you towards the Company , other than the fact that it's underutilized in terms of capacity utilization. But broadly in terms of the portfolio mix of the business per se, what is that attracted you the most ? And just an extension of that is , if I were to look at our experience in terms of Sabero acquisition and our j ourney into crop protection over last 8, 10 years , what are the similarities or differences in terms of business on acquisitions you see between NACL and the other two?

Sankarasubramanian S.: See, NACL is again more or less similar to our business model , focusing mainly on gene ric space . But the important aspect is , they have been the supplier of choice for the major MNC s for many years. In fact, what we call modern time CDMO , most of those manufacturing capabilities were set up by NACL much earlier. To the extent their plant facilities and the processes have been set up in such a way to produce high quality products . That is something which is very critical and useful for businesses like AI manufacturing . Besides that, they have a good set of NABL accredited R&D facilities . They have been working on a complementary set of chemistries to what we are working on, including the latest fluorination chemistry , which will be helpful as we go into future molecules which are based on fluorination chemistry.

They have spare capacities and have also built very strong brands in Indian market. India is a large market for domestic formulation, and they have built brands of larger size . They operate in key markets which are , again , complementary to our markets. So , we see a lot of cross learning between both the

entities which will help to grow the business overall. Comparing this to Sabero , Sabero is more of an AI play in the export market , whereas Nagarjuna has got all three segments, domestic formulations , B2B , exports , sort of CDMO type of operations. So I think these two are completely different. The only challenge would be , being in a genetic space margin structure may not be as high as what we expect with the new chemistries. That is the change we can bring about. I hope I have answered your questions .

Viraj Kacharia: Yes, that 's very helpful. Thank you. Just two questions. One is on the NACL . If you look at the 10-year history , the operating margins has been around 8 % to 9% . And this is despite of a very sizable domestic B2C business. So if you look at other generic player s with AI, even they are in upwards of, say, low -teens margins. So just trying to understand where is the drag in the margin profile in that business. And the second question is for specialty nutrients and the retail par t of Coromandel --

Moderator: Sorry to interrupt. Sir, could you move a bit away from your phone , you are very static.

Viraj Kacharia: Yes, the second part of the question is more on the scalability and profitability, especially for the retail business and specialty nutrients . If you can just give some color and the part to the aspiration we would have in those two segments ?

Sankarasubramanian S.: Yes, I will take the second question first. Specialty is a highly profitable business, but involves a lot of concept selling , the volume scale up will be steady. We have been working on it over the period and various products in the product portfolio are developed in -house based on our R&D. EBITDA margin is also quite healthy, between 18 % to 20% , and we have been growing consistently in the top line in the last few years at 15 % to 20 %. And we are sure we will continue to grow that , and that is also a focus area for us.

These are outside the subsidy gambit and its way to go forward in terms of introducing more nutrient efficient products to the farming community. SND will be focusing on creating some backward integration on the key raw materials which are currently imported . We are looking to capture the value chain in S ND and sustain volume growth. Many of the key raw materials are currently being imported from China, so we are looking to create capacities to ensure that we have a steady supply chain , as well as we can increase the margin for this business.

On the retail, as I mentioned, we are doing well. This has not been exploited fully , according to us. We have created the funnel through which many products can come in . As the base SBUs, like CPC and specialty nutrients and bio business start introducing new products , our aim would be to introduce those products through retail which are high margin, which will also help in retail to breakeven much faster. It is profitable now , and I am sure with the increased centers, increased revenue, profit margin should grow .

Coming to your first question in terms of NACL margin, it operates in the generic space . With the way the A I prices have behaved in the last few years , there has been significant contraction in the AI margins . That is impacting on the overall margin portfolio , even though the formulation bit commands higher margin. So , the weighted average margin is much less due to suppressed AI prices. We do expect , in the coming years , the active ingredient prices to improve , which in turn can improve the margin structure for N ACL. NACL used to make margins in the range of 10% to 11% in the past, which came down to 4%, 5%. Our aim would be to first restore the margin back to 10 % to 11%, get the capacit ies back on track , and try and see how we build this margin by adding new products in the portfol

io . That will be our approach.
Viraj Kacharia: Sure. I will come back in queue. Thank you very much.
Moderator: Thank you. The next question is from the line of Naushad Ch audhary from Aditya Birla. Please go ahead.
Naushad Chaudhary: Thanks for the opportunity again. Two clarifications , sir. First on the jump in the sulfuric acid prices, do you think the real impact has not yet come ? Because recently also it has jumped substantially , the subsequent quarters should see major benefit of that or what 's your stance on this thing , sir?
Sankarasubramanian S.: See, sulfur prices have really shot up , that has played out in the Q4. In fact , you can see some slight compression in the margin. But you can also realize that phosphoric acid prices ha ve gone up to that extent . So, the value addition on phosphoric acid remains the same , to the extent of sulfur prices the phosphate price has gone up. Now the end product prices on NPK fertilizers will get corrected as we move forward , besides DAP , to absorb this price increase. But having said that, there are also other soft spots like ammonia where the prices which were prevailing at $400 have come down to $330. These pluses and minuses do happen, and overall, I think with the announced subsidy rates the business is reasonably confident of achieving the margins what it's set out for every year .
Naushad Chaudhary: Okay . And on the manufactured volume growth , this year I think we have optimally utilized the capacity which we have . For next year, do we think we will have capacity constrained on the manufacturing side of volume growth for F Y '26? Though '27 we are coming up with Kakinada, by '26 do you think that trading portion would be higher because of the capacity constraint?
Sankarasubramanian S.: The two things we need to note , one is, we are debottlenecking our Kakinada plant , and that benefit is to flow in for next year . We also keep tweaking the product mix to increase the throughput. So that can also aid us in increasing the volume . Ennore annual granulation facilit y is still not back on track. We are working with various regulators to see how best we can get back on track on the granulation facility . So, debottlenecking of Kakinada , Ennore coming back on track & the produ ct mix , along with the imported NP /NPKs to do the seed marketing in north should provide required impetus on the volumes , so that when the new capacity comes in we are able to sell the volume s in the first year.

Naushad Chaudhary: Alright , sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: Hello , sir. Yes, there are few things I wanted to know for Quarter 4, firstly on the Phos Acid prices if you could share. So what I was asking is , basically I wanted to know prices of a few chemicals. That is, what is the price that was there for phosphoric acid in Quarter 4 , firstly ? Secondly, we wanted to know how has the price for sulfur panned out from quarter three to Quarter 4 versus sulfuric acid from quarter three to Quarter 4. If you could give us the data per ton.
Sankarasubramanian S.: PA price s, as I mentioned earlier, it has moved up from $1,055 to $1,153; up by $98. Sulfur moved up by almost $120. What used to be $180 moved up to $300 plus. On sulfuric acid, which used to be $70, $80, moved up to $1 00, $105. So these are the spike s which ha ve happened from Q3 to Q4.
Vignesh Iyer: Okay . So I mean, how do we see , I mean, our internal estimate on, is there a lag between that sulfur and sulfuric acid price? We might see some more increase that is possible on sulfuric acid side of it , I mean , going ahead with the season having more requirement towards fertilizers etc .?
Sankarasubramanian S.: I think Sulfur

has reached the peak. Our view is sulfur should moderate from here . based on some sp urt in demand from Indonesia for a different industry , and also China imports it peaked in Q4 . Sulfur as a global commodit y is in surplus and need s to come down. So , we do expect sulfur to soften in the coming months . Sulfuric acid, again, is a function of demand /supply , and I do expect it to remain static here and soften from here. Globally, commodity prices are not going up , whether it is corn or soya and which can dampen the global fertilizer and food prices as well , as affordability inde x is coming down for the farmers. So , I do expect the commodity prices to soften in the coming quarters.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Sp ark Institutional Equities Private Limited. Please go ahead.
Somaiah Valliyappan: Sir, the first question is on fertilizer margin in Q4 , you did mention there is a slight compression there. Is it entirely attributed to sulfur or is there anything that changed on a quarter -on-quarter basis ? For instance, was there any inventory impact that had a bit of an impact on margins?
Sankarasubramanian S.: So, of course , sulfur played a role . But other than that, there 's no inventory impact. Rather we have improved on the channel inventory with improved liquidation. The fourth quarter is always a soft quarter with annual turnaround happening and in many of the intermediate plants we take annual shutdown. So to that extent , the value addition was relatively less. So it is in line with the past trend , and nothing special happened in the fourth quarter.

Somaiah Valliyappan: Got it , sir. Sir, also earlier we used to give our manufactur ed EBITDA per ton guidance. We used to have this Rs. 5,000 per ton. So does that still hold good in the current context where we are in terms of subsidy allocation for kharif and where raw material prices are ?
Sankarasubramanian S.: Yes, we should be able to sustain that margin .
Somaiah Valliyappan: Got it , sir. Sir also on crop protection, quite a strong growth this time. So we used to be roughly around 50:50 percent in terms of exports and domestic , is the mix currently similar or has it changed? That 's one . And second, if you could just help us in terms of , I think , earlier you did mention in terms of what are the factors that drove a s a sub -segment within crop production, if you can just give some more color on it.
Sankarasubramanian S.: Raghu, do you want to take that?
Raghuram Devarakonda: As Sankar mentioned, part of the growth has come because of the introduction of new products in the B2C segment. And there is an uptick in Mancozeb demand in LATAM. So primarily , these two have contributed to the growth between exports and domestic B2C.
Somaiah Valliyappan: Sir, exports what would have been the growth ? And the domestic B2C what would have been the growth ? And Mancozeb , are we seeing any price realization improvements?
Raghuram Devarakonda: Yes, we have seen marginal improvement . The other fungicides are not picking up in terms of their costs or prices , so Mancozeb cannot indefinitely increase in price because then there will be a shift between the molecule s. So, while we have seen an uptick, it 's not like something extraordinary. The volume growth has been pretty good year -on-year as far as Mancozeb is concerned in the exports market. So specific statistics, I think somebody had already asked about volume growth, maybe I will address your question and the other question together. So the volume growth for exports has been close to 9%. And in terms of B2 C it's in excess of 24% volume growth . I hope it answers your question.
Somaiah Valliyappan: Sure sir, it does . And also , what would be the value growth in exports and B2C?
Raghuram Devarakonda:

As I said, the prices have also moved out somewhat , so in exports you will see a pretty decent growth. But as far as domestic market prices are concerned, it has either been flat or it has gone down in some cases. So maybe give me some time , I will try to dig it out. I do not have it in front of me.
Sankarasubramanian S.: Raghu, I have this data . In terms of the formulation business , there is 16% growth in value terms . And for the quarter , we saw a good jump, 31%. In fact, if you see , the share of CPC revenue has increased in this quarter, mainly driven by domestic formulation business, thanks to the new molecules we had, 31% growth happened in Q4 . And for the full year, there 's a 16% growth.
Raghuram Devarakonda: So as you can tell , while there is a volume growth, there 's a bit of price erosion resulting in overall value growth of 16 % when the volume growth has been 24 % plus in the domestic market.

Sankarasubramanian S.: Yes, absolutely.
Somaiah Valliyappan: Sure, sir. Thank you. That 's helpful.
Moderator: Thank you. The next question is from the line of Himanshu Binani from Anand Rathi. Please go ahead.
Himanshu Binani: Hi, sir. Thank you for taking my question. Sir, I just missed the last participant 's question in terms of the EBITDA per ton guidance. So we are speaking to that Rs. 4,500 to Rs. 5,000 sort of number for FY '26, right?
Sankarasubramanian S.: Yes, very much.
Himanshu Binani: And sir secondly, if you can like help me with this unique grade share to the overall manufactured volumes for Q4 as well as for April '26.
Sankarasubramanian S.: 35% for the full year basis .

Himanshu Binani: Okay, got it. And sir, one last question basically on the retail side of the business, so can you help us understand the metrics in terms of the revenue , cost for like setting per store , and the absolute break even number at what revenues we breakeven? Any color on that would be like very helpful.
Sankarasubramanian S.: I would prefer to take it offline. I don 't want to put this out. Initially it used to take two years, then we reduced it in a year , now we are able to do it in six months, basically because we are able to identify the right location for the stores and the products have improved significantly.
Moderator: Thank you. The next question is from the line of Ranj it from IIFL Capital Services. Please go.
Ranjit Cirumalla : Yes. So thank you for the opportunity. I just wanted a bit more insights on the two new hirings that we have made. One is the VP Nano Fertilizers and the VP Strategic Initiatives. What would be the KRAs for these two new hirings?
Sankarasubramanian S.: See, in the case of VP Nano, as the name suggests, he will be a business head for the nano fertilizers , both in domestic and export markets , besides focusing on exports for specialty fertilizers . He h as rich experience in crop protection space , and having worked in Latin American market, we have hired him back for driving the nano business initiative in Coromandel . With respect to VP Strateg ic Finance , as a Company we are looking for growth opportunities. We have created an M &A cell, basically to provide financial insights into the business evaluation of the new targets , and for that w e have taken this person on board . So his experience in business valuations and financial metrics to evaluate the targets will come in handy for us to look at the new inorganic opportunities for growth.

Somaiah Valliyappan: Thank you, that 's helpful. Second question, coming back to the fertilizer guidance, back in December 2024 we had guided for a 40% jump in EBITDA per metric ton for our fertilizer business in two to three years ' time frame , that still stays intact, right?
Sankarasubramanian S.: Yes. When the

plan t gets commissioned, the value addition of the plan t flows in , we should see that sort of improvement . That is likely to happen in the fourth quarter when PA-SA plant gets commission ed. Post that, the increase will play out from there on . Then after that the improvement will happen once we get the new granulation plant in place .
Somaiah Valliyappan: Sure, sir. Thank you. That 's all from my side.
Moderator: Thank you. The next question is from the line of Vibhu Kumar Shah from Sumangal Investment s. Please go ahead.
Vibhu Kumar Shah: Hi sir, thanks for the opportunity. Sir my question relates to subsidy and non -subsidy profits. So where do you see non -subsidy profit reaching percentage wise three years down the line , sir?
Sankarasubramanian S.: Currently I think it 's around 70 :30, on the subsidy and non-subsidy share on the profitability . See, fertilizer also is likely to grow with the expanded capacities and increase in intermediate capacities. And we are focusing on CPC growth opportunities now. Ideally , we want to put the number 50 :50 but not at the cost of slowing down on fertilizers. So , while we aim for that number, fertilizer is also growing good , and we are diversifying the portfolio . And our aim would be to strike a right balance between the fertilizers and non -fertilizer businesses . It's very difficult for us to put the number at this point in time with the way the Nutrient business is shaping up. We will invest and we will focus on non -fertilizers , especially CPC in the coming years.
Vibhu Kumar Shah: Okay, sir . Thank you.
Moderator: Thank you. The next question is from the line of Rohit Nagraj from B &K Securities. Please go ahead.
Rohit Nagraj: Yes. Thanks for the opportunity and congrats on good set of number. The first question in terms of the R &D capabilities for both Coromandel and NACL , so whether there is any complementary impact o n this ? And in terms of incremental product development o r funnel, are we going to optimize the effort given that now we are a same Company and there could be some overlaps which might be there. So just brief about that would be helpful. Thank you.
Sankarasubramanian S.: No, absolutely , we will leverage the synergy benefits between both the entities , leverage on their expertise . As I mentioned in my earlier remarks, they are good in fluorination chemistry , they have got certain capabilities and Coromandel has developed certain chemistries over a period of time. We will try to optimize between both the companies and try to see how we consolidate and get the synergistic value out of the development efforts. It may even include getting some infrastructure synergies as well. So, we may consolidate the R&D facilities in a single location

to leverage the size and scale and attract talent and pool up together their efforts in introducing the new products. Definitely , this will be leverage d.

Rohit Nagraj: And in terms of the number of personnel in both the companies, how are they in terms of PhD etc.?

Sankarasubramanian S.: So you are talking about R&D personnel?

Rohit Nagraj: Yes, yes, that 's right.

Sankarasubramanian S.: I think we have close to 100 and they have close to 50 , 55. And roughly 16 0, 170 members is what we are talking about on a combined , only for CPC. But Coromandel has got some Nutrients related as well.

Rohit Nagraj: The second question is , I missed your recent remarks , so are there any targets in terms of synergy benefits that you have given out for the three years ? You explained some R&D prospect that you will be getting certain synergies, are these a t financial targets that we are looking at ?

Sankarasubramanian S.: Very early days , we have to wait for the regulatory approvals and get that production and sales on track first. We need to put our heads tog

ether and then put these numbers against each of these , whether its procurement efficiency or new product introduction or the market synergies or the R&D development . Probably six months down the line we should be able to answer it more appropriate ly.

Rohit Nagraj: Sure. Thanks for answering. Thank you.

Moderator: Thank you. The next question is from the line of Shri Kumar Shah from Sam eeksha Capital. Please go ahead.

Kumar Shah: So if you can share manufacturing EBITDA per ton for FY ‘24 and FY ‘25? That’s the first . Second, SSP EBITDA per ton for FY ‘24 and FY ‘25? And what is our trading margin EBITDA ?

Sankarasubramanian S.: I will get back to you on this, th e segment wise EBITDA margins . I will ask Anuj, investor relation s, to communicate with you on this .

Moderator: Thank you. The next question is from the line of Mr. S Ramesh from Nirmal Bang I nstitutional Equities Private Limited. Please go ahead , sir.

S. Ramesh : Thank you. So before we close the call, just I would like to have your thoughts on the very high debt in N ACL and the high interest cost. So what is the timeline you expect to reduce the debt burden and interest cost in N ACL? And if you look at the overall CPC business, you said there is some pricing pressure in the domestic markets. So assuming that the inventory related pressure in the domestic market is out of the way , will you see the pricing power coming back and domestic formulation ?

Sankarasubramanian S.: Yes, definitely , our overall approach to the formulation business will be synergized with the Coromandel way of doing business , and that should bring discipline in the market placement and the working capital needs , and that should improve the profit margins and formulation. We do expect the disciplined approach to grow the formulation business. So , I think over a period of time , with the plants operating at full capacity, including the new Dahej plant , we should see some improved cas h flow and liquidity coming into the system . And we should bring down the debt. But these debts have been secured for the CAPEX investments, and it may take a while to pay them back. At this point , on a standalone basis, it is difficult to put the timelines . But our effort would be to see they have good control over the working capital , release the cash to pay off the debt and bring down the interest cost.

S. Ramesh : Okay . With that, let me thank all the investors and analysts for joining the call . And my sincere thank s and gratitude for the management for giving a good insight on the business and answering all the questions. Let me hand over the call back to Sankar for his closing the marks. Thank you very much , sir.

Sankarasubramanian S.: Well, thank you, Ramesh. Thank you for your insightful questions. And definitely , we will be more responsible in ensuring that we deliver on what ever w e commit . And looking forward to future interaction. Thank you very much.

Sankarasubramanian S.: Thank you.

Raghuram Devarakonda: Thank you.

Moderator: Thank you. On behalf of Nirmal Ban g Institutional Equities Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

"Coromandel International Limited
Q4 FY '2 4 Earnings Conference Call "
April 29, 202 4

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE
DIRECTOR , NUTRIENT BUSINESS – COROMANDEL
INTERNATIONAL LIMITED

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Q4 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recor ded.

I now hand the conference over to Harmish Desai from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Harmish Desai : Thank you, Man uja. Good afternoon, and welcome to the Fourth Quarter and Full Year FY '24 Earnings Call of Coromandel International hosted by PhillipCapital. From the management, we have M s. Jayashree Satagopan - President, Corporate and Chief Financial Officer; Mr. Sankarasubramanian - Executive Director, Nutrient Business.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Jayashree ma'am, post which we'll have a Q&A session. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Good morning, everyone, and thanks, Harmish, for organizing this conference call today.

Let me give you a brief on the business environment experienced during the quarter, followed by the company's performance and then we will have the Q&A session. I' ll try and keep the session short so that we spend more time on the Q&A session.

As far as the Indian agriculture is concerned, India experienced a challenging agri environment during the year. Agri GVA is expected to grow marginally by 0.7% and the second advanced estimates project slight reduction in food gain production during the year. India, as a whole, received a below normal monsoon, 94% of the long period average for the first time in 4 years . This led to lower crop sowing, especially in Coromandel's key markets and has also resulted in lower reservoir levels, further impacting the rabi plantings.

Coromandel's primary market s were severely impacted . Rayalaseema by 13%, North Interior Karnataka by 10%; Coastal Andhra by 3%, Vid arbha 2%, Bengal by 22% and Marathwada by 11%, which has also impacted the agri nutrients consumption in these regions.

On a positive note, the recent forecast by IMD and Skymet have estimated normal to above normal rainfall for kharif 2024, which bodes well for the upcoming agriculture season.

Fertilizer industry performance : Q4 was weak quarter for the industry as phosphatic s point - of-sale consumption declined by 11%. On a full year basis, the consumption improved by 7%. Detailed volume breakup for the industry and the company are available in the investor presentation placed in the company's website. Lower NBS rates during the second half of the year w ere not commensurate to the raw material prices, and therefore, impacted the operational viability of the phosphatic players in the industry.

With the new subsidy rate announced for first half of FY '25, we expect the fertilizer margins to show improvement. Raw material prices have remained stable to soft during the quarter, and we expect a similar trend in the coming year.

Speaking about the company's performance , the NPK volumes were down by 6% in the fourth quarter of the year; and for full year, it was lower by 3%.

Company's market share (POS) in Q4 for NPK and DAP was 24%; and for the full year, it was at 15%. In comparison with last year, it was 25% in Q4 and 17% for the full year. The company's market share (POS) in Q4 for SSP was 17% and for full year was 15%. Last year, it was 16% in Q4 and 14% for the full year.

During the year, the pla

nts operated close to 95% capacity. And further, the company is planning to debottleneck its granulation capacity in Kakinada and Vizag , adding up to 3.5 lakh tons.

Company has just commenced work on the new phosph oric acid and sulphuric acid complex plants at Kakinada with an estimated capex of about Rs. 1,030 crores . These plants are expected to come up in couple of years' time.

Further, the company plans to introduce new Urea SSP product , which has recently been approved by the FCO and brought under NBS. This innovative product will provide sources of N added to the traditional SSP.

On the Ennore plant, the NGT has concluded the hearing and the matter is reserved for orde rs. we expect the orders to come in soon.

The commercial sales of Nano DAP started from the second half of the year and response from the market has been quite encouraging. We expect to receive approvals for commissioning the 1 Cr bottle capacity for Nano DAP plant at Kakinada very soon. Further to this, the Specialty Nutrients business also plans to double the sulphur production capacity during the year.

On the crop protection chemicals, our business has registered a strong 20% volume growth across the international and domestic markets despite the severe industry headwinds faced during the year. However, the margin pressure persists due to higher inventor y in the global markets. The business focus ed on several WoW and I Care initiatives, which helped in strengthening its cost position to offset some of the pricing pressures in the market.

The business introduced 7 new products during the year and it is partnering with innovative companies to launch in -licensing products. The new products turnover index for the year was at 15%. During the quarter, CPC business introduced Prachand . This is a 9 (3) formulation product from ISK.

Formulation business is strengthening its branding capabilities and customer reach. During the year, one of its bi ostimulant brand achieved Rs. 100 Cr mark. The business is planning to set up multipurpose plants for manufacture of 6 new technicals in the coming year.

Our retail stores improved the farm level outreach and operated well during the year. Overall, 97% of the stores were profitable despite the severe monsoon conditions in its key operating

markets. Retail business is further planning to foray into newer markets by opening 100 new stores in FY '25.

Drone -based spraying services by our retail stores and Gromor Drive initiative taken by the Specialty Nutrients team is progressing pretty well. Coromandel covered more than 25,000 acres during the year.

While Coromandel continues to focus and grow its core businesses, it has been carefully crafting its long -term strategic growth areas, and accordingly, focusing its efforts.

1. Investment in drones : Dhaksha, which is a newly acquired start -up company by Coromandel, is progressing well and has commissioned its new plant in Chennai. Dhaksha's order book stands at around Rs. 250 Cr, and the company plans to service the same in the first half of the year.
2. Efforts in CDMO is progressing well, and Coromandel is in advanced stages of discussion with three innovat or companies. This being a t wo to three year journey, company expects additional traction to build up during the coming year.
3. Foray into specialty chemicals. The company has initiated a small plant at Nimrani to manufacture sodium silico fluorides apart from leveraging its CP C plant infrastructure and

also has been acquiring new customers in this space.
4. Coromandel is looking at newer chemistries like fluorination chemistry for its Crop Protection and Specialty Chemicals business. It has identified nine molecules and the R&D team is in the process of finalizing the DOT. The company plans to leverage its unique advantage of having byproducts from its

fertilizer business, which can be source for fluorination chemistr ies.
5. Investment in AgTech : Coromandel continues to evaluate its interest in AgTech companies and will be investing in them like in the past couple of yea rs.

With that, let me take you through the company 's financial performance.

Turnover : The company recorded a consolidated income of Rs. 3,996 Cr during the quarter ended 31st March 2024 and Rs. 22,290 Cr for the full year vs. corresponding period of Rs. 5,523 Cr for the quarter and Rs. 29,799 Cr for the full year. It registered a degrowth of 28% for the quarter and 25% for the full year. The decrease in revenues has been mainly on account of lower subsidy rates and with lowered RM prices apart from some volume impact in fertilizer business and pricing in the Crop Protection.

Subsidy versus non -subsidy share of business stands at 78% and 22% during the quarter vis -à-vis 84% and 16% last year. For full year, it is 83% and 17% compared to 87% and 13% in the prior year.

Profitability : Consolidated EBITDA for the quarter was Rs. 273 Cr against Rs. 403 Cr last year. And for full year, it was Rs. 2,399 Cr vis-a-vis Rs. 2,926 Cr in the last year.

Subsidy versus non -subsidy share stands at 53% and 47% during the quarter vis -à-vis 66% and 34% in the last year. And for the full year, 72% and 28% vis -a-vis 75% and 25% in the last year.

Subsidy : During the quarter, company received Rs. 2,165 Cr towards subsidy claims compared to the last year of Rs. 4,483 Cr. For the full year, subsidy received is Rs. 9,198 Cr and the previous year it was Rs. 12,477 Cr . The government has been prompt in clearing the subsidy dues, and as of to date, we have received our subsidy claims till March third week. Subsidy outstanding as of 31st March 2024 was at Rs. 1,377 Cr vis-a-vis Rs. 2,378 Cr in the last year.

Forex : During Q4, rupee traded within a range of Rs. 82.64 to Rs. 83.71. Coromandel continues to follow a pretty conservative approach in terms of hedging and managing its forex exposure, which has immensely helped in limiting the impact of currency momentum.

Dividend : The Board has recommended a dividend of Rs. 6 per share for the financial year FY23-24.

With this, I thank you all for your interest in Coromandel and joining us on the call today and we look forward to the interaction s.

Moderator: Thank you very much. We will now begin the question and answer session . The first question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Ma'am, first question is on fertilizer margin. So we used to give guidance earlier around Rs. 5,000 to Rs. 5,500 EBITDA per ton. So I mean in the current context of subsidy rates, how do we see this for the next year?

Jayashree Satagopan : Yes. Thanks, Somaiah . In terms of margins for next year, we are expecting in the range of Rs. 4,500 to Rs. 5,000 per ton in terms of EBITDA. This considers the NBS rates that have been announced by the government, we expect an uptick of about Rs. 1,500 to Rs. 2,000 coming out of it.

And then there are obviously the initiatives that happen within the company in terms of smart sourcing, operational improvements, so on and so forth. So for full year, one could look into a range about Rs. 4,500 to Rs. 5,000. Obviously, the intent is to see how we can maximize this further.

Somaiah V : Understood, ma'am. And from an industry price increase, how do we see things because earlier there were -- I mean, in one of the calls earlier, we were saying it is also a function of demand. So how do we see demand or inventory that is there in the system? What is the scope for a pric e increase?

Jayashree Satagopan : Yes. I think that's a very good question, and I have Sankar, who would respond on this.

S. Sankarasubramanian : See, overall price is a function of global prices of input raw materials a

nd commodity prices. We have seen some softness in the global DAP prices as well as, as you know, the phosphoric acid price for the quarter has also been negotiated at a lower level. So we need to wait and see how the commodity prices play out in the next 2, 3 months. If that warrants a correction, we will look at it. But as we see at this point of time, we should be able to manage with the announced subsidy and the MRP 's, which should give us a decent margin.

Somaiah V : Understood. One final question. On the brownfield expansions on the fertilizer front, so now that we have announced backward integration projects we are doing, work in progress on Crop Protection. So how would we think about it? And when do we actually start planning for this and when we can expect anything on this front on the brownfield expansion?
Jayashree Satagopan : On the Crop Protection front, Somaiah , there are three things that are happening currently. As I was mentioning, there has been very strong industry headwinds. And therefore like many other companies we also took time to reevaluate certain molecules which were earlier short -listed for setting up the multipurpose plant.
Now that we are hearing by fourth quarter of this calendar year the situation is likely to improve based on th e inputs that are coming from various quarte rs. With that and the new er chemistry that we are planning to look into , the business has shortlisted six molecules and the proposal for those MPPs are being put up now. We expect these molecules and the MPP work to be initiated during the year. These are all Brownfields which will come in Ankleshwar as well as in the site that has been picked up in Dahej. Th ere it is a bit of a Greenfield.
The Dahej site is going to be mainly used for herbicide whereas Ankleshwar is being used for insecticides and maybe one or two fungicides. This is the overall game plan . The infrastruct ure related work at Dahej has already begun and therefore as the proposal gets approved for the MPP, they should be in a position to get started during the year. This has been also factored in the business plan and the capex for FY '25.
Somaiah V : My question was pertaining to the fertilizer segment, just want to understand on the Brownfield in fertilizer segment. So when will we take this up because given that we are already doing on crop protection and backward integration.
So when is this something -- I mean, we will consider doing this a nd also if you could just help us what are the current capacity and after debottlenecking where this capacity will be in the next couple of years?
Jayashree Satagopan : So currently the focus for fertilizer is to get the PA and SA plant . It is very important and critical for the business to get backward integration of our sources in place. So that's on track.
In January, we had announced for SA, PA . Happy to state that last Friday the Bhoomi Pooja for both the plants were done. And during the year the business is looking at debottlenecking the capacity which will add further 3.5 lakh tons to the existing capacity which means from the current 34.5 we are expecting another 3 ,-3.5 lakh tons to get added to the granulation capacity.
As we go along depending on the market situation clearly Coromandel will be looking into opportunities for further expansion. But at this point in time , this is what we are considering in our business plan.
Somaiah V : Helpful ma'am. Thank you. I will join back the queue.
Moderator: Thank you very much. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani : Yes. Thanks for the opportunity. M a'am, what would be the plans for Dhaksha this year, some comments on enhancing its capabilities? What a rea are they working

on in R&D a nd what could be the normal business margins as it scales up?
Jayashree Satagopan : Okay. So Prashant, Dhaksha is in a solid start at this point in time. We have set up a new state - of-the-art manufacturing facility at Sholavaram in Chennai which has capacity to manufacture about 400 drones per month for the agriculture drones and about 50 drones on the logistics or defense front. This gives a pretty good capacity for them to scale up.
As I was also mentioning earlier during the call, we have an order book of Rs. 250 Cr and all of these we believe should get executed in the first half of the year. As we complete the execution and delivery of the logistic drones to the government, we expect some repeat orders to come, but one needs to wait and watch.
We are also investing on work that's going on in the R&D side on m ultiple new type of drones and in the business plan Dhaksha has considered adequate funding for the R&D -related investments that are likely to go up. We think the days are going to be pretty exciting for the Dhaksha drones in terms of scale -up. Margin sh ould be into mid t o the high teens to begin with and as they improve on the localization and the operational efficiencies we should see some more improvement in the margins.
Prashant Biyani : Ma'am, one concern about drone industry is that there is a very high competitive intensity. So

vis-a-vis its competitors how has Dhaksha placed better if you can highlight that?
Jayashree Satagopan : There is likely to be competitio n. However, it is early setup where the industry is very nascent. The opportunity for drones is huge whether you take agriculture as a space or you're looking at defense or logistics. So there is scope for many, many more players to come in.
What is important is the company needs to be on top in terms of technology. They must be having a good position to manufacture and do timely delivery , the quality of the drone has to be good. I think from that perspective Coromandel with all its manufacturing experiences in terms of setting together the systems and processes is helping Dhaksha to stabilize and scale up.
Prashant Biyani : Right. Ma'am, on the phos acid and sulphuric acid production how much it was in 4Q and full year?
Jayashree Satagopan : One second. Do you want the production?
Prashant Biyani : Yes. Phos and sulphuric both.
Jayashree Satagopan : So we can put it up in our notes where Anuj will be able to give you these details offline.
Prashant Biyani : Sure. And ma'am, lastly on capex side how much are we investing this year?
Jayashree Satagopan : We have for FY '25 estimated between Rs. 1,200 Cr to Rs. 1,500 Cr overall in terms of capex investment. This is across the multiple businesses that we have.
Prashant Biyani: Right. Thank you ma’am. That’s it from my side.

Moderator: Thank you very much. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal : Thanks for the opportunity. F irst question on the two other new businesses s pecialty Chemicals as well as the nano fertilizer side. If you could help share some outlook on the capex the revenue time lines and how should one look at these businesses. You did mention on the fluorination chemistries that we plan to expand into but will be helpful to get your comments on maybe new customers and how the discussion with clients is going on over there.
Jayashree Satagopan : Yes. So Ankur, I talked a little bit in terms of how we want to go on the specialty chemicals side. There are two aspects to it . one, leverage the CPC assets . For some of the intermediat e molecules , we find customers who are not traditionally in agro chemical space . This will help us to diversify the customer base, looking to newer opportunities, and secure the custome rs so that as we scale up, we have

a customer base to whom we can go to. That has already started, and last year, we have clocked close to Rs. 50 Cr in terms of sales to the speciality chemicals - based custome rs.
The second thing that we are doing is looking into opportunities where we have byproducts, which can become a base for new chemistries like fluorination, here is where the first plant that has come up. It's not a huge investment, but it's an investment in the right direction at Nimrani in one of our SSP plants, where we are using it for making sodium silico fluorides. Similarly, we are looking into opportunities in various other plants and this could become a feeder into spec chem.
In the next 2, 3 years, we expect this business to grow in size. They are coming up with their specific business plan s at this point in time. During the year, we haven’t factored any specific large investment for spec chem . As I was mentioning, there are 4 or 5 new molecules on spec chem, which is based on fluorination chemistry. As the DoTs gets finalized, they will come up with a business plan, and if require d, we will add investment capex during the year.
It looks promising and interesting because we also have the unique advantage of getting this sourced from our existing businesses. Having said that, on the Nano DAP , this is a very interesting product and Sankar being on the call, I'm going to have him respond to the Nano DAP . Sankar?
S. Sankarasubramanian : Yes. The product is quite promising. We launched the Nano DAP in a commercial scale . Last year, we started at fag end of the season . And the farmer's response has been quite good. So we hope to expand the volumes next year in the Northern markets.
The facility for manufacturing Nano DAP is coming up in Kakinada. We are waiting for the regulatory approvals and we should be able to start the production sometime in June. We have geared up and there will be an exclusive profit center to manage this business , and we also hope to introduce varieties of Nano DAP as well as Nano urea.
We are in the final stage of getting approached on the government for Nano urea as well. As a product, will be a good alternative to the imported DAP being used especially in the Northern

markets out of imports. So we hope to see a 20% to 25% replacement happening over the next
3, 4 years and Coromandel is rightfully positioned to take advantage of this opportunity.
Ankur Periwal : That is helpful. Just a follow -up on that. Did I hear it right, you mentioned 20%, 25% utilization
next year? This is on 1 Cr bottle capacity?
S. Sankarasubramanian : I talked about the replacement on the imports over a period of 3 to 4 years, we should be able to
replace 20% to 25% of imports , which is modular in nature. We can keep adding depending on
the needs, it doesn't take much time.
Ankur Periwal : Sure. And just your comment on the margin side for this business. How do you look at that part?
S. Sankarasubramanian : We will be good, but being a new business, requires a lot of concept selling. So we need to invest
heavily in terms of educating the farmers to the extent the field engagement activities have been
more. Margins are reasonable and it's healthy. That's all I can say at this point of time.
Ankur Periwal : Okay, sure. Ma'am, second bit on the medium -term thoughts on the business overall. If I go back
in history, we always had a thought of increasing the non -subsidy EBITDA contribution
significantly. The fertilizer business has performed exceedingly well in terms of backward
integration and grow th. What are your thoughts on that EBITDA mix let's say, 3, 4 years out, if
you could highlight that?
Jayashree Satagopan : Yes, Ankur. See, each of the business have their own attractiveness and the growth trajectory.
The intent, obviously, is to see how we can propel the growth for the non -subsidy businesse

s .
And that's why you see that investments are happening in some of the newer chemistries, some
of the relatively recently of f patented molecules in the Crop Protection segment. We're also
looking into getting into CDMO. And then there are adjacencies that set out like the drones and
other assets.
So this is a conscious decision to look into other areas for growth. Having said that, each business
based on their own ROIs and the opportunities, they will be given their own capital expansion,
so on and so forth. So it's not at the cost of one business to another. All the core businesses will
have their own opportunities to grow. Where we find it more attractive in terms of newer areas
- - adjacencies or step -outs, the company will also be taking bold steps there.
Ankur Periwal : Sure ma'am, that's helpful. Thank you and all the best.
Moderator: Thank you very much. The next question is from the line of Bharat Sheth from Quest Investment.
Please go ahead.
Bharat Sheth : Hi ma'am. Thanks for the opportunity and you have answered my question largely on all new
initiative. But if you can give a little more color on the retail store strategy as well as the SND
where how much is currently the total size? And how do we see the SND going along, which is
once we were talking of a big potential? And last one is our acquisition, which we did from E .I.D
- Parry earlier, how that business is playing out?

Jayashree Satagopan : Okay. Thanks – Mr. Bharat, for your questions. As I have mentioned, the retail business has
done extremely well during the last year. They continued to grow on their strength for the past
two, three years. And despite tough monsoon conditions, across all the stores, we have seen
excellent traction, focus and customer engagement activities.
Last year, I would say that we had somewhere close to Rs. 1,700 Cr of revenue from all our
retail cente rs. We have about 750 -odd stores. We're planning to expand by 55 stores in last year,
an additional 50 stores in FY '25. That means that the overall number of stores will go about 850
or so. The expansion is going to be not only in AP /TG but also adjacent states, especially like
Tamil Nadu.
The retail business not only is focusing on the products, which is our own as well as what we
buy and trade from other agri -input companies, it is also focusing on services as a separate focus
area. A lot of services in terms of crop advisory is given to the farmers where we do not charge.
However, there are services like drone spraying ; we are also looking into insurance for the retail
business. All of these will become a bundle which will benefit the farmers overall. So we think
retail business is set for a good growth and will continue to be an extremely value -added
branding for Coromandel as such with the amount of Gromor branding that we have.
I think you were talking about the specialty nutrient business. Here again, the traction has been
good. The first quarter of last year was very tough for the business. However, during the year,
they have also registered a good volume growth. We continue to focus on key specific segments,
whether it is sulphur or foliar . Nano DAP will also be part of the entire specialty nutrient business
while we are internally tracking it as a separate focus area.
On the sulphur front, we are doubling the capacity so that we should be able to provide products
for the sulphur segment because the country, as you know, is deficient on sulphur in many parts.
So this is something that the business has taken up after a gap of a few years to consciously
increase the capacity.

The business that we bought from E.I.D. Parry is bio. Bio has traditionally focused on Azadirachtin . Last two years, we have seen a very high increase in the cost of neem seeds. There have been excellent efforts in terms of cost efficiencies optimizing at t

he plant, the business has done well.
We have been able to take price increases with the custome rs. And having said that, two years of sustained price increase, we also expect that the customers will look for some reduction or opportunities in the coming year. With a high dependency on neem base, currently the business is looking into various opportunit ies for diversifying and growing the bioproduct portfolio.
One such activity is primarily in terms of looking at Marigold , which could be used for producing something called as lutein , which can go as a poultry feed. So this is a new area of diversification that bioproducts are looking at. We are also looking into certain biofertilizers like the mycorrhiza . There are a long list of new products, including microbials, which would get introduced during the year.

We believe that bioproducts per se could be a very attractive segment, not just focusing on neem, neem plus multi other areas. Again, bio is an evolving area, lot of traction, pretty attractive globally. Since we also do a lot of exports, I think in the next two to three years, they should further solidify and become a business of scale for us.
Bharat Sheth : If you can give with this always in three years, what kind of opportunity we are seeing, say, in all these three areas? And S ND, what is the current size of the business?
Jayashree Satagopan : SND is about Rs. 600 Cr at this point in time. And as I was telling, retail would add another 100 store s during the year. I think qualitatively, all these businesses are expected to grow, grow at a healthy number, I would think about more than 10%,15% is what one could look at in terms of growth in each of these businesses.
Bharat Sheth : And profitability, if you can give a little just color on broader number?
Jayashree Satagopan : Profitability from the existing bio businesses , we expect them also to improve over a period in time, because you're getting a healthy mix in terms of various other plant extracts and microbials .
Nano DAP is a new concept. Sankar was earlier explaining to you all in terms of the margins, it's healthy, it's a new product, we have to work on a lot of customer advocacy, helping them to understand and then move into a Nano DAP from a traditional DAP.
When I look at it overall, I think it's all in the positive trend. While I may not be able to pinpoint and give you, it is a 0.5%, 1%, 2% improvement in the margins, directionally it's all going up in the right scale.
Bharat Sheth : And c an I chip in one more question?
Jayashree Satagopan : Yes.
Bharat Sheth : What I mean, if I'm not mistaken, I heard that we are also launching urea plus SSP product . So if you can give some color on that?
Jayashree Satagopan : Sankar, do you want to touch on this, please?
S. Sankarasubramanian : See, this is a value -added product from the base SSP. S SP contains only P of 16%. We wanted to add Urea to it to have N also, 5% . So if you look at Urea SSP, it will have 1 :2.5 ratio. It's sort of a replica of Diammonium Phosphate. So DAP has got a nutrient -content N &P in the same ratio of 1:2.5 between N &P.
So this has the same ratio, and we thought it makes a lot of sense and a lot of field trials have been carried out and proves that it can be a good alternative to DAP. And Coromandel has taken the initiative and got it included in the FCO and we hav e set up the facility at Nimrani . And it can be a good alternative for major crops like oilseeds, cotton.
We have just carried out the trials also. It's quite promising. It's the best alternative to imported DAP. Company also gets the N subsidy from the NBS rates for the Urea portion. So Coromandel has been bringing about innovation in SSP. They've added micronutrients to it. So as part of the

diversified product portfolio of SSP, we are trying to introduce this grade. So next year will be the first full year of operation for us.
Bharat Sheth : Okay, thank you and all the best.
Moderator: Thank you very much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna : Sure. Thank you for taking my question. First question just on the Urea SSP. So if we look at the subsidy that we receive for DAP, essentially while you mentioned same ratio that has phosphorous almost 46% , this is significantly lower. So in terms of a sense, it will be a lower price . Is that what we are aiming for?
S. Sankarasubramanian : See, roughly this Urea SSP is one third or so of normal DAP, in terms of the nutrient contents. We also try to see whether we can pric e, but the benefits are higher here. So the pricing also will be generally based on the farmer acceptance at 1:2.5 od DAP, which is around Rs 1350 -1450/ bag. This goes around 500 rupees because it has got other nutrients other than N PK. SSP by nature contains nutrients like Sulphur, magnesium, calcium .
So the value addition is much more here. So right now we'll try to price it in a way so that it's attractive for the farmers . It will be very attractive for the farmers to try this.
Arjun Khanna : Sure. Very helpful. So just on this question itself, we talked of Nano Urea and we're using Urea SSP. So essentially are we looking at setting up a Urea facility or this would be bought out Urea which we would look to granulate or the production of Nano Urea?
S. Sankarasubramanian : The Nano Urea as well as Urea SSP requires very insignificant volume of Urea. So we are allowed to import Urea for manufacturing in NPKs and SSPs. We'll be importing Urea for this purpose. It doesn't call for setting up a separate Urea plant for this.
Arjun Khanna : Sure. So no major capex on the annual as of now on the Urea side, is that the right understanding?
S. Sankarasubramanian : Absolutely.
Arjun Khanna : Perfect Sir. The second question is, ma'am, on the cash on balance sheet. It seems to have increased further. We have in excess of Rs. 3,000 -odd Cr of cash on balance sheet, investments, etcetera, all combined. How do you see this actually pan out going forward? You did mention capex, but we would have a cash flow generation. So what is our thought process on the cash that continues to grow on balanc e sheet?
Jayashree Satagopan : One obviously is to use our cash for all our capital expenditure programs. The second one is also to have capital for any further expansion, whether it is on the organic or inorganic. I was mentioning to you we have not fac tored in any capex as such for s pec chem or CDMO because we are still working on the DOTs and the tech packs.
So as and when these get materialized, there will be additional capital expenditure required for these two businesses. We would also be open to look at inorganic opportunities, whether it is in

the bio space or in the chemical side. If it is attractive and it is synergistic to the business, that will require money and these existing cash should be used for it.
And fourthly, let's not forget the fact that some of our businesses are highly working capital intensive. While the government had given us all the subsidies last year, sometimes there could be situations where subsidy could take a little more time. For instance, end of the year, our receivables are slightly on the higher end compared to the past few years, mainly because of market conditions.
So we want to have kitty which will help us to fund through capex , new business opportunities that we are looking at, organic growth and also support in our working capital.
Arjun Khanna : Fair enough, ma'am. The reason I ask this is in the context of the government circular in terms of

profitability from fertilize rs. So the cash on balance sheet works as a negative for us since it's on a PBT basis and the income on cash would actually decrease the margins -- pure margins we can earn from the fertilizer piece. Just wanted your comments on this.
Jayashree Satagopan : Here we are representing to the government because the surplus is of a corporate and meant as a corpus for certain purposes. Each of the businesses have their own cash flow, working capital.
We are awaiting some clarifications. Whatever guidelines that the government has, we believe through our representation will be looked into very fairly because it's not for a business. This is for multiple businesses and the corpus has been maintained for a period in time. If you look back three years back, we had some Rs. 3,500 Cr of cash with us, right? So that's the position the compan y will take.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh : Sir, just to put the discussions on your growth plans, the Specialty Chemicals and investments in chemicals and perspective. So can you give us an idea in terms of when you expect this capex of Rs. 1,200 Cr to Rs. 1,500 Cr to be monetized in terms of revenue and profits? Would it be somewhere in the second half of FY '26? Or can we expect it from the beginning of FY '26? Or will it slip into FY '27?
Jayashree Satagopan : Thanks Ramesh for your question. The capex that we have indicated now is for two major capex . One is our SA and PA plant which is likely to come up at Kakinada. The other one is for the MPPs for crop protection chemicals. SA and PA plant will take two years to get completed and hopefully in FY '26 end or early FY '27 is when those plants will be up and running. So those

are planned backward integration projects where you will see the benefits flowing from FY 27.
On the MPPs, the business is in the process of setting up the proposals. It could take again 18 to 20 months' time in terms of setting up the facilities and therefore again you should look at a two-year window for looking at the benefits to come in. The rest of the capex for the year is mainly on account of the maintenance capex while there is a Nano DAP facility that will come up and get commissioned where most of the work is completed. We are just waiting for the government approvals to come in. Similarly, Sulphur is a small capacity addition. The rest are not very major. Two big items that have been considered are in these fronts. Hope that clarifies.

S. Ramesh : Okay. So if you look at the Specialty Chemicals and the S NP revenue, on a background level calculation, your non -subsidized revenues of about Rs. 4,500 Cr, EBITDA of Rs. 600 Cr and if you net out the CPC you are in a non -subsidized business, comes to about Rs. 2,000 Cr, excluding the S NP piece. So if you look at this, excluding the CPC, whatever the non -subsidized business, what is the kind of growth you can expect in that?
And right now, I think your EBITDA margin is about 16% to work out. So is this margin going to be in this range, 16%? Or will you see the margins improve? And what are the top line growth you can expect in the non-subsidized business excluding Crop Protection?
Jayashree Satagopan : As I was just mentioning some time back, Nano is one area which is non -subsidized. It's a new area. We expect a significant growth here. A lot of farmer advocacy is happening and will continue to happen. We don't have a big base for us to start, but the growth here is going to be pretty attractive. On the Speciality Nutrient segment where we have around Rs. 600 Cr of turnover - we are expecting a good amount of growth to come in, mainly on the sulfur side for which a new plant is also getting set up at Vizag .
tee. Nano's growth can be exponential . SND growth anywher

e between 10% to 20%, CPC and
Bio are also expected to grow. In all these businesses , we also expect the margin accretion to happen over a period of time.
S. Ramesh : So just to put all this in perspective if you look at your n utrient business you're talking about 3 lakh to 3.5 lakh tons of expansion. So that will possibly the exit rate will go up by about 3 lakh, 3.5 lakh tons say by FY '25 end. And similarly you are getting some traction in terms of your specialty chemica ls where you reported about Rs. 50 Cr that may see some growth. So all the other initiatives may take some time.
So can you give us some indication in terms of how your Senegal mining volume growth can support some opera ting leverage benefits for n utrient business in terms of both volumes as well as margins? And secondly, on the drones business so you're going to do about Rs. 250 Cr in the first half. If you can give us some indication in terms of the kind of potential revenue you can do in '26, '27 and the kind of EBITDA margins you can earn in that, that will be useful?
Jayashree Satagopan : Okay. So on the n utrients, the first one you wanted to ask how our mining backward integration would help us. As you know, we have invested in BMCC a couple of years back. And last year the overall r ock production in the mine had gone up considerably compared to previous year. And in the coming years we are looking at somewhere close to 2.5 lakh to 3 lakh tons of rock to be mined and sent to Vizag for consumption. Senegal is a very important strategic initiative for us. As we are setting up our Kakinada plant for sulphuric acid, we will require more of rock and having our own backward integration in terms of rock will only help us both in terms of supply as well as negotiation with the other rock supplie rs.
We expect the rock mining from Senegal to go up to 5 lakh tons. And S hankar and his team has been working closely w ith the Senegal operations there. Secondly, when you talk about specialty chemicals as I was mentioning it's a close start. We have about Rs. 50 Cr last year and with

various initiatives that we are looking at an d also acquiring new customers w e expect this to increase during the year.
And more importantly as the new fluorination -based chemistries for the molecule s are firmed up and we start putting up exclusive plant, this will become a new stream of business of some size and scale for Coromandel. So that's the plan. And you were talking about Dhaksha. Dhaksha has the current order book which we expect to execute in the first half . The logistic drones orders as they get completed we can expect repeat orders coming from the government. The team is working on it.
Apart from it, a lot of efforts are going on the R&D side for various types of drones, not just the

ones that we are currently doing. Since it is in the R&D stage we may not be able to come and discuss this openly, but a good amount of efforts are going into it. We have form ed a steering committee to look into what are the opportunities , doing a stage -gate process to ensure that everything is on track and we're able to deliver on the R&D commitments timely . So this is a very new and interesting area, lot of processes are being put in place so that there is a good amount of management time that goes into ensuring that the investment in Dhaksha is actually helping in terms of scaling the business. Margin sh ould be attractive as we go along.

S Ramesh: Thank you very much. I will join the queue. I wish you all the best.

Jayashree Satagopan : Thank you.

Moderator: Thank you very much. T he next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Rohan Gupta : Yes. Hi ma'am, good afternoon. Ma'am on the margin, you are talking about still Rs. 4,500 to Rs. 5,000 per ton for the current year

and we are quite confident about it. However, last two quarters have been sub -Rs. 2,000 kind of margins, that 's what we understand.

So given the current Kharif season rates, subsidy rates are already out by the government and we do not see that any further revision in near term if that doesn 't happen then do you think that this margin which you 're talking about maybe difficult to achieve o r you expect that in second half with the increased volume and also from the value added we can achieve these numbers?

Jayashree Satagopan : Good afternoon Roha n. As I was mentioning, the re has been a revision in the NBS rate between various product cat egory there. One could look at Rs. 1,500 to Rs. 2,000 increase in the overall subsidy. The current quarter and the past quarter has been pretty tight and as you all know this is mainly driven by two facto rs.

One is a lower NBS rates which is not commensurate to raw material prices. Secondly, the RM value that started cooling had shot up in between. However, we are seeing a trend for RM to be soft to stable as we go along into FY '25 plus the sulphuric acid plant which has got operational will also bring in more operational efficiencies and also savings in terms of power cost.

So all of these put together, that's why I gave a broad range which one should look at for EBITDA per ton as we get into FY '25. And as you know, there are lots of percentage. Things

could become favourable. When the raw material prices went up, the value capture was quite high in Coromandel. There is another one in terms of subsidy rate that the government is looking at when it comes to the second half. Third is the season per se. If it is good, farmers will need fertilizer, and we are also hoping with the elections getting over, there will be more flexibility in terms of pricing to the market. So all of these one should bear in mind as we look into the sales and margins for the coming year.

Rohan Gupta : Ma'am, as far as the pricing in the market, even post election, I think that we have been closely monitoring that from last 2, 2.5 years since the prices have gone up. The government has been very sticky as far as the DAP pricing is concerned in the market. I mean, what gives us the confidence that there may be possibility and opportunity to tinker with the market prices as far as DAP or maybe even c omplex or constant? I mean the government has not only just looking and then monitoring it?

Jayashree Satagopan : The government has been very supportive, giving high subsidies. And let's also think about it, how much subsidy that the government would want to continue to provide to the companies? They're also talking about direct transfers to farmers, which has been on the agenda for quite some time. We do not know how all of these are going to pan out. And therefore, somewhere there's a belief that there would be some amount of flexibility, which is given to the company rather than only relying on the subsidy element that the government will increase or decrease. So that's the broad thinking. Having said that, I would have Sankar to also share his perspective as he works closely with the industry and the ministry.

S. Sankarasubramanian : See we will be responsible in fixing the right MRP, which we need to have for the level of investment and the cost what we incur. So to that extent, I think, government always supports the decision keeping the farmers' interest in mind. Well, margin accretion will happen more in terms of improved operational efficiencies, as Jayashree said. Sulphuric acid plant total benefit will flow in and we've also been working on improving our efficiencies and the backward value chain in Senegal also will add to the improved profitability. And also, we have to understand that, as a company, we focus more on the unique grades. In fact, last year, our unique gr

ade

volume s have grown up significantly and we'll continue to focus on those unique grades. So our aim in terms of improving the EBITDA margins are not the increasing prices, but by improving our operational efficiencies, bringing the value -added products while the farmer reaps

the benefit. In fact, we are looking at more of fortification as our plan for our generic grades. We'll add zinc & boron to it. And we have been fairly successful in SSP. We may repeat the story in fertilizer as well, and we have plans to do it. So our aim will be to focus on costs; improve operational efficiencies; product mix; our unique grades, which brings in value purpose to inform us so that it doesn't feel the impact of the price change .
And I think going forward also, we should be able to sustain the momentum because the international prices also are coming along, and our ability to smart purchase at the right time also helps us. That's what's differentiating Coromandel from othe rs. Our procurement efficiency is one of the best and that also helps us to sustain with momentum even in the challenging environment.

Rohan Gupta : Helpful, sir. And Sankar, sir, you also mentioned that over next maybe 2 to 4 years, you see that the Nano DAP can replace probably 20% to 25% of imported DAP in the current -- I mean, that's what the government is looking like. Sir, any idea or indication you can share that how -- what kind of market share we are looking in a Nano DAP?
So I think that the competition is going to definitely pick up in Nano categories. And what kind of sustainable margins? We still have no clarity that what kind of margins are there in Nano product categories across. So if you can just share that what kind of market share and what kind of margin one can expect from Nano DAP ?
S. Sankarasubramanian : See, this is a new product, new segment and we have got our own innovative product. It's unique in nature. We don't compare with othe rs. And we have got very good response in the marketplace . So I would say what capacity we can do, rather than putting market share at this point of time, it is -- more players are welcome here. But our ability to connect with the farming community, ability to execute with the farmer and our brand loyalty will def initely help us to sustain the momentum that we have received in the last 6 weeks of introduction. It's very promising now. All I can say is we will try and keep on improving our capacity utilization, we'll try to add capacities. It will be very difficul t to put any market share at this point of time because this market is just opening up now.
And also, this product is not only constrained to domestic market. We have huge opportunities to exports as well so we'll also be trying to see how best we can leverage on our global presence as well. So the potential is there as a replacement, but also in certain crops the farmer's behaviour is also as an add -on. Some of the crops where they don't use DAP, there they are trying to use this as they make it convenient for pulses or for green grams. So there's a lot of different experiences. It's for the farmers to decide and accept this product. So potentially that's what I can say. And the products also will evolve. There will be multiple grades which can come in. We have to wait and see. It's too early to make observations on the market share.
Rohan Gupta : Sir, any indication on margins also? Gross margin?
S. Sankarasubramanian : Margins are basically good, but we need to make a lot of investments on farmer connect programs and creating awareness and carrying out a lot of test and field trials. But definitely, I can say it is very healthy at this point of time. It's a non-subsidy business, and the margin are even better than the Specialty Nutrients margins what we make.
Rohan Gupta : Okay, so that's very helpful. T

hank you so much.
S. Sankarasubramanian : Thank you .
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Jayashree for closing comments. Thank you, and over to you, ma'am.
Jayashree Satagopan : Yes. Thank you all for joining us today. I know that there were a few more in the queue. We'll be happy to take your questions. Feel free to reach out to Anuj or me for any clarifications. And we will also be soon setting up a meeting in Mumbai where we wi ll come and meet up with

some of the investors and analysts. We'll be glad to interact further. Thank you once again for your interest in Coromandel and have a great day.
Moderator: On behalf of PhillipCapital India Private Limited , that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.
S. Sankarasubramanian : Thank you.

Call: Aug 2025

Ref. No: 2025-26/038
August 1, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of conference call held on July 25, 2025

This is further to our letter dated July 25, 2025 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on July 25, 2025 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor-call-transcripts/ as required pursuant to Regulation 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you,

Yours truly,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

Coromandel International Limited
1Q FY '26 Post Results Conference Call
July 25 , 202 5

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE DIRECTOR , CPC, BIO PRODUCTS & RETAIL – COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Limited 1Q FY '26 Post Results Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone.
I now hand the conference over to Mr. Manish Mahawar. Thank you, and over to you, sir.
Manish Mahawar: Thank you, Bhavya. On behalf of Antique Stock Broking , warm welcome to all the participants on the 1QFY26 earnings call of Coromandel International. Today, we have Mr. Sankarasubramanian S., Managing Director and CEO; Dr. Raghuram Devarakonda, Executive Director, CPC, Bio Products & Retail; Mr. Deepak Natara jan, CFO, on the call.
I would like to hand over the call to Mr. Sankarasubramanian for opening remarks, post which we will open the floor for Q&A. Thank you. And over to you, Mr. Sankar.
S. Sankarasubramanian: Thanks, Manish. Good afternoon, everyone. I'll give a brief on the overall business environment we experienced during the year, followed by company's performance, and thereafter, we can take your questions. On the agricultural scenario, after an early onse t of Southwest monsoon in May, country as a whole received above normal rains during the first half of the Kharif season. As on date, we have received 105% of the long period average rainfall. While regional variation exists, there has been good recovery, especially over the last fortnight, and overall agriculture scenario remains positive.
During the month of June, there has been some mismatch in the rainfall distribution, especially in the southern states, that has really caught on in the last 2 weeks. Reservoir capacities are also up from 38% last year to 61% up to last week with healthy levels across all regions. The South, which is a key market for Coromandel, 70% of the capacity has been reached in the current year as compared t o 48% in last year, giving promising outlook for the crop sowing.
As a result, healthy crop acreage has happened so far, mov ing up by 4%. Coming specific to individual crops, rice has grown by 13% and coarse cereals by 14%. There has been a negative sowing in cotton and oil seeds. So overall, we have achieved 7 1 million hectares crop sowing as against the Normal Kharif sowing of 110 million hectares, which shows 70% of the sowing has already happened.
On the policy front, the government has provided strong support for farm income through increased minimum support prices for Kharif 2025, and direct income transfer schemes such as PM Kisan and Rythu Bharosa, Annadata Sukhibhava. All these are all progressing as planned by the govt.
Cabinet has recently approved Dhan -Dhaanya Krishi Yojana scheme to focus on improving incomes in 100 districts having low productivity, cropping intensity and credit disbursement through improvement in crop diversification, post -harvest storage, irrigation infra and credit access.

During the quarter, the government approved the continuation of the modified Interest Subvention Scheme. Under the scheme, apart from 1.5% of interest subvention provided to eligible lending institutions, farmers making prompt repayment of loans will be el igible for additional incentive, thereby reducing their interest rate on KCC loan to 4%.
Specific to fertilizer policy, government has been ensuring adequate availability of DAP and has been engaging with the various global players . Government delegation visited Saudi recently and secured long -term supply of close to 3.1 million tons for the next few years. This will be extremely useful as India imports close to 5 to 6 million tons of DAP.
Considering the importance of DAP requirement, the gove

rnment has also c ame up with
additional compensation for DAP beyond certain threshold levels, which was announced in the early part of Kharif and that is likely to continue for the second quarter as well.
On the industry performance, all key raw materials witnessed firmness in Q1. Processed phosphates like DAP continued to climb as absence of Chin a and lesser supply from Russia has significantly tightened the market supplies for DAP. Shortfall in supply from China so far has been made up from sourc ing DAP from rest of the world .
In line with the increase in global prices of DAP , and also India CFR price of DAP, Phos Acid price has also significantly gone up from $1,153 in Q1 and has b een concluded at $1,258 for Q2.
Domestic phosphatic industry registered a strong quarter, driven by improved sentiment, improved consumption of fertilizers, which has gone up by 9% to 4.5 million tons. Early monsoon arrival, lower level of inventory and higher sowings contributed to this improved consumption trend.
NPK segment continued to grow well and constituted 65% share in the overall sales. The last year trend of increased demand for NPKs replacing DAP augurs well for India, especially considering the fact NPK provides a balanced nutrition much required for the crop as against deploying DAP. On the supply side, production and impo rt of phosphatic were up by 5% to 9%.
Production continued to remain healthy at 37 lakh tons for the quarter for DAP and NPK.
After a lot of efforts from industry as well as from the government, the import of DAP and NPKs

has managed to move up in the last few weeks. And the first quarter witnessed 19 lakh tons as against last year's 17.6 lakh tons.

Overall, the consumption has gone up by 9% at the industry level, mainly driven by NP, NPKs, which has grown by 34% from 22 to 29 lakh tons, whereas DAP registered degrowth. This indicates the farmer preference for balanced nutrition and the choices they have made depending on the availability despite the fact th at DAP pricing continues to remain low as against higher NPK pricing.

It's heartening to note that single superphosphate has witnessed robust growth of 25%, moving up from 9.8 to 12.2 lakh tons, and urea registering increase of 12% over the last year.

Potash consumption as primary sales have moved up, but imports came down considerably due to delay in price negotiation, which was subsequently settled at a very competitive pricing in comparison to China price, and that assures supply of potash in the com ing months. While the import for the first quarter is lower at 71%, consumption moved up by 46% to 4.6 lakh tons.

Coming to agrochemicals , Globally, there has been a reduction in the channel inventory compared to last year. Pricing pressure on certain molecules has reduced compared to last year but still challenge persists in the current year as well.

However, favorable monsoon conditions in the domestic market really aided in widespread spraying coverage across the region, generating demand for crop protection. With the overall buoyancy in the marketplace, farmers have started resorting to high -end products like special ty fertilizers, Bio products, which has seen uptrend during this quarter.

Coming to company's performance during this quarter. Our performance has to be seen in the context of overall environment. Due to the early onset of monsoon, the increased crop sowings improved the demand for the agri inputs, whether it's fertili zer or specialties and organic. At company level, the performance across business segments has been quite healthy, mainly driven by operational excellence, procurement efficiencies and very effective marketing communication.

Our plants operated at full capacity of 8.4 lakh tons in Q1, registering 6% volume growth. We continue to operate our newly commissioned sulfuric acid plant a

t 100% plus capacity
utilization, and our phosphoric ac id volumes were also up by 23%.

A lot of digital analytics intervention, improving the uptime of our plants in both Vizag and Kakinada was really helpful in increasing the throughput efficiency, conversion cost reduction, and the company has been leveraging effectively digital tools to m anage and maintain operational effectiveness in their plants.

The production of NPK and DAP moved up from 7.88 to 8.37 lakh tons, registering growth of 6%. Phosphoric acid moved up by 23% during this quarter with the resumption of Ennore plant also coming back on track.

As you all know, we announced backward integration projects of phos acid and sulfuric acid and the project is progressing well. And almost we have completed 70% of the project milestone in terms of machineries as well as civil construction. The plant is likely to be commissioned in Q4 of this current financial year.

The company's rock phosphate project at BMCC has significantly increased its throughput and has stabilized its operation and helping in meeting company's rock requirement. As you all know, the company is currently holding 53.8% stake in the Ba obab Mining and Chemicals Corporation at Senegal. And yesterday, Board has approved increasing the stake by a dditional 17.7% to reach 71.5%.

Senegal is of extreme importance for the new plant, which is coming up at Kakinada, where we plan to use Senegal rock, meeting 40% of the new plant requirement. So we feel the improved operational efficiency at Senegal and increased throughput in the comin g years will help us to secure at least captive rock sourcing close to 25% of our annual requirements.

Our granulation project that is expected to add 7.5 lakh tons of additional capacity is on track and is likely to be commissioned by end of FY26-27. To support this, company is setting up a bagging facility also, which will help in reducing operational costs and facilitat e smooth movement of the goods.

During this quarter, as you all know, the Coromandel signed a long -term agreement with Maaden of Saudi Arabia, a leading fertilizer player, mainly to secure DAP shipments. We have also been contracting ammonia shipments for our operations at Kakinada.

On the marketing front, Coromandel achieved record primary sales volume of 11 lakh tons, marking a 31% growth, establishing itself as a leading marketer of phosphatic fertilizers in the country with an improved market share of c lose to 18% on the NPK segment.

Share of unique grades, which differentiates us from the rest of the players, stands at 34%, improved from last year level of 31%. We continue to expand in Central and Northern India, aligning with our strategy to diversify markets and prepare ourselves fo r the upcoming increase in capacity.

The POS consumption improved by 46% during this quarter to 7 lakh tons, reflecting improved farm level engagement activities and a favorable agri environment. The market share on the consumption basis has improved to 16% as compared to 12% of last year. With the better price realization on the Rabi produce, the market collections for the business has been quite robust. And also, we are happy to note that the government has been prompt in settling the subsidy dues as well. SSP business has recorded a volume growth of 20% to 1.9 lakh tons with special focus on differentiated products, which are unique to Coromandel, the share of which has reached 37%.

We've also been persisting with our drone spraying services under the brand of Gromor Drive. And in first quarter, we have covered 25,000 acres. The initiative has received highly encouraging response from the farming community, and we are planning to double the fleet size of drones by procuring them from Dhaksha, and we hope to reach at least 0.5 million acres of drone spraying in the current year. Coromande

l is taking this initiative more to provide
comprehensive solution to the farming community, at the same time helping in preserving and conserving the water as drone spraying can cut down water requirement by almost 90% and can be reduced to one-tenth of the total water otherwise required per acre.

Specialty Nutrient business as a company had a strong quarter , registering volume growth of 12%, while organic fertilizer volumes has improved by 29%. Our Nano DAP business has made a good progress, and we have been very, very systematic in creating awareness campaigns across India, carr ying out a lot of field demos, present ing the research institute s' trial results to the farmers, generating the demand, and focus ing on educat ing the farmers to adopt this product for

partial substitution of DAP, which is also not available in adequate volumes. Going forward, the business aims to broaden its portfolio from institutional partnerships and tap into export markets as well to enhance its market presence. The company is also looking at diversifying the product portfolio by looking at Nano NPKs as well. The company has also launched Nano Urea through its retail outlets during this quarter and continue to responsibly educate the farmers in appreciating the use efficiency of this technology.

During the quarter, Coromandel signed a definitive agreement to form a joint venture with Sakarni Plaster for the manufacture and sale of phospho gypsum based green building materials. This JV enables synergies in adjacent areas by converting its industria l byproduct gypsum into value -added construction material.

Crop Protection and Bio segments of the company delivered robust set of numbers in Q1, revenue growing up by 31% to Rs 725 crores and EBIT moved up by 77% to Rs 111 crores. In exports, we brought in differentiation in terms of our mancozeb margins , volumes, target markets and have received very good response in major consuming markets as the demand for the product has mov ed up due to its extension on maize crop . Domestic market benefited from the early monsoon arrival that resulted in growth across B2B and B2C segments.

Business introduced 10 new products during the quarter, including one in -licensing product. We continue to focus on increasing the share of new products. Overall, three insecticides, three herbicides, three Bio products and one PGR were launched, including one in -licen sing and three 9(3) formulations.

On the in -licensing product, Nitenpyram is a globally acclaimed sucking pest insecticide in -licensed from one of our strategic partners. We'll continue to drive this business. We have also started focusing more intensely on the domestic formulation segments and expanded our geographies by significantly improving our presence in additional 40 territories and also increasing our field strength. All this will play in the next coming quarters in terms of increased share of our domestic formulation business.

On the Bio business, there has been a revival in demand for the biopesticides in the global markets, especially from U.S. and we continue to receive the orders from Europe. The business has been focusing on diversifying the portfolio beyond nee m-based, and they are in the various stages of registerin g the new products like microbials. The business has created a separate marketing team, as it involves concept selling to educate the farming community to adopt the Bio products.

In July 2025, Coromandel received Competition Commission approval for the newly -acquired NACL and is awaiting SEBI clearance to launch open offer. Once we get the approval, we'll conclude the transaction of buying out the promoter stake and complete the acquisition formalities, including open offer. With improved liquidity and market sentiment, bus iness is doing well and we will try and realize the synergy benefits

envisaged earlier at the time of
acquisition.

On the retail business, the business has reported strong performance in Q1 with growth in revenue and profitability across various segments. 73 new stores were opened during the quarter, and business is on track to increase the store count by adding 400 st ores during the year.
The business is enhancing its customer outreach through strengthened e -commerce and digital platforms and will be the only player to make a door delivery of key agri input products besides providing spraying services.
With these initial remarks, I will hand over to Deepak to take you through the company's financial performance. Over to you, Deepak.
Deepak Natarajan: Thank you, Sankar. Good afternoon, everyone. The company recorded a consolidated total income of INR7,126 crores during the quarter versus INR4,783 crores in Q1 of last year, registering a growth of 49%. The increase in revenues has been mainly on account of higher subsidy rates and volume growth across all our business segments. The subsidy share of the business stands at 83% during the quarter compared to 81% in the previous year same quarter.
In terms of profitability, the consolidated EBITDA for the quarter stands at INR782 crores against INR506 crores in the previous year, registering a growth of 55%. The increase in EBITDA is driven mainly by volume growth, higher subsidy rates and margin expansion in crop protection and all the other businesses.
Profitability share of subsidy business stands at 68% during the quarter.
In terms of subsidy, during the quarter, the company received INR1,300 crores towards subsidy claims from the government compared to INR987 crores in Q1 of last year . Government has been prompt in clearing the subsidy dues. As of today, we have received our subsidy claims until July first week . The subsidy outstanding as at quarter end June 30, was INR2,911 crores.
In terms of forex , during Q1, the rupee traded in the range of INR83.76 to INR86.91 to USD .
Coromandel continues to follow a prudent and a conservative approach of hedging our forex exposure and that has immensely helped in limiting the impact of currency volatility.
Thank you for your interest in Coromandel. Looking forward to your interactions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Prashant Biyani from Elara Capital.
Prashant Biyani: Sir, congrats on great set of numbers and congrats on being elected the Co -Chairman of FAI.
Sir, my first question is on the China specialty fertilizer ban. Do we have plans to start manufacturing specialty fertilizer in a big way in India and capture the market leadership here as well? And secondly, on rare earth minerals, sir, do we have any plans to enter the space of rare earth mineral extraction?
S. Sankarasubramanian: Thank you. Very insightful question. Both are very, very relevant. We are equally concerned on the supply of raw materials for Specialty Nutrient business. We are evaluating opportunities of creating capacity for some of the key raw materials and as a fertilizer player, our ability to reuse

the by-products which are generate d out of the process is quite helpful. We are evaluating the investment to create capacities for our captive consumption as well as it provides opportunity for us to export to Europe and various other NPK players globall y. Also, it will meet the domestic demand of the rest of the players in the country.
On the rare earth minerals. We'll get back to you once we do evaluation. We are trying to focus ourselves mainly on the phosphate -based derivatives. We have not looked at extraction of rare earth minerals.
Prashant Biyani: Sure. Sir, your view on what could be the NBS subsidy for H2, not the number, b

ut directionally,
how it could be, because internationally, we are seeing raw mat erial prices have been going up?
S. Sankarasubramanian: Logically, subsidy should go up.
Prashant Biyani: Right. And sir, on BMCC, what is the current output? And how much do we plan to scale it up to? Our earlier plans were to scale it up to 5 lakh tons, but do we plan to scale it further beyond 5 lakh tons, and by when?
S. Sankarasubramanian: If ever ything goes well this year, FY25 -26, besides 2 to 3 months of rainy season when we don't operate , we should come closer to 300,000 tons to 400,000 tons per annum, which will be a remarkable achievement. Being the first year of capacity, we are reaching 100%. Hopefully, we should double it in the next 2 years. We can do this with not significant investment.
Moderator: The next question is from the line of Somaiah V from Avendus Spark.
Somaiah V.: Sir, the question is on the DAP market. This has been tight for some time now. So do we see, in the next 6 months or 9 months, any major supply that could come from global players by adding capacity or anything that could change in this market that could e ase out a bit in terms of global supply, or the existing tightness can continue for some more time in your view?

S. Sankarasubramanian: See, China is major source for India in the last few years. It has completely dried up in the current year. So that is creating the demand -supply mismatch. But we are confident that from Middle East sources, increased volumes can come through and make up for the volume drop from China, and that should c onsiderably ease the situation.
While there can be a timing mismatch going forward, with the capacity expansion happening in Middle East, we are reasonably confident we should not face any challenge on DAP availability going forward.
The companies are also creating capacities which will come up on stream in the next 2 years. With the stable policy and the reasonable market price and also the inclination of the farmers to make a switch from DAP to NPKs, this will get balanced out. Also globally, commodity prices are not goin g to go up for various reasons. And I don't see any reason why for India alone DAP price should go up. I have a strong view, if appetite for DAP for the forthcoming rabi seasons are met, DAP prices should soften from there on.

Somaiah V.: Got it, sir. Sir, second question is on the margin. So we earlier had guided -- I mean, in terms of our expectation around the manufactured margins of around INR5,000 per ton. Updated thoughts on that. That's the first part. Second, in the current quarter, the quarter gone by, Q1, I mean, what was the impact of sulfur , sulf uric acid prices directionally?
Because I think in Q4, you had alluded because sulfur prices being higher at close to $300. So how did things change on a quarter -on-quarter basis and how things stand today? I mean, are we seeing sulfur market easing out a bit or still it continues to rem ain tight? That's the second part.
Third part to the margin question itself, as you mentioned, phos acid prices have gone up. Does this warrant a price hike from our side to maintain margins what we are looking out for FY '26?
S. Sankarasubramanian: In respect of sulfur, sulfuric acid price, it continued to remain firm. Sulfuric acid is around $120. And sulfur prices peaked to $300 plus, and has started softening now. It has come down to $275.
So we do hope that sulfur prices have reached the peak and can only come down from here on.
On the manufactured margin, our normative EBITDA per metric ton of INR5,000 will sustain during this year. That's our hope, and we'll strive to do that.
In terms of the phosphoric acid price change, it's in line with the global commodity prices, especially DAP increase. This may warrant some correction in certain NPK grades, because we should be awa

re of the fact that both phosphoric acid and potash h as gone up during this quarter.
. Of course, price change on account of DAP, phosphoric acid, and imported DAP prices will be compensated in the form of subsidy. That's what we foresee at this point of time.
Somaiah V.: Just one small clarification, sir, regarding the sulfur, sulfuric acid impact in the quarter. Compared to Q4, it would have had a negative impact because prices have gone up. Just directi onally, just want to understand?
S. Sankarasubramanian: Yes, it has impacted the value gap on captive phosphoric acid because we consume sulfur to produce sulfuric acid, which in turn is used for phosphoric acid, and imported sulfuric acid price has also gone up. To that extent, there has been a marginal reduct ion in the value addition. But with phosphoric acid going up, again, the value gap will widen further g oing into next quarter as well.
Our procurement efficiency of long -term contracts, some of the formulas are slightly different from spot purchases. We are fairly getting insulated. That's what I mentioned in my opening remarks on the procurement efficiency. So we have been managing it qui te well.
Moderator: The next question is from the line of Puran Mangilal Tak from Oracle Capital Services.
Puran Mangilal Tak : So my question was on the -- like Coromandel is using different grade of phosphoric rock to produce phosphoric acid. So I just wanted to understand that does it impact the conversion rate of rock to acid? And what is the current conversion of rock to acid? And in the annual report also, like we are doing research on how to use that different grade of rock. So does -- like it has improved our conversion rate or conversion of rock to asset has improved over the 5 years? Just wanted to know that.

S. Sankarasubramanian: Good question. Coromandel is differentiated from the rest of the players in the industry mainly by focusing on sourcing rock from multiple sources. So at any point of time, we have 4, 5 grades of rocks and 4, 5 grades of acid we use in our plants, driven b y the necessity because as our volumes going up, our demand for acid goes up. And that is where our pilot plant at Vizag comes handy in terms of trying out various blends of rock and different proportion and different P2O5 content.
The new plant, which is coming up in Kakinada is also being designed to handle low -grade rocks and the metallurgy of the machineries are accordingly tuned to handle low -grade rocks. Once we design it for low -grade rock, the higher grades can give better throughput. So this has been

taken care of, and that's t he core strength of Coromandel. At any point of time, we use more than 3 grades of rocks to produce without compromising on the output, without compromising on the quality.

Puran Mangilal Tak : And can you give us, like what is the current conversion rate. Like how much rock we require to produce acid, blended, just wanted directionally ?

S. Sankarasubramanian: Roughly, you can take, around 3.5 tons to 3.75 tons of rock may be required per ton of acid, and that depends on the P2O5 content. Suppose if we use low grade, it may go to 4 tons, 4.25 tons. If we use high grade, it will come to 3.25 ton. On a blended bas is, you can take this sort of number.

Puran Mangilal Tak : Okay. And my next question was on the -- like as Coromandel has the largest depot network among the peers. So just wanted to know that what is our depot in our value chain. And like as I have met the Gromor retailer, so he said that now Coromandel is shift ing to direct delivery to farmers. So like conversion like from the last 5 years. So like is there any cost improvement or this cost savings from direct delivery to farmers?

S. Sankarasubramanian: I didn't understand the first part of it. Can you please repeat the first part of the question, initially?

Pu

ran Mangilal Tak : So like Coromandel has the largest depot network overall in India?

S. Sankarasubramanian: Are you talking about retail network?

Puran Mangilal Tak : No. Depot .

S. Sankarasubramanian: On the door delivery, we started this initiative in the last 2 quarters. We have been doing it to ensure that the farmers get delivery of the products like an urban consumer. And we started on a pilot scale. It's picking up momentum. And it is aided by our e-commerce platform, which we created to deliver all the agri input products a t the doorstep for the farmers.

We have piloted in a few districts. Working well. We'll be scaling up. And we also have our own MyGromor e-com platform, on which the farmers can place an order and the delivery can be made. This is picking up.

While it may not be value accretive in terms of the cost versus additional margin, but it provides customer lock -in for us. And we feel, as part of an agri solution to the farming community, we

should facilitate this. We will try to expand this to many markets, and we have seen the benefit of this as well.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Funds.

Naushad Chaudhary: Congrats on a good set of numbers. A few questions and clarifications. First, as we are expanding in non -South market, can the volume growth also be attributed to channel filling as well?

S. Sankarasubramanian: Consumption also has grown well. While I agree with you, we've grown beyond South markets, we have done volumes in North markets, but they are all on a cash basis and collection has been good and the consumption also happened. Consumption share also has gon e up during this quarter.

Naushad Chaudhary: And what is the goods return policy we follow?

S. Sankarasubramanian: In fertilizer, there's no concept of goods return. In crop protection, we have a framework. It's not very high. It's not very significant. We don't push volumes. We only place it to the extent of the demand. And for some key specialties, there are no returns. Wherever it is required, depending on the monsoon failure and genuine considerations, we do consider goods return.

That is restricted only to Crop Protecti on business. So we don't have to really worry about the first quarter, whether it's a push sale that has driven the volumes. They are all quality sales and will be back ed by the consumption.

Naushad Chaudhary: Sure. Second, on the prices of sulfuric and phos acid both, and because we are backward integrated, ideally, it should have helped us in terms of the EBITDA per ton, right? Because these 2 prices have gone up, we are backward integrated and the finished product prices would get adjusted accordingly. So it sho uld be good for us?

S. Sankarasubramanian: Yes and no.

Naushad Chaudhary: Okay. Can you elaborate on this? And are you in a position to quantify how much it would have helped?

S. Sankarasubramanian: These are volatile commodity prices, no one single factor can influence. It's multiple factors. How do you optimize your rock usage? How do you source ahead of time and how do you price your end products? It's completely dynamic. On a normative basis, we e nsure that we get that average EBITDA of INR5,000 what we have been talking about. So sometimes it goes down marginally, sometimes it goes up. But on an annualized basis, this is what we aim for.

And also besides these cost factors, we also work on improving our productivity throughput. We have set up a digital excellence center in Vizag and follow Industr y 4.0 practices. We have connected all the plants with sensors toe track the performance and improve the uptime of machineries.

So th ese sort of efficiency and productivity improvement is always helping us to expand the margins. There are multiple

factors we try to work on to mitigate the impact from high volatility in commodity prices.

Naushad Chaudhary: Sure. On the subsidy outstanding number, if I look at as a percentage of revenue, historically, it remains around 30%, 35% of the quarterly sales number versus this quarter, it looks around 41% despite very high base that quarter revenue. Is there anything to read or worry here on the subsidy side?

S. Sankarasubramanian: No, no. First quarter, the primary sale is higher and the consumption is low because the season starts in third, fourth week of May. So it's a function of channel inventory which is there at the end of the quarter. But once the consumption begins in July, we can see a significant reduction in the channel inventory.

Naushad Chaudhary: And last on the subsidy and non -subsidy EBITDA mix, if you can share?

S. Sankarasubramanian: I think it's around 65% to 67% share of subsidy business as against last year of 70%. There has been significant improvement in non-subsidy during this first quarter.

Moderator: The next question is from the line of Jayshree Bajaj from Trinetra Asset Managers.

Jayshree Bajaj: My question is like earlier, you have said that the regulatory approval of NACL acquisition will come in quarter 2 of this year. So is there any update? And we are planning for the capacity -- we are working on capacity expansion like Kakinada expansion an d multiproduct plant, phosphoric, sulfuric acid plant, and this acquisition also. And the company is working on 0 net debt-to-equity ratio. So like in future, debt will be required in this FY '26?

S. Sankarasubramanian: Good question. In terms of the NACL, we have got the Competition Commission approval, and we are waiting for SEBI clearance . We hope we get this in Q2 and should be able to complete the transaction. This is as far as the NACL acquisitio n is concerned.

In terms of the project capex , we have committed quite a few capex and we've been implementing. Close to INR2,000 crores, we'll be spending. That will be dipping out of the surplus what we have generated over the period of time. And also, we are investing in the acquisition.

So at some stage, company may have to resort to long -term funding, especially considering the fact the interest rate on long -term funding is at the lowest level. As soon as we have the right investment decisions, we'll be more than keen to support this with the debt instrument, which provides necessary tax hedge as well.

Jayshree Bajaj: Okay, sir. And is there any strategic plan you are working on Crop Protection segment after acquisition of NACL?

S. Sankarasubramanian: Yes. As part of the strategy only we have acquired NACL. We are also looking to expand our product portfolio. We have been launching new products. Last year, we have done 10 products. This year, first quarter, we have launched 10 new products. Our aim would be to get more in -

license unique molecules, 9 (3) registrations, and we have created a product pipeline. We are also trying to increase the branded formulation business in domestic market from the current levels. On a combined basis, we want to be a significant player in the formulation business as well. Our multipurpose plant capacity creation, what we have announced 2 quarters before, we are trying to evaluate the feasibility of looking at facilities in NACL before we commit in separate capex . Our aim would be to grow CPC business in the coming years and all our initiatives and investments will be towards that.

Moderator: The next question is from the line of Ankur from Axis.

Ankur: Congratulations on a good set of numbers. First question on the Crop Protection side. With NACL being under our fold as well effectively, what are your thoughts in terms of ramping up, whether it is in terms of the product portfolio that we have or it is t he geographical network? And

along with that, your thoughts on expansion into the other products on the Specialty Nutrient side or the water soluble fertilizer side?

S. Sankarasubramanian: On NACL, as I mentioned, we have a complementary set of active ingredients. Except for one molecule, rest of the products are different and they have a different customer tie -up. We operate in different geographies. So to that extent, we'll continue to imp rove the overall combined turnover in the global markets.

On the domestic side, again, they have very strong presence in the Northern market. We have significant presence pan -India. They have strong brands. We try to see how best we can leverage on a combined basis to increase the presence in the formulation mark et.

For c apacity creation, we will try and put up a new plant only after exploring opportunities of leveraging the current facilities in both the companies. On the R&D front, we could synergize efficiency and technology. They have fluorination chemistry, whi ch we can leverage effectively.

We have some by -products coming out from our phosphate, which can be leveraged in future for developing fluorination chemistry -based agrochemicals and for other applications. So we have quite a few areas where we can work tog ether and make the value. This is on agrochemicals.
On the Specialty Nutrients, we have doubled our sulfur capacity last year , commissioned the plant. We are also looking at expanding our water -soluble range by introducing new products.
As I spoke some time back, to ensure raw material security, we may look at investing in some of the key raw materials required for manufacturing water soluble fertilisers , which not only provides raw material security for our products, but also create new opportunities to participate in the global market requirements.
On the Bio side, we are trying to expand the product portfolio to go beyond Neem -based biopesticides and introducing microbials. We are strengthening our field teams to increase the volume of sales within India and exports. We have ambitious growth plans on Specialty Nutrients and Bio products, and we are looking for partnerships in this area to bring in R&D to introduce new products.

On organic, we have increased our presence across various product ranges. We are also looking to put up a granulation facility for specialty granulations, which includes seaweed and other related specialty products. So we have concrete game plan to grow these 2 segments. We will see the results in the coming quarters.
Ankur: Sure, sir. Just one follow -up on that. So for all this expansion, the INR2,000 crore s capex that we have envisaged for, let's say, this financial year, FY '26, this will be over and above this or a large part of this is already covered in this capex ?
S. Sankarasubramanian: Sorry, can you please repeat initially, I missed out that point.
Ankur: Yes, no worries. So the expansion that we are looking at across these product areas, this will be an incremental capex , which will be over and above the INR2,000 crore s capex that we had called out for. Would that be a right assumption?
S. Sankarasubramanian: Yes.
Ankur: Sure. And broadly, if you can quantify what sort of investments are we looking at here over a maybe 2 -year, 3 -year window? That is one. And secondly, we have also set up an MPP for the new age technicals at Dahej. So if you can put some more light over the re?
S. Sankarasubramanian: Yes. The investment can be in the range of INR300 crores to INR500 crores across various product categories in these business segments. On Dahej facility, the sort of technicals we like to put up the facility will depend on the new product registrations which are coming t hrough from the global markets.
It will be a multipurpose facility with fungibility on switching over from one active ingredient to another one.

We are in the evaluation stage. We'll take a call once we firm up on the product portfolio.
Ankur: Great, sir. Just last one follow -up, if I may. You initially mentioned on the BMCC annual run rate, the rock which is getting supplied to India. I missed that number. If you can help the annual run rate that we are working at right now, the rock phosphate supply from BMCC for us?
S. Sankarasubramanian: This year, as I said, can be between 300,000 to 400,000, and our aim is to double in the next 2 years.
Moderator: The next question is from the line of Riju from Antique Stock Broking .
Riju: If I look at your numbers for this quarter, so there is a sharp jump in the depreciation. This was mainly on account of the BMCC acquisition that we have done in the March? Or any other component is there?
S. Sankarasubramanian: Good observation. This is due to consolidation of BMCC, which has become a subsidiary company, and this mainly relates to amortization of overburden expenditures, which follows the mines accounting. It gets amortized over the mine life. This gets classified under the depreciation.

Riju: So the INR120 crores kind of a run rate, so that is going to be there for the full year, or how we can look at this number?
S. Sankarasubramanian: Yes, it can be estimated around that level. Actually, we can say that on a consolidated basis. Only thing is, in the second quarter, when there is monsoon, there may be a marginal reduction in the production level. So to that extent, it can come down. Agai n, it will get normalized in Q3 and Q4.
Riju: Got it. And sir, if you could help us understanding the revenue run rate for BMCC, it will be very much helpful. Revenue run rate.
S. Sankarasubramanian: Revenue? For the quarter or full year, you are asking?
Riju: For the full year.

S. Sankarasubramanian: Depending on the volume, you can take around INR350 crores to INR400 crores.
Riju: Understood. Yes. And in terms of our subsidy business, so this quarter you have seen a sharp improvement in terms of overall EBITDA for the subsidy business. So how much that was driven by the inventory gain. So if you could give some light on that?
S. Sankarasubramanian: See, always as a company, ahead of the season, we stock up material and there will be some inventory gains definitely which flow into the quarter. First quarter always has this advantage of the lower raw material prices , especially when the prices go up.
So that has flown into this quarter, but also you should appreciate the fact there's been increase in the fresh raw material purchases as well. So to that extent, the inventory gains have been offset by the increase in raw material prices of sulfur, sulfur ic acid, phos acid, exchange rate. So many factors are at play. Very difficult to put a number separately, but I would say that average EBITDA remains where it is.
Riju: Understood. And sir, one last bookkeeping question, if you could clarify. In terms of our Crop Protection business, so how much was the domestic business and how much was the export?
S. Sankarasubramanian: Overall, company level?
Riju: And for the Crop Protection business.
S. Sankarasubramanian: Crop Protection, 40% is exports, 60% is domestic B2B and formulation.
Moderator: The next question is from the line of Ajit from Nirzar Enterprises.
Ajit: Sir, my first question is on geographical expansion, which we have mentioned in our annual report that we will be entering into -- or we have entered into central and northern states of India like U.P., Rajasthan, M.P. Sir, what is our strategy in these st ates? Considering the fact that we will have additional transportation cost, so how competitive we will be in terms of pricing? And do we have any plans to set up our plant any where in these states of India?

And my se

cond question is on, sir, urea superphosphate. Sir, can this be served as replacement for conventional urea? And are there any plans to enter into urea manufacturing?
S. Sankarasubramanian: On the expansion to northern markets, as I've been telling in the past as well, we are coming up with additional capacity at Kakinada, close to 7,50,000 tons, and we are developing the seed markets in Central and Northern India to move these materials from Kakinada to markets like Rajasthan, M.P., U.P. And as you know, in the current policy framework, railway freight is reimbursed by the government. So to that extent, our MRP will be as competitive as any other players in that state. We don't have immediate plans to set up any facility in the North, but we do have SSP facilities in many of the northern states, a nd we have been doing business.
This movement of NPKs to these markets will be a portfolio expansion. We do sell Crop Protection, we sell Specialty Nutrients, we sell single super phosphate. With that, we are adding NPKs now.
And in terms of next question, you had one more query, if I remember right. Can you please repeat the last one?
Ajit: Urea phosphate product. Is it replaceable? And do we have plans to enter into urea manufacturing?
S. Sankarasubramanian: No, urea phosphate does not require that much of urea. We don't have any immediate plans to set up any urea manufacturing, which is quite capital intensive and there is less return. So we have no plans at this point of time. With regard to urea SSP, we can import urea what is required for manufacturing this. Requirements are not very high. We have set up the facility in Nimrani and now in Udaipur. We are looking to replicate this in Ennore as well. And the ratio of NP in this grade is 5:15, which is sort of lower version of DAP. We can call this a shorter DAP . 2, 2.5 bags of urea SSP can replace DAP, and that is how we have been educat ing the farmers about it.
And this product can be efficiently manufactured at a competitive cost and make it affordable for the farmers as well. And we can avoid import of DAP, which is not available as of now. This is our strategy behind this, and whatever urea required for this will be imported by us.
Moderator: The next question is from the line of Viraj from SiMPL.
Viraj: Yes. Most of my questions have been answered. Just 2. Somewhere earlier in the opening of the call, you said that the prices of DAP is even higher than some of the NPK products we sell in the marketplace. So in that perspective, if you look at our share of unique grades, one would think that you would have seen a much more higher offtake of those products in Q1 vis -a-vis what tra ditionally you would have sold.
So while we have seen an increase, one would think probably even more higher offtake. So just trying to understand, was supply a constraint on our side, which we couldn't maximize, or was there any other reason? That is one.

And second is something you just said to the previous participant on the urea manufacturing or even for, say, NPK. Now globally, if you can just give some perspective, are you seeing any major expansion happening in NPK, DAP or in urea space globally? And internally for us, if we were to look at manufacturing set up in either of the 2, say, hypothetically in North, what milestones or what parameters you will be looking for before deploying capital?
S. Sankarasubramanian: As far as global capacity creation is concerned, on phosphate side, global players are increasing capacity. A leading player in Morocco as well as Saudi, they are expanding capacities. And that to a great extent can absorb a shar p decline in export from China. So India stands to gain on that.
India is trying to be self -sufficient on urea. With many of the government -owned undertakings being revived, the volumes are fairly met. We do expect t

he import of urea to come down in the
coming days. If consumption gets moderated, we should see a gradual reduction in urea imports.
Coming to specifics on capacity creation, in North or South, greenfield capacity creation is highly prohibitive in terms of cost and the return structure. And the first and foremost is the raw material security. So unless we have a clear visibility in terms of securing the base raw materials, it may be diffi cult to set up the facil ity.
And that too greenfield facility will have huge investments and challenges in securing raw materials. So at this point of time, the capacity creation can be through brownfield expansion or through inorganic. It can't be a greenfield. It's my understanding. But having said that, we need to see how the industry plays out.
As you all know, P&K overall industry volume is close to 20 to 24 million tons, 14 million tons is NPK and 10 million tons is DAP, and we are still net importer of DAP and NPK. So an opportunity exists in India to create capacities, but the policies need to be conducive, stable, providing reasonable returns, and the company should be able to secure raw materials. So if these challenges can be managed, then the capacity can come up.
Viraj: And on the uni que grade offtake in Q1, given where the pricing dynamics played out between DAP and NPK?
S. Sankarasubramanian: DAP price is fixed at INR1,350 / bag . Other MRP is on the higher side. Actually, the Q1 is the initial sowing stage. The unique grades don't go in the initial stage. It's only urea, DAP, NP grades. Unique grades will go as top dressing at the time of flow ering and then later during fruiting stage. So to that extent, you can see the increase in share of volume happening in Q2 and Q3. And our focus remains the same. We bring in differentiation. We add micronutrients.
Grades like SSP plus Boron plus zinc plus SSP plus urea, our share of volumes in the first quarter has gone up significantly. So we are moving away from traditional SSP powder to value -added granulated products like this. We have been focusing on bringing the new products and the aim would be to come up with slow release, controlled release fertilizers, coated fertilizers. So these are all the areas we'll be working on in the future.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on the results. Sir, if you can confirm the start -up date for the granulation plant, because you mentioned FY 27-28. When exactly would you be completing the granulation project?
S. Sankarasubramanian: I think '26 , '27 fourth quarter, which means that calendar year '27 January, that quarter, we should commission the plant.
S. Ramesh: Okay. And secondly, in the results, when you look at the segment numbers, are we seeing BMCC at EBITDA positive in terms of the nutrient segment? And when do you see that happen?
S. Sankarasubramanian: It's already EBITDA positive in Q1.
S. Ramesh: Okay. And can you give us the volume growth for domestic formulations, exports and the biological pesticide?
S. Sankarasubramanian: In respect of formulation business, our volume growth is 33%. Exports is close to 20%.
S. Ramesh: And in Bio?
S. Sankarasubramanian: Both volume and value. Bio has doubled because of some early orders we secured from U.S. and European markets. So it's almost 100%, I would say.
S. Ramesh: Export you said is 20% in value terms?
S. Sankarasubramanian: Yes.
S. Ramesh: Okay. So where do we go from here in terms of the Crop Protection business segment, because there is a considerable improvement in the share of crop protection. So are you seeing this as a trend in the next 2, 3 years? And would that improve the overall bl ended EBITDA and return for the company?
S. Sankarasubramanian: Absolutely. This year is going to be extremely

good for Crop Protection. The major share of
profits are coming from Crop Protection, and we keep increasing our capacity. We keep introducing new molecules. We have systematically worked on bringing new products and all

this will yield results in the coming years. The momentum what we are seeing this year will continue in the years to come.
S. Ramesh: Okay. Is it possible to give a timeline as to when you expect the NACL to turn around and become profitable?
S. Sankarasubramanian: NACL is in a window closure period. I don't want to comment at this point of time. Once they publish the results, you will see.
Moderator: The next question is from the line of Himanshu Binani from Anand Rathi.
Himanshu Binani: So sir, my question was largely on the NACL side basically. So in the past, you have talked about getting into the CRAMS side of the business in the CPC segment. And in NACL, what I

understand is that we do have a facility out there. So are we going to use that? Or we would be like using our own thing or we would be like doing an organic thing in this?
S. Sankarasubramanian: So we'll be leveraging the capacities, whether it is in Coromandel or NACL, They have the required expertise and the plants are designed for CRAMS. We will be definitely leveraging some of the objectives and synergy benefits we articulated at the time of acquisition as well.
Himanshu Binani: Yes. So by when we can expect the NACL integration to be done in Coromandel?
S. Sankarasubramanian: Right now, we are in the process of completing the open offer after SEBI approval, and then it becomes our subsidiary, and will run as a separate entity. That is the strategy at this point of time. What is going to happen in the future, we need to study. The main aim would be to ensure that whatever we have articulated at the time of acquisition, we delive r those numbers for NACL.
Moderator: Ladies and gentlemen, this was the last question. And I now hand the conference over to Mr. Sankarasubramanian for the closing comments. Thank you, and over to you, sir.
S. Sankarasubramanian: Thank you. Thank you, everyone, who participated in the call and their insightful questions. And definitely, some of the areas where you have identified, we'll definitely work on. And with your support and guidance, we'll definitely come up with good perf ormance in the coming quarters.
Thank you, Manish, also for arranging this call.
Moderator: Thank you. On behalf of Coromandel International Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref. No: 2025-26/071 November 7, 202 5
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395
Dear Sir / M adam,
Subject : Transcript of conference call held o n October 31 , 202 5
This is further to our letter dated October 31 , 202 5 regarding Conference Call to discuss financial results of the Company for the quarter and half year ended September 30, 202 5 audio recording of conference call with analysts and investors.
In this regard, we wish to inform that the transcript of the Conference Call held on October 31, 2025 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor-c all-transcripts/ as required pursuant to Regulation 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
We kindly request you to t ake the above submission o n record.
Thanking you ,
Yours truly ,
For Coromandel I nternational L imited
B. Shanmugasundaram
Company S ecretary & C ompliance Officer
Encl. a /a:

“Coromandel International Limited Q2 FY ’26 Earnings Conference Call”

October 31, 2025

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER , COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Coromandel International Limited Q2 FY '26 Earnings Conference Call , hosted by Phi llipCapital (India) Private Limited.
As a reminder , all participant s’ lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Harmish Desai from PhillipCapital. Thank you , and over to you, sir.

Harmish Desai: Thank you, Sart hak. Good evening and welcome to the Second Quarter and Half-Year FY '26, Earnings Call of Coromandel International Limited hosted by PhillipCapital.
From the Management , we have Mr. Sankarasubramanian S. – Managing Director and CEO and Mr. Deepak Natarajan – Chief Financial Officer .
I would like to thank the Management for giving us the opportunity to host this call.
We will begin the call with 'Opening Remarks ' from Mr. Sankarasubramanian S, followed by Mr. Deepak Natarajan for update on 'Financial Performance ', post which we will have a 'Q&A session '. Thank you , and over to you, sir.
Sankarasubramanian S: Good afternoon, everyone. And thanks, Harmish, for organizing this call. I will give a brief on business environment experience d during Q2, followed by company's performance.
India as a whole received the above normal monsoon at 108% of the long -period average , with widespread rains across India, except for few pockets in Eastern India. This resulted in higher Kharif acreage of 1%. The major gains were recorded in rice, pulses, and coarse cereal s, whereas cotton and oilseed recorded lower sowings.
However, excess, unseasonal rains , which happened in August and September, affected the standing crops and also impacted the application of crop inputs as well as specialty products. Northeast monsoon, which brings major rains in Tamil Nadu, Rayalaseema, Andhra, and Karnataka, also began on a positive note, and IMD has forecasted above -normal rains at 112% of the long -period average for the season. The reservoir levels are quite healthy, standing 4% above last year level and also 16% above normal storage. Overall, we are looking for a very bountiful Rabi season. South India is 123% of the long -period average in terms of reservoir level, which is very good for our key addressable markets .

On the policy front :
The Government has been taking proactive steps in Agriculture and announced the MSP revision for the Rabi marketing season, with overall increase of 4% to 10% taken across various crops. As you know, during this quarter, the self -reliance in pulses mission was launched, which is aiming to make India self -sufficient on pulses production. Outlay of INR 11,000 crore s has been earmarked for this, and this is expected increase output of 23 million tons of pulses in Financial Year '24-'25 to 3 5 million tons in 2031, through increased coverage, guaranteed procurement, and quality seed distribution and enhanced value chain support.
Along with various other reforms taken on the G ST front, Agri input sector has also been considered for the GST correction, which has been very beneficial for the sector. For several products such as micronutrients and biopesticides, Agriculture machinery, and solar equipment, the rates have been reduced from 12% to 5%. And industry has passed on the benefits of these rate revisions to the farming community.
In respect of fertilizer , as you know, we have this inverted duty structure where output is 5% and input is ranging between 5% to 18%. This time , GST announcement has come in for reduction of GST rate for Ammonia and Sulphuric acid from 18% to 5%. So , in the case of fertilizer industry, the inverte d

duty structure remains and the credit accumulation happens. We have been pursuing with the government to give clarity for refund of these accumulated credits. But with this rate revision, the accumulation for the industry has come down, which is a good sign.
And as you all know that NBS rate s, which gets announced once in 6 months , have been announced for this Rabi season, with a 10% increase for P and status quo maintained for N and K.
While this may not be reflective of the current raw material prices, as we have seen some spurt happen in the Ammonia and Sulfuric acid prices in the recent past. But w e do expect that raw material prices will soften over a period of time. Certain raw material inputs like urea or rock phosphate, we have seen softness, and even the international DAP prices have started softening, which will cascade into other input raw material as well.
So, I think as responsible industry players, we will ensure that with this announced subsidy, with better negotiating ability on the raw material side, we should be able to sustain the operations and production and ensure the availability of fertilizer to the farming community. The prompt announcement of the NBS rate is very helpful in giving clarity ahead of the Rabi season.
Coming to industry performance :
Raw materials are almost steady across various categories except for the spike which happened in Ammonia and Sulfur in the middle of the quarter. The sulfur prices went up, and ammonia, because of unplanned shutdown happened in the Middle East, hardened during the end of the

quarter. Phosphoric acid price has moved up marginally from $1,258 to $1,290 , that ensures the availability of critical input for the en suing Rabi season. So, w e do hope that there should be a downward correction in sulfur prices in the days to come. International DAP prices, with improved availability, have started softening, and I hope this trend will continue , which augur s well for our sector.

If you all look at the consumption of phosphatics, overall it remain ed close to last year level, but it is heartening to note that the share of NPK in the overall phosphatic consumption has moved up to 64%. If you all recollect, this used to be 50 -50 in favor of DAP and NPK, and this has moved up to 64%, which is good for balanced nutrition. Slowly, the adoption of NP /NPKs in the Northern markets has started increasing, and this augurs well for Coromandel, which is predominantly into NP /NPK manufacturing.

I think during Q2, the industry has worked very closely with the government in ensuring availability of DAP. The imports have gone up significantly during this quarter, and also on half-yearly basis, adequate DAP has been procured, which ensures that the industry carries enough inventory as we move to the Rabi season.

Overall, because of the unseasonal rains witnessed in August and September, the consumption for industry has dampened. Otherwise, it would 've grown much better than what it has been now. Still, its consumption is healthy at 121 lakh tons for the half -year, and imports have gone up significantly, as I mentioned, mainly driven by DAP. Industry continues to sustain the production of both DAP and NPK in spite of various geopolitical challenges. The industry could secure raw materials and ensure production is happening.

In the crop protection sector, overall inventory hangover has got normalized, and this is helping in improved volume of ftake of key molecules. In India, the excess unseasonal rains of August - September impacted the spraying application in Kharif window. However, with the improved outlook for the Rabi season, these volumes will be made up in the Rabi season .

Coming specifically to company's performance :

I am very happy to report very resilient performance by Coromandel for the quarter across all business segments , thanks to improved offtake of Agri inputs. Company's fer

tilizer plants

operated above its capacity, producing close to 9.1 lakh tons of NPK, up by 3% over last year. This could have been better except for some stock outage we had due to Ammonia disturbance witnessed during September.

It's very important to note that the company's Phosphoric acid facility has reported enhanced production through de -bottlenecking efforts, and that is reflected in the financials, is up by 13%. The production for the half -year has been healthy at 17.5 lakh tons, 5% growth over last year, and Phosphoric acid has grown up by 17% over last year with the same plants what we established up till last year.

Backward integration project for Sulfuric acid and Phosphoric acid is coming up in Kakinada. It is progressing well. 90% of the project targets have been achieved. And I am sure mechanical completion will happen in the coming quarter, and the commissioning of plants should happen in January. This is going to be the state of the plant with the new technology. It is also helping generating power, which can meet the entire power requirement of Kakinada. It is completely going to change the cost profile of the Kakinada operations from being an importer of acid to integrated play.

And as you all know, we have been securing rock phosphates from Senegal and the operations are getting stabilized. With the timing of the commissioning of this plant and Senegal rock getting blend ed with existing rocks , we are very confident of ramping up the Phosphoric acid volume in a short period of time. We can see this benefit flowing into the fourth quarter of this year.

We have initiated activities on NPK capacity enhancement at Kakinada for a million ton capacity . It is likely to be completed by third quarter of next year. The project is progressing well. As you all know, the company also signed up strategic supply contracts with Maaden for DAP, the Saudi Arabian phosphatic major, and also for securing long -term rock contract from Jordan.

On the marketing side :

We are happy to state that we have become the largest market er for phosphatic fertilizers in the country. Our consumption -based market share in H1 stands at 19% versus 17% last year. In Q2, we registered a volume increase of 7% , marketing over 14 lakh tons of NPKs and DAP. Share of unique grade stands at 36%, similar to last year. Our H1 volumes are up by 17% . In line with our approach to expand presence in Northern and Central India , we have enhanced our sales to 200,000 tons in the first half. This seed marketing effort will augur well as and when the new plant gets commissioned next year.

SSP volumes were close to last year level in Q2 and is 6% up over last year for H1 . We have

completely changed the business profile of SSP. Instead of chasing volumes, we are focusing on value -added products like Groplus, Gro Alpha , which has improved the margin structure. Also, we are ensur ing that we provide multi -nutrient single super phosphate to the farming community to replace DAP. This initiative of Coromandel to provide SSP plus urea, SSP plus micronutrients has been quite helpful to meet the shorta ges of DAP in the Northern markets, and provide a suitable alternative to crops like groundnut. These products currently account for around 50% of our overall SSP volume, which is coming through this unique granulation, that Coromandel introduced over the last two years.
Our market collections have been quite strong, supported by strong agronomic activities and government's timely disposal of subsidies . We may see the higher elevated numbers of subsidy in early September Q2 being the major quarter for us. The subsidy outstanding is higher, but we

have since collected in October, and we should thank government for timely disposal of subsidies, which were received even up to the third week of September.
Specialty nutrient business registered a very stron

g quarter, improving the sales and margin. We
have reported a 20% growth in revenue, and focusing on improving the volume of sulfur for which the capacity expansion was taken last year. We are trying to diversify the sulfur portfolio to include sulfur plus micronutrients. We are also looking at granulation in specialties, including seaweed granulation, and also diversify the product portfolio.
With the increased demand for the specialty nutrient business, which is coming outside the subsidy scope, to provide higher EBITDA margin, the company has announced investment in MAP, which is a critical raw material required for manufacturing specialty nu trients. This project is coming up in Vi zag, and will help us to reduce the dependence of one of the key raw materials for water -soluble fertilizers from China. These investments in granulation plant, MAP plant, will help the company to diversify the produ ct portfolio and promote resource -efficient solutions for the farmers and also offers growth opportunity by ensuring availability of these key nutrients at affordable prices to the farmers.
Nano has been doing good. We have been systematically educating the farmers across India, and volume during the quarter has been 1,100 K L. The response from the farming community has been very good on certain crops like fruits and vegetables. Business has been continuously focusing on facilitating the movement of these materials to the farming community and creating awareness campaigns and continuously engaging farmers and channel partners. We ha ve also been engaging with ICAR institutes and other technical institutes to communicate the positive impact of Nano , which can be an alternative to imported DAP.
Coromandel's spraying services through drones ha s gained momentum, and we could cover almost 80,000 acres in the current year for the first six months, as against 22,000 what we did last year.
The retail business has been expanding its footprint of opening a store a day. We have opened 100 stores in Q2, and totally 170 stores opened in H1. We have entered into new states like Maharashtra, Tamil Nadu, and are on track to reach the store size of 1 ,200 stores in FY26 . All segment categories in retail have done very well. There has been an increase in volume of fertilizer sales through the retail outlets, and the business is progressing well on multiple initiatives like e -commerce, drone spraying ser vices, diversifying to financial products including insurance. Company is drawing a blueprint of scaling up these retail stores to 2,000, expand the product portfolio, enhance the value, and will be effectively deploying analytics and AI on the customer -facing business segments like retail to enhance the efficiency and improv e the profitability of this business.
On the crop protection & bio business, the business delivered a very good performance, recording improvements in both sales and margins across domestic, international, and B2B

segments. Bio product business also has achieved growth in the half -year period. Overall revenue grew by 10% to INR 829 crore s, and EBIT was up by 48% to INR 162 crore s in the crop protection segment.
It is very heartening to know that the key molecule Mancozeb registered a good volume growth in Latin American markets, and the capacity which was implemented in Sarigam has been fully utilized . We anticipate the demand for the molecule to continue and have set up an additional capacity at Dahej , which has been recently commissioned in October that will provide an additional impetus for the demand in the second half as well.
Domestic B2C segment had an exceptional quarter in a very tough business environment and achieved critical numbers in the early part of the Kharif season , but u nseasonal rains ha s impacted the offtake. But n evertheless, the team has been going as per plan in terms of expanding

the territories to 4

0 new markets and introduced new in-license d products during this year. The in-license d molecule we have taken from Japan last year has been doing well. Revenues were up by 11% . We are also embarking on a sales acceleration program in key markets where our margin and market share is beyond threshold percentage of 5%. New products introduced in last year are performing wel l, and the share in the sales stands at 25%. We continue to progress on CDMO front and have positive discussions with multiple international partners for technicals, intermediates, and patented formulations.
During the quarter, the company successfully completed the acquisition of NACL Industries, followed by the mandatory open offer. Emerging as one of the leading crop protection players in the country, NACL has done well in H1 with revenue growing by 18% to INR 900 crore s and EBITDA by 12% to INR 83 crore s. NACL is on track with meeting the KPIs as envisaged at the time of acquisition. And w e are looking at various synergy areas by aligning our policies, R&D, product development, manufacturing infrastructure, and market access.
Overall, on a combined basis, crop protection business is likely to do well. And i f everything goes well on an annualized basis, crop protection segment, including NACL, should reach the critical mark of INR 5,000 crore s of revenue, which is significant and pushes Coromandel in the pecking order to third or fourth largest crop protection company in the country.
Bio business had a good quarter, introduced 8 new bio -fertilizers and biopesticides to strengthen its microbial portfolio. Business is collaborating with a global player for manufacturing API and has set up a facility to manufacture the same.
Overall, I am quite satisfied with the way the operations have played out, and we are looking forward to a very positive outlook for the Rabi season.
I will now hand it over to Deepak for commenting on the financial performance of the quarter. I will come back for the question -and-answer session .

Deepak Natarajan: Thank you, Sankar . Good afternoon, everyone. The company recorded a consolidated total income of INR 9,771 crore s during the quarter and INR 16,897 crore s in the first half of the year, registering a growth of 30% for the quarter and 38% for the first half of the year. The consolidated total income also includes INR 245 crore s pertaining to NACL, which became a subsidiary of Coromandel w.e.f. August 8, 202 5.
Subsidy business share in the revenue stands at 83% for both first half and also Q2. It is broadly in line with what we saw last year at about 84% for the quarter and 83% for the first half of the previous year.
With regard to profitability, the consolidated EBITDA for the quarter stands at INR 1,147 crores against INR 975 crores in the previous year. For H1, we recorded INR 1,929 crores against INR 1,481 crores in the previous year.
Subsidy business share in the EBITDA stands at 71% for the quarter and 70% for the first half of the year.
Net profit after tax for the quarter was INR 793 crores in comparison to INR 659 crores recorded in the corresponding quarter previous year. For H1, PAT was recorded at INR 1,295 crores against INR 9 68 crores in the previous year.
With regard to subsidy, the company has received INR 3,336 crores towards subsidy claims during Q2 . For the half year, the company has received subsidy worth INR 4,637 crores. The corresponding previous year number was INR 3,855 crores. The subsidy outstanding as o n 30th September stands at INR 3,199 crores versus INR 1,714 crores in the previous year. While the closing number looks higher, it would be pertinent to note that almost INR 1,000 crores of the subsidy has been received in the month of October. Coromandel has been prompt in settling the dues, and the subsidy claims are being processed in a timely fashion.
With regard to Forex, we continue

to see rupee trading in a slightly broader range of 85.18 to 88.93. There has been volatility during this period, the entire first half. Coromandel continues to hedge its exposures on a conservative basis.
Thank you all for your continued support and interest in Coromandel. We look forward to your interactions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Somaiah V from Avendus Spark . Please go ahead.
Somaiah V: Sir, my first question is on the manufactured EBITDA per ton in the fertilizer segment. Quite a robust current quarter. So, i f you could just help us in terms of what are the key drivers in the current quarter which helps us to be much better on comparable, let's say, Q1 or previous year quarter. A nd also, how do we see things based on current subsidy rates and also the raw material price movements for the second half? That is my first question.

Sankarasubramanian S: See, w e should n't track the EBITDA margin on a quarterly basis. As you rightly said, Q2 is a peak quarter for us, and I mentioned it in my communication as well. Phosphatic production has been very good, we are able to moderate the rock price increase and efficiencies have been extremely good in all the plants. We operated the plants at more than 100% capacity, and the conversion cost has been good. So, a ll this plays into the mix along with the inventory of raw materials what we hold.

Having said that, sometimes one quarter may look up more and one quarter may be less. As I have always been mentioning, as a company, we target minimum INR 5,500 EBITDA per metric ton, which we are confident of doing it in the second half as well.

Somaiah V: My question was on this NPK's gaining market share versus DAP. So, NPK has taken a bit of market share from DAP. So, i n case DAP availability improves, let's say 6 months out or 12 months out, how much of this is sticky? How much of this could reverse?

Sankarasubramanian S: I think more and more farmers are seeing the benefit of balanced nutrition NPK. And I am not sure when this pricing mechanism of DAP will undergo a change. Please understand, this NPK shift is happening when DAP is INR 1 ,350. And I won't say availability at this point of time because DAP is available. The imports have gone up and we have adequate inventory in the system. In spite of that, there is an uptick in NPK. So, if at all the availability improves, at some stage, DAP pricing gets aligned with the market. I don't think any major shift back to DAP will happen. As a country, we should move towards balanced nutrition with more extension activities and companies like Coromandel will be persisting on this. I see this shift is for good.

Somaiah V: Just last question from my side on the Phos acid and the Sulfuric acid expansion. What is the level of utilization we can expect in FY '27? A nd also, from BMCC, what are the current volumes and what can we expect in FY '27?

Sankarasubramanian S: Whenever w e commission the plant , we achieve 100% in the first month. And h opefully, we should repeat this track record and we are planning for 100% capacity utilization next year for both phosphoric acid and sulfuric acid.

As far as Senegal rock is concerned, at least we should expect 300,000 tons of rock coming in this year. Our plans are to see how do we scale up the volume to 500,000 next year. Hopefully, we should try and do it. That calls for some additional investments here which we are working on. So, a t this point of time, I am confident that we should aim for 500,000 tons next year in Senegal.

Moderator: Our next question comes from the line of Prashant Biyani from El ara Capital. Please go ahead.

Prashant Biyani: Congrats on a good set of results. Sir, post this NBS policy, do we plan to take any price hike in NPK as an industry? Or how do we plan to

defend our profitability?

Sankarasubramanian S: What I can say, NBS policy provides pricing freedom for NPKs. So, w hatever it is required to be taken to, keeping in mind the needs of the farming community and ensuring availability of fertilizers and input cost structure , we will take appropriate c all. I will not be able to put the number whether it be done at the industry level or a company -specific level. Fairly , the industry has been very responsible in terms of price corrections, and that will be followed through.

Prashant Biyani: Sir, while we don't talk about Dhaksha so much, last year, same time, there was a lot of excitement from Dhaksha , at least in the investor community. And l ast quarter, we also highlighted about the Board revamp and the new team. Incrementally, sir, what are the developments in Dhaksha and by when should we see order execution and fresh orders? And how much was the revenue from Dhaksha in H1?

Sankarasubramanian S: See, Dhaksha is focusing on new product development and executing defense orders. The execution of defense orders depends on evaluation of the current prototype what we have made. These defense orders take a long time as they go through a detailed evaluation process. We are pursuing with the government. As and when the evaluation goes through, we should be able to get the order going. Once the order comes through, then future orders should not be a problem. It has taken longer than what we thought initially.

Besides th is, Dhaksha is also focusing on Agri drones. The advantage to D haksha is that Coromandel is using these drones for carrying out drone spraying services and giving a lot of inputs in terms of improving the maintenance uptime, increasing additional features on the drones, improving the battery life, improving the economics of drone spraying. Many things have been worked out. While you may not see everything in terms of the numbers, in terms of volumes we are selling , but a lot of activities and initiatives are undertaken at D haksha level . Any startup may not play out immediately. It is a high -tech area, and we are getting right partners to ensure that we create a proper ecosystem. There has been change in the government guidelines as well, which we are forced to follow through in terms of the sourcing of components.

Prashant Biyani: Sir, other expenses in the last three quarters, every quarter has grown significantly. What would

be the reason for same? And then l astly, on Phos Acid new plant, when are we starting with trial run? From which month? And commercial production from which month?
Sankarasubramanian S: First question, what is that? I didn't get your point.
Prashant Biyani: First question was, other expenses in the last three quarters have grown significantly between 30% to 50% every quarter on a Y-o-Y basis. What would be the reason for it?
Sankarasubramanian S: See, i t must be in the normal course of business. I need to come back to you, but there was nothing abnormal in this. We have a shift in our approach in terms of recognizing the CSR expenditures. In the past, it used to be year -ended. Now it's being spent on a quarterly basis. There are some one-off expenses in terms of various consultancies and engagements which will include NACL as well. Also, NACL transaction had one -time consultancy charges in terms of

open offer, legal charges. Those numbers may be pronounced in the last two quarters. This may be one -off which will come down as we move forward.
Prashant Biyani: Sir, lastly, Phos Acid trial run and commercial production will start from which month?
Sankarasubramanian S: We are looking at mechanical completion in December . January will be trial run, and production should start by second or third week.
Moderator: Our next question comes from the line of Ankur Peri wal from Axis Capital. Please go ahead.
Ankur Periw

al: First question on the crop protection side. While there is some bit of benefit because of the integration of NACL for the quarter, but if I look at the margins, which is on your Slide #12, the standalone CPC margin versus the consol CPC margin, so is there a loss that NACL had made in this quarter because your consol EBIT is lower than the standalone EBIT?
Sankarasubramanian S: Yes, your observation is right. Standalone EBIT is quite healthy. As you rightly pointed out, 15% has moved to 20%. Including NACL, it is almost fla ttish. The reason being, on NACL, there is one -off exceptional items and expenses . Also, we didn't consolidate full quarter performance into the numbers. We took proportionate numbers from the time it has become a subsidiary. So, it has taken, say, 50 days in a 90 -day quarter. Probably it may not reflect when the expenses might have got captured, it may not reflect the full benefit. It is a combination of proportionate period consolidation and one -time expenses, which has led to lower margin.
Ankur Periwal: That's helpful. Will it be possible to share those, the quantum of that one -time expense?
Sankarasubramanian S: I think it is there in the NACL published result.
Ankur Periwal: No problem.
Sankarasubramanian S: I think NACL result, if you look at it, it is appearing as Rs. 1 7 crores as an exceptional item.
Ankur Periwal: And just secondly, from a growth outlook perspective, any thoughts on how are we looking at NACL's existing portfolio? Is there a need to maybe cut off some of the lower margin product, or how do you plan the growth expansion there? And commensurate to that, how should one look at the consolidated margins on the crop protection side on an annual basis going ahead?
Sankarasubramanian S: It is a good question. It needs some time in terms of how we realize the synergy benefits of both the companies. Fortunately, there is not much overlap in molecules except for Profenofos . The market segments they cater to are also different. They have a very strong domestic formulation business with different set of molecules and markets complementing to each other. Also w e will try to synergize the R&D effort so that we don't duplicate on the same chemistry. We also try and see how best we can introduce our pipeline products so that we don't repeat the same in both companies . I think with the deputation of senior resource from Coromandel to NACL, there has

been a lot of alignment. I would say that one plus one should become three. It will not come down. It won't be a rationalization . It will be a growth opportunity for both the companies. Having said that, Coromandel CPC business has got a different margin profile, which is in the range of 17% to 18% , whereas if you remember, NACL margin profile is in the range of 9% to 11%. It's fallen off to 4%. Currently the team is trying to get to 9% to 11%. And s lowly, we need to get pipeline products, innovative molecules, contract manufacturing to bring the margin of NACL on par with Coromandel. So, that may require some time and effort, and that is what the NACL team is doing now.
Ankur Periwal: That's helpful. Just one follow -up here. From a revenue growth perspective, given that you mentioned the distribution network for NACL versus Coromandel, there is a lot of complementary areas that we can expand into . Does that also mean the standalone Coromandel portfolio can grow at a much faster pace given the geographical expansion?
Sankarasubramanian S: Absolutely. There is an ambitious growth plan for Coromandel CPC business, both in terms of active ingredients in the global market and making a global presence on B2C in Latin America. We are seriously evaluating opportunities. With domestic formulation, we will be expanding territories. We are not even at a four -digit formulation business turnover in India in a INR 29,000 crore industry .

So, w e have put in place an action plan to scale up the domestic formulation business. We have strengthened our product portfolio in the last three years and have enough molecules . Our aim is to g row much faster in domestic formulation business in CPC.
In global markets, we will be focusing on capacity creation and Mancozeb will help us to increase the volume . We will look at B2C light model in Latin American markets.
Each business will pursue the growth opportunities . We plan to grow topline at 20% to 25% topline, across segments and across both the companies.
Ankur Periwal: Great, Sankar . Just last bit on the CAPEX side. Now, given that last part of the Phos Acid and sulfuric acid expansion will be over, how are you looking at our annual CAPEX run rate going ahead?
Sankarasubramanian S: We still have this granulation plant CAPEX happening. Also w e have announced quite a few CAPEX in the last few quarters: MAP project at Vizag and the joint venture in gypsum project to manufacture Plaster of Paris. Also, we will work on additional capacity creation at Senegal mining operations. Plus, w e will keep looking at debottlenecking capacities in both fertilizer and CPC . We will be looking at new product registration, new capacity creation for active ingredients, and downstream projects for Mancozeb and other molecules to strengthen raw material security . How we capture value chain in fertilizers , we will try and do that in CPC as well. So, w e have good pipeline of projects coming in, and we will continue to invest profitably.
Ankur Periwal: Thank you for answering all my questions.

Moderator: Our next question comes from the line of Naushad Chaudhary from Aditya Birla AMC. Please go ahead.
Naushad Chaudhary: First, on the, assuming next year sulfur and sulfuric acid prices correct or normalize, and same we experience in Phos Acid , how would that change in terms of your EBITDA expectation from the company?
Sankarasubramanian S: See, it is a function of multiple things . It depends upon Phos Acid , Rock price , and how sulfur behaves. Manufacturing of sulfuric acid using sulfur burner and generating power is the most economic al thing to do. Once you create capacity, that value creation will happen. The sulfuric acid plant, what we have invested in Vizag , has almost paid off 60% to 70%. Balance will get paid off during this year.
Similarly, the payback of the current investment, which is happening in Kakinada, will happen in the next two years. So, I think the first benefit comes from ensuring the supply security of acid. Power generation, which helps the running of the entire complex, is the second important thing. The n the value addition . I think value addition is likely to be better in the coming period than what we are witnessing at this point of time. So, that can only positively impact EBITDA than what we have at this point of time.
Naushad Chaudhary: So, irrespective of the direction of these prices, there will be a positive impact. Is that understood correctly?
Sankarasubramanian S: Absolutely. The value addition of sulfuric acid will bring in the desired savings. When I say that a INR 1,000 crore investment will pay back in 2, 2.5 years' time, you can understand the economic s in terms of what it can add to the bott om line .
Naushad Chaudhary: At what price assumption will we calculate two years of payback?
Sankarasubramanian S: See, a ll these prices are linked . DAP, DAP to acid, acid to rock. So, w e play on this thread. At sustained levels, I think 2, 2.5 years' payback should be possible.
Naushad Chaudhary: And w hat was the non -subsidy EBITDA share in this quarter?
Sankarasubramanian S: I am not sure what number has been there . The se are all specific data point which we will not be able to share.
Moderator: Our next question comes from the line of Ranjit from IIFL Capital. Please go ahead.
Ranjit: My first question is on the global dynamics. While we have been seeing a consistent inflation in the Phos Acid , we haven't seen any commensurate inflation in the rock. So, w hat is leading to this disparity?

Sankarasubramanian S: Good question. I think new opportunities are coming up on rock. A lot of sources are opening up, and Egypt is increasing the output. Jordan output is increasing. We have also expanded our mining operations. Additional resources are helping to keep the price normalized. That is what I would say.
Ranjit: And t his increase in supply in rock should help us in the higher spread, at least in the foreseeable future.
Sankarasubramanian S: Right.
Ranjit: That's helpful. Thank you. Second question is, would you be able to share any granularities with regards to TMAP capacity, even though the Board has approved, but we haven't shared any details with regards to capacity and CAPEX ? That would be helpful.

Sankarasubramanian S: We are actually planning to make modular investment. At this point of time, the first phase will be 25,000 tons, which involves capital outlay of INR 150 to 170 crores.
Ranjit: And the last question is on earlier, we do have plans to refine phosphoric acid so that we would be able to be a part of the battery chemical supply chain. Any further thoughts on this?
Sankarasubramanian S: We have been working on fine -tuning the technology. We have been talking to the technology providers. We need to ensure that we recycle the output of the purification. And w e are trying to work out the business econom ics. Also, it is very important when we come up with the end product, we have a tie -up with the customer. It has to be for the desired quality standards. So that process is going on. As and when we are ready, we will be able to share that information.
Ranjit: Any timelines we can provide? It's a one or two -year process.
Sankarasubramanian S: Six months.
Ranjit: That's all from my side.
Moderator: Our next question comes from the line of Riju from Antique Stock Broking . Please go ahead.
Riju: A couple of questions regarding the price hike. So, if you could share the price hike for the NPK portfolio that you have taken during Q 2.
Sankarasubramanian S: Can you please repeat? I couldn't understand your question.
Riju: The price hike that you have taken during Q 2, if you could share the numbers for the NPKs.
Sankarasubramanian S: This is an ongoing routine thing. I don't remember anything we have taken recently. We need to take depending on the subsidy rates which are recently announced. So, we need to p lay by the month depending on the cost structure and the subsidy level.

Riju: And i n your opening remarks, you have shared that Phos Acid production gone up by 17% during this quarter because of some debottleneck ing that you have done. So, i f you could share the current Phos Acid capacity that you have. So, it is between 4.5 to 5 lakh tons. That's the capacity that you are having for the Phos Acid .
Sankarasubramanian S: The current capacity at Vizag is 4.5, and 0.6 at Ennore , totaling to 5.1. The new one which is coming up in Kakinada would be another 200,000. We will have 7 lakh tons of Phos Acid .
Riju: So, s ir, 4.5 plus 0.6, this includes the debottlenecking that you have done during this quarter?
Sankarasubramanian S: Correct. 5 plus 2. 2 is the new one which is going to come up now.
Riju: And s ir, one bookkeeping question, if you could share in terms of the current inventory that you are having at the dealer level or the retailer level, if you could share that number.
Sankarasubramanian S: I don't remember. It must be in the range of 6 to 7 lakh tons. I don't remember the exact number. I need to check. I will ask Anuj to get that.
Riju: And t his is as per the manufactured volume. Is that correct?
Sankarasubramanian S: W

e will have a combination of both, manufactured and imported .
Riju: And s ir, in terms of the BMCC numbers, as per the current quarter, is it fair to assume that BMCC is now profitable or it is now also making loss at the EBITDA level?
Sankarasubramanian S: No, it is making profits. You may not see the benefit of it in the consolidation because of various accounting treatments we give for the acquisition and other things. But a t the base operation level, the business is doing profitably because we are scaling up.
Riju: Thanks for the clarification. Sir, one last question. If you could indicate the current prices of Phos Acid and the ammonia.
Sankarasubramanian S: Current Phos Acid is $1,290. Ammonia is in the range of $400 to $450.
Riju: Thanks for clarifying all the questions.
Moderator: Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar: Sir, can you talk on the crop protection side , how is the export business performing?
Sankarasubramanian S: In Export business, one of the major components is the Mancozeb volumes. Mancozeb, b oth in terms of volume and profitability , has grown very well. And t hat has been one of the key drivers for this quarter 's profitability as well as for the half year. That will continue to remain as a major focus for the full year as well. So, e xport business has grown for this quarter by almost 6 % to

7% and 12% on an half-yearly basis . So, t here has been good traction on this Mancozeb molecule.
Sumant Kumar: And p rofitability is better than that ? Profitability growth?
Sankarasubramanian S: Very good. Profitability growth has been extremely good. That is the main driver why PBIT margin has gone from 15% to 20% .
Sumant Kumar: Any other molecule we are targeting for export market in next couple of years?
Sankarasubramanian S: We are working on quite a few molecules. We have created capacities. We have got few molecules like Boscalid , Pyraoxystrobin for which registration is happening. We are increasing the capacity of Malathion. We have pipeline of 2-3 molecules. We are working on Strobilurin chemistries . We have additional capacities both in Coromandel as well as in NACL. We will be

coming up with these molecules over a period of next two, three years. So, w e have pipeline of
product s.
Sumant Kumar: And f or domestic crop protection, ex of inorganic, how is the performance in the top line and
profitability side ?
Sankarasubramanian S: For Coromandel formulation business , you can say August, September has impacted the sale
volume. Otherwise, it was going good. It's 11% growth, but on an half-yearly basis, it's at 20%
growth. And o verall for the year, we expect 25% growth in formulation business over the last
year. If everything goes well, Coromandel's formulation business, including what we sell
through retail, should reach the critical size of INR 1,000 crore s, which is very significant.
Combined with B2C business of NACL, which is again in the range of INR 1,000 -1,200 crore s,
it is a very sizable branded formulation business.
Here again, our pipeline of new products, our co -marketing products, in -licensed molecules from
Japan are going to be helpful for us. Even this year, our share of new product sale has been 25%.
We are increasing our territories, as I mentioned in my remarks, and that has paid off well.
For s ome of the new molecules we introduced during this year, we could achieve full year budget
in the first six months. So, I think crop protection domestic formulation provides enough
opportunity with lesser CAPEX . And w e have enough product portfolio now to meet the
customer requirement.
Moderator: Our next question comes from the line of Dhruv Muchhal from HDFC AMC . Please go ahead.
Dhruv Muchhal: Sir, you mentioned the Phos acid expansion, which I believe is about INR 1,100 or 1,000 -odd
crore CAPEX

. We will have a payback of about two years. So, i f I just do a rough math, I get
an EBITDA per ton just on the Phos acid plant. I believe that you are mentioning, including
sulfuric, is about $250, $300. Sir, i s that a sustainable run rate now? Because I think the number
historically used to be much lower.

Sankarasubramanian S: You are not off the target.
Dhruv Muchhal: I am just trying to understand if this can sustain. What are the drivers? What's leading to this
change versus the historical trend? Is it because the P. rock, you believe rock can remain lower
irrespective of the Phos acid prices, can remain lower given the supply dynamics have changed?
Is that the key driver?
Sankarasubramanian S: We try and produce our own rock from Senegal. We ensure that we blend various grades of
rocks and different quality of rock s. We don't depend on high -grade rocks. The new plant which
is coming up has got a metallurgy which can handle a low -grade rock as well, and it is on a
different technology. Accordingly, we ensure that we buy low -grade rocks and blend it and
sustain the margins .
Dhruv Muchhal: When you say payback of two years, this includes the sulfuric acid also, right? This is not just
P. So, e ffectively, what I am trying to understand , this $250, $300 per ton margin that I have
implied, that is including the sulfuric acid, right?
Sankarasubramanian S: Yes.
Moderator: Our next question comes from the line of Lakshminarayanan from Tunga Investments. Please
go ahead.
Lakshminarayanan: I just want to understand how we have expanded our reach in terms of fertilizers in India in the
last six months because I understand that we had seeded certain markets sometime back when
there was short supply of complex fertilizers. I just want to understand what is our reach and
how is geographically the revenue stack s up?
Sankarasubramanian S: In the new market s like UP, Rajasthan, MP, we have increased our volume from 100,000 to
200,000 tons. And t his has happened in the half -year period. This trend will continue. We will
try and see how to take at least a million ton to the markets so that when the new capacity comes
in, we will be able to fulfill the demand.
Besides that, we are expanding our footprint in retail. As you know, we are increasing to 1,200
by the end of the year, and ultimately, we will move towards 2,000. So, t hat also provides
opportunity for us to increase the presence across the key states. Of course, they are primary
markets, but that will be more influenced with our own retail outlet.
Lakshminarayanan: We do get some subsidy for transportation. So, till what, how many kilometers it actually covers?
Sankarasubramanian S: 1,400.
Lakshminarayanan: Effectively, we can reach most of the parts of India, right? Okay.
Sankarasubramanian S: Absolutely. Key markets where we want to se rve.

Lakshminarayanan: And i n your opinion, how is the competitive scenario in the complex fertilizers looking? Because
we are expanding, but as an industry, others are not expanding. So, how do you think this will
pan out in the next three to five years?

Sankarasubramanian S: As a country, we need to move towards balanced nutrition, which means NP /NPKs have to increase their share, and DAP needs to come down. With the focus on unique grades, which is currently at 35%, we continue to innovate and come up with new products. We feel generic NPKs will not be sufficient. We need to come up with NPKs plus micronutrients like zincated NPKs.

We need to come up with slow release and control release fertilizers. Over a period of time I think this industry will get transformed into higher use efficiency products rather than generic grades. So, t hat requires a lot of pricing freedom, innovation, and early adoption and fast approval process, which we are pursuing with the government.

That is the way we

look at it, and that is the reason you can see there are only a few companies who have also been branding like GROMOR. Each of the products, categories, subcategories are also getting branded separately because we need to communicate the value proposition and trust that farmers have got on the product .

The competition can be intensif y, and it is important that we need to have that strong connect with the farmers. We are the only company to have agronomists educating the farmers on the unique features of our product s.

Lakshminarayanan: And any views on these Nano fertilizers? How is this actually in acceptability as well as the preparedness for us?

Sankarasubramanian S: We have been growing steadily on Nano DAP. Our communication right from the beginning has been, instead of two bags, substitute one bag of DAP with Nano DAP bottle. We have done th e studies across all IC AR institutes in the country. Response ha ve been very positive and farmer usage has been good. Adoption has been improving. We have our team educating the farmers. It will take time for shift to happen - from a traditional bulk fertilizer of 50 kg bag, making him to accept a 1 -liter bottle . And t hat is the process we are going through now.

But w e have seen the positive feedback and response from the farming community. We are quite happy with that. It is working very well on fruits and vegetables and high foliage crops. We have also increased our volume, almost doubled the Nano DAP volume in the first half. I think it is one of the innovations which the Indian industry has come up with, and it should sustain. But i t requires sustained efforts and careful education of the farmers and not to push or tag the product. That is very important, and I hope the industry will be responsible in doing it.

As Coromandel, we have always been focusing on proper education of farmers and let them make the choice. It is also environmentally friendly, and we will continue to focus on it. We are quite happy with the way the product has been accepted. In our retail centers where we have our

own Agri graduates communicating with the farmers, we have seen that farmers are willing to trying it out instead of DAP. It is a great opportunity now when there is a challenge in availability of DAP . It can be a boon for the farming community.

Moderator: Our next question comes from the line of Meghna Agarwal from Mount Intra Finance . Please go ahead.

Meghna Agarwal: I just wanted to confirm, as you saw, that there is an exceptional item in NACL for around INR 17.25 crore. Sir, c an you just confirm the details? Like is it a one -off or what is it all about?

Sankarasubramanian S: See, i t is an accounting adjustment to harmonize the accounting policies between Coromandel and NACL being same auditors, and we are trying to align this. The footnote has been given in the results of NACL. I think it may be more appropriate to refer to it.

Moderator: Ladies and gentlemen, we will take that as our last question for the day. I would now like to hand the conference over to the management for the closing comments.

Sankarasubramanian S: Thank you very much . In fact, very insightful question s. I really appreciate your interest in Coromandel and t hank all of you for joining the call and also thank Harmish for organizing this call. I look forward to future interactions. Thank you very much.

Moderator: On behalf of Phi llipCapital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ref. No: 2025-26/104
February 9, 202 6
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol : COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on February 2, 202 6
This is in further ance to our letter dated February 2, 2026, regarding the upload on our website, the audio recording of conference call held with analysts and investors to discuss financial results of the Company for the quarter ended December 31, 2025 .

In this regard, we wish to inform that the transcript of the Conference Call held on February 2, 202 6 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take th e above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited
Q3 FY 26 Earnings Conference Call "
February 02 , 202 6

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. RANJIT – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Coromandel International Limited Q3 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Ranjit from IIFL Capital. Thank you, and over to you, sir.
Ranjit Cirumalla : Thank you, Pari. Good afternoon, everyone, and thank you for joining us on the Coromandel International Limited Q3 FY '26 Earnings Conference Call. From the company, we hav e with us Mr. Sankarasubramanian , Managing Director and Chief Executive Officer and Mr. Deepak Natarajan , CFO. We'd like to begin the call with a brief opening remarks from the management, following which we will have the forum open for interactive Q&A session. I would now like to invite Mr. Sankarasubramanian to make the initial remarks. Thank you, and over to you, sir.
S. Sankarasubramanian : Good afternoon, everyone, and thank you, Ranjit, for joining the call. I'll begin with a brief overview of the business environment during Q3, followed by Coromandel's operational and financ ial performance for the quarter. On the macroeconomic front, amidst global uncertainties, India continues to remain well positioned with the first advance estimate placing our GDP growth at 7.4%, driven by services and manufacturing.
During the quarter, RBI reduced the repo rate by 25 basis points in December '25 to 5.25%, supporting domestic liquidity. During the quarter, the rupee remained under pressure. On a year -to-date basis, the INR depreciated close to 7%, driven by a widening trade deficit and higher capital outflow by FPIs.
On the agriculture side, late withdrawal of Southwest monsoon led to crop damage in select pockets of West & South India, impacting Agri input consumption during October and November. This was particularly visible in lower chilli acreage and gra pe segments affecting CPC spray s and nutrient application.
India experienced normal Northeast monsoon rainfall at 102% of long period average, resulting in improved reservoir levels. All India storage stands at 107% of last year and 125% of long -term average. Rabi sowings are up 3% year -on-year as of mid -January w ith growth across major crops. Wheat has moved up; rice has moved up sharply by 22% . Oilseed & cereals have shown positive trend.
On the regulatory side, draft Pesticides Management Bill 2025 has been released for public consultation. This entails time -bound approvals of generics, digitization of registration process and periodic reviews of registration for safety and efficacy. Draft seeds bill was also released during the quarter, which can lead to formalization of sector, improved traceability and reduce compliance burden.
During the quarter, Department of Fertilizers launched an integrated digital fertilizer claim process, enabling paperless transaction, faster settlement of subsidy claims. In Q3, government

released supplementary grants of INR18,000 crores for subsidy, with this total subsidy outgo for the year may reach up to INR1.86 lakh crores for the year '25 -'26.
As you are aware, the union budget was announced yesterday. The budget has maintained continuity on Agri focus central schemes like crop insurance, interest subvention, commodity price support and PM KISAN for income support. A notable step is the proposed launch of multilingual AI -enabled platform, integrating the Agri-Stack with IC AR’s agriculture best practices and focus on pro

motion of high -value crops.
For the year '26 -'27, subsidy allocation has been fixed at INR1.17 lakh crores for urea and INR54,000 crores for phosphatic fertilizers under the NBS scheme. In this, the indigenous manufactured f ertili zer subsidies have been maintained at current year estimates with some moderation in imported fertilizer subsidies.
I think looking at the past trend, we feel the allocation of subsidy is reasonably adequate, marginally better than last year budget allocation. But as you all know that government always comes up with supplementary grant as and when it's required. So, I think it's a fair allocation, adequate subsidy allocation has been made.
Recently announced India - EU FTA prima facie seems positive for Agri input sector and can open up possibilities on export of agrochemicals, specialty fertilizers, bio products marketing and CDMO though the final details are yet to evolve.
On the industry performance, commodity side, most of the key raw materials firmed up during the quarter. Phos Acid prices in the quarter moved up from $1,250 to $1,290. During the quarter, we witnessed a sharp increase in the price of sulphur and sulfuric acid. Sulphur has moved up to $550, mainly triggered due to demand from LFP sector in China, nickel refining in Indonesia and also supply disruption from Russia. Similarly, supply side outages in major source s in Saudi

Arabia and Trinidad led to sharp incr ease in ammonia prices as well.
Overall, due to unseasonal rains and delayed withdrawal of monsoon, industry's fertilizer consumption was affected. Overall consumption during the quarter came down by 7% . However, thanks to intervention from the government, the supplies remained robust and the production and Imports went up by 15% and 36% respectively during this quarter. Overall, I would say it is a tough quarter for the industry as extended rains have affected the consumption in key agriculture pockets and sharp increase in raw material prices and currency depreciation put pressure on margins for the fertilizers. However, on the positive note, we continue to see positive consumption shift happening towards NPKs, which improves balanced nutrition. And on a year -to-date basis , the share of NPK moved up to 60% from what it used to be 50% 2 years before. SSP industry has tracked well despite challenges of higher price d sulfuric acid. The consumption has moved up during this quarter.
Coming to Crop Protection business. The domestic industry was impacted by lower acreage of key agrochemicals consuming crops like chilli and grapes and reduced spraying due to extended monsoon sp ell. Globally, channel inventories have largely normalized and there's a good demand for some of our technical molecules, especially Mancozeb. While there were lower instances of

pest infestation, fungicide and herbicide applications have been steadily going up, which augurs very well for our crop protection business.
Coming to business performance on fertilizers. As I mentioned, we witnessed a very challenging quarter with a higher raw material price, depreciated rupee , not fully compensated NBS rates and the slowdown in consumption. Despite all these headwinds , the business delivered a resilient performance supported by very competitive sourcing of key raw materials, operational efficiencies . Our plants have been operating at 100% capacity utilization and a focused market approach to offer value -added products.
The company achieved highest ever quarterly fertilizer production of 9.9 lakh tons, which is 18% up over the last year. Phosphoric acid production also has grown over the last year. Our backward integration project at Kakinada for sulfuric acid and phosphoric acid are progressing very well as per the timelines and will be commissioning during this quarter.
The granulation train expansion is also

on track, and it will be commissioned in the third quarter
of the financial year 26 -27. On the sales front, happy to note that we have become one of the largest phosphatic player in the country. The Q3 primary sale stood at 11.2 lakh tons, close to last year levels.
We have moderated sales to tune of consumption, especially in the state of Andhra and Telangana. The company has performed very well in Maharashtra, Karnataka and Tamil Nadu, offsetting some drop in Andhra. Our consumption -based market share in Q3 moderated to 14% as against last year 15%, which has slightly taken up our channel inventory. We do hope that this will get moderated in Q4.
Our share of unique grades has improved from 33% to 36% during the quarter. Also, we took some price correction during this quarter by 3% to 4% to offset the impact of increase in input prices and currency depreciation.
In SSP, Coromandel continues to do well and is market leader led by differentiated products such as GroPlus and Urea SSP. The share of these unique grades stands at 47% of the total SSP volume.
On a YTD basis, we have achieved 36.3 lakh tons of phosphatic fertilizer volumes , up by 10% compared to last year period. Our consumption -based market share stands at 17%, showing slight improvement over last year. We continue to work on new market expansion & on a year -to-date basis, sales have grown to 4 lakh tons, a 30% growth over last year especially from the northern markets . These were not catered to in the past - we have done seed marketing and the results are paying off. And this will be helpful as and when we commission the new plant next year.
Our mining project at Senegal has stabilized the operation and has become the largest exporter of rock phosphate from Senegal, and we are in line to achieve annual volume of 3.5 lakh tons of rock production this year. As you all know that we have set up a joint venture company , Stuccoedge India Private Limited through our wholly owned subsidiary company for

manufacturing & sale of phospho gypsum -based products. The project has commenced. In the next 15 months, we should be able to get diversified product portfolio from gypsum.
The Specialty Nutrient business, which deals with the water -soluble fertilizers and organic

fertilizers have achieved record Q3 volumes driven by improved performance of micronutrients and organic categories. Business has introduced four new products . MAP water -soluble fertilizer plant project announced in the last quarter has commenced its activity at Vizag.
Nano continues its growth trajectory in Q3, registering strong double -digit growth with a strong focus on liquidation & channel engagement. The company has become a market leader in Nano DAP. The product has been very well received across various segments, especially in horticu lture segments. Business is also evaluating global markets and has received very positive response and trials are happening across the globe. And as and when the registration happens, this opens up a new opportunity for exporting Nano DAP globally.
On a YTD basis , the business has marketed over 4,000 KL of Nano products, which is 68% growth over the last year and leads the market in Nano DAP segment, as I mentioned earlier.
On the drone spraying business - largely through Gromor Drive - we have covered close to 2 lakh acres during the first 9 months, offering scalable and efficient precision application solution s to the farmers.
Retail, despite a slow start to the quarter, delivered a commendable performance with 20% year - on-year growth. During the quarter, the company added 84 new stores in Q3, taking the total store count to 1,113. Business continued to focus on new initiatives such as e -commerce, drone spraying, direct delivery and insurance business.
Our Crop Protection & Bio business re

ported a very strong performance, benefiting from favourable demand for its key molecules across export and domestic markets. Standalone revenue for the quarter stood at INR785 crores, registering a growth of 24%. EBIT grew by 74% to INR158 crores, resulting in margin moving from 14% last year to 20% in Q3.
Export growth was driven by volume uptick and higher NRV of major technicals and addition of key customer accounts. Despite challenging business environment, domestic B2C improved sales during the quarter. Business is expanding its channel presence and has added 1,000 new dealers during the year.
New product sales share stood at 25% on a year -to-date basis, reflecting company's continued focus on portfolio diversification and steady traction of recent launches. B2B segment reported a very robust performance across product portfolio. In Q3, company expanded capacity for Mancozeb and is further looking to expand capacities and initiated activity for the same at Sarigam plant.
The Bio business improved realization for its Aza products that support ed revenue and margin growth. The business is actively working on new product development, including microbial platform and partnership opportunities on biological APIs.

Coromandel's subsidiary, NACL Industries had a tough quarter. The revenue and EBITDA -- while better than last year - the margin trended lower as domestic B2C sales were impacted due to adverse market conditions.
During the quarter, NACL has successfully completed rights issue, the proceeds of which will be used to retire all high -cost debt and also used for creating capex, which can help in reducing costs and improving operational efficiencies for NACL plants. During the quarter, the company's credit rating was upgraded to CRISIL AA stable. We are working closely with the NACL team on synergy areas, including R&D, manufac turing, marketing and registration.
The company's drone subsidiary, Dhaksha, is at an early stage of its growth journey and its full potential is yet to be realized. The company is undertaking a series of corrective actions and remain confident of improving the performance in the coming peri od. In parallel, efforts are underway to pursue technical partnership with leading organizations and improve execution across defence , agriculture, surveillance and training segments.
Overall, Coromandel has performed very well in a challenging business environment with all business segments showing improvement over last year.
The company continues to explore growth opportunities across both subsidy and non -subsid y business while remaining focused on operational excellence, cost discipline and long -term value creation. I'll now request Deepak for taking you through the finance -related updates.
Deepak Natarajan : Thank you, Sankar. Good afternoon, everyone. With regard to the turnover, the company recorded a total income of INR8,863 crores for the quarter and INR25,759 crores for the 9 months ended December, recording a growth of 26% for the quarter and 33% for the 9 -month period. The share of subsidy business for the quarter and for the 9 -month period stands at 82%.
As far as profitability is concerned, the consolidated EBITDA for the quarter stands at INR805 crores against INR722 crores last year. And for the 9 -month period ending December, it stands at INR2,738 crores against INR2,202 crores last year. Subsidy business share in EBITDA stands at 62% for the quarter and 67% for the 9 -month period, and this is an improvement from the previous year's number, which stands at 69% for the quarter and 71% for the 9 -month period.

Net profit after tax for the quarter stands at INR488 crores in comparison to INR508 crores for the quarter. And for the 9 -month period, it stands at INR1,784 crores against INR1,476 crores for the last year.
The company continues to coll

ect subsidy on a timely basis. For the quarter ended December,
INR2,571 crores has been collected compared to INR2,036 crores last year.
For the 9 -month period, the subsidy collection stands at INR7,208 crores versus INR5,891 crores in the previous year. The subsidy outstanding as of December stands at INR3,785 crores compared to INR2,095 crores last year. Further, the subsidy collections continues to be robust, and we have collected another INR1,300 crores in the month of January, which covers sales up to last week of December.

We continue to see a volatile rupee in Q3 in the range of INR87.83 to INR91 to dollar. We continue to proactively hedge our exposures on a prudent and a conservative basis.
The Board in its meeting held on 29th January has approved an interim dividend of INR9 per equity share, representing 900% on face value of INR1 equity share.
Thank you. With that I turn it over to Ranjit.
S. Sankarasubramanian : We can take any questions you have.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav from Anvil Wealth. Please go ahead.
Nirav : Sir, first question is related to the Crop Protection business. Like for 9 months, if we see, we have clocked close to around 21% increase in the sales as compared to last 9 months of FY '25. So, if you can just share how much was the volume growth out of this 21% sales growth what we have achieved?
S. Sankarasubramanian : See, I can give you segment -wise growth ; on volume , we will come back. Export has grown by 32% and domestic B2B institution segment ha s moved by 36%. Domestic formulation B2C business has moved up by 5%. As I mentioned, domestic industry faced rough weather during this quarte r and the growth was marginal. I would say volume and the value more or less it's aligned. We can take volume growth also at the same level.
Nirav : All right. So, sir, one, possibly the improvement of margins is because of the higher volumes and we would have achieved operating leverage out of our plants with the increased capacity utilization. The second part possibly could be the price incre ase o r is it because of the launch of newer products out of what we have announced in the start of the year that we have launched close to around 10 new products in FY '26. So, if you can just share your views in terms of this improvement in margins what we have achieved?
S. Sankarasubramanian : The new products have helped in the domestic formulation business segment . If you see overall volume growth in domestic formulation , it is still single digit in the quarter. But on a 9 -month basis, it is 15% growth over the corresponding period last year. You are right, partially it helped, but it can do much more. But for the unseasonal rains we had, we expected much better growth. Our growth has come from export segment, wh ere we have grown in terms of volume as well as in terms of price. And being expor ts, the currency has also helped us to achieve these numbers. So, it is a combination of volume , export revenue increase and new produ cts in domestic market.
Nirav : Got it. Sir, just slightly a longer part or a longer view question. Like we do export to Europe as a continent for our Crop Protection business. Last year, we exported close to around INR1,000 crores in total of our exports from the Crop Protection business. So, a, with the FTA being signed with Europe and b, with this Chinese currency getting appreciated by close to around 9% over the last 1 month, how does it will help us in terms of improving our exports to the Europe? And as a business opportunity, how do you see Europe as a destination for our Crop Protection business?

S. Sankarasubramanian : See, we currently export predominantly bio

products to Europe, not much of agrochemicals. Our
export of agrochemicals is more to Latin America and to various other countries globally, not much to Europe. But I feel with India's export share being very marginal at 9%, the elimination of duties up to 12% will improve the export competitiveness.
So, we need to explore this further. We need to see how best we can leverage this. Especially it opens up a lot of opportunities for the Bio segment to increase the share of business and I think bio can provide a great opportunity for Coromandel with the recent FTA.
On the agrochemical side, on the other hand, we do expect some benefits to come in on the

import of intermediates and key raw materials, which we currently buy from Europe, where , the tariffs are as high as 22% . With FTA , I think that should help us to access the raw material and intermediate at a competitive price point.
Nirav : Correct. What would be our share of exports to Europe out of, let's say, INR1,000 crores what we have achieved in FY '25? Any number which you can share?
S. Sankarasubramanian : I don't think it will be more than 15% to 20%.
Nirav : Got it. And sir, last bit from my side. We mentioned in the opening remarks that we have expanded the Mancozeb capacity and further evaluating to expand. So, if you can share in percentage terms also that how much we have expanded or debottleneck for Mancozeb and how much more we are planning to add?
S. Sankarasubramanian : We have expanded 20% and now we are planning to expand another 30%.
Nirav : Got it, sir. T hank you so much and wish you all the best.
Moderator: Thank you. The next question is from the line of Somaiah from Avendus Spark . Please go ahead.
Somaiah: Sir, first question is on the fertilizer. So, taking the current raw material prices, be it sulphur , ammonia and phos acid, subsidy into consideration. So, do we need price hike? Does the industry need price hikes in our case, do we need price hikes to have our normalized margins of close to INR5,000 EBITDA per ton?
S. Sankarasubramanian : See, as I always mentioned, it is very difficult to estimate the margins on a quarterly basis. On an annualized basis, this EBITDA of INR5,500 is still achiev able for the current year -- but there will be some drop in the margins in the current situation with the higher sulphur price and the currency depreciation and not so compensating subsidy.
On a quarterly basis, there may be a reduction, but on an annualized basis, INR5,500 remains.
And also, it's a function of inventory what you carry. We have taken some price corrections on key grades, which we sell in fourth quarter. So, with combination of inventory and the product mix, still we are there to meet the annualized target of INR5,000 to INR5,500 EBITDA per ton.
Somaiah : Got it, sir. And the phos acid price has been decided for the quarter, sir? And what would that be?

S. Sankarasubramanian : Not yet. Currently, the $1,290 remains - industry is not keen to increase this price any further . Industry will be pushing for cost reduction in phos acid price.
Somaiah : Got it. Sir, also the backward integration plant, which is expected to start this quarter, what is the kind of utilization that we will plan to have during the Kharif ?
S. Sankarasubramanian : We generally operate the plant at 100% from day 1 and for this project as well.
Somaiah : Understood, sir. Sir, also on the crop protection, you did mention about the export B2B and retail rough mix. What would be the rough mix? I mean exports, we used to be at 50% of the overall portfolio. So, does that still remain in B2B and B2C, what would be the mix?
S. Sankarasubramanian ; B2B is around 25% B2C will be 30% - and exports will be 45%.
Somaiah : Export. Understood. Sir, in B2C, what would be the volume and price impact, very roughly?
S. Sankarasubramanian : 14%

growth.
Somaiah : 14% growth in B2C?
S. Sankarasubramanian : Yes, B2C alone. I'm talking about 9 months.
Somaiah : Referring to the last quarter?
S. Sankarasubramanian : The last quarter is only 5%.
Somaiah : Okay. And that will be more volume led and there would have been some price impact ?
S. Sankarasubramanian : It is more coming from volume o nly. We didn't change the price much.
Somaiah: Okay. Understood, sir. Thank you.
Moderator: Thank you. The next question is from the line of Akansha from Axis Capital. Please go ahead.
Ankur : Yes. Hi, A nkur this side. Thanks for the opportunity. First question on the growth and your margin outlook for the Crop Protection business, both on a standalone basis as well as on a consol basis, given NACL acquisition, how do you look at the growth there?
S. Sankarasubramanian : See, at this point of time we operate as two separate entities. The synergy benefits are to play in.
In the case of CPC business of Coromandel, our margins are doing good and it is in the range of 20% - we are confident of sustaining or improving it. For the quarter, we achieved 20% and cumulative 9 months is 18%. And this trend will continue in the coming quarters.
In the case of NACL , they had a setback last year and after we acquired this year, a lot of actions have happened. The main plant of Srikakulam is operating almost at higher capacity and a lot of cost reduction measures are being taken up. They've already moved up EBITDA percentage to 9% - 10%, which they should be able to sustain and grow further. They are also looking to improve the product mix and bring in new products. Currently, they have a challenge of lower capacity utilization of their Dahej facility. So, their margins will be muted until such time they

find alternatives, which they are working on. Once that happens, then the margins should also move up for NACL.
Ankur : Sure, sir. And just a follow -up there. One, on the CDM O or the industrial chemical side, any thoughts or any progress there considering the market also opening up a bit? And secondly, just a clarification on the NACL margin acceleration This will be only led by Dahe j. That's the only factor left o r there could be more levers which can drive the operating performance here for NACL?
S. Sankarasubramanian : No, the mix change in the formulation business, which is B2C, should improve the margin significantly. We're seeing current drag is mainly coming from Dahej. Dahej should improve it.
In manufacturing, t he business is working on introducing new products and intermediate products and improve capacity utilization of Dahej. So, there will be multiple levers they will be looking at. We will look to synergize in terms of utilizing their capacity for manufacturing some of the molecules, whic h Coromandel intends to introduce.
Ankur : Sure, sir. And any thoughts on the industrial chemical side or the pure grade phos acid or the other products that you're working on?
S. Sankarasubramanian : We are pursuing our interest on the projects what we talked about earlier in terms of purified phosphoric acid. On CDMO play, various companies with whom we have been working for the last 2 years, we have moved into next stage and they have the interest ; with Nagarjuna also in our fold, the global players are already reaching out to us for outsourcing some of their molecules and intermediates, including fluorination chemistry based . They are all in the nascent stage. We will update as and when we progress, but it is tracking very well, I would say. A lot of interest has been shown by the global players after we have acquired NACL.
Ankur : Sure, sir. And just lastly, on the standalone Crop Protection business, Mancozeb has done very well for us in this financial year. What's your thought on overall growth there ex of Mancozeb, given that we have launc

hed a lot of new products historically. S o just from that perspective.
S. Sankarasubramanian : CPC has to be seen in terms of individual segments. In Exports, Mancozeb continues to be the major play, and it will remain so, and we'll be expanding capacity. So, we can't be seeing without Mancozeb. It's an integral part of the business. We are trying to capture the value chain there by diversifying product portfolio by introducing combination molecules and backward integrating Mancozeb. So, I think Mancozeb is going to be the integral part of our growth in export segment. , I don't think we can look at without Mancozeb on exports.
On the other hand, in the domestic B2C, there are a lot of in -licensed molecules -- we have a pipeline of 9 key registrations which are happening, and we have a slew of products coming in the next 2, 3 years. That will sustain the formulation growth. Actually, we planned for at least 25% growth in the current year. But for the unseasonal rains we could have achieved and still we have reached close to 15% even in such a bad season. We have also added 30 territories in the current year. Our game plan will be to expand our market territories and synergies our operations with NACL also. We'll be looking to increase our formulation business in domestic market by at least 20% to25% going from year -on-year on.

So, it will be a combination of domestic B2C growth of 20% to 25%, Mancozeb led growth in exports. But having said that, we are also expanding our other technicals whether it is Malathion capacity expansion or looking at new Strobilurin chemistries for which we have announced capex last year, which we held it back after NACL acquisition . We are also expanding our AI portfolio as well in the global markets.
Ankur : Great, sir. T hanks for your input. All the best. Thank you.
S. Sankarasubramanian : Thank you.
Moderator: Thank you. Th e next question is from the line of Ahmed from Unifi Capital. Please go ahead.
Ahmed : Thanks for the opportunity. I hope I am audible. I have a few questions. Firstly, on the -- your comments on sulphur prices increasing. As of now with current raw material prices for sulphur as well as rock and your procurement from Senegal and sourcing strategy, can you give some comments on current unit economics of backward integration project considering sulphur prices have moved roughly 5x. I think it was $100 a ton a year ago and now it is close to $500, $550 a ton. So, would you like to provid e some comments how you are looking at the dynamics and your unit economics of the backward integration as of now?
S. Sankarasubramanian : Very difficult to put any number, but all I can say is there has been a reduction in the value addition compared to what it was 6 to 9 months before. Obviously, sulphur has skyrocketed from $180 to $200 to $500 now. But fortunately, the rock prices have been moderating, rather it has not gone up and has softened a bit.
That has cushioned this impact to a great extent. Also, phosphoric acid price has been going up

continuously. What it was $1,050 last year, corresponding period, now it is $1,290.
We do feel that the sulphur price increase is not sustainable. Sulphur always used to be a disposal issue. I think it is a phenomenon of short supply and excess demand, which should get moderated as we move into first quarter of next year. So, we do expect sulphur to retract back. We have seen this trend in the past as well. Sulphur never sustained at this price .
Ahmed : And in terms of crop protection business, in terms of integrating NACL in terms of supply chain, plants, efficiencies, those sort of qualitative aspects, are we done w ith all those things as of now or the integration is still sort of remaining in terms of the way you want to run the NACL business?
S. Sankarasubramanian : As of now, it's a

separate entity being managed independently . A lot of cost reduction initiatives, process improvement initiative, product introduction, product expansion, brand building initiatives a re being addressed by NACL. Our previous CPC business head has moved in as Managing Director of NACL - to that extent, there is a synergistic thinking and approach in what we do in CPC business. It is still a work in progress. We have addressed the liquidity part by raising money through rights issue and reduce d the interest burden , brought in the working capital discipline and also brought down the interest rates and working capital. I think we are on the right track, but still, it is a work in progress. It will play out in the coming quarters.

Ahmed : Standalone business, Mancozeb has done phenomenal for us over years and also in recent past. Can you explain what explains such bullishness from your side in terms of Mancozeb for adding capacity further after the one round has already been done? Is it ter ms of sort of a demand supply mismatch we are seeing? What presents an opportunity to scale up further in Mancozeb?
S. Sankarasubramanian : Good question. In Mancozeb , there has been additional spray in key crops like soybean, corn in Brazil - that has increased the demand for Mancozeb in Latin American markets. Further, farmers preference for wide spectrum and low-price molecules like Mancozeb is leading to higher interest for this molecule. As a company, we are rightfully positioned to address this demand. We are also trying to enter into long -term arrangements for securing the volumes on a long-term basis. It is a wide spectrum fungicide and can be used in combination with various other molecules. We are also in the process of coming up with the combination products and initiating registration activities in Latin America.
Currently, we are marketing on a B2B basis, and we are trying to explore the opportunity of strengthening our presence in Latin America through B2C opportunities as well. We are trying to see how we convert this immediate surge in Mancozeb into long -term sustainable demand, especially in Latin American markets. As Coromandel, our presence is not only in Latin America , we are also exporting into various other countries. So, considering the increased demand for these molecules, we have started expanding capacities. We are also building a strong brand in domestic market on Mancozeb family. We are trying to work on parallelly many things to ensure that this volume growth is sustainable in the coming years.
Ahmed : Sure. Lastly, on the Senegal mine business, can you give some sort of qualitative and quantitative sort of judgment where we are in terms of the production in the current quarter? And in terms of profit contribution because of the backward integration, wha t sort of contribution we are getting at current prices?
If you can give some comments. And also, a request from my side will be to give some sense of Senegal business separately because of the depreciation and amortization of the mining business, it gets a little tough to understand the operating core business numbers. So, it will be great if you can sort of have disclosures around mini ng business in the presentation?
S. Sankarasubramanian : We have seen mining as a strategic investment, the valuation of which has gone up man ifold compared to the value at which we acquired. It has brought in some moderation in the price at which we buy rocks. So, to that extent, I would say it's a strategic importance for Coromandel with 20% to 25% of our rock requirements being met through our captive source. It gives us a huge advantage and reduces our dependency on other sources. Firstly, i t ensures availability of key raw material for the expanded capacity or the new capacity which is coming up in Kakinada. So, I would first take thi

s as a supply security. Second, mining helps us to understand the cost structure better and our ability to negotiate rock pricing with the rest of the sources have become far better than what it used to be. Third, we have scaled up the volume and stabilized the production compared to what it was. We have achieved what we said at the time of acquisition, we will do 300,000. We are achieving 350,000 tons in the current year. And it is value accretive. I don't want to put the numbers for the sensitive reason, but we are quite happy with the way everything played out in this year.

And going forward, we will increase the volume to 5 lakh tons, thereby ensuring sustained availability of this source for our Kakinada capacity. We are taking a lot of improvement efforts to improve the recovery and it will be a very profitable business on a standalone basis.

Moderator: Thank you. The next question is from the line of Darshita Shah from DSP Mutual Fund. Please go ahead.

Darshita Shah : I had a question regarding our fertilizer volume growth. The DBT sales data that the company gives out in the presentation, we see DAP and NPK put together sales growth was negative 1% for 9 months. During the same period, the growth for us was close to 10 -odd percent. This is both manufactured and imported put together. Could you throw some light on where is this incremental growth coming from for us?

So negative 1% was for the industry, the DBT sales data that we gave in our presentation. That was minus 1%. So, I think 199 lakh tons of volumes consumed of both DAP and NPK put together in 9 months, which was 197 lac Mt last year. And the same for Coromandel is close to 36 lakh to ns, which was close to 32.88 lakh tons in the last year. So that's almost a 10% growth for Coromandel versus a minus 1% growth for the DBT sales for the industry?

S. Sankarasubramanian : See you are comparing the consumption versus our primary sales. If you look at the corresponding primary sale of the industry, it has moved up from 71 lakh tons to 75 lakh tons, which is 6% growth. Against that, our primary sales for the quarter more or less remains the same 11.4 to 11.2. Industry has grown , while we have maintained the same volume on a quarterly basis.

Darshita Shah : Actually, yes, I was looking out from the 9 months perspective ?

S. Sankarasubramanian : 9 months perspective, industry has moved up from 190 to 220 on a primary sales, which is 16% growth. And we have grown from 32 to 36, 31.7 to 36.3 which is 14% growth. So, we have grown in line with the industry growth. What you are comparing is the consumption, the industry 9 months has 208 lakh tons remained flat. We have grown by 1%, 33 moved to 33.4. More or less, our primary sales, our consumptions are tracking in line with the industry for the 9 months. I can ask my colleague to send across the data. Industry growth of primary 16%, we have grown by 14%. Industry is flattish on consumption. We have gr own by 1% on consumption.

Darshita Shah : Got it. Okay. All right. And in your opening remarks, you mentioned something about the market share coming down from 15% to 14% for the complex, basically the phosphatic fertilizer division. So sorry, I didn't quite catch the reason behind the fall in mar ket share ?

S. Sankarasubramanian : Yes, that is consumption, - primary consumption for the industry has moved up by 2% for the quarter , whereas in our case, it has degrown. That is why our market share of consumption came down from last year 15% to 14% -- this basically has happened because of the slowdown in consumption in states, Andhra, Telangana, where there has been a significant impact on crop acreages of chill ies, where the fert ilizer consumption came down significantly.

So, a drop in consumption in AP, Te

langana, has been offset by Andhra, Maharashtra and other northern states, but still not good enough. And that is why the industry numbers are slightly higher, whereas we are at a lower level of consumption in the thi rd quarter .

Darshita Shah : Got it. Okay. Thank you. That’s all.

Moderator: Thank you. Th e next question is from the line of Naushad Chaudhary from Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Sir, what was the subsidy EBITDA share this quarter?

S. Sankarasubramanian : 62%.

Naushad Chaudhary : Second follow -up on question on the backward integration. See in sulfuric acid and phos , if I'm not wrong, roughly we are investing INR1,200 crores in this project s. And initial expectation was these two projects should help us roughly INR400 crores of EBITDA benefit annually. Given the current pricing scenario with 5 -10% here and there, but do we maintain that kind of expectation from these two projects o r should it be meaningfully deviate from the initial expectation?

S. Sankarasubramanian : It will be more or less same. I don't see any challenge because it is not only the cost of sulphur that is going up, but PA price also goes up. So as far as the value addition is concerned, I don't see any significant shift which is happening. Plus, the power generation of 24 megawatts, what we talke d about, will also accrue. So, our value addition is coming from the value addition on manufacturing of acid and the power generation – with the combination of these two, I don't see any major deviation and we should be able to sustain.

Naushad Chaudhary : Perfect, sir. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Vipul Kumar from Sumangal Investments.

Please go ahead.
Vipul Kumar : So, sir, can you share the revenue and EBITDA for our retail business?
S. Sankarasubramanian : We don't put this out as a separate segment. I'll be constrained to put this number separately.
Vipul Kumar : And is it possible to share the financials of our drone subsidiary?
S. Sankarasubramanian : It is too insignificant at this point of time. And as and when we reach the size and scale and commence operations, we'll be able to put out that number.
Vipul Kumar : And lastly, when this phos acid plant comes on stream, what kind of EBITDA increase we can expect per ton?
S. Sankarasubramanian : As against the current annual average EBITDA of INR5,500, we should be able to increase it to INR6,500 on an annualized basis. We talked about this earlier as well and we are maintaining it.

Vipul Kumar : On the entire capacity or only on that particular plant?
S. Sankarasubramanian : On the entire capacity.
Vipul Kumar : 6,500, you said, right, sir?
S. Sankarasubramanian : Correct.
Vipul Kum ar: Thank you very much, sir and a ll the best.
S. Sankarasubramanian : Thank you.
Moderator: Thank you. The next question is from the l ine of Rohit Nagraj from 360 One Capital. Please go ahead.
Rohit Nagraj : Sir, on the crop protection export segment, you indicated that there has been a good amount of volume growth as well as some pricing element. In terms of the volumes, is there any element of restocking because of which during the last three quarters, there has been material improvement as far as the export volumes are concerned?
S. Sankarasubramanian : See, we are not such a big player to impact restocking . This volume growth has been triggered mainly on account of Mancozeb where the application has got expanded. So, our performance is driven by the demand for this molecule, which has improved the volume. We are n ot a sizable player in Latin American market.
Rohit Nagraj : Sure. And second question in terms of NACL consolidation, although we are still in mode of integrating certain elements of it, when do we see a sizable element coming -- benefit c

oming from the integration? Would it be from, say, Q1 FY '27 onwards or maybe second half of FY '27?
S. Sankarasubramanian : The integration would be in terms of the management practices, taking advantage of the best practices what Coromandel is following. You can see that numbers are improving in NAC L from loss-making last year to profit making and EBITDA is getting expanded, capacity utilization is moving up. And we can see these improvements coming in from first quarter of next year.
Rohit Nagraj: Sure. That is helpful. Thanks a lot, and all the best.
Moderator: Thank you. The next question is from the line of Falguni Dutta from Mansarovar Financials . Please go ahead.
Falguni Dutta : I don't know if I missed listening to this thing of yours. So, what was the DAP consumption for 9 months and also for NPK? I mean not in absolute terms, how much was the -- like directionally, what percentage increase or decrease?
S. Sankarasubramanian : For Q3 or 9 months?
Falguni Dutta : 9 months. And also, for Q3, if you can mention for both these NPK and DAP for the industry?

S. Sankarasubramanian : Industry NPK is minus 2% compared to last year corresponding period, 52 lakh tons versus 50 lakh tons. DAP moved up by 13% from 26 lakh tons to 30 lakh tons.
Falguni Dutta : DAP was up from 26 to?
S. Sankarasubramanian : 30.
Falguni Dutta : And NPK was down?
S. Sankarasubramanian : 52 to 50.
Falguni Dutta : Okay. This is the fertilizer consumption for 9 months?
S. Sankarasubramanian : This is Q3 you asked for, right?
Falguni Dutta : This is Q3?
S. Sankarasubramanian : Correct. This is Q3.
Falguni Dutta : And what about 9 months?
S. Sankarasubramanian : 9 months is 208 lakh tons.
Falguni Dutta : Sorry?
S. Sankarasubramanian : 208 lakh tons, both DAP and NPK put together. It's 208 lakh tons.

Falguni Dutta : No, but how does it compare with same time last year?
S. Sankarasubramanian : It was s ame, Yes, flat. It's almost same .
Falguni Dutta : Both DAP and NPK were flat?
S. Sankarasubramanian : Yes.
Falguni Dutta: Okay. Thank you, sir. That's all from my side.
Moderator: Thank you. Th e next question is from the line of Rishabh, an Individual Investor. Please go ahead.
Rishabh: The question is reference to t he by product we are getting from the captive Capacity . So, can you give us guidance on what margins we are making on selling those phospho gypsum?
S. Sankarasubramanian : I'm not able to hear you repeat your question?
Rishabh: The phospho gyps um that we are producing as a b y product -- so can you give us any guidance on what margins or what realizations they are making on that product?
S. Sankarasubramanian : We don't disclose it as a separate segment. We'll not be able to give the data at this point of time.

Rishabh: So, your earlier comments were that period of this new plant is around 2 to 3 years. So, do you consider this realization from this product also part of this realization?
S. Sankarasubramanian : We have not put this capex looking at gypsum realization. Gypsum doesn't play such a significant role in the overall economics of this project.
Rishabh: Okay, sir. Thank you.
Moderator: Thank you. A s there are no further questions from the participants, I now hand over the conference to management for closing comments.
S. Sankarasubramanian : Thank you all for your continued interest in Coromandel and thank you for joining the call today. We look forward to future interactions. Thank you very much. Thank you, Ranjit, for organizing this call.
Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Ref. No: 2026-27/010
May 15, 202 6
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol : COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on May 8, 202 6
This is in further ance to our letter dated May 8, 2026, regarding the upload on our website, the audio recording of conference call held with analysts and investors to discuss financial results of the Company for the quarter ended March 31, 2026 .

In this regard, we wish to inform that the transcript of the Conference Call held on May 08, 202 6 has been uploaded on the website of the Company at https://www.coromandel.biz/investors/investor -call-transcripts/ as required pursuant to Regulation 46(2)(oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take th e above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

“Coromandel International Limited Q4 FY26 Earnings
Conference Call ”

May 08 , 202 6

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , COROMANDEL
INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES

Coromandel International Limited
May 08, 2026

Moderator: Ladies and Gentlemen , Good Day and Welcome to Coromandel International Limited 's Q4 FY26 Earnings Conference Call hosted by Elara Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Biyani from Elara Securities. Thank you and over to you, Mr. Biyan i.
Prashant Biyani: Hi! Thank you all for joining the call today. We would request "Mr. Sankar asubramania n to start the Session with his Opening Remarks " and then we will follow it up with "Q&A." Over to you, sir.
S. Sankarasubramanian: Good afternoon, everyone , and thank you, Prashant, for organizing this call.
I will begin with "Brief Overview of the Business Environment During the Year, followed by a Detailed Comment on Operations " and thereafter I will request "Deepak to Talk on Financial Performance ."
The Indian Agriculture sector in last year witnessed moderate growth with Agri-GDP expanding by 2.4%, reflecting the impact of uneven climatic conditions and softening Agri-commodity prices. The southwest monsoon was above normal at 108 % of the long period average. However, its erratic distribution and delayed withdrawal affected crop cycles and rural consumption, particularly during the rabi season.
Encouragingly, the reservoir levels were quite strong, supporting the improved sowing activity. As you all know, kharif acreage increased to 112 million hectares and rabi sowing rose to 68 million hectares, culminating in record foodgrain production of close to 348 million tons. As on April end, all India reservoir levels were 115 % of the last year 's storage and 126 % of the normal storage , south region is 93 % of the last year 's storage and 121 % of normal storage.
Going forward, weather forecasting agencies have estimated a below -monsoon for the upcoming kharif season.
Based on the recent estimates, key operating Southern markets are likely to experience largely normal rainfall.
IMD is expected to issue the updated forecast, providing region -wise view in the last week of May.
I think this can provide better clarity for all of us.
Coromandel International Limited
May 08, 2026

Summer sowings have started in a positive note. As on April -end, crop sowing stood at 8 million hectares, marginally better than last year.
As you are aware, government has announced the NBS rates for Kharif 2026, increasing nutrient rates by 10 % for N , P and S. These rates do not reflect the sharp increase in raw material prices and rupee depreciation post the Middle East crisis.
Industry expects further support to address the affordability issue for the farming community.
Industry has been constantly engaging with the government to address these issues, and we are hopeful of a positive outcome.
Last year has been tough year for the sector, as the supply disruption from Middle East has resulted in elevated prices, especially in the fag end of the year. We have seen sudden spurt in key raw materials like Ammonia and Sulphur , and availability of finished fertili zers became a challenge.
As you are aware, Middle East contributes significantly to raw materials, feedstocks and finished products. Our India dependence on Ammonia and Sulphur is upwards of 80 %, and most of the shipments cross the Strait of Hormuz, and thereby this disruption in the region has led to sharp rise in commodity prices. While channel and industry stocks remain balanced at this point, industry is making concerted efforts to maximize supplies in Q1.
An empowered committee comprising of government and industry officials have been wo

rking in
close coordination for fertilizer production, planning and raw material sourc ing.
During the year, domestic phosphatic industry increased its production to 16 million tons. Industry also resorted to a higher level of imports, both DAP and NPK, which added up to 10 million tons against previous year of 7 million tons.
Consumption for the year was close to 24 million tons, more or less the same as the previous year, and the mix is favoring NPK, despite relatively higher prices compared to DAP. The share of NPKs in the overall Phosphatics is currently at 60%.
During the year, industry players signed an off -take agreement of close to 7 lakh tons of green Ammonia. These efforts are expected to play a crucial role in reducing the carbon footprint of fertilizer production, while aligning with India 's long -term climate commitments. Happy to share, Coromandel has also taken a lead in this government initiative and agreed for the coverage of upto 20% of its total Ammonia requirement.
On the agrochemical industry side, the situation presented broadly constructive operating

environment for the global industry. After two years of de -stocking and demand suppression driven

by inflated post -pandemic inventory, channel inventory levels show ed signs of normalizing across major geographies.
Indian agrochemical market experienced a recovery period in the first half, with a near -normal monsoon , healthy kharif sowing , which translated into stronger field -level demand compared to the previous year. However, the ra bi demand was muted due to late withdrawal of monsoon, leading to lower liquidation than expected.
Having covered the industry, I will specifically now talk about "Company 's Performance ." During the year, compan y's manufacturing plant registered record fertilizer production of 3.5 million tons, with the highest level of safety and environmental management. It is heartening to note that one of our largest fertilizer plant has been given British Safety Council Five-Star Rating and also got the British Safety Council 's Sw ord of Hono ur Award .
All the plants undertook annual maintenance turnaround in March -April months and they have now resumed normal operations.
Phos -acid production for the year was up by 3 % to 4.5 lakh tons.
In March month, compan y successfully commissioned the 2,000 tons per day Sulphur ic acid plant and 650 tons per day Phosphoric acid plant at Kakinada, strengthening its backward integration capabilities. This plant is capable of producing annually 200,000 tons of phosphoric acid , and we have also synchronized the receipt of rock from Senegal, which will be used in this new plant. Currently, this plant is going through trial runs .
Sulphuric acid volumes have scaled up , power generation has also been met through captive power plants. Operations are getting stabilized and we expect to operate at a desired capacity from April, May onwards .
Our project to expand our granulation capacity is gaining momentum. We are on our way to commission this plant by December of this financial year.
Our rock phosphate project at Senegal has stabilized very well and we have reached the output of more than 3.5 lakh tons last year, and we are planning to increase the volume further by 30 %-40% in the current year.
The company also has enhanced its stake in Senegalese entity and currently holding 71.5% in the mining company.

We have been diversifying our raw material sources through long -term contracts with various countries beyond Saudi and Qatar, like Southeast Asian countries, African countries and Canada and sometime from Russia and China as well.
So, fairly we are reasonably covered in terms of the raw material for the first quarter.
We do hope that there can be an early resolution to the West Asian crisis and we will be able to secur

e
raw materials for Q2.
I would like to point out here the challenge is not only the availability but also the price. We are closely working with the government for suitable support to handle the current price volatility. I do hope when the supply side improves, price will normalize . Currently, it is quite abnormal and beyond the affordability of any industry player to secure and produce and convert them into fertilizers.
On the marketing front, we delivered record sales of 4.3 million tons of DAP and NPK, a growth of 7% over last year. Our consumption has reached the peak of 4.1 million tons, making us the largest player with the highest market share of 17.5% in the phosph atic sector in the country. Our share of unique grades remains at 35%.
We continue to expand our footprint across North and Central India markets by active channel engagement and farmer -connect initiatives and registered a growth of more than 24% in these markets.
Our single superphosphate business registered highest ever sale volume of 8.4 lakh tons with differentiated grades like GroPlus and GroAlpha, contributing to more than 50% of the volume, and we continue to be the market leader in the SSP sector.
Coromandel 's drone spraying service deliver ed through Gro mor drive initiative and also through our own retail centers, covered close to 3 lakh acres and is witnessing strong adoption by the farming community.
Our specialty nutrient business delivered strong performance, supported by focused market development and farmer engagement activities.
We introduced different products across organic and specialty segments, offering cross -specific and performance -enhancing solutions.
Business is strengthening its manufacturing capability and is setting up a Technical MAP plant and also seaweed granulation capacity. These investments will generate revenue in the coming years.

Our Nano business had a strong year, emerging as a leader in the Nano DA P segment with around 50% market share, while also expanding its presence in international markets through ongoing trials and registrations.
Overall volumes expanded by 60% . Company marketed close to 42 lakh Nano Bottles by demonstrating product efficacy through extensive field trials, scientific studies and farmer outreach programs. We strongly believe during this period of challenge and crisis, alternate solutions like nanotechnology can make a huge impact and can save the country from the huge foreign exchange outgo as well as help the farmers to have the right nutrient application for the crop.
Company 's retail business reported strong performance, growing over 30% in 2025 -26.
Business expanded its footprint with the addition of over 300 new stores in Andhra Pradesh, Telangana and Karnataka, while also entering new markets such as Maharashtra and Tamil Nadu.
We continue to leverage technology -driven solutions including precision advisory, e-commerce, drone spraying services and last -mile delivery.
Moving on to one of our significant business segments, which we have been growing consistently over the last two, three years and also where we made a significant investment through acquiring Nagarjuna Agrichem in the year beginning .
The crop protection business of Coromandel achieved healthy growth both in terms of revenue and profitability. Performance was supported by strong domestic demand, recovery in export volume and new product introduction and disciplined cost management.
Our standalone crop protection business of Coromandel, the revenue moved up by 15% to go up to INR 3,054 crores, led by higher sales across segments.
Formulations, Exports, B2B and Bio volumes have shown strong growth, and margins have improved significantly . Profitability of crop protection business has grown by 55% to reach INR 569 crores, benefiting from favorable demand for its key molecules across exports

and domestic market.
On a combined basis, our Coromandel crop protection business as well as Nagarjuna Agrichem has reported a combined revenue of INR 4,000 crores, which could have been better, but for the late withdrawal of monsoon in the rabi season. But structurally the business has been going well and we are soon to reach a milestone what we have been indicating in the past.
In domestic market , we expanded our presence by introducing new territories, onboarding over 1000 new dealers and also introduced new formulations.

We have introduced 10 new products during this year which represent 21 % of our total revenue.
Our export business registered strong volume growth reflecting both the global inventory rebalancing cycle and targeted business development efforts by Coromandel in key geographies.
During this year , the Coromandel commissioned a technical plant at Dahej and is further expanding technical capacity at S arigam.
Bio business, where we are the large player in neem -based biopesticides, the demand for neem -based Aza received good traction during the year.
Expanding beyond plant extracts, the company has built fermentation and microbial processing capabilities to diversify its biological portfolio.
The launch of five biopesticides and three biofertilizers has strengthened its innovation pipeline with new products gaining good traction in the domestic market.
We have completed the acquisition of 5 3% stake in NACL and also followed on with the rights issue of INR 250 crores to reduce the high-cost debt. So , the borrowing cost has come down significantly from NACL and we have brought in the best practice of Coromandel . We are now exploring the synergy opportunities between the two companies.
NACL has made significant progress with revenue moving up by 28 % to register INR 1,585 crores of top line and EBITDA of INR 103 crores against last year 's loss es.
CIL is working closely with the NACL team on leveraging synergies across product development, manufacturing and sourcing.
Talking about another subsidiary, D haksha, a drone company which is currently in a nascent phase with substantial headroom for growth. Focused efforts are being made to streamline operations and address early -stage challenges with a clear emphasis on driving improved performance in the periods ahead. The company is working towards building strategic collaboration and sharpening execution capabilities to fast-track product introduction, improve business development and service experts.
Dhaksha and Coromandel have been working very closely to develop Agri drones specifically to address the need and provide comprehensive solutions to the farming community of India.
Overall, Coromandel has reported strong operational performance in fourth quarter with revenue growing by 19 % reaching INR 6,068 crores and EBITDA growing by 16 % and reached INR 494 crores.

It is pertinent to note that last year Q4 had exceptional income of INR 347 crores relating to land sale against the current year loss of INR 71 crores which we have taken towards impairment of investment s. Hence, the reported profit is modest at INR 115 crores due to this variation of almost INR 420 crores between the corresponding periods.
Operationally, we have done very well, including the fourth quarter where we took annual turnaround. We operated the plant full.
In spite of the challenging situation which industry is facing due to certain sp urt in global prices not adequately covered by subsidy rates , Coromandel has turned around with a resilient performance.
There has been a compression in fertilizer margins. However, all other business segments like specialty nutrients , crop protection , retail business have reported healthy growth in revenue and profitability.
On a full year basis, Coromandel has repor

ted highest ever revenue of INR 31,827 crores and
EBITDA of INR 3,232 crores. Recently acquired NACL has turned profitable and registered EBITDA of INR 103 crores.
Coromandel has made significant investment of over INR 3,000 crores in the last two years across business segments, and I am sure this will generate target revenue and profitability in the coming period.
I will now hand over to "Deepak to comment on the Financial Performance " before I take any questions from the team here.
Deepak Natarajan : Thank you , Sankar. Good afternoon , everyone.
The company recorded a consolidated total income of INR 6,068 crores during the quarter and INR 31,827 crores during the financial year FY25 -26. This is the corresponding period of INR 5,114 crores and INR 24,444 crores, registering a growth of 19% for the quarter and 30% for the full year.
The subsidy business share in the revenue stands at about 75% for the quarter and 85% for the full year.
From a profitability point of view, the consolidated EBITDA for the quarter stands at INR 494 crores against INR 426 crores in the previous year.
On a full year basis, the consolidated EBITDA stands at INR 3,232 crores against INR 2,628 crores last year.

The subsidy business share in EBITDA stands at 57% for the quarter and 66% for the full year. Correspondingly, last year it was 67% and 70%.
The net profit after tax for the quarter stands at INR 115 crores in comparison to INR 578 crores in the previous year's same quarter. That was essentially because of some of the exceptional items we had taken last year and this year.
And the net profit after tax for the full year stands at INR 1,898 crores against INR 2,055 crores in the previous year.
As far as subsidy is concerned, during the quarter, the company received INR 3,441 crores towards subsidy claims. For the full year, we have received INR 10,649 crores as subsidy. This compares with INR 8,082 crores we received last year. Subsidy outstanding at the end of March stands at INR 2,168 crores compared with INR 1,654 crores in the previous year. We have received subsidy claims till the third week of March 2026. While the subsidy outstanding at the end of the year is higher as compared to t he previous year, it has come down sequentially quarter -on-quarter from INR 3,785 crores at the end of September to INR 2,199 crores. As you may be aware, the government has also come up with supplementary grant of INR 1,500 crores for NBS in March and this has settled use in the month of March.
Inventory has remained at slightly elevated level s, driven primarily by elevated raw material prices and certain incremental inventory that we have kept for our newly inaugurated Phosphoric acid and Sulphur ic acid plant in Kakinada. We are also holding some level of strategic inventory considering the ongoing crisis in West Asia.
During the quarter, we took an impairment on the investments and goodwill in the standalone and consolidated financial results of the company relating to the drones business. This is primarily due to long lead time in execution of certain orders. Managemen t believes the value of the investments to improve and has provided for impairment on a prudent basis.
Finally on Forex , during Q4, the rupee traded in a very broad range of 89.75 to 95.23 which continued to pose certain level of challenges. Coromandel has continued to hedge its exposures on a conservative basis. Thank you.
Moderator: Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of A hmed Madh a from Unifier Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity. I have a few questions. Firstly, if I compare the consolidated P&L and standalone P&L, there is a gap. Obviously, N ACL does not have incremental loss. I am assumin

g
that this is coming from the mining entity BMCC and even the depreciation numbers are much higher

compared to last year. So, if you can expand on how is BMCC as an entity placed in terms of financials , and also explain how the depreciation , amortization of the mining asset moves forward in next year and thereafter and how do you see the profitability trends of the BMCC entity?

S. Sankarasubramanian: The amortization expense reflected in the financials is more of an accounting treatment where the mining costs are also getting amortized. In terms of the financial health and performance of BMCC, it has turned profitable now. With the increased volume of operations, better absorption of fixed costs, improved efficiencies and market linked price, it turns profitable and it will improve its margin going forward with increased volume of production. When you do the consolidation accounting involving subs idiary , there are certain amount of the intangibles which get amortized over the period and th at has gone into the accounts. While operationally standalone Nagarjuna has turned profitable at EBITDA level, but on a consolidated level, we need to have some amortization of certain expenses . It is more of a accounting between the acquisition value versus the holding value that gets amortized over the period. That way you see the change in the depreciation compared to standalone numbers.

Ahmed Madha: Sure, makes sense. Secondly, on the margins of the fertilizer business for the upcoming season, how should one look at it considering the very nominal increase in the subsidy numbers about 10% while the raw material prices have gone up materially ? So how do you see government response coming in, whether there can be another sort of a price increase rather subsidy increase, which sort of happened in FY23 ? We were going through similar phase where raw material prices went up materially and govern ment again revised the subsid y. So how do you see the current situation and what is your broad sense of how you will be compensated for the higher raw material costs? Because I am assuming current subsidy and the MRPs are not sufficient for it.

S. Sankarasubramanian: You are right . Of course, industry has some benefit of the carryover inventory in the first one or two months. Farmers also will be able to have access to the opening stock of finished fertilizers , but the replacement cost is very high. One is the availability, another is the price. As I mentioned in my opening remarks, the prices of Ammonia , Sulphur have gone up exorbitantly higher and it definitely calls for additional compensation of subsidies, which we have taken up with the government. It is under discussion stage and they have positively looked at it and hopefully we should get the pass - through on these costs. Basic objective is to see that how best we can secure first and produce finished fertilizers and then try and see how we can maintain the price to the farmers at more or less same level. After additional subsidy if any gap still remains, we may have to correct the prices . These discussions are in early stages and in these extraordinary times , we do not want to put any number. We do not expect this scenario also to remain for a long time. We hope the normalcy gets restored once the supply side improves, we do expect things to be back to normal. Having said that, it is very critical for additional subsidies to come in beyond what has been notified as these rates are based on early rates. On MRP, industry has also taken some corrections in the last one or two months. As far

as DAP is concerned, government given a pass -through last year and hopefully the same should continue now.

Ahmed Madha: Sure. My third question was on the crop protection business. If you look at the performance in terms of standa

lone has been pretty good in terms of margin improvement. So, c an you just elaborate how do you see overall opportunity with the NACL acquisition done now? The entity has been consolidated for about two and a half quarters. So , how do you see the opportunity in terms of export side, in terms of scale up of your agrochemical business? And Nagarjuna ’s NACL margins, how do you see the trend changing? A nd lastly, the standalone crop protection had low growth about 2%, 2.5% . Were there any factors that led to that? And how do you see the growth moving forward?

S. Sankarasubramanian: The standalone has grown well. We have grown to INR 3,053 crores .

Ahmed Madha: Standalone crop protection, I mean .

S. Sankarasubramanian: Yes, I was also referring to crop protection. It is 15.8 % if I am right. Revenue has grown significantly.

Ahmed Madha: No, I meant for Q4.

S. Sankarasubramanian: Q4 is the off -season. I was talking about the full year .

Ahmed Madha: Yes. Overall, as I said initially, that you ha ve done well. So I meant just for Q 4.

S. Sankarasubramanian: But in terms of the profitability it has gone up. O verall, on the crop protection business, we have done extremely well on all segments, whether it is global exports of active ingredients . For our key molecule Mancozeb , we have got a better volume growth as well as better realization. Our additional capacity, which came up in Dahej during the year, was quite helpful to meet the additional demand. In the domestic B2C market, we added territories and increased the volume. Our fo rmula tion business overall has grown by 15 %-20%. We could have done much better, but for the challenges we faced in the rabi season, which is true for the entire industry. In Domestic B2B segment, where we do sell active ingredients to other institutional customers , we have broadened the portfolio beyond Manco zeb and have scaled up well. Prices of most of the molecules also improved during the year, and that has resulted in improved margins. On a standalone basis , crop protection business has reached the record turnover and record profitability. As you ca n see, it is close to 19 % EBITDA margin and a revenue of INR 3,000 crores. This includes bio business as well, where the neem based bio products have recorded good export volume . We started our own channel in bio for domestic sale and have expanded the product portfolio with microbials and plant -extract products. On the NACL side, as I mentioned in my opening remark, overall turnover has grown by 28 % and profitability has improved operationally. This has not added significantly to the bottom line, mainly because of alignment of major accounting policies in line with Coromandel , which has resulted in provisioning,

which has reduced the net profit on a standalone basis. But capacity utilization of the technical plants have improved significantly. We are also looking at additional intermediate and technical capacities in the Dahej plant, which is currently operating at low level. Coromandel and NACL team s are working together for leveraging synergy benefits and cross -selling products across various markets, depending on the strength of each company. So, overall, on a consolidated basis, we have reached INR 4,000 crores . Margin of NACL has improved to 6 % to 7%, and that is what we indicated in the beginning , and going forward next year with the change in product portfolio, that should stabilize around 9 % to 10 %. We need some time to introduce new products, register new products, introduce 9(3) formulations to significantly improve EBITDA in line with Coromandel. It would be difficult for NACL on a standalone basis to increase the margins unless new active ingredients and new formulations are introduced, which will take some time. So, currently, we can say we can restor e the margins, what it was 7% to 8% percent , bey

ond that, it requires investment, which we will take a view at appropriate time.

Ahmed Madha: Sure, sir. Thank you so much.

Moderator: The next question is from the line of Ankur from A xis Capital. Please go ahead.

Ankur: Hi, sir. Good afternoon. Thanks for the opportunity. First, if you can give the EBITDA breakup for the full year in terms of subsidy and non -subsidy ? And the revenue breakup for crop protection in terms of B2B, B2C, and export and domestic.

S. Sankarasubramanian: Sorry. Come again. First one, what is it?

Ankur: The non -subsidy EBITDA share for the full year, if you can share that, as well as the breakup for the crop protection business, breakup between export domestic as well as B2B, B2C revenues there for the full year ?

S. Sankarasubramanian: Subsidy business share for Q4 is 57 %. It is 66 % for the year as a whole.

Ankur: Sure, sir. And the breakup between export , domestic and B2B, B2C for crop protection?

S. Sankarasubramanian: You need this for the full year or for the quarter?

Ankur: Full year, sir.

S. Sankarasubramanian: Coromandel crop protection business, right?

Ankur: Yes.

S. Sankarasubramanian: The exports will be INR 1,450 crores, domestic B2B will be INR 700 crores and formulation will be INR 900 crores.

Ankur: Sure, sir. That is helpful. So, as you rightly highlighted in terms of the growth that we have seen for the non -subsidy business as well as the strong operating profits, the margin expansion as well for the full year. Given the macro, one, is there any con cern from an RM availability perspective for the crop protection business or even from a pricing perspective? And second, how do you look at the growth going ahead? You did allude towards NACL sort of cross -selling opportunity being there, but let us say o n Coromandel ’s own portfolio basis, what sort of growth are you looking at and sustainable margins there?

S. Sankarasubramanian: As far as raw material supply chain is concerned on crop protection, we are quite comfortable and we are fairly covered. I do not see any challenge. It continues to be available. And whatever input cost increase has happened because of global phenomenon, w e are able to pass -through. So, we do not see any impact on margin due to input cost. So, crop protection business is fairly comfortable. In terms of the growth opportunities, it is driven by active ingredient volumes - With Mancozeb ’s additional capacity coming up during the year , that will be the major volume kicker for active ingredient. On the domestic formulation business, we are planning to grow aggressively by another 20%-25% because of the new registrations and will be launching six new products. We are increasing

our import of active ingredients from China and also introducing new products in India. Overall, we can see a revenue growth of 20 %-25% besides the capacity -driven growth in active ingredients which were mainly for the export market.
Ankur: Sure, sir. And on the margins, do we think we will be sustaining let us say 19 -ish% non -NACL EBITDA margin for our business or -?
S. Sankarasubramanian: I do not see any challenge. And also, we should note that the currency depr eciation is helping this business with significant share of exports happening.
Ankur: Sure, sir. That is very helpful. And just lastly, you did cover up in your opening comments on the raw material inflation on the fertilizer side , and our expectation that probably there could be another round of maybe an increase in subsidy from the government side. My question here was, one, given that Q1 is fairly there, but Q2, there could be RM inflation which could hit us. And what if the gove rnment is not increasing or maybe there is a delay in terms of increase in subsidy from the government s ide? Are we looking to increase the finished good s prices there as aggressively , because that

will have an implication on your overall margins as well , so, how should one look at that part?
S. Sankarasubramanian: These are all very abnormal situations, very difficult to predict how long it will take. But it is very important both for the sector health as well as for the farmer benefit, that government response favorably . They are looking into it. For the production to continue and fertilizer to be made available

to the farmers , we hope to have a early resolution through additional compensation to ensure that any further price increase on NPKs are reasonable for the farming community to absorb.
Ankur: Sure, sir. Okay. That is helpful. I will get back into the queue if I have many more questions. Thank you and all the best.
Moderator: The next question is from the line of R iju from Anti que Stock Broking. Please go ahead.
Riju: Hi, sir. Thanks for the opportunity. Sir, the domestic and export revenue share that you have mentioned for the CP business, that was the standalone business or including NACL?
S. Sankarasubramanian: That is for the standalone business , they asked for t he sta ndalone bu siness .
Riju: So, if you could mention like including NACL number for the Q4 for export revenue, that will be helpful ?
S. Sankarasubramanian: I need to get back to you on export revenue. Overall revenue is INR 1,584 crores for the full year and
INR 361 crores for Q4, but I need to just get back to you on domestic and export breakup. We will pass this on later.
Riju: Understood, sir. In terms of the fertilizer business, could you please elaborate in terms of the finished goods inventory that you have as on March '26?
S. Sankarasubramanian: It may be close to 5.5 lakh tons roughly of finished fertilizers .
Riju: This is entirely the manufacturing volume or including trading ones?
S. Sankarasubramanian: Trading is not much, probably 60,000 -70,000 may be trading.
Riju: Understood, sir. And if I look at in terms of the Coro mand el standalone CP business , so the growth was 2%. So, that was mainly because of this poor growth in the domestic market or it is mainly on account of both domestic and exports?
S. Sankarasubramanian: Sorry, come again . What you are saying?
Riju: If I have a look at Coro mand el CP business for the standalone ones, the growth was 2% , 2.5% for the quarter. So, the primary reason was the poor domestic business growth or it is a mix of domestic and export, both have not performed well ?

S. Sankarasubramanian: No, actually it is off -season in domestic market - but there also at least there is a volume increase. On exports, we have moderated the sale in fourth quarter as we have opportunities to sell during season time in April -May. So, it is a temporary slowdown in fourth quarter that will come back in first quarter. And form ulation business, anyway has grown well by 14% in spite of being an off - season period. Domestic B2B is more of a function of demand requirement and that can always be made up in first quarter. So, I do not see any major issue per se in any particular segment. The area where we have marginally de -grown compared to last year is in bio -product category, where we did exports in the fourth quarter of last year and we have executed this export order earlier in December, hence it is showing a de -growth in the current year. So, that is why overall CPC is looking marginal at 2%. Otherwise, overall for the year growth is 16% and that sort of a growth we do expect to sust ain.
Riju: Understood, sir. One last t hing so, if were to look at in terms of the global industry, specifically in the LATAM market, so LATAM market is struggling with the inventory issue. So, how do you see that market for your growth? And second part is that if I look at Mancoze b prices for the last maybe one or two months, so the prices h

ave gone up roughly by 30% to 40% in the range. So, how do you assess that in terms of your Q1 performance? And second is that if you could share the uni que grade contribution number in the fertilizer business?

S. Sankarasubramanian: I think our understanding is that de-stocking has already happened in Latin America market. We are not facing any challenge . And for Mancoze b per se, our cost increase is getting passed on. Also, our dependency is not only in Latin America. We have a widespread reach across various continents. So, to this extent, we are very comfortable and are awaiting for the new capacity to come up to increa se our volumes and revenues in the coming quarters. I do not see any challenge in improving our margins or performance or sustaining the same in the first quarter.

Riju: Understood, sir. And the uni que grade s contribution for this quarter?

S. Sankarasubramanian: More or less remains the same . It remains at 35% on an annualized basis for the year .

Riju: Understood. Thanks for answering all my questions.

Moderator: The next question is from the line of Som aiah V from Avend us Spark. Please go ahead.

Somaiah V: Yes, thanks for the opportunity, sir. S ir, my first question is on Phos Acid price for the quarter. Has it been decided? That is one. And in the international market, if you were to procure Sulphur and Ammonia, what is the current pricing?

S. Sankarasubramanian: Phosphoric Acid price was fixed at USD 1,360 as against the previous of USD 1,290. The spread of Ammonia has gone up significantly. There are deals which are happening around $840, $850 range. That is where last we heard. And Sulphur is also around the same level, $800 price .

Somaiah V: In terms of th is backward integrated capacity that we have added last quarter , so, for the first half of this year, do we see any challenges in terms of raw material availability to run this at the fullest? And also, in terms of margin contribution, do we see to be accretive given where let us say Sulphur price is occurring?

S. Sankarasubramanian: These are very extraordinary times . Very difficult to look at margins at this point of time. It does not make sense even to look at either product margin or Phos Acid value gap. If you take current quarter Phosphoric acid price and try to project next quarter value gap, obviously it will be negative because this price increase of Sulphur and other input prices will come in the next quarter. There may be one or two challen ging quarters, but it should get normalized and structurally the value gap what we originally envisaged will come through. I do not see any challenge in availability per se for running the plant because we have a good coverage of rock phosphate and with Senegal mines operating in full stream , and we are getting rock phosphate from there. For Sulphur, we have taken a lot of efforts. There is a visibility up to first quarter and as I mentioned going forward with things eas ing out, we should be able to secure raw material for second quarter as well. We have to wait and see how this Middle East crisis is playing out.

Somaiah V: Understo od, Sir. In terms of between Q1 and Q2, I think we should be having a fair idea of at least how things stand today in terms of our inventory that is there in the system, NPK subsidy that is being given and pricing that is happening. So, it would be fair to say Q1 i s kind of still manageable and Q2 is where definitely the subsidy support should come in or is it like in Q1 itself we need this incremental subsidy support?

S. Sankarasubramanian: Every day is a new day, we are not able to predict anything. This time it is a little uncomfortable for us to put any number on the table. Let us wait for things to play out before we can come to any fair understanding. It is bit challenging. Right now, we are focusing more on securing raw material

s and
having the production , ensuring fertilizer availability for the system. We are looking a t supp ort from Governme nt, price corre ctions – situation is fluid at this stage I would say.

Moderator: We will take the next question from the line of Akash Mehta from Canara HSBC Life.

Akash Mehta: Hi, sir, thank you for having the call. So, my first question is on the sourcing bit only. You said on the Sulphur front it is slightly challenging as of now. I mean obviously we have visibility of Q1 but going into Q2 it is a bit difficult. So, can you just help us with the current sourcing? I mean it was earlier with the Middle East so from where you are kind of man aging the sourcing for Sulphur and the raw materials , if there is any change ? So, that is my first question.

S. Sankarasubramanian: We used to source predominantly from Middle East. Now we have diversif ied our sources , wherever
Sulph ur is available we are buying, and we have been getting some shipments from Canada as well. We are trying some domestic sources also. So, we are getting something from South Asian countries,

Japan. So, we are looking at all the opportunities. It is quite fortunate that we have got our new Sulphuric acid plant in Kakin ada in Q4. Sulphuric acid prices have gone significantly higher and hence it comes handy to have our own Sulphuric acid which in turn can generate steam and produce power. So, we have multiple sources. Right now it is more of a spot transaction which we are doing. Otherwise , the major source used to be Qatar Energy and Saudi.

Akash Mehta: Sure, sir. As of now there is no shortfall as such. It is available at a higher price. That is about it,

right?
S. Sankarasubramanian: We have visibility up to June. We have to keep covering. So, hopefully situation should ease out. The major challenge is the bottleneck of the ships to cross. It is not Sulphur is not available. Sulphur is available in plenty. It is the movement of ship through th e Strait of Hormuz which is making it difficult for us to predict anything. We are hoping things normalize and sailing time is not much between Middle East to India. So, for July , it is too early to predict whether it will happen or not. In a logical sense , it looks like it will happen.
Akash Mehta: Sure sir. My second question is, by any chance if you can just highlight on the subsidy front , again you cannot give a clear time line when it will come through , but given the raw material price increase, any number you can just help us out with in terms of the implied increase in subsidy or the price on the last number and on peak percentage terms ?
S. Sankarasubramanian: We have to wait and see. For the Rabi season, NBS rate formula will kick in and probably will get updated. What we are talking about is the intervening period of June to September where the raw material prices have gone up very sharply. So, it may be a cos t-to-cost reimbursement - so that we can cushion the sudden sp urt in prices to a great extent while we arrive at the final price to the farmer. Very difficult to predict how much they will do. Like a pass -through in DAP, we are tryin g whether there can be a pass -through in NPK as well. We need to wait and see how it is going to happen.
Akash Mehta: Sure sir. That is it from my side. Thank you.
Moderator: The next question is from the line of Darshita from DSP Asset Managers. Please go ahead.
Darshita: Hi, sir. Thank you for the opportunity. I just had one question. Is there any key intermediate for Mancozeb that we import from Middle East countries where we may be facing any constraint for importing it?
S. Sankarasubramanian: Fortunately not. We are able to get everything from other countries . It is the only comfort we have in this raw material. Of course, we have some products but we have alternate sources. So, we are quite okay with it.

Darshita: And we have been able to pass on the price increase even in the last two months , fourth quarter, of course, we can see that , but over the last two months also, we have been able to pass on the price increase.
S. Sankarasubramanian: Yes. And to some extent, the currency depreciation also has aided this to absorb some increase .
Darshita: Got it. Okay. And not facing any shortage for sourcing the intermediate?
S. Sankarasubramanian: Yes. We had some small disruption in the month of April , but we have now looked at the alternate sourci ng. Unlike nutrients, the import of these raw materials from China is quite okay. So, it takes time but it comes. We are fairly covered.
Darshita: Okay. Got it. Yes. That is all. Thank you.
Moderator: We will take the next question from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.
Vipul Kumar Shah: Hi, thanks for the opportunity. So, in view of the raw material inflation, what should be our margin guidance as far as EBITDA p er ton is concerned for the whole year?
S. Sankarasubramanian: Very difficult to predict at this point of time. Let us see how it goes because it is a function of what government is going to compensate and how much we are going to look at price corrections. It is very fluid. I do not want to put any number now. So, let us wait for things to get normalized. Once the situation improves and supply chain gets normalized, prices should come back.
Vipul Kumar Shah: Okay, sir. Thank you.
Moderator: The next question is from the line of Sh eel Kumar Shah from Sam eeksha Capital. Please go ahead.
Sheel Kumar Shah: Thank you for the opportunity. My first question is what is our manufacturing EBITDA on fertilizer side, I mean per ton for 4Q and for the full year?
S. Sankarasubramanian: Last year, it was around INR 5,000 plus that we have mentioned and fourth quarter was compressed ;
it was less than INR 3,500 for fourth quarter.
Sheel Kumar Shah: Okay. And what about on the trading side, if you can share margins or EBITDA per ton?
S. Sankarasubramanian: It is too difficult to make. It depends on the grades, the timing of purchase, and there is a pass -through
on DAP. So, different set of numbers are there.

Sheel Kumar Shah: But on an average, what type of margin would we be making on our trading?
S. Sankarasubramanian: You can take roughly 4% to 5% sort of a number.
Sheel Kumar Shah: Okay. And how do you see trading volume for FY27 on high days of FY26?
S. Sankarasubramanian: We have a challenge in availability, especially on DAP. So, we need to see how things improve. We doubt doing the same volume. And there can be a potential reduction in the first quarter because of non-availability, especially major imports coming through from Saudi may not happen. We also want

to be conscious on working capital liquidity. So, we may not be pushing unless it is absolutely
essential to meet the demand. But second half, I think, should get normalized. If things improve, the
volume should come back. So, it is a function of availability in a quarter and our risk appetite.
Sheel Kumar Shah: Understood. And my last question is what would be the revenue for Nano DAP?
S. Sankarasubramanian: We marketed 45 lakhs bottles . I will come back to you on the revenue . I do not have it readily availab le.
Sheel Kumar Shah: Sure. Thank you.
Moderator: The next question is from the line of Bharat S heth from Quest Investment Advisors Private Limited.
Please go ahead.
Bharat Sheth: Hi, thanks for the opportunity. My question is related to th is Dahej capacity that which w e are
expanding. So, how much additional revenue or asset turn if you can g ive, do we expect and what
kind of I mean portfolio diversification it will have?
S. Sankarasubramanian: We expanded our capacity by 10,000

tons of Mancozeb . I will get back to you on the revenue on
Dahej . But the payback will be much faster, less than one year. So, the investment what we have
made in debottlenecking the facility gets paid off less than one year. In fact, we are expanding another
20,000 tons at S arigam. That project is underway , and should come through by middle of this year.
Hopefully, there also I think margins are pretty good and we should have a payback in a shorter
timeframe of less than two years.
Bharat Sheth: Earlier , we were evaluating in foray ing into C RDMO. So, what stage we are in CDMO ? I mean, how
is the opportunity that we look forward , any further progress?
S. Sankarasubramanian: The CDMO takes long time, two, three years. And MNCs have responded fa vorab ly. They looked at
the facility. They moved to the next stage. They take quite a long time. Two, three European entities
have shown interest. And with the combined strength of Nagarjuna, we are able to fast track some of

the intermediate manufacturing. We are looking at fluorination chemistry very seriously. While
Nagarjuna has got the capability and we are going to invest on fluorina tion chemistry in the coming
quarters to showcase it to the potential CDMO players. We are quite happy with this. Some of the
Japanese collaborators are also keen to work with us. Things are progressing well. While it is not
materially impacting the revenue in the current year, but I am sure two years down the line, we will
have significant play in this space. We are trying to do it organically and we will scale up. We are
not looking for big -ticket investment immediately . Looking at the current market situation , we
wanted to focus on current investments what we have made, re alize the value out of it before we
make any fresh investments on a large scale on CDMO space . But we are doing well organic ally. At
this point of time, I am not able to put out the part ies name, but things are progressing very well.
Bharat Sheth: But could we see revenue from FY28?
S. Sankarasubramanian: It may go into the year after that also, because once they get the proof -of-concept ready and they start
listing the product and then agree to the costing , margins. But we will start creating some capacities
of smaller scale this year and that will go into production next year. So, some revenues will come in,
but significant can come in a year after.
Bharat Sheth: Now, with this price increase substantially in this fertilizer, how should we think that adoption of
Nano DAP, I mean, going ahead, say, post -harvesting?
S. Sankarasubramanian: Ideally, this is a great opportunity. Like in COVID, many things have happened. I wish farmers ’
adoption increases. We are trying to do and promote balanced nutrition. But as long as you have urea
and DAP available at an highly subsidi zed price, this situation may be difficult. So, unless there is a
major policy correction that restrict s the availability in terms of actual need for the marginal farmers,
this adoption will be slow and steady . We are also not in a hurry to push through - the product is
working well and it can replace shortage situations and be a boon to the farmers. That is all I can say.
Bharat Sheth: Last question with your permissi on, Any update on D haksha ?
S. Sankarasubramanian: A good question. Thank you for raising this point because we have taken the diminution in the value
of investment relating to D haksha . As you know, we have got a large order which is pending for
execution and we have fixed all the technical -related gaps and we are awaiting for the execution of
orders. We have made significant progress on introducing new products , a lot of projects have been
identified, a lot of partnerships have been identified , and we are seeing good traction coming from
the defen ce segment after the usage of drones in various warfare. B

esides that, in Agri, Coromandel
and Dhaksha have been working very closely. We have come up with new products . We are going
through type certification . In Agriculture , drone response has been extremely good from the farming
community and we will be scaling up volume . We are participating in the institutional tenders. We
are also looking at drones for various institutional applications and trying to develop the complete

ecosystem for Dhaksha by tie-ing up with the various component manufacturers, whether it is for batteries or cameras or various other electronics component s and software development. Dhaksha will be moving to a larger place, and h opefully this facility should be ready by May. A lot of progress is happening and I think we are in a good recovery mode. After we execute the first order during this year, that will give us the confidence to have repeat orders across various segments of defen ce. Meanwhile, we are also strengthen ing the R&D and are going to introduce new products over the next six to nine months. We will try and reali ze the value of investment what we have made. We are a bit ahead of t ime, but it is going to make a difference in the next two years.
Bharat Sheth: Thank you very much, sir, and all the best.
S. Sankarasubramanian: Thank you.
Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.
S. Sankarasubramanian: Thank you very much. Thank you for the insightful questions and I know it is a challenging time and definitely I am sure we will do our best to serve the farming community. Thank you for your continued support.
Moderator: Thank you, members of the management. On behalf of Elara Securities, that concludes this conference. We thank you for joining us and you may now disconnect y our lines.